

Avanti Feeds (AVANTIFEED)

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Call: Aug 2022

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August 26, 2022

To

The Deputy General Manager,

BSE Limited,

1st Floor, New Trading Ring,

Rotunda Building, P.J. Towers,

Dalal Street, Mumbai - 400001.

BSE Code: 512573

Dear Sir/Madam, Aiding Sustainability &

Reliability to Aquaculture

To

The Listing Manager,

National Stock Exchange of India Ltd.,

Exchange Plaza,

Bandra (East),

Mumbai - 400051.

NSE Symbol: AVANTIFEED

Sub: Transcript of post earnings Audio Conference Call for Q 1 FY22

Further to our letter dated August 23, 2022, we enclose herewith the transcript of post earnings Audio Conference Call for Investors held on August 22, 2022 in connection with unaudited financial results (Standalone and Consolidated) of the Company for the quarter ended June 30, 2022 and the same is being uploaded on the website of the Company at [www .avantifeeds.com](http://www.avantifeeds.com).

This is for your information and record.

Thanking you,

Yours faithfully,

For Avanti Feeds Limited

C. Ramachandra Rao

Joint Managing Director,

Company Secretary & CFO

Encl: As above

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Somajiguda, Hyderabad-500082, Telangana State, India.

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Avanti Feeds Limited Q1 FY23 Earnings Conference Call

22nd August, 2022, 04:00 PM IST for a duration of 60 mins 38 secs

CORPORATE PARTICIPANTS:

Mr. C. Ramachandra Rao

Mr. Alluri Nikhilesh

Mrs. Santhi Latha

Ms. Lakshmi Sharma Joint Managing Director, CS & CFO

ED -Avanti Frozen Foods Private Limited

GM - Finance & Accounts

Manager - Corporate Affairs.

Moderator

Good evening, ladies and gentlemen. I'm Krithika, moderator for the conference call.

Welcome to Avanti Feeds Limited, Q1 FY23 results conference call hosted by KFin

Technologies Limited. We have with us today from the management Mr. C

Ramachandra Rao, Joint Managing Director, Mr. Alluri Nikhilesh, Executive Director;

Mrs. Santhi Latha, GM - Finance & Accounts and Ms. Lakshmi Sharma, Manager -

Corporate Affairs. As a reminder, all participant lines will be in the listen only mode,

and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, face signal and

operator by pressing * and then 0 on your touchtone telephone. Please note this

conference is recorded. I would now like to hand over the floor to the management.

Thank you and over to you.

C Ramachandra Rao

Thank you, Krithika. Good evening, ladies and gentlemen, we extend a warm welcome for this investors conference call to give you the unaudited financial results of Q 1 FY23. Mr. Nikhilesh Alluri, Executive Director joining from online here along with me other team members .. The results of Q 1 FY23 along with the presentation of highlights circulated already is with you for some time now and we are sure that you would have gone through them. However, I would like to share with you some of the key indicators relevant for our discussion today.

CONSOLIDATED FINANCIAL RESULTS FOR Q1 FY23:

Let me just give a review of that the company compared to performance of Q1 FY23 with that of Q4 FY22 and Q 1 FY22 have been given in the presentation already circulated. Gross income in Q1 FY23 is 1,582 crores as compared to 1,348 crores in the previous quarter Q4 FY22. An increase of Rs. 234 crores which is by 17%.

Compared to Q1 FY21, gross income of Rs. 1,430 crores, there is increase of Rs. 152 crores by 11 %. The PBT is Rs. 100 crores in Q1 FY23 as compared to Rs. 121 crores in Q4 FY22, a decrease of Rs. 21 crores by 17% compared to Q1 FY22, PST of Rs. 99 crores.

There is a marginal increase of Rs. 1.00 crore. The consolidated results indicate net impact of the pivoted

factors such as increase decrease in income, expenditure and exceptional items etc., relation to feed in frozen divisions, which have been discussed in the following divisional performance of these units.

STANDALONE FINANCIAL RESULTS OF FEED AND PROCESSING DIVISIONS

A. FEED DIVISION:

Let me take up the standalone financial results of feed divisions for Q1 FY23. The gross income for Q1 FY23 is Rs. 1,311 crores as compared to Rs. 1,050 crores in the previous quarter of Q4 FY22 increase by Rs. 261 crores by 25% mainly increase in feed sale price during 2021-22. The gross income in Q1 FY23 increased to Rs. 1,311 from Rs. 1,257 crores in the corresponding quarter of Q 1 FY22 which increased by Rs. 54 crores by 50% mainly due to increase in sale price

The PBT Q 1 FY23 is Rs. 77 crores as compared to Rs. 102 crores in Q4 FY22 a decrease of Rs. 25 crores by 25%. The PBT in Q1 FY23 has decreased to Rs. 77 crores from Rs. 93 in the corresponding quarter, a decrease by 17%. The decrease in PBT is due to increase in raw material prices.

As you know, there are three major raw materials fish meal, soyabean meal and wheat crop which significantly impact the raw material cost of feed.

During Q1 FY23, fish meal average price was Rs. 111/ kg went up from Rs. 94 /kg in Q1 FY22. The main reason appears to be ban on fish catch during May to July every year pushing the prices upwards.

The average soyabean meal price is Rs. 66/kg during Q1 FY23 as compared to Rs. 65 in Q 1 FY22 and Rs. 63 in Q4 FY22.

Average wheat flour price also increased to Rs. 26/kg from Rs.21/kg during Q1 FY23 compared to Q1 FY22. However, of late wheat prices have been going up increased due to Ukraine war creating global shortage of wheat and an increase in export demand for Indian wheat. The prices of wheat flour have raised up to Rs. 29/kg prompting the government to ban exports of wheat from 13th May 2022. Presently, the price of wheat remains Rs. 31 /kg, even though the export ban has been imposed, still the prices are going up. The information is that there is a lot of stock available with the bigger traders, some sort of a voting is taking place that is why the traders are pushing the prices up.

We don't foresee much decrease in the prices till the next crop, which will come only after 31st March next year. So, we don't foresee much fall in this price, we could have however, Rs. 29-31/kg.

Increase in sales price of feed

In spite of increase in the wheat price by Rs. 13.40 in FY22, 4 times increase Rs. 3.15, Rs. 4.25, Rs. 4, due to steep increase in raw material prices, the raw material cost increased by Rs. 15.10 paise /kg leaving a difference of Rs. 1.63 unabsorbed.

However, in course of time, the prices of fish meal, soyabean meal and wheat flour are expected to stabilize with a marginal decrease due to actions initiated by the government in respect of soyabean meal and wheat.

B. SHRIMP PROCESSING DIVISION

The gross incomes of Q1 FY23 is Rs. 273 crores as compared to Rs. 300 crores in Q4 FY22, a decrease by Rs. 27 crores, 9% mainly due to RODTEP income of Rs. 16.29 crores pertaining to 15 months' period recognised in Q4 FY22 and decrease in sales volume by 8%. In Q 1 FY23 RODTEP income pertaining to the quarter was recognized

as compared to RODTEP income of 15 months i.e., Jan' 21 to Mar' 22 recognized during Q4 FY22. The gross income in Q 1 FY23 increased to Rs. 273 crores from Rs. 175 crores compared to the corresponding quarter Q 1 FY22 an increase by 56% mainly due to increase in its sales volume by 33% in recognition of RODTEP income of Rs. 7 crores for the quarter April to June 22 (3 months).

The PBT before exceptional items for the Q 1 FY23 is Rs. 30 crores as compared to Rs. 21 crores in Q4 FY22, an increase by Rs. 9 crores represent 43% mainly due to increase in raw material cost. The PBT in Q 1 FY23 is Rs. 30 crores, increase from Rs. 12 crores in the corresponding quarter Q1 FY22. The PBT in Q1 FY23 of

Rs.30 crores

is inclusive of Rs. 7 crores of RODTEP.

Status of recalled of products by Frozen Division

As you are aware, the company had to recall some of the consignments of cooked Shrimp products in Jun'21 (initial) and Aug'21 (expanded) found to be with Salmonella contamination, by USFDA and CDC in the recalled products. The Recalled products are not allowed to be brought back to India, and they have to be destroyed in US itself. As a result, the company is liable to compensate US customers for recalled products and related expenses of destruction charges etc., to the extent of the products return and destroyed.

The company is also liable for reimbursement of medical and related expenses to the consumers who felt sick and underwent treatment after consuming the recalled products.

PRESENT STATUS OF TERMINATION OF RECALL AND REINSTATING GREEN LIST STATUS

I am happy to share with you that the USFDA has communicated the termination of recall on 25th May, 2022, paving way for focusing on value added product, enhancing the share of cooked products export to the US.

The company has filed petition with USFDA for removal of "import alert" on import of cooked Shrimps products from the Company, as recall has been terminated. The company's petition is under process with FDA.

I would like to assure the shareholders and stakeholders that your company gives utmost importance to food safety and compliance with regulatory requirements and leaves no stone unturned to achieve this objective.

Insurance coverage

The company's product liability insurance covering the medical and related expenditure mentioned above. However, there is no insurance coverage in respect of reimbursement of products returned and destroyed and also other related expenses such as Product Destruction, Call center, storage expenses, etc. This cost has to be met by the company.

Provision in the Financial Statements

The company has made provision in the financial statements in respect of the liability for the return products. In Q1 FY23 accounts, provision has made for a sum of the Rs. 5.30 crores as an exceptional item towards the value of returns destroyed products and other related expenses on actual basis as against Rs. 4.10 crores during Q1 FY22. The status of provisions made in the financial statements so far on this liability and payments made against the liability as on 22nd August, 2022 is

Total provision made (including the above)

Less: Claims settled and paid

Balance outstanding in the provision made Rs.32.80 crores

Rs.17 .55 crores

Rs.15.25 crores

The above provisions in financial statement have been made on the basis of information received from the overseas customers from time to time, subject to specific repetition of the specific claims by the company. The payment is being made as and when the specific claims are received from the customer and after verification by the company.

Since more than one year has lapsed, since the recall was made in June and August 2021, the company presumes that further claims may not be received and may not be there in a significant manner, and the total liability will be to the tune of only about Rs. 33.00 crores for which the provision has already been made.

Product liability claims

As regards the claims for body injury caused by the consuming company's contaminated product, recalls, the company's insurer New India Assurance Company has appointed a surveyor for the processing of the claims. So far, the company has received 13 claims who has body injury, which have been forwarded to the insurance surveyor for processing. The total claim from 13 claimants is about USD 153,461 out

of which USD 17,523 has been directly settled by the company and the claim has been made by the reimbursement from the insurance company. The balance claims are under scrutiny by the surveyor insurance company and also the audit team of the company. Since the liability has been covered, commercial general liability insurance

policy, no provision has been made in the financial statements for this sort of liability claims.

INDUSTRY OVERVIEW - THE FUTURE OUTLOOK

The recovery from the impact of the COVID which affected global economy during the past two years has significantly improved, which is perceivable in growth of the global economy. We noticed that the performance of calendar year 2021 was much better than the calendar year 2020, and it is expected to be still better in calendar year 2022. As I shared with you in the previous Q4 FY22 review, I had stated that company is envisaging significant improved performance in the calendar year 2022 as the first season of shrimp culture started with the highly encouraging environment and the farmers commenced stocking in February and March 2022 in a big way compared to the previous year's first season. But, at the end of Q1 FY23, in June, the production of the shrimp during quarter was not to the anticipated levels due to excessive rains. This is in some areas and not so encouraging farm gate prices, but bigger size compared to smaller size shrimps resulting in farmers resorting to heavy harvesting. The company estimates that India would be able to produce about 8 - 8.5 lakh MT of shrimps with an estimated consumption of about point 12.5 - 13 lakh MT of shrimp feed.

SHRIMP PRODUCTION AND FEED CONSUMPTION IN FY22 AND COMPANY PLANS FOR FY23:

Shrimp Feed consumption

The Shrimp Feed consumption in India increased to 12 lakh MT in FY22 as compared to 10.50 lakh MT in FY21 and is expected that the consumption would further increase during FY23.

The company's feed sales during FY22 was about 5.41 lakh MT as compared to 4.73 lakh MT in FY21. It is expected that FY23, would be around 5.70 lakh MT with an increase of about 6%. The company is expected to maintain its market share to 48% - 50%

As the demand of Shrimp Feed is expected to increase, the company has almost completed setting up of new shrimp feed manufacturing facilities in Varadapuram with annual installed capacity of 1,75,000 MT with a CAPEX of Rs. 125 crores. The plant is ready in all aspects awaiting certain governmental clearances. The new facility is scheduled to commence commercial production in September 22.

Shrimp Processing & Export

The Shrimp production and export from India increase to 7.50 lakh MT in FY22 as compared to 6.50 lakh MT in FY21. It is expected that the Shrimp production would further increase to 8 lakh MT - 8.5 lakh MT in FY23, an increase of about 13%.

The company's shrimp exports during the FY22 were 12,836 MT as compared to 11,518 MT in FY21. It is expected for FY23 would be around 14,500 mts, an increase of 13% as follows.

Avanti Frozen is in the process of expanding preprocessing, main processing and cold storage as detailed below:

1 Pre-processing facility in Completed and awaiting final Gopalapuram (adjacent to the approvals to start Pre-processing existing Processing plant). Capex of Rs. 11.43 crores.

2 New Cold Storage at Yerravaram Work is in progress and the estimated Processing plant with 2000MT cost is Rs. 17.60 crores Capacity.

3. New processing plant and cold Land acquired. Civil works to be storage at Krishnapuram, East commenced. The Estimated cost is Rs. Godavari District with 7000MT p.a. 49 crores. capacity.

With this, I would like to conclude with a positive note that the Aquaculture industry is poised for a relatively improved performance in 2022 compared to 2021. With this, I would like to take a break with a question-and-answer session.

Moderator

Thank you, Sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do too by pressing * and 1 again. I repeat, ladies and gentlemen if you have a question, please press * and 1 o

n your telephone keypad. First question comes to us from Adithya from Purnatha. Please go ahead. Mr. Aditya has withdrawn the question, so I am moving on to the next question. Next question comes from Trilok Agarwal from Diamond Asia, please go ahead.

Trilok Agarwal

Good evening and thanks for the opportunity. I could not understand the reason for not so strong growth in the shrimp field in the quarter gone by and could you also talk about any inventory you know sort of high costs inventory that you guys had and that has an impact on the margins in the Q 1.

C Ramachandra Rao

See, I explained while you know giving the performance review that the expectation was very high in fact for this quarter, because the April, May and June, the normally the main season and at the beginning the climatic conditions and the price and everything was very good and it was started in a big way, but somehow from May onwards, there was excessive rains. So it was something like early monsoon and a lot of floods and all were there. And some parts had the diseases also. And also, the other thing was seen what happened the prices of the big size shrimps did not go up as expected while the small size shrimps' price was very good. So, most of these farmers resorted to early harvesting so that they get a better price margin because as you grow bigger size, the prices were not attractive.

So, they sorted for that early harvesting all this put together, the doors started well, our expectations were high, the actual the sale of feed was less by maybe 10 to 15% than what we expected. So, however, the positive again is that in now the prices are very good, the farmers are very enthusiastic to start. So those who have resorted to early harvests and all, they have already started stopping; stopping is going on well. The indicator is that we are our starters are moving very fast going now that we expected this second season, normally it will be my lesser than the first season.

But if the conditions are good in the second season, that is now the August, September, October. By October, we should be able to get a good crop to be better than corresponding quarter of the last year. That is Q3 and it will be very good. That's what we are expecting that Q2 - Q3 would be a better production compared to the previous year. Overall, See, the one thing is very clear that because of the earlier season there were some shortages in the total production and consumption that we made up to some extent in the second season.

Overall, we expected last year we did about a 5,40,000 around that we expect that it will be around 5,70,000 or 5,80,000, which we thought that we'd be able to go up to 6 lakhs that's what we had estimated, but it may not be possible now because the rest of the year next 4-5 months, we are the whatever consumption taking into account we should end up somewhere around 5,70,000 - 5,80,000. That would be a reasonable estimate for the rest of the year is what it is that is the reason.

Trilok Agarwal

Okay. Thank you for the detailed answer and just to know your comment on the margin about the inventory that you had or was there any problem you are caring for the soyabean and fish meal.

C Ramachandra Rao

Just to share with you the present fish meal price is around Rs.102 which came down a little it went up but now because from August, September. We are expecting that we should be able to have more catches, fish catches. So, it will stabilize around in any case, we don't foresee much fall it will be around Rs. 96 - Rs. 97 is less than Rs. 100 that could be a reasonable estimate of the fish meal price for the rest of the year. That's what we're expecting around Rs. 96 - Rs. 97 should be the stable price for the rest of the year. Coming to the soyabean meal, it is around Rs. 62, the GST on 5% again is coming around to Rs. 65 again here see the as it stands today the crop is good.

The sowings have been very good in Ind

ore, Madhya Pradesh and Maharashtra also.

There should be good production of soya meal. But however, a lot of things depend on that. Number one, the policy of the government how they're going to allow the imports or exports or whatever it is, even now they seem to be a lot of holding taking place. If a new crop comes in the month of October, November after the sowing, with that the prices should come down, but that is again, I would say, we have to fix fingers crossed.

It is a million-dollar question how much price could come down? It will be around, see if it settles down around Rs. 61-62 it should be a good price for the rest of the year.

And coming to the wheat flour; something you know some surprising things are happening in wheat trading, wheat exports, wheat flour, wheat products and all says the government has been changing its policy often. Once they set low barriers for

export of wheat and wheat products, then within less than maybe I think 20-25 days they imposed ban on export of wheat as such. Then they allowed that all wheat can go except certain specified wheat like Maida and all should not go. Then again, they said the ban was put on that also.

Now, the government has come up with a policy that there is the inter-ministerial committee has been set up that every export is allowed, but subject to clearance from this inter-ministerial committee. So, they have given the responsibility to that, so, like Commerce Department, Agriculture Department or Finance Department, which is consisting of these representatives, so, they decide, how much should be exported it on case-by-case basis, they decide permissions are given only address that permission is allowed to be exported. So, the situation is quite fluid, dicey and you don't know how things are going to take shape in future, but, however, we are seeing that with the restrictions, we hope that the government will not allow much of exposure and bring it down to the anticipated price stabilization in the range of Rs. 29-30 for the rest of this year.

I hope that is going to be the wheat flour price. In General, prices for high packaging materials are skyrocketing. But the chances of coming down is very remote, we are trying to match the pricing while simultaneously arguing that the government should allow us to increase the price. We have discussed this with the manufacturers stressing the government; you may recall that the recent price rise of Rs. 2.56 paisa had to be rollback by the Government of Andhra Pradesh.

They permitted us to come for a review at the time, and they did so again in August. Now, however, we have requested a review from the government to permit us to increase the price. We must wait and see how the government makes its decision. If we are lucky, we can get government pricing fees approved, and then we should be able to bring back the margins that are far better than what we have exhibited so far in the last quarter. That's the scenario of raw materials and fish price Mr. Agarwal.

Trilok Agarwal

Sure Sir, Thank you very much for the detailed answer. Thank you.

Moderator

Thank you, Sir. Next question comes from Nitin Awasthi from Incred Equities. Please go ahead.

Nitin Awasthi

Good morning, Sir. I have a few questions. The first question is the inventory that we had during closing of the financial. year which is Q4, and all that inventory being exhausted in the current quarter?

C Ramachandra Rao

Yeah, it is exhausted. You can actually just go to the next question. Meanwhile we try to figure out what is the inventory of Q1.

Nitin Awasthi

Okay. The next question is you have quoted the fish meal prices today, soya meal prices today. During the quarter what was the fish meal prices book roughly around per kg and soya meal prices.

C Ramachandra Rao

During the quarter, the average price of fish meal was Rs. 111, wheat flour was Rs. 26 and soya price was Rs. 66.

Nitin Awasthi

Thank you. Sir, the next

question I have is right now wheat prices seems to be a major concern and our wheat quality that is there in India is superior and the prices of that is higher. So, are we petitioning the government as an industry to allow us to import GMO wheat because that will be available at a much cheaper rate?

C Ramachandra Rao

Mr. Nitin, as we can see India is the second largest producer of wheat in the world. So, we are producing a lot of wheat. And in fact, we are in a position to export. I mean, there is a petition already with the government to import, but it has got a customs duty of 40% on the import wheat, if I'm mistaken, will be corrected. So, it has to be balanced. The wheat production in India is very good, we are getting the sufficient wheat production not only for the consumption, but also to the stocking level, but normally the standard policy is about 3 years. As you rightly said, definitely, GMO seed much better than the non GMO seed which is grown in India.

So in terms of impact, specifically in the case of soyabean meal price, when the import was allowed, we booked the purchase because the pricing was in dollars, which came to about Rs. 65-70 at the time, now, the dollar price is Rs. 79-80. So it is natural the prices will go up. Even while we can still hedge, it cannot happen unless we know the exact date of the arrival maybe plus or minus 1 week.

The thing is that the imported raw materials whatever it is, soyabean meal or wheat, it is again subject to so many factors and the policy of the government. Initially, we believed that the government would allow import, but they may forgive the 40% customs fee that was stated in Delhi because we had to wait for it to be imported. I don't know, because it is very difficult to get what is going to be the weak import policy of the government.

As of today, the wheat production is good, but for the export things would have been very good because, we are getting anywhere between Rs. 21 to Rs. 23. Suddenly, it has gone to Rs. 32. Therefore, a Rs. 10 increase has occurred there, which is why the government decided to export wheat as a result of the programme, many big houses cornered the entire harvest and storage in warehouses thereby, creating an artificial shortage driving the prices up. So, such things can be controlled.

Definitely, I think the prices should be around the ideal prices of Rs.27-28 should be pretty comfortable price for Indian wheat and currently, the benefits of using import wheat are not great because of the bad currency volatility. That is the reason, I believe that the government may effectively stabilise the industry by fostering appropriate policy and not allowing the trader to hold for longer than a month, or something similar. We hope that representations are being made and that this will be stabilized; there are some instances that can be brought up that can surprise us.

Nitin Awasthi

Yes, Sir, got it. Last question from my side on the industry. We are seeing a very disturbing trend in the import export data which is India started to import raw shrimp from Ecuador. Quantity is very small as of now for processing, but it just that it's a very disturbing trend what is your outlook on that?

Alluri Nikhilesh

Could you come up again with the question?

Nitin Awasthi

What was the import export data is showing us is that India started to import last month, shrimps from Ecuador, raw stream for processing, and this can hamper our whole company and the complex of the feed industry, maybe the processing industry is good for that. But for the feed industry, this could be very very negative. So, your thoughts on this, like you see the trend gets stronger? Do you see it getting more and more viable? Because if it happened last month, it was definitely viable. But you know the industry better and hence, what are your views on the thing

Alluri Nikhilesh

Nitin, I don't think it's a long-term risk, because Ecuador's

product, as such, a lot of it

is going into China. So maybe some of the countries coming into India. But there's no trend as such to import products from Ecuador and we thought it's not I think maybe it was just a product that came in which was rejected from China and came into India because it's closer, but I don't foresee.

Nitin Awasthi

Okay Sir, thank you for answering all the questions.

Moderator

Thank you, Sir. Next question comes from Depesh Kashyap from Equirus Capital, please go ahead.

Depesh Kashyap

Hi Sir, thanks for taking my questions. Sir, just wanted to check on the guidance, because I think you said the feed sales in this year will be around 5.7 lakh tonnes. So just wanted to check whether that's the calendar year, you're talking about the FY23?

C Ramachandra Rao

We go by the calendar year only.

Depesh Kashyap

Okay, got it. So, obviously, for FY23, the growth can be better because the new capacity is going to come and obviously got it and also given the current Raw Material prices that you talked about and the I think Rs. 2.25 rollback rate that you did in June July right on the feed price. So, how is the current margin trending? Are they like, better than the Q 1 would even worse than that?

C Ramachandra Rao

No, I think it is more or less the same, because we believed that the Rs. 2-2.25 would take care of the recent increase, which must be rolled back because it was a government decision. Because of a modest decline in some of the raw materials during the event, it has returned to the same state and the margins had little impact. Additionally, the average variance will only be between 5% and 10% it won't be higher than that.

Depesh Kashyap

Okay Sir, any try of industry to increase the prices or the government is not allowing?

C Ramachandra Rao

That's what Depesh, we have approached government because you know, that there is actually the government is taking an active part in deciding these things. So, last time when we increase it immediately, there were numerous representations from farmers and/or the government, and the government brought all the parties to the meeting and requested us to roll back the price with the assurance that they would review the situation again in August and, if necessary, would permit an increase.

So, on that basis, we have gone to approach the government again. If things work out in our favour, it would be really beneficial for us. It will benefit us much by drastically stabilizing the cost of raw materials. I think we should be much better in Q3 and Q4.

Depesh Kashyap

Understood Sir, and also the USFDA part like you talked about. So, just want to clarify because the voice was breaking that the normal shipment has started or still you are waiting for some approvals for the value of a product.

Alluri Nikhilesh

So, the recall has been ended as such or the criteria of another recall have been eliminated, in which case we are not prohibited from sending the cooked shrimp. So, we continue to put some products to the US. Right now all the necessary documentation submitted earlier this month. So, we're waiting for FDA to review it and if they have any questions they come back.

Depesh Kashyap

Understood, and lastly, Nikhilesh, we know about the supply issues that are happening in India, but any colour on the demand like, do you see any pressure on demand from US or Europe?

Alluri Nikhilesh

The overall demand, I would say is mildly towards a weak side. But we need to see how the holiday and new year sales go. However, since the sizes are acceptable, we stop there. In the third and fourth Quarters, there was a noticeable increase in demand for specific sizes.

Depesh Kashyap

Got it Sir, thank you. All the best.

Moderator

Thank you, Sir. Next question comes from Ankur Arora from HSBC. Please go ahead.

Ankur Arora

Good evening, Sir. One question on any longer term, our market share in the feed business has been stagnated on 50%

for a while. We have been gaining market share right from 2011-2012 all the way till 2018-2019 all and then tentative feed to a level of 50%, which is what you're maintaining for this year as well. What's our medium-term outlook on that? Do you think there is room to gain additional market share or move toward 60%? I mean, do we think that 50-52% is likely the kind of peak that we can reach? How do you see that? What are the internal challenges and what is internal target for that?

C Ramachandra Rao

The target is always to go up to 60% of each year, but we cannot target like that. But the question when we said 48-50%, see when the overall market consumption itself, feed consumption is coming down, our issue, if you look at that, it will be more than that. So, 48-50% is the standard that is a minimum that we strive for, our endeavor is to always go for another 2-3% by conversions. I don't want to commit anything on this because there are a lot of conversions going on. So, we expect that it should cross. That's what we are expecting this year. Because of the expectation for the first crop, if we succeeded, we would have easily passed 50. But the second half now its second season, if we are able to, we're hoping to make it up and bring it to above 50%. By setting a target in this manner, we should be able to meet the 1-2% goal we set. That will be known only after Q3.

Ankur Arora

The question which I'm trying to understand see, there are challenges which has gone in the first half and the first season was there for everybody else. The question really becomes the conversion, how much market share you can move from other people to yourself? The overall industry growth, but today we can't change the industry growth. But how much market share you can capture from the competitor is what is what is really your control to some extent. How are you looking at that, what are the steps which we taken to get the market share from the competition?

C Ramachandra Rao

Mr. Arora, let me tell you. See, there was a situation in the first season when we were

unable to supply because the expansion plan was in progress. There was some unexpected delay so that was the reason why we could not increase it apart from the market. This was also one of the reasons because we could not meet the demand on a day-to-day basis. We were awaiting, because there were certain reasons why the project also got delayed because of the shipments. Some capital equipment did not come in time. Some reason or the other where it got delayed. If we had finished a month earlier, the government would have taken effect in September. We will be prepared in August, but we must first have certain government approvals. In fact, if we had finished a few months earlier, the first season would have also received a sizable portion of the market. And we are definitely in the second season, we'll make it up, it will be definitely more than 50%.

Ankur Arora

By that logic, you will be able to use that full capacity in the second season because 1,75,000 additional would come in. In FY23 we'll get the market share we have, but in next year, you expect to reach a market share, which is significantly higher than the current year number?

C Ramachandra Rao

Market share always our market keeps increasing, in fact, is what I'm telling maybe we'll be able to be more clear on conversions that are taking place, just now, we've got an information that lot of farmers are coming to our feed now. Fresh season now has started, second season. You see, much as in business, if we have 40 farm ers visit our site, then there will also be 5 or 6 partners leaving as well.

We have to take net, the percentage always keeps varyin g. So, we will know at the end of the season what is the total consumption of the total area and how much was Avanti Feeds then we will be able to determine the exact percentage. So, what we are expecting is that it should be more than 50%

maybe 52%, By the end of the second season is what we are expecting.

Ankur Arora

And similar momentum will be hopefully maintained it next year as well, right?

C Ramachandra Rao

It is always our endeavor. That is the rationale behind our continued commitment to maintaining the high calibre of the feed and technical assistance that we offer to farmers. But you know, certain things do happen. Just as we anticipated, the first production with an enlarged capacity would be made accessible during the very first season. But the first season has ended, and we could not take advantage. There was a demand. Therefore, even if there has been a general decline, there was a greater demand for our goods, and this is why there has been a 50% increase. Only after you make up for that increase will what you are claiming about 52% or 53 percent occur.

Ankur Arora

Understood. Thank you very much.

Moderator

Thank you. Next question comes from Aditya Soni from Pumatha. Please go ahead.

Aditya Soni

Hi, thanks for taking my question. So, I just wanted your help in modelling the cost structure. So, generally you know, 80% of our sales are COGS. In that can you just give the breakup of raw material cost of soyabean, wheat flour, and fish meal, like what percentage is each of them?

C Ramachandra Rao

You know the fishmeal price will be around Rs. 107 rupees, I mean percentage I cann ot give you. I can only give you the price, but not the percentage in the overall cost.

Aditya Soni

So, Sir, in your last quarter, you told that 60% of your raw material costs is soyabean and wheat flour. So, is my understanding correct about that?

C Ramachandra Rao

There are three raw materials. One is fishmeal, other is soyabean meal, and the third one is wheat flour. These three products constitute a significant part of our total cost of production. That is available in financial statements, this information is available.

Aditya Soni

I just wanted to know what percentage each of them is.

C Ramachandra Rao

No, we can't reveal that. That is a formulation. It is confidential information; we cannot give it.

Aditya Soni

Sure Sir, I understand. My second question is that you still feel as certain that the

feed plant will operate at full capacity when you feed plant 1,75,000 MT?

C Ramachandra Rao

See 1,75,000, you know you can't take 1,75,000 the total, the output will go like that every month, so we have to look at the broader picture. If you take the one-year production, it may end up in 80-90%, it will not be 100%, because offseason in the month of April, May, June, July, August, September, October you will have full production when it comes to November, December, January, February, it will be less. So, we have to average that. Average annual capacity utilization will be around 80%.

Aditya Soni

So, if I just calculate 80% for 6 months or so, from October to March. So, can I reasonably assume that 6,30,000 MT of volume will sell in FY23?

C Ramachandra Rao

Yeah, definitely the target is to achieve the 6,30,000 MT. It also depends on the consumption. As I told you in the first season, there was an early harvesting, where the smaller size shrimps were harvested. So, then if the farmer allows the full season it go up to say 20 counts, 25 count, 30 count and all, you get more feed consumption. If he harvests at 60 counts, you still have the crop, thus consumption will naturally decline. So, these are all the dynamics which will work on the total capacity utilization, consumption etc. in tonnage. So, the entire thing is interdependent. So, we hope, see again why the price is not growing it depends on the farm gate price. The farm gate pricing is significantly more appealing if he purchases shrimp at 60 count than larger sizes, such as 30 count or above, therefore he questions the need to wait for 30 count, because he has to use a lot of feed consumption and you are exposing to lots of the climatic risks and all. The far

mer will sell it if he is currently

making a big profit. He thus gathers it and sells it. So, it all depends on that. So, by and large, we try to maintain our feed sales targets, whether they are conversions or increasing our share in the market. New farmers coming in, conversions happening, all the things put together, we take the estimate of the feed sales.

Aditya Soni

Yes, thank you. So, one last question. If you don't mind me asking. Fishmeal price from Q1 FY23, which was Rs. 111/kg, it has now fallen to Rs. 102/kg.

C Ramachandra Rao

Yes, it is. 102 plus 5% GST. It is 107.

Aditya Soni

It was Rs. 111 to 107 is what you're saying? That is the reason why there's no significant decrease yet and our margins have not changed?

C Ramachandra Rao

Yes, exactly.

Aditya Soni

So, you've told you've taken a rollback of price increase of Rs. 2. So, will that further affect the margin?

C Ramachandra Rao

No. What you are witnessing right now might not have an impact on the margins.

Aditya Soni

Ok, Sir. We're going to maintain margins this quarter. So, one last question I had to ask. So, I was just looking at the, so earlier analysts also asked the question, but if I just look at the growth of Ecuador shrimp, they are growing at a very fast rate. So don't you think eventually Ecuador shrimp will start replacing Indian shrimps and take away the market share from us?

Alluri Nikhilesh

I would like to say that India has been for the last decade the most competitive shrimp producer in the world. Our shrimp prices are more competitive than countries like Vietnam or Thailand. So, I think risk could be greater on these countries than India. Yes, Ecuador's production is increasing. But again, the country is not as big as India. Workforce is not as much as India. I think their market is niche compared to India.

Aditya Soni

Ok, Sir. Thank you so much for answering my questions.

Moderator

Thank you, Sir. Next question is from Jasdeep Walia from Clock Vine Capital, please go ahead.

Jasdeep Walia

Good evening. Thank you for taking my question. So, my question is on the recent price cap, which has been imposed by the AP government. So now, that does it mean that in future now, if the industry has to take a price increase, it has to you know get approved by the government and without that, without the government approving the

industry cannot take a price increase?

C Ramachandra Rao

Absolutely not. Although it is free and we have the opportunity to adjust the price, we always consider the big picture. We reached a compromise since the government contacted the feed makers when the price of feed increased and farmer representation objected to it. But there is no control mechanism as such in Andhra Pradesh or anywhere in the country, it is a free open market. But in all due respect to the governmental mechanism and what their interests and our own interests, all put together, we try to accommodate them. It is not mandatory.

Jasdeep Walia

Got it, Sir. You were saying earlier that, you know, to take a price increase, the deliberation with the government has to happen in August, right?

C Ramachandra Rao

Yeah, the discussions have started. We'll have to wait. But sometimes, maybe in 1 week-10 days, we should be able to know the response from the government. We keep that relationship going because the processes involving the governments, the farmers, and the feed manufacturer all fall under that. We are constrained by a number of laws and norms. And we have to cooperate with the government in their efforts to, in the interests of the farmers they're asking.

It is not mandatory or a regulatory mechanism that the governments insist to reduce or increase the prices. But we cooperate with them because in the larger interest of the society and also the government's you know, and endeavour to help the farmer.

Jasdeep Walia

And so, what is your stance on the level of Shrimp farmer profitability as of now,

given

the high prices.

C Ramachandra Rao

Pardon me.

Jasdeep Walia

I wanted your view on the level of shrimp farmer's profitability as of now versus past. Is it significantly below normalized levels or farmers are making as much profits as they usually do?

C Ramachandra Rao

Now it is very good profits. With this price, the prices of smaller shrimps are better, they're getting more profit on smaller shrimps as of now. So, we have to wait for bigger size also to get better price. So that there is some sort of uniformity, and we are more interested in bigger size, because the feed consumption will also go up. But at the same time, we have to look at the market, global prices of bigger and smaller size and the demand for them. As of now, the farmer is making good profits at the present price.

Jasdeep Walia

Got it, Sir. And my last question, given this inability to take price increase in AP what percentage of industry could be making losses as of now?

C Ramachandra Rao

No, I cannot answer that questions, because you ask me about our company, I will answer. But you know, it all depends upon so many factors, if you ask me about our company, I can answer you, not about the other competitors.

Jasdeep Walia

Got it, Sir. Thank you for the opportunity.

Moderator

Thank you, Sir. Ladies and gentlemen, due to the time constraint, we would like to come to the end of this conference. On behalf of KFintech we would like to thank the entire team of Avanti Feeds for giving us the opportunity to host this call. And we appreciate the interest from the investors and analysts for the participation. Thank you. And if you need any further information, you may connect Mr. Sahil Shah of KFintech shail.shah@kfintech.com. Thank you for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a good evening, everyone.

Note: 1. This document has been edited to improve readability

2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Nov 2022

November 23, 2022

To To

The Deputy General Manager, The Listing Manager,
BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, Exchange Plaza,
Rotunda Building, P.J. Towers, Bandra (East),
Dalal Street, Mumbai – 400001 Mumbai – 400 051.
Maharashtra, India Maharashtra, India

BSE Code: 512573 NSE Symbol: AVANTIFEED

Dear Sir/Madam,

Sub: Transcript of post earnings Audio Conference Call for Q 2 FY22

Further to our letter dated November 19, 2022, we enclose herewith the transcript of post earnings Audio Conference Call for Investors held on November 18, 2022 in connection with unaudited financial results (Standalone and Consolidated) of the Company for the quarter and half year ended September 30 , 2022 and the same will also be available on the website of the Company at <https://avantifeeds.com/corporate-announcement/Investor/AnalystCorner> .

This is for your information and record.

Thanking you,

Yours faithfully,
For Avanti Feeds Limited

C. Ramachandra Rao
Joint Managing Director,
Company Secretary ,
Compliance Officer & CFO

Encl: As above

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Avanti Feeds Limited
H1 And Q2 FY23 Earnings Call

Event Date / Time : 18/11/2022 , 16:00 Hrs.
Event Duration : 62 Minutes 57 Seconds

CORPORATE PARTICIPANTS :

Mr. C. Ramachandra Rao,
Joint Managing Director,

Mr. A Venkata Sanjeev,
Executive Director,

Mr. Alluri Nikhilesh ,
Executive Director, AFFPL

Mrs. Santhi Latha,
GM Finance & Accounts

Ms. Lakshmi Sharma ,
Manager - Corporate Affairs

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Q&A PARTICIPANTS :

1. Depesh Kashyap : Equirus Capital
2. Nitin Awasthi : Incred Equities
3. Harsh Dedhia : Individual Investor
4. Chokalingam Narayanan : ICICI Prudential PMS

Moderator

Good evening, ladies and gentlemen. I'm Kritika moderator for the conference call. Welcome to Avanti Feeds Ltd. Q2 FY23 Results Conference Call hosted by KFin Technologies Limited. We have with us today from the management Mr. C Ramachandra Rao, Joint Managing Director, Mr. A Venkata Sanjeev, Executive Director, Mr. Alluri Nikhilesh, Executive Director, Mrs. Santhi Latha, GM Finance and Accounting and Ms. Lakshmi Sharma, Manager Corporate Affairs. As a reminder, all participants lines will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes, should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touch tone telephone, please note this conference is recorded. I would now like to hand over the floor to the management. Thank you and over to you Sir.

C Ramachandra Rao

Thank you Kritika. Good evening, ladies and gentlemen. We extend a warm welcome for this investors conference call to review the unaudited financial results for Q2 FY23. Along with me here are Mr. Nikhilesh Alluri, Executive Director, Avanti Frozen Foods Pvt. Ltd. and Mr. A. Venkata Sanjeev Executive Director, Avanti Feeds Ltd. and other team members. The results of Q2 FY23 are already with you for some time now, and we are sure that you would have gone through them. However, I would like to share with you some of the key indicators relevant to our discussions today.

CONSOLIDATED FINANCIAL RESULTS FOR Q2FY23 :

Q2FY23 RESULTS :

First let me take up the consolidated financial results for a comparative performance of Q2 FY23 with that of Q1 FY23. The gross income in Q2 FY23 is Rs. 1,349 crores as compared to Rs. 1,582 crores in the previous quarter Q1 FY23 a decrease of Rs. 233 crores, which represents 15%. Compared to Q2 FY22 gross income of Rs.1,252 crores, there is an increase of Rs. 97 crores, which represents 8%. The PBT is Rs. 90 crores in Q2 FY23 as compared to the Rs. 100 crores in Q1 FY23 as a decrease of Rs. 10 crores, representing 10% and when compared to Q2 FY22 PBT of Rs. 38 crores, there is an increase of Rs. 52 crores by which represents 137%.

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The Consolidated results indicate net impact of several factors such as increase, decrease in income expenditure and the exceptional items etc. Waiting to be unfrozen for divisions, which have been discussed in the division wise performance later.

STANDALONE FINANCIAL RESULTS OF FEED AND PROCESSING DIVISIONS :

A. FEED DIVISION: Q2FY23 RESULTS :

Let me take first, the standalone financial results of feeds and processing division. The gross income Q2FY23 is Rs. 1,040 crores as compared to Rs. 1,311 crores in the previous quarter Q1 FY23, decreased by Rs. 271 crores representing a decrease by 21%, mainly due to decrease in the quantity

of feed sales and early harvesting on account of disease, rains, decrease in farm gate by bigger size to smaller size.

The gross income in Q2FY23 increased to Rs.1,040 crores from Rs.982 crores in the corresponding quarter of Q2FY22 increased by Rs.58 crores representing 6% which is due to increase in sales price and marginal decrease in the average raw material costs.

That PBT of Q2FY23 is Rs.52 crores as compared to Rs. 77 crores in Q1FY23 a decrease of 25 crores representing 32%, mainly due to decrease in feeds sales volume . The Feed sale

s reduced to

1,26,034 metric tons in Q2FY23 as compared to 1,61,343 metric tons in Q1FY23. The PBT in Q2FY23 has increased by 30 crores from Rs. 22 crores in Q2FY22 representing 136 % .

As you know, the cost of raw materials constitutes a major share cost of Feed production particularly Fishmeal, Soyabean meal and Wheat Floor . The average raw material cost in terms of percentage over feed sale price was 88.11% in Q2FY23 as compared to 93. 58% in Q2 FY22, indicating a marginal decrease by about 5.48% in the average raw material cost. However, compared to Q1FY23, it is more or less at the same level at 87.74 % in Q1FY23 . The average cost takes into consideration volatility of the major raw materials like Fishmeal, Soybean meal and wheat Floor , sometimes increasing and sometimes decreasing during the respective quarters. The present rates of Fishmeal, Soybean meal and Wheat Flour are Rs.105 per Kg, Rs. 57 per kg and Rs. 34 per kg , respectively.

I would like to share with you that the prices of these major raw materials along with related products like Fish oil, soya lecithin, etc. , keep changing from time to time depending upon the seasonality, production, global trends etc., which has direct impact on the raw material cost of the feed. Another important factor to be taken into consideration is that most of the products particularly Fishmeal , Soybean meal and Wheat Flour have been brought under the levy of GST, (less than 25kg pack, branded Wheat Flour), resulting in increase of raw material costs without adjustment to output and input tax mechanism since the final product should be exempt from GST. Now, the only relieving factor is that wheat and wheat products have been banned for export to check the increase in prices after the government experimenting with export of wheat and wheat products which resulted in steep hike in wheat and wheat products in India.

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B. SHRIMP PROCESSING DIVISION: Q2FY23 RESULTS :

■ Now, let me take up the shrimp processing division. The gross income for Q2FY23 is Rs. 310 crores as compared to Rs.273 crores in Q1FY23 , an increased by 37 crores representing 14% due to increase in sales volume by 232 metric tons representing 7% in foreign exchange gains due to depreciation of Indian rupee against US dollar and average sales realization due to margin increase of export price.

■ The gross income in Q2FY23 increase to Rs.310 crores from Rs. 273 crores compared to corresponding quarter Q2FY22 , an increase of Rs. 37 crores representing by 14% along with increase in average export realization by \$0.5 per kg and foreign exchange gain due to depreciation of INR against USD.

■ The Profit Before Tax (before the exceptional item) for the Q2FY23 is Rs. 40 crores as compared to Rs. 30 crores in Q1 FY23 an increased by Rs. 10 crores representing 33% mainly due to increase in average sales realization. The PBT in Q2FY23 is Rs. 40 crores, decreased from Rs. 41 crores in corresponding quarter of Q1 FY22.

Present Status of Termination of Recall and reinstating Green List Status :

I'm happy to share with you that USFDA has removed cooked shrimp products from FDA import alert list from 21st October , 2022, this year. This will enable the company to accelerate the growth, accelerate the exports of value -added products but it could ship to USA.

I would like to assure the stakeholders that your company gives utmost importance to Food Safety and Compliance with Global Regulatory requirements and leaves no stone unturned to achieve this objective.

Provision in the Financial Statements :

Coming to provisional in the financial statements for this recall to Q2FY23 an additional provision of Rs. 1.30 crores has been made as an exemption item towards value of r

eturn ed/ destroyed products

and other related expenses with cumulative provision of Rs. 34.10 crores till 30th September , 2022, out of which an amount of Rs. 26 crores has been paid on the basis of claims leaving the balance Rs. 8.10 crores as a provisional in the financial statements. We have assessed that almost all the claims so far have been received and as far as the returned and destroyed products are concerned, and we would like to continue the final closing of this provision till 31st March, the existing provision as of now Rs. 8.10 crores and we will wait till 31st March , 2023 and then we right back this excess provision in the financial statements.

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As regard the product liability claims for bodily injury caused by consuming companies contaminated product under the recall, the company insurer, New India Assurance Company has appointed a surveyor for processing of the claims. So far the company has received 13 claims towards bodily injury which have been forwarded to the insurance surveyor for processing. Since the liability has been covered under Commercial General Liability Insurance Policy of the company, no provision has been made in the financial statements, the extent of claims in financial statements. The extent of claims in financial terms is yet to be ascertained.

The information required by the surveyors itself have been asked us for the payments and that will be provided in due course.

INDUSTRY OVERVIEW – FUTURE OUTLOOK :

Industry overview and future outlook is like this, at the start of this year 2022 the environment for shrimp culture in the country started favorably and the shrimp culture commenced promisingly .

However due to floods, diseases, decrease in farm gate prices and sluggish export market during end of 1st and main crop, shrimp culture did not register expected growth. On the other hand, it has shown a decline compared to the corresponding period of the previous year. This sluggish shrimp culture activity is likely to continue even in second crop due to decrease in demand for shrimp exports , report of petition in USA, Europe and lockdown in China, due to Zero COVID policy. In addition, Ecuador is now the biggest shrimp producer, a key export competitor, and is able to ship shrimp at lower rates due to the proximity of the US market . All of these factors are expected to contribute to a decrease in production. Moreover , in this kind of situation, some of the farmers are planning to go for a crop holiday till April'23 .

SHRIMP PRODUCTION AND FEED CONSUMPTION IN FY22 AND COMPANY PLANS FOR FY23 :
SHRIMP FEED CONSUMPTION :

Though, at the start of the first season, the Shrimp Feed consumption in CY22 in India is expected to grow by about 15% compared to CY21, with an estimated sales of 12 lakh Mts. However, due to the various reasons stated earlier the shrimp feed consumption in CY22 is now expected to be at 9.75 – 10 lakh Mts, as compared to 11 lakhs Mts in CY21.

The Company's feed sales during the FY22 was about 5.41 lakh mts as compared to 4.73 lakhs mts in FY 21. It is expected that for FY23 it would remain more or less the same as in FY22 unless large number of farmers decide to go for crop holiday. At this stage, I would like to share with you that company has limited choice to increase the Feed price as and when the RM cost increases. Before resorting to any increase in price, the Company has to consider the farmer's feasibility to take on the increase, sustaining the margins on the farm gate prices that receives from the processes, exporters. In addition , the official letter the Government Andhra Pradesh of this state has also been holding consultative

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meetings with the farmers and the field manufactures to arrive at a price workable to the farmers and advising the field manufactures to moderate prices taking into consideration , the hardship faced by farmers . The feed manufact urers are cooperating with the government and also watching for the sustenance of this industry in the interest of the farmers .

SHRIMP PROCESSING & EXPORT :

The country's Shrimp production and export is likely to come down in CY22 to about 6.50 – 7 lakh Mts, as compared to 8.50 lakh Mts in CY21.

The Company's Shrimp exports during the FY22 was about 12,836 mts as compared to 11,518 mts in FY21. It is expected for FY23 would be around the same level of 13,000 mts.

Avanti Frozen is in the process of expand ing pre -processing, main processing and cold storage as detailed below:

- 1 Pre-processing facility in Gopalapuram (adjacent to the existing Processing plant). Completed and awaiting final approvals to start Pre-processing. Capex of Rs.11.43 crores.
- 2 New Cold Storage at Yerravaram Processing plant with 2000MT Capacity. Work is in progress and the estimated cost is Rs. 17.60 crores
- 3 New processing plant and cold storage in Krishnapuram, East Godavari District with 7000MT p.a. capacity. Land acquire d. Civil works to be commenced. The Estimated cost is Rs. 49 crores.

Before concluding, I would like to share with you that the Indian Shrimp Culture industry is facing unprecedented crisis due to steep fall in exports due to recession in US, Europe and lock down in China coupled with severe competition in export price from Ecuador.

To face this crisis which is expected to be temporary, to ensure sustainability of the industry, the shrimp exporters, led by Sri A. Indra Kumar, as President of Seafood Exporters Association of Andhra Pradesh Region, at the initiative of the Andhra Pradesh Government represented by Sri B. Masthan Rao, Hon'ble Member of Parliament (Rajya Sabha), are holding discussions with the farmers of A.P. Region to find solution to the cr isis. The Seafood Exporters Association and the Government are advising the farmers not to go for crop holiday which is not in the interest of the industry. Instead, advising crop rotation and lower stocking density and culture big size shrimps. The Shri mp Exporters have assured the farmers that the raw shrimps would be purchased at the Government fixed prices which is Rs.210/- per kg for 100 count and Rs.380/- per Kg for 30 count. It is hoped that all the stakeholders like farmers, exporters, feed manuf acturers, hatcheries work harmoniously to get over the present crisis and ensure sustainable growth.

Thank you.

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Now we will take up Questions and Answers :

Moderator

Thank you, Sir. Ladies and gentlemen. We will now begin the question -and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask a question. If you would like to withdraw your request, you may do so by pressing * and 1 again. First question comes from Depesh Kashyap from Equirus Capital. Please go ahead.

Depesh Kashyap

Thank you for taking my questions. Sir, you're given the current raw material prices, can you please give the average price val ue for the last quarter please, Fisheal, Soyabean meal and the Wheat Flour ?

C Ramachandra Rao

The average cost of raw materials remains unchanged from the previous quarter.

Santhi Latha

111 is Fishmeal.

C Ramachandra Rao

You want the raw material price or raw material cost ?

Depesh Kashyap

Sir the individual raw material prices, fish meal, soya meal.

C Ramachandra Rao

Okay.

Santhi Latha

The fish meal is a

round Rs. 111, it was the same in the earlier quarter also, soya is around Rs. 52 and wheat flour has gone up to Rs.29. But the present raw material cost is different from what I'm telling you. Rao Sir has already told you.

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C Ramachandra Rao

Rs. 33 to Rs. 34 is the present wheat flour cost.

Santhi Latha

And fish meal remains the same.

C Ramachandra Rao

Currently, Fishmeal costs about Rs.100. The prices are likely to go up because of lot of demand for exports. Because of depreciation of Rupee, the exporters are getting very good realization from their exports because of the rivalry from the export market, fish meal export prices are therefore expected to increase in the future as well unless some type of discipline is introduced.

Depesh Kashyap

Okay. So, if I got the number correctly, you said soya meal last quarter was Rs. 52 now, it is Rs. 57 and wheat last quarter was Rs.29. Now, it is Rs.34 and I also understand that you have rolled back the Rs. 2 price hikes right. So, do you think the margins will further go down in the next quarter?

C Ramachandra Rao

There are two things to consider. The first is the soya price, which we must continue to monitor. If soya prices decline, there should not be much variation in the margins because the September and October new crop has come, some of the expectation of some exports and things like that the sort of hoarding is taking place and definitely in months to come in November, December and January, we are going to receive more quantities of Soyabean meal and that could in fact stabilize the price and whatever the price is there now, it's likely to remain impacted well.

As far as fish meal is concerned again, we are looking at export market but the market information that the price, the exports to countries that have come down particularly Taiwan and other countries which has come down because their crop is over now, so they are not exports of fishmeal any longer. So, with that, I think that also should get stabilized in due course. As far as wheat flour is concerned,

we don't see any change, because the next crop is expected only in March.

Depesh Kashyap

Got it Sir. Secondly, if I look at the consolidated employee cost number, I think that has increased by 15, 16 crores YoY, just want to understand this is because the change in formula that you did for your

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management remuneration or it is because the new employees of the new treatment that you're coming

C Ramachandra Rao

Both.

Depesh Kashyap

Okay, largely because of the Change in formula. Sir I just want to ask the guidance number for processing, you have given on 13,500 tons for FY23. Now, given your first half number, it seems that you're factoring in a 4 to 5% decline in the second half in the processing division. So, now that you're also got the US FDA clearance, still you think there will be decline in second half, in this processing volumes?

Nikhilesh Alluri

Hi, this is Nikhilesh, to answer that question, there are two factors. One is that we've got the green ticket, but actually we've never actually stopped selling goods products, value-added products to the US market. We were selling at a lower pace, because it has added testing in the US, when it reaches the containers it will reach the US geography. Now, the market also very weak. The customers in the US, the larger retailers, food service companies are sitting on lots of inventory. So, we need to see how fast they clear their inventory. And then they're able to we'll be able to send out more products. And for the coked

products. We've already started looking a lot of orders. So, it's compensating on the weaker market. But we need to see how it pans out in the next two to three months. Because this is the holiday season and the primary place where most of the sales occur. So, we need to wait and watch no definitive answer at the moment.

Depesh Kashyap

Got it. Lastly Rao Sir what is the reason for the delay in the starting the feed plant because I think it's the entire capex is already sitting in the balance sheet right. So, what is the reason for the delay?

C Ramachandra Rao

See the government clearances are awaited. It's ready for production. In fact, we have taken the trial productions also successfully, but actually couple of government approvals have to come nothing else, just we are waiting for the approval once we get we start, I mean, I've been dispatches from that new plant.

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C Ramachandra Rao

Got it Sir. Thank you very much.

Moderator

Thank you, Sir. Next question comes from Nitin Awasthi from Incred Equities. Please go ahead.

Nitin Awasthi

Hello Sir, I wanted to ask you about a component of the feed. Other aqua co mpanies have started to use DDGS as their component to be substituting some amount of soya and wheat, are we also looking at to do something similar because of the price differential?

C Ramachandra Rao

We don't want to compromise on the quality of the feed, we are now sticking to the formula which we are following. We are only making some combinations of the variants in a Soybean meal for example, we have a protein percentage were varying and seeing th at they ultimately it meets the requirements standards that we have been supplying with the company to the farmers earlier, we don't want to compromise on the quality of feedback just for the sake of cost buy in at cheaper raw materials, we do not want to go do that.

Nitin Awasthi

Okay, so secondly, all the other aquaculture major feed companies who are into aquaculture are getting into s hrimp if they're not into shrimp , they're expanding that fish feed business. Also, and we don't seem to be expanding into any other category of the fish feed segment. So, when will we start doing something similar because unless and until we do that, we won't grow further, and the compet ition will keep eating up our share or at least putting cost pressures.

C Ramachandra Rao

Now we're well aware of this. In fact, we have all the necessary formula and all for fish feed also we can start the fish feed at any time it will not take but on ly thing is we're just waiting for the stabilization of the fish feed market it is because the fish feed market is not consistent, sometimes it is high sometimes it is low and the department's they see the they go for a cheaper raw materials and cheaper feed. So, unless we have sure because when you bring that technology, the new technology giving higher age, they should be able to do it, will be more expensive than what they are making now. Once we have confident of the market, then definitely, we'll bring that fish feed also we are ready with everything to start the fish feed, we are also waiting for the appropriate time.

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Nitin Awasthi

Okay. So, what changes in the market were you looking at to bring this forward this product into your company portfoli o because company is much smaller than you are putting up massive capacity. That's why I asked this question.

C Ramachandra Rao

You are right, see we have a larger capacity to do it that we cannot just start like that. When we do it, we do it with a ve ry def

initive formula and also to service to the farmers to get the age where to do very systematically it is easy to start, a small fish feed plant is very simple to start it will not take much CapEx or much the formula they depend on the how much protein and how much you are giving to the fish feed if you give more nutritious feed, it will be expensive, if you give a less nutritious feed it will be cheap. So, we are trying to see that when is the market is right to take the nutritious food with the qualiti es that will produce, we not want into it cheap feed and suddenly got the market comes down. If a fish market comes down, they'll stop using the quality fish I mean quality feed. That's the reason why we are just keeping on hold otherwise, as I told you w e are ready to start anytime.

Nitin Awasthi

Okay, so last question from my side. The farming holiday, are the farmer convinced of not going for it or are you looking for a certain key percentage of definitive farmers stopping and going for late farming next calendar year?

C Ramachandra Rao

Lot of debate is going on that particular subject, because today we are facing a lot of crises, in the crisis naturally the farmers think that going for a crop holiday is a good option not to just go till, not to do anything till April 23, but it is not correct also. So, the exporters and also the government they are advising the farmers to go for crop rotation, and also to do it in such a way that all suddenly you don't increase the production. And also, they are saying go for a bigger size, less stocking density. So, there are certain visions that are being advised by the seafood exporters as well as the government so that the farmer survives this crisis. Just declaring crop quality does not really help the industry. That's what yesterday's meeting the government as well as the seafood exports have advised the farmers. So, a lot of debate is taking in place. I think it will take another 15 days or 1-month time to take a decision on this.

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Nitin Awasthi

Okay Sir, continuation of that, other feed manufacturers, the processors and the government on the same page, or is there a difference of opinion between the state government and the corporates?

C Ramachandra Rao

No, they are all on the same page only, it is a panic reaction, it is a knee-jerk reaction by the farmers to suddenly stop because they are not getting good price. But the government has assured under exporters have also assured the farmers that we will buy the price at which the government has advised like 100 count at Rs. 210, they said they will buy. So, they are asking them not to stop but only don't produce in a big way at a time, do it in a fish manner.

Nikhilesh Alluri

Listen, I just want to rephrase the same thing. So, I pretty much have very well researched into the shrimp market, I think it was also seen reports across the world, including the largest producer, Ecuador that the prices of shrimp are plummeting. So, the government and the corporates, everybody is very much on the same page, which is to ensure that the farmers don't lose their livelihood on the lower prices. So, there's some sort of minimum support given to the farmers so that they kind of almost breakeven or kind of make, depending on their efficiencies, a little bit margin and, but there's also a lot of farms also given by the government saying that this is only to support at the bottom stage, but once the market rebounds, then there will be no involvement as per.

And this is the same in pretty much every other market and this is being governed only mostly by the end market dynamics, especially with US market, very weak China market. So, this is what is governing, it's one thing rebounds. I'm pretty sure

the farmers will come back into going into, like full scale farming right now since there's excess supply globally and peak demand. So, there's a slowdown in production to kind of balance the scales. But I think it's a phenomenon that we're seeing in every kind of industry.

Think a week ago target, a large retailer in the US also reported their results, which was very, very low margins and also high inventory that's the same as every other retail chain in the US not pertaining only to seafood, but all other categories. So, we're also seeing a weak macro-economic dynamic where the recession fears, there's also layoffs in many of these big tech firms and also people worrying about getting into impulsive buying and only going to necessary products. So, this is just running by the macroeconomic situation and things will get better. That's what we can foresee.

C Ramachandra Rao

This is a temporary phase. That's what the industry of view that it is only the temporary phase and it will pick up shortly that is what the government as well as the exporters are giving confidence to the farmers to that let them not take any get depressed about the prices and all that keep the culture going in a different rather in a growth manner not in a big way, but slowly start to pick up a little automatically as Mr. Nikhilesh said, it will pick up in the course of time.

Nitin Awasthi

Okay, sir, understood. Thank you.

Moderator

Thank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. I repeat, if you have a question, please press * and 1 on your telephone keypad. We will wait for a moment while the question queue assembles. Next question comes from Harsh Dedhia an Individual Investor. Please go ahead.

Harsh Dedhia

Hi, I have seen that one thing in some very well, in terms of execution in process shrimps to non-US markets. I think non-US sales is now accounting for about 40% of processed shrimp exports. So, can you talk more about your marketing strategy in the non-US markets?

Nikhilesh Alluri

So, I think this was always a strategy to kind of diversify from the US market. We are focusing on requirements globally, apart from the US market, that can be clearly seen in the last three to four quarters, especially when we have the FDA issues from last year. So that's working out well. So, we are also working on launching products, which are focused on other Asian markets, so that we can further reduce our reliance on the US market.

So, not only are we diversifying our product categories for other global markets, but we're also focusing on developing customers and increasing sales to the same customers in European and Asian markets, but also finding new customers in those markets. So, we will continue to focus on that. But also, I would like to say the US has been among the key market for the last 25 years. So, we will continue to work in that market with the same aggression, but also at the same time, develop new markets also.

Harsh Dedhia

Thanks for the clarification. And for these non-US markets. How are the realizations and what kind of shrimps are we selling? Like is it loss shrimps? Or is it value added shrimps?

Nikhilesh Alluri

We're selling all kinds of like all product types to all markets, depending on the requirements. To China, it's mostly commodity shrimps, very basic, commodity shrimps, but the remaining market we are selling pretty much all our product category.

Harsh Dedhia

Okay, my next question is about the longer-term trajectory. So,

if you look for the last four, five years,

Avanti has maintained its market leadership in the feed segment, and it has turned out to be one of the biggest companies in the shrimp processing segment, despite the industry growth going through certain headbands in the last three, four years. So, I would like to applaud the management for this, but if you also look at the share prices last five years, I think we are still down 60% from our peaks, and we have a lot of cash on our books, is the management thinking off of a strategic buyback at lower share prices, which can be value uplifting to their shareholders remain invested or something along those lines?

C Ramachandra Rao

So, the, now the as you said, the management has been consistently giving the dividends and as far as the cash reserves are concerned, we have told earlier also that one we are using that money for working capital requirements, seasonal requirements like when we have more inventory of raw materials and the finished goods also in the case of feed and because the raw materials are subject to high volatility. So, when the new crop comes in and the prices come down, we make more inventory, and they take, and we'll find that this is definitely cheaper in cost compared to the bank borrowing with all the conditions to tax and to very high cost.

So, whereas this is the best way of funding the working capital requirements and coming to the expansions, we are being thinking of expansion and driving discussing in the board meeting several times, but we are yet to come to some, the confident level to go for a new project, there's several projects, which we are discussing, we will come back to the investors at the right time. In way, the board takes a decision to go for the expansion.

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Harsh Dedhia

Thanks for the clarification. Is there a point beyond which, like cash in the books starts to come in return, diluted, in terms of ROEs, like is that a strategy target we have in mind like 1,000 crores, 1,200 crores because there has to be an upper limit to how much cash the company keeps?

C Ramachandra Rao

We see bigger. That's what I've been telling you, when you are looking at the 31st March, balance sheet differently, it will have forecasts, so the when you see the seasonal requirement of the intend, the cash reserves are very less in compared to the season purchase of our inventory is maintaining, higher inventories of raw materials and finished goods for the following season. So, at a point, we cannot take that at a particular point of time, it is showing huge cash. So, we don't have a plan, how to do those reserves.

I don't think it's the right way to think and it is because of the demand for our raw materials, which is cash and carry, we have been able to get a very good prices competitive prices compared to the market, which is ultimately is the benefit of the investor which is the increases the profit. So it is not just go buy in investment without ensuring the growth and the value for the investment. So that is the reason why we are just keeping that expansion of our going for diversification projects on hold. And you can take confident level is that we're using this money only for rotation into working capital. So, absolutely the safety is there, and we are not taking any risk on it.

Harsh Dedhia

That makes sense, like as long as it's used to funded, working capital and if it provides us strategic benefits, I understand things. My last question was about our margin levels. If you see the question, feed margins have been taken the past few quarters, which makes sense because the raw material prices have increased, but structurally do we see the 12% margins which we used to do at some point of time coming back? And

if yes, what is the timeframe in which the management can think of?

C Ramachandra Rao

See, the raw material price constitutes more than 80% of the production of feed. So, that being the case, the lot depends on the margin, a lot depends on the raw material price, if it goes up naturally margins come down to add it to that, so earlier when, which you are referring to, we were not having the GST on the raw materials. For example, fish meal was duty free there is no sales tax, there was no sales tax on soyabean, there was no sales tax on wheat flour, almost all geometries, we use as many as 15 to 16 raw materials, all raw materials, straight back shall not subject to 18% tax, so all these things will add up to the cost because there is no mechanism for us to input, output tax, because

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the final product is exempt from GST. So, whatever is coming is, is going to the cost and it reduces the profit.

Harsh Dedhia

Yes, so it's kind of beyond that constraints.

C Ramachandra Rao

We have constraints, one is price of the cost of raw material, cost of production. Now, we have no control on raw material prices, we have no control on the GST on the other side the feed, feed prices also we cannot increase that our choice to match the margins. Because as I explained, when I discussed about the subject, as the government comes in way, and also the farmer sustainability is the most important thing for the industry. We always see that the farmer gets a benefit.

Then only will continuously shrimp culture. If he doesn't make profit margins between the farm gate price to the cost of production, then there is no purpose, the industry will not have a sustainable growth. So, these are the factors which are contributing to, there are some sort of limitations, constraints and we should in spite of all these things, but we measure that we are taking, we are able to maintain a margin of depending upon the raw material cost from between 9 and 11% we are trying to match the margins.

Harsh Dedhia

Yeah, thanks for that clarification. And that's it for my side. Good luck to the company.

C Ramachandra Rao

Thank you.

Moderator

Thank you, Sir. We are having a follow up question from Depesh Kashyap from Equirus Capital. Please go ahead.

Depesh Kashyap

Thanks for the follow up Sir. Just trying to understand that, we are seeing a lot of interference if I can use the word by the state government of Andhra Pradesh, but how are in other states, are you having a different feed pricing formula in other states like Gujarat or Odisha or you are selling at the same price?

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C Ramachandra Rao

See nearly 60% of the total production of shrimp is in Andhra Pradesh. So, the Andhra Pradesh is the nerve center for the aquaculture, most of the culture is done by the small and medium farmers. So, naturally the government is interested in the interests of the farmers, and we feed manufacturers are

also interested in the farmers because they should continue the activity. So, we don't call it as some sort of policing, but it is some sort of trying to balance between all these things like stakeholders should survive the market should be there.

This what we can take into consideration while fixing the price of the feed that is one thing but the government has its own agenda, they will have to take care of the welfare of the state farmers and like other dependent population they have to take it, So, naturally we cannot say that they are interceding but we can say that they are also playing the role of the moderator they're commonly called both

ed manufacturers as well as the farmers then consult and try to strike a balance, this what's happening.

Depesh Kashyap

Got it Sir but in other states are you able to price the feed?

C Ramachandra Rao

No other states there is no, see if you take each state like Gujarat is very uncertain, Gujarat has got only one, the one crop and then West Bengal then Odisha, these are the three, four biggest states and feed manufacturers are all mostly Andhra Pradesh and we're not doing Tamil Nadu it is mostly concentrated in Andhra Pradesh itself.

Depesh Kashyap

Sir so you are largely saying that whatever you're selling in Andhra Pradesh the same price you get in Gujarat also, is that understanding, correct?

C Ramachandra Rao

Well naturally it's not correct though we have to extend the same price to the other farmers also.

Nikhilesh Alluri

Otherwise, the farmers, it's unfair for them right different costs same product.

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Depesh Kashyap

Got it. And Sir, I got the raw material part and the employee expense got just one you understand the other expense's part also that in this quarter if I look at a standalone in the feed segment, your other expenses increased to 52 odd crores versus 36 crores, that's a big jump of 43%. So, is there any oneoff or anything you can highlight in this number?

C Ramachandra Rao

What we are trying to do is we are encouraging farmers to convert our feed to increase our market share, we have given some farmer schemes. So, the farmer schemes those who come to our feed will be given an extra benefit for conversion from the other feed our feed we are, that is a expense which we have booked now.

Depesh Kashyap

And it is expected to continue Sir?

C Ramachandra Rao

No, it is not, clearly depends upon the season how the market is reacting to such things if the price is its criteria, we give that price, we give the instead of reducing the price what we do we give a farmer scheme to encourage them, if you achieved so much target we give the m a percentage of the value

of the say purchase that they make that will percentage we give them the scheme view is there are 70 varieties sometimes we give them the items, or sometimes we say you can redeemable coupons. They can buy their feeds by redeeming the coupons. But there are two, three varieties of really incentivizing the farmers to come for our feed, that's how the expenditure is coming there for the marketing.

Depesh Kashyap

Got it. Sir lastly, Nikhilesh, just wanted your opinion about US and Europe market we kind of understand what is happening but just wanted to call a color from a Chinese market. We understand that the consumption in China is lower right now because of the lockdowns, but how is the production level there? Do you think when it opens up there will be a massive demand which can give a positive surprise next year?

Nikhilesh Alluri

Yes, on that point about the Chinese lockdowns, continued lockdowns and the lower demand. Yes, that's a definite problem that we're finding. The second thing is that I feel that this sitting on a lot of

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inventory even now. We can only know that once, probably December, early Jan when they start buying for the Chinese New Year. The third point is that the Chinese market to be very frank has been very, very dicey for the past 6 -8 months a lot of renegotiations, a lot of backouts by the buyer when selling the product.

It's been very difficult with the market but the seasoning that the buyers are giving is that the lockdowns and even weak economic conditions in China itself. So,

will it recover? Yeah, definitely. We see it recovering. I see China continue to grow. Once they pass lockdown which I think we're all very certain way like the rest of the world. They will also remove these lockdowns at some point. Once they start doing that and the consumption starts increasing, then I'm pretty sure it will become a dominant market like the US and with its proximity towards in distance to India, it will be a good gain for India in the long run.

Depesh Kashyap

Got it. Thank you for answering my question. Thank you very much.

Moderator

Thank you, Sir . Next question comes from Chokalingam Narayanan from ICICI Prudential PMS. Please go ahead.

Chokalingam Narayanan

Thanks a lot for taking my question. How much is the proportion of Cooked Shrimps that we sell today?

Nikhilesh Alluri

Just give me a second. So, when we do value -added products, we actually clubbed couple of products into the value -added product. So right now, the cushion is about Cook Shrimp, about 16%, I think we used to do about 30% before and like I think Depesh asked that question before, we have still been supplying Cook Shrimp, but just at a lower pace. So that will accelerate now.

Chokalingam Narayanan

Okay I understood. With regards to the different expenses that were I've seen increase, if you could kind of quantify an employee cost how much is related to the management related remuneration increase and how much is related to the new plant? If you could quantify.

Santhi Latha

1,75,000

C Ramachandra Rao

The expenditure is how much is it relating to. Can you just come back on the question, please.

Chokalingam Narayanan

No, I asked in versus last year, when you look at the increase in employee cost, what quantum in absolute crores is relating on Q2 this year versus Q2 last year, what proportion is, what quantum inputs is relating to the change in managerial remuneration and what is relating to the new plant?

Santhi Latha

See around Rs. 9 crores is towards the managerial remuneration and Rs. 3 crore s towards the employee benefits. The new plant is only operational for three months instead of the full six months, and the new employees are only being hired since we are now hiring for the new plant.

Chokalingam Narayanan

So, the Rs. 9 crores number is for first half or one quarter?

Santhi Latha

It's for the first half.

Chokalingam Narayanan

First half. Okay, understood. Second is with regards to the other expenses, you mentioned something with regards to, the schemes for farmers, what is the quantum in the first half and second quarter? If you could quantify.

Santhi Latha

It is there only in the second quarter; it is not there in the first half. And the same expenditure was not there in the previous year, So, it is around Rs. 5.5 crores.

Chokalingam Narayanan

Understood. And lastly, on the container rates having come down? Have you started to see the benefit of that on the freight cost? What was the freight cost processing business? And if the rates were to currently prevail, what sort of savings could you see?

Nikhilesh Alluri

I don't have it with me right now. But I can, because on a comparative note, I don't know. Like, I don't have it on hand. But I can tell you that, at the peak, we were paying about \$14,500 to LA, and now it's reduced, the lowest code that we're getting is about 6000. So, that's a substantial decrease. But however, our contracts are a combination of long -term contracts and also spot market contracts. And due to uncertainty, this

year, and last year, most of the contracts by the customers were short term, because it was a lot of unpredictability, and high volatility of raw material price.

And also, most importantly, they were not able to get the market demand since they're sitting on high inventory. So, I would say yes, we will get a benefit of the freight reduction. But it won't show a substantial impact, because most of the contracts that we have are also spot market contracts. On the outlook, I think I feel the freight rates would continue to go down. I think it is by another \$1,500 to \$4500 to LA that's what I am predicting. Hopefully, that does come through so that the consumer at the end can start really seeing the price reductions and the cost of protein and go down.

Chokalingam Narayanan

If you could help in terms of even if you don't have the absolute crore number, it's a percentage of revenues, if you could kind of say, a broad ballpark that will kind of help.

Nikhilesh Alluri

Okay. So, I actually I do have it. I think maybe I spoke ahead of time. But on this quarter, we paid an average of \$12,000 of freight compared to \$7,000 last year, but since the prices have started coming down, so, next quarter, we can see, start seeing low freight costs.

Chokalingam Narayanan

Understood and what is the progress with regards to your PLI policy facilities.

Nikhilesh Alluri

So, we have completed the land acquisition and we've also started kind of filling up the land to get it to a level before we start off construction and civil activities in December. So, you we have the Hindu

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tradition, we have the Mahurat, and all those things scheduled for December for that before that the filling in the land and ordering all the necessary materials finalizing the plans. So, we are going ahead with that in hand because we have, we do feel that our product continues to have strong demand in the market. So, and we also take it as an opportunity given by the government of India to help us kind of consolidate our position.

C Ramachandra Rao

To add what Mr. Nikhilesh said, we have applying for this first years of PLI because we have achieved it, we are applying it. It will be scrutinized and maybe by first week of January we will know the results of that, but we are not making any provision in the accounts for the PLI, after only the government's approval only we will take into account and one more thing we have got approval for another operation screams long term interventions of the Ministry of Food processing industry of government of India.

They have another scheme, that the government has announced for subsidizing their investments on post-harvest processing facilities and we have made an application in principle in place we have received application only today, the approval but we are working on that, but we have been selected for the scheme that announce by the government and under particular the operation greens, they are calling it. It gives some subsidy on the investment.

Chokalingam Narayanan

Okay, this is for new plants, is it?

C Ramachandra Rao

Yes.

Chokalingam Narayanan

Okay, this will be on top of PLI?

C Ramachandra Rao

On top of PLI. PLI is for the achieving the incremental sales, whereas this is for the investment itself.

Chokalingam Narayanan

Okay, Understood. And on the PLI, you've already applied for it. So, what could be the quantum that you might be eligible if you could give a ballpark?

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C Ramachandra Rao

No, it will take some more time to give the number the day. We are just working on it. And we'll submit in by two, three days, we'll submit that. I think maybe next year, we'll be able to give you the exact figures for it.

Chokalingam Narayanan

Understood Sir, that will be helpful. Thank you.

C Ramachandra Rao

Thank you.

Moderator

Thank you, Sir. Due to the time constraints, that would be the last question for the day. Now I hand over the floor to the management for the closing comments.

Nikhilesh Alluri

Thank you, everybody for taking time to attend the investors call. We value your time, and we will continue to work to give solid performance in the coming quarters. Have a good day and a pleasant weekend.

Moderator

Thank you, Sir. Ladies and gentlemen, we would like to come to the end of this conference. On behalf of KFinTech, we would like to thank the entire team of Avanti Feeds for giving us the opportunity to host this call and we appreciate the interest from the investor and analyst for the participation. Thank you and if you need any further information, you may connect with Mr. Sahil Shah of KFin Tech at sahil.shah@kfintech.com. Thank you for using Door Sabha Conference Call service. You may disconnect your lines now. Thank you. Have a good evening, everyone.

Note: 1. This document has been edited to improve readability.
2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Nov 2022

November 23, 2022

To To

The Deputy General Manager, The Listing Manager,
BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, Exchange Plaza,
Rotunda Building, P.J. Towers, Bandra (East),
Dalal Street, Mumbai – 400001 Mumbai – 400 051.
Maharashtra, India Maharashtra, India

BSE Code: 512573 NSE Symbol: AVANTIFEED

Dear Sir/Madam,

Sub: Transcript of post earnings Audio Conference Call for Q 2 FY22

Further to our letter dated November 19, 2022, we enclose herewith the transcript of post earnings Audio Conference Call for Investors held on November 18, 2022 in connection with unaudited financial results (Standalone and Consolidated) of the Company for the quarter and half year ended September 30 , 2022 and the same will also be available on the website of the Company at <https://avantifeeds.com/corporate-announcement/Investor/AnalystCorner> .

This is for your information and record.

Thanking you,

Yours faithfully,
For Avanti Feeds Limited

C. Ramachandra Rao
Joint Managing Director,
Company Secretary ,
Compliance Officer & CFO

Encl: As above

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Avanti Feeds Limited
H1 And Q2 FY23 Earnings Call

Event Date / Time : 18/11/2022 , 16:00 Hrs.
Event Duration : 62 Minutes 57 Seconds

CORPORATE PARTICIPANTS :

Mr. C. Ramachandra Rao,
Joint Managing Director,

Mr. A Venkata Sanjeev,
Executive Director,

Mr. Alluri Nikhilesh ,
Executive Director, AFFPL

Mrs. Santhi Latha,
GM Finance & Accounts

Ms. Lakshmi Sharma ,
Manager - Corporate Affairs

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Q&A PARTICIPANTS :

1. Depesh Kashyap : Equirus Capital
2. Nitin Awasthi : Incred Equities
3. Harsh Dedhia : Individual Investor
4. Chokalingam Narayanan : ICICI Prudential PMS

Moderator

Good evening, ladies and gentlemen. I'm Kritika moderator for the conference call. Welcome to Avanti Feeds Ltd. Q2 FY23 Results Conference Call hosted by KFin Technologies Limited. We have with us today from the management Mr. C Ramachandra Rao, Joint Managing Director, Mr. A Venkata Sanjeev, Executive Director, Mr. Alluri Nikhilesh, Executive Director, Mrs. Santhi Latha, GM Finance and Accounting and Ms. Lakshmi Sharma, Manager Corporate Affairs. As a reminder, all participants lines will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes, should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touch tone telephone, please note this conference is recorded. I would now like to hand over the floor to the management. Thank you and over to you Sir.

C Ramachandra Rao

Thank you Kritika. Good evening, ladies and gentlemen. We extend a warm welcome for this investors conference call to review the unaudited financial results for Q2 FY23. Along with me here are Mr. Nikhilesh Alluri, Executive Director, Avanti Frozen Foods Pvt. Ltd. and Mr. A. Venkata Sanjeev Executive Director, Avanti Feeds Ltd. and other team members. The results of Q2 FY23 are already with you for some time now, and we are sure that you would have gone through them. However, I would like to share with you some of the key indicators relevant to our discussions today.

CONSOLIDATED FINANCIAL RESULTS FOR Q2FY23 :

Q2FY23 RESULTS :

First let me take up the consolidated financial results for a comparative performance of Q2 FY23 with that of Q1 FY23. The gross income in Q2 FY23 is Rs. 1,349 crores as compared to Rs. 1,582 crores in the previous quarter Q1 FY23 a decrease of Rs. 233 crores, which represents 15%. Compared to Q2 FY22 gross income of Rs.1,252 crores, there is an increase of Rs. 97 crores, which represents 8%. The PBT is Rs. 90 crores in Q2 FY23 as compared to the Rs. 100 crores in Q1 FY23 as a decrease of Rs. 10 crores, representing 10% and when compared to Q2 FY22 PBT of Rs. 38 crores, there is an increase of Rs. 52 crores by which represents 137%.

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The Consolidated results indicate net impact of several factors such as increase, decrease in income expenditure and the exceptional items etc. Waiting to be unfrozen for divisions, which have been discussed in the division wise performance later.

STANDALONE FINANCIAL RESULTS OF FEED AND PROCESSING DIVISIONS :

A. FEED DIVISION: Q2FY23 RESULTS :

Let me take first, the standalone financial results of feeds and processing division. The gross income Q2FY23 is Rs. 1,040 crores as compared to Rs. 1,311 crores in the previous quarter Q1 FY23, decreased by Rs. 271 crores representing a decrease by 21%, mainly due to decrease in the quantity

of feed sales and early harvesting on account of disease, rains, decrease in farm gate by bigger size to smaller size.

The gross income in Q2FY23 increased to Rs.1,040 crores from Rs.982 crores in the corresponding quarter of Q2FY22 increased by Rs.58 crores representing 6% which is due to increase in sales price and marginal decrease in the average raw material costs.

That PBT of Q2FY23 is Rs.52 crores as compared to Rs. 77 crores in Q1FY23 a decrease of 25 crores representing 32%, mainly due to decrease in feeds sales volume . The Feed sale

s reduced to

1,26,034 metric tons in Q2FY23 as compared to 1,61,343 metric tons in Q1FY23. The PBT in Q2FY23 has increased by 30 crores from Rs. 22 crores in Q2FY22 representing 136 % .

As you know, the cost of raw materials constitutes a major share cost of Feed production particularly Fishmeal, Soyabean meal and Wheat Floor . The average raw material cost in terms of percentage over feed sale price was 88.11% in Q2FY23 as compared to 93. 58% in Q2 FY22, indicating a marginal decrease by about 5.48% in the average raw material cost. However, compared to Q1FY23, it is more or less at the same level at 87.74 % in Q1FY23 . The average cost takes into consideration volatility of the major raw materials like Fishmeal, Soybean meal and wheat Floor , sometimes increasing and sometimes decreasing during the respective quarters. The present rates of Fishmeal, Soybean meal and Wheat Flour are Rs.105 per Kg, Rs. 57 per kg and Rs. 34 per kg , respectively.

I would like to share with you that the prices of these major raw materials along with related products like Fish oil, soya lecithin, etc. , keep changing from time to time depending upon the seasonality, production, global trends etc., which has direct impact on the raw material cost of the feed. Another important factor to be taken into consideration is that most of the products particularly Fishmeal , Soybean meal and Wheat Flour have been brought under the levy of GST, (less than 25kg pack, branded Wheat Flour), resulting in increase of raw material costs without adjustment to output and input tax mechanism since the final product should be exempt from GST. Now, the only relieving factor is that wheat and wheat products have been banned for export to check the increase in prices after the government experimenting with export of wheat and wheat products which resulted in steep hike in wheat and wheat products in India.

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B. SHRIMP PROCESSING DIVISION: Q2FY23 RESULTS :

■ Now, let me take up the shrimp processing division. The gross income for Q2FY23 is Rs. 310 crores as compared to Rs.273 crores in Q1FY23 , an increased by 37 crores representing 14% due to increase in sales volume by 232 metric tons representing 7% in foreign exchange gains due to depreciation of Indian rupee against US dollar and average sales realization due to margin increase of export price.

■ The gross income in Q2FY23 increase to Rs.310 crores from Rs. 273 crores compared to corresponding quarter Q2FY22 , an increase of Rs. 37 crores representing by 14% along with increase in average export realization by \$0.5 per kg and foreign exchange gain due to depreciation of INR against USD.

■ The Profit Before Tax (before the exceptional item) for the Q2FY23 is Rs. 40 crores as compared to Rs. 30 crores in Q1 FY23 an increased by Rs. 10 crores representing 33% mainly due to increase in average sales realization. The PBT in Q2FY23 is Rs. 40 crores, decreased from Rs. 41 crores in corresponding quarter of Q1 FY22.

Present Status of Termination of Recall and reinstating Green List Status :

I'm happy to share with you that USFDA has removed cooked shrimp products from FDA import alert list from 21st October , 2022, this year. This will enable the company to accelerate the growth, accelerate the exports of value -added products but it could ship to USA.

I would like to assure the stakeholders that your company gives utmost importance to Food Safety and Compliance with Global Regulatory requirements and leaves no stone unturned to achieve this objective.

Provision in the Financial Statements :

Coming to provisional in the financial statements for this recall to Q2FY23 an additional provision of Rs. 1.30 crores has been made as an exemption item towards value of r

eturn ed/ destroyed products

and other related expenses with cumulative provision of Rs. 34.10 crores till 30th September , 2022, out of which an amount of Rs. 26 crores has been paid on the basis of claims leaving the balance Rs. 8.10 crores as a provisional in the financial statements. We have assessed that almost all the claims so far have been received and as far as the returned and destroyed products are concerned, and we would like to continue the final closing of this provision till 31st March, the existing provision as of now Rs. 8.10 crores and we will wait till 31st March , 2023 and then we right back this excess provision in the financial statements.

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As regard the product liability claims for bodily injury caused by consuming companies contaminated product under the recall, the company insurer, New India Assurance Company has appointed a surveyor for processing of the claims. So far the company has received 13 claims towards bodily injury which have been forwarded to the insurance surveyor for processing. Since the liability has been covered under Commercial General Liability Insurance Policy of the company, no provision has been made in the financial statements, the extent of claims in financial statements. The extent of claims in financial terms is yet to be ascertained.

The information required by the surveyors itself have been asked us for the payments and that will be provided in due course.

INDUSTRY OVER VIEW – FUTURE OUTLOOK :

Industry overview and future outlook is like this, at the start of this year 2022 the environment for shrimp culture in the country started favorably and the shrimp culture commenced promisingly .

However due to floods, diseases, decrease in farm gate prices and sluggish export market during end of 1st and main crop, shrimp culture did not register expected growth. On the other hand, it has shown a decline in growth compared to the corresponding period of the previous year. This sluggish shrimp culture activity is likely to continue even in second crop due to decrease in demand for shrimp exports , report of petition in USA, Europe and lockdown in China, due to Zero COVID policy. In addition, Ecuador is now the biggest shrimp producer, a key export competitor, and is able to ship shrimp at lower rates due to the proximity of the US market . All of these factors are expected to contribute to a decrease in production. Moreover , in this kind of situation, some of the farmers are planning to go for a crop holiday till April'23 .

SHRIMP PRODUCTION AND FEED CONSUMPTION IN FY22 AND COMPANY PLANS FOR FY23 :
SHRIMP FEED CONSUMPTION :

Though, at the start of the first season, the Shrimp Feed consumption in CY22 in India is expected to grow by about 15% compared to CY21, with an estimated sales of 12 lakh Mts. However, due to the various reasons stated earlier the shrimp feed consumption in CY22 is now expected to be at 9.75 – 10 lakh Mts, as compared to 11 lakhs Mts in CY21.

The Company's feed sales during the FY22 was about 5.41 lakh mts as compared to 4.73 lakhs mts in FY 21. It is expected that for FY23 it would remain more or less the same as in FY22 unless large number of farmers decide to go for crop holiday. At this stage, I would like to share with you that company has limited choice to increase the Feed price as and when the RM cost increases. Before resorting to any increase in price, the Company has to consider the farmer's feasibility to take on the increase, sustaining the margins on the farm gate prices that receives from the processes, exporters. In addition , the official letter from the Government Andhra Pradesh of this state has also been holding consultative

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meetings with the farmers and the field manufactures to arrive at a price workable to the farmers and advising the field manufactures to moderate prices taking into consideration , the hardship faced by farmers . The feed manufact urers are cooperating with the government and also watching for the sustenance of this industry in the interest of the farmers .

SHRIMP PROCESSING & EXPORT :

The country's Shrimp production and export is likely to come down in CY22 to about 6.50 – 7 lakh Mts, as compared to 8.50 lakh Mts in CY21.

The Company's Shrimp exports during the FY22 was about 12,836 mts as compared to 11,518 mts in FY21. It is expected for FY23 would be around the same level of 13,000 mts.

Avanti Frozen is in the process of expand ing pre -processing, main processing and cold storage as detailed below:

- 1 Pre-processing facility in Gopalapuram (adjacent to the existing Processing plant). Completed and awaiting final approvals to start Pre-processing. Capex of Rs.11.43 crores.
- 2 New Cold Storage at Yerravaram Processing plant with 2000MT Capacity. Work is in progress and the estimated cost is Rs. 17.60 crores
- 3 New processing plant and cold storage in Krishnapuram, East Godavari District with 7000MT p.a. capacity. Land acquire d. Civil works to be commenced. The Estimated cost is Rs. 49 crores.

Before concluding, I would like to share with you that the Indian Shrimp Culture industry is facing unprecedented crisis due to steep fall in exports due to recession in US, Europe and lock down in China coupled with severe competition in export price from Ecuador.

To face this crisis which is expected to be temporary, to ensure sustainability of the industry, the shrimp exporters, led by Sri A. Indra Kumar, as President of Seafood Exporters Association of Andhra Pradesh Region, at the initiative of the Andhra Pradesh Government represented by Sri B. Masthan Rao, Hon'ble Member of Parliament (Rajya Sabha), are holding discussions with the farmers of A.P. Region to find solution to the cr isis. The Seafood Exporters Association and the Government are advising the farmers not to go for crop holiday which is not in the interest of the industry. Instead, advising crop rotation and lower stocking density and culture big size shrimps. The Shri mp Exporters have assured the farmers that the raw shrimps would be purchased at the Government fixed prices which is Rs.210/- per kg for 100 count and Rs.380/- per Kg for 30 count. It is hoped that all the stakeholders like farmers, exporters, feed manuf acturers, hatcheries work harmoniously to get over the present crisis and ensure sustainable growth.

Thank you.

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Now we will take up Questions and Answers :

Moderator

Thank you, Sir. Ladies and gentlemen. We will now begin the question -and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask a question. If you would like to withdraw your request, you may do so by pressing * and 1 again. First question comes from Depesh Kashyap from Equirus Capital. Please go ahead.

Depesh Kashyap

Thank you for taking my questions. Sir, you're given the current raw material prices, can you please give the average price val ue for the last quarter please, Fisheal, Soyabean meal and the Wheat Flour ?

C Ramachandra Rao

The average cost of raw materials remains unchanged from the previous quarter.

Santhi Latha

111 is Fishmeal.

C Ramachandra Rao

You want the raw material price or raw material cost ?

Depesh Kashyap

Sir the individual raw material prices, fish meal, soya meal.

C Ramachandra Rao

Okay.

Santhi Latha

The fish meal is a

round Rs. 111, it was the same in the earlier quarter also, soya is around Rs. 52 and wheat flour has gone up to Rs.29. But the present raw material cost is different from what I'm telling you. Rao Sir has already told you.

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C Ramachandra Rao

Rs. 33 to Rs. 34 is the present wheat flour cost.

Santhi Latha

And fish meal remains the same.

C Ramachandra Rao

Currently, Fishmeal costs about Rs.100. The prices are likely to go up because of lot of demand for exports. Because of depreciation of Rupee, the exporters are getting very good realization from their exports because of the rivalry from the export market, fish meal export prices are therefore expected to increase in the future as well unless some type of discipline is introduced.

Depesh Kashyap

Okay. So, if I got the number correctly, you said soya meal last quarter was Rs. 52 now, it is Rs. 57 and wheat last quarter was Rs.29. Now, it is Rs.34 and I also understand that you have rolled back the Rs. 2 price hikes right. So, do you think the margins will further go down in the next quarter?

C Ramachandra Rao

There are two things to consider. The first is the soya price, which we must continue to monitor. If soya prices decline, there should not be much variation in the margins because the September and October new crop has come, some of the expectation of some exports and things like that the sort of hoarding is taking place and definitely in months to come in November, December and January, we are going to receive more quantities of Soyabean meal and that could in fact stabilize the price and whatever the price is there now, it's likely to remain impacted well.

As far as fish meal is concerned again, we are looking at export market but the market information that the price, the exports to countries that have come down particularly Taiwan and other countries which has come down because their crop is over now, so they are not exports of fishmeal any longer. So, with that, I think that also should get stabilized in due course. As far as wheat flour is concerned,

we don't see any change, because the next crop is expected only in March.

Depesh Kashyap

Got it Sir. Secondly, if I look at the consolidated employee cost number, I think that has increased by 15, 16 crores YoY, just want to understand this is because the change in formula that you did for your

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management remuneration or it is because the new employees of the new treatment that you're coming

C Ramachandra Rao

Both.

Depesh Kashyap

Okay, largely because of the Change in formula. Sir I just want to ask the guidance number for processing, you have given on 13,500 tons for FY23. Now, given your first half number, it seems that you're factoring in a 4 to 5% decline in the second half in the processing division. So, now that you're also got the US FDA clearance, still you think there will be decline in second half, in this processing volumes?

Nikhilesh Alluri

Hi, this is Nikhilesh, to answer that question, there are two factors. One is that we've got the green ticket, but actually we've never actually stopped selling goods products, value-added products to the US market. We were selling at a lower pace, because it has added testing in the US, when it reaches the containers it will reach the US geography. Now, the market also very weak. The customers in the US, the larger retailers, food service companies are sitting on lots of inventory. So, we need to see how fast they clear their inventory. And then they're able to we'll be able to send out more products. And for the coked

products. We've already started looking a lot of orders. So, it's compensating on the weaker market. But we need to see how it pans out in the next two to three months. Because this is the holiday season and the primary place where most of the sales occur. So, we need to wait and watch no definitive answer at the moment.

Depesh Kashyap

Got it. Lastly Rao Sir what is the reason for the delay in the starting the feed plant because I think it's the entire capex is already sitting in the balance sheet right. So, what is the reason for the delay?

C Ramachandra Rao

See the government clearances are awaited. It's ready for production. In fact, we have taken the trial productions also successfully, but actually couple of government approvals have to come nothing else, just we are waiting for the approval once we get we start, I mean, I've been dispatches from that new plant.

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C Ramachandra Rao

Got it Sir. Thank you very much.

Moderator

Thank you, Sir. Next question comes from Nitin Awasthi from Incred Equities. Please go ahead.

Nitin Awasthi

Hello Sir, I wanted to ask you about a component of the feed. Other aqua co mpanies have started to use DDGS as their component to be substituting some amount of soya and wheat, are we also looking at to do something similar because of the price differential?

C Ramachandra Rao

We don't want to compromise on the quality of the feed, we are now sticking to the formula which we are following. We are only making some combinations of the variants in a Soybean meal for example, we have a protein percentage were varying and seeing th at they ultimately it meets the requirements standards that we have been supplying with the company to the farmers earlier, we don't want to compromise on the quality of feedback just for the sake of cost buy in at cheaper raw materials, we do not want to go do that.

Nitin Awasthi

Okay, so secondly, all the other aquaculture major feed companies who are into aquaculture are getting into s hrimp if they're not into shrimp , they're expanding that fish feed business. Also, and we don't seem to be expanding into any other category of the fish feed segment. So, when will we start doing something similar because unless and until we do that, we won't grow further, and the compet ition will keep eating up our share or at least putting cost pressures.

C Ramachandra Rao

Now we're well aware of this. In fact, we have all the necessary formula and all for fish feed also we can start the fish feed at any time it will not take but on ly thing is we're just waiting for the stabilization of the fish feed market it is because the fish feed market is not consistent, sometimes it is high sometimes it is low and the department's they see the they go for a cheaper raw materials and cheaper feed. So, unless we have sure because when you bring that technology, the new technology giving higher age, they should be able to do it, will be more expensive than what they are making now. Once we have confident of the market, then definitely, we'll bring that fish feed also we are ready with everything to start the fish feed, we are also waiting for the appropriate time.

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Nitin Awasthi

Okay. So, what changes in the market were you looking at to bring this forward this product into your company portfoli o because company is much smaller than you are putting up massive capacity. That's why I asked this question.

C Ramachandra Rao

You are right, see we have a larger capacity to do it that we cannot just start like that. When we do it, we do it with a ve ry def

initive formula and also to service to the farmers to get the age where to do very systematically it is easy to start, a small fish feed plant is very simple to start it will not take much CapEx or much the formula they depend on the how much protein and how much you are giving to the fish feed if you give more nutritious feed, it will be expensive, if you give a less nutritious feed it will be cheap. So, we are trying to see that when is the market is right to take the nutritious food with the qualiti es that will produce, we not want into it cheap feed and suddenly got the market comes down. If a fish market comes down, they'll stop using the quality fish I mean quality feed. That's the reason why we are just keeping on hold otherwise, as I told you w e are ready to start anytime.

Nitin Awasthi

Okay, so last question from my side. The farming holiday, are the farmer convinced of not going for it or are you looking for a certain key percentage of definitive farmers stopping and going for late farming next calendar year?

C Ramachandra Rao

Lot of debate is going on that particular subject, because today we are facing a lot of crises, in the crisis naturally the farmers think that going for a crop holiday is a good option not to just go till, not to do anything till April 23, but it is not correct also. So, the exporters and also the government they are advising the farmers to go for crop rotation, and also to do it in such a way that all suddenly you don't increase the production. And also, they are saying go for a bigger size, less stocking density. So, there are certain visions that are being advised by the seafood exporters as well as the government so that the farmer survives this crisis. Just declaring crop quality does not really help the industry. That's what yesterday's meeting the government as well as the seafood exports have advised the farmers. So, a lot of debate is taking in place. I think it will take another 15 days or 1-month time to take a decision on this.

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Nitin Awasthi

Okay Sir, continuation of that, other feed manufacturers, the processors and the government on the same page, or is there a difference of opinion between the state government and the corporates?

C Ramachandra Rao

No, they are all on the same page only, it is a panic reaction, it is a knee-jerk reaction by the farmers to suddenly stop because they are not getting good price. But the government has assured under exporters have also assured the farmers that we will buy the price at which the government has advised like 100 count at Rs. 210, they said they will buy. So, they are asking them not to stop but only don't produce in a big way at a time, do it in a fish manner.

Nikhilesh Alluri

Listen, I just want to rephrase the same thing. So, I pretty much have very well researched into the shrimp market, I think it was also seen reports across the world, including the largest producer, Ecuador that the prices of shrimp are plummeting. So, the government and the corporates, everybody is very much on the same page, which is to ensure that the farmers don't lose their livelihood on the lower prices. So, there's some sort of minimum support given to the farmers so that they kind of almost breakeven or kind of make, depending on their efficiencies, a little bit margin and, but there's also a lot of farms also given by the government saying that this is only to support at the bottom stage, but once the market rebounds, then there will be no involvement as per.

And this is the same in pretty much every other market and this is being governed only mostly by the end market dynamics, especially with US market, very weak China market. So, this is what is governing, it's one thing rebounds. I'm pretty sure

the farmers will come back into going into, like full scale farming right now since there's excess supply globally and peak demand. So, there's a slowdown in production to kind of balance the scales. But I think it's a phenomenon that we're seeing in every kind of industry.

Think a week ago target, a large retailer in the US also reported their results, which was very, very low margins and also high inventory that's the same as every other retail chain in the US not pertaining only to seafood, but all other categories. So, we're also seeing a weak macro-economic dynamic where the recession fears, there's also layoffs in many of these big tech firms and also people worrying about getting into impulsive buying and only going to necessary products. So, this is just running by the macroeconomic situation and things will get better. That's what we can foresee.

C Ramachandra Rao

This is a temporary phase. That's what the industry of view that it is only the temporary phase and it will pick up shortly that is what the government as well as the exporters are giving confidence to the farmers to that let them not take any get depressed about the prices and all that keep the culture going in a different rather in a growth manner not in a big way, but slowly start to pick up a little automatically as Mr. Nikhilesh said, it will pick up in the course of time.

Nitin Awasthi

Okay, sir, understood. Thank you.

Moderator

Thank you, Sir. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. I repeat, if you have a question, please press * and 1 on your telephone keypad. We will wait for a moment while the question queue assembles. Next question comes from Harsh Dedhia an Individual Investor. Please go ahead.

Harsh Dedhia

Hi, I have seen that one thing in some very well, in terms of execution in process shrimps to non-US markets. I think non-US sales is now accounting for about 40% of processed shrimp exports. So, can you talk more about your marketing strategy in the non-US markets?

Nikhilesh Alluri

So, I think this was always a strategy to kind of diversify from the US market. We are focusing on requirements globally, apart from the US market, that can be clearly seen in the last three to four quarters, especially when we have the FDA issues from last year. So that's working out well. So, we are also working on launching products, which are focused on other Asian markets, so that we can further reduce our reliance on the US market.

So, not only are we diversifying our product categories for other global markets, but we're also focusing on developing customers and increasing sales to the same customers in European and Asian markets, but also finding new customers in those markets. So, we will continue to focus on that. But also, I would like to say the US has been among the key market for the last 25 years. So, we will continue to work in that market with the same aggression, but also at the same time, develop new markets also.

Harsh Dedhia

Thanks for the clarification. And for these non-US markets. How are the realizations and what kind of shrimps are we selling? Like is it loss shrimps? Or is it value added shrimps?

Nikhilesh Alluri

We're selling all kinds of like all product types to all markets, depending on the requirements. To China, it's mostly commodity shrimps, very basic, commodity shrimps, but the remaining market we are selling pretty much all our product category.

Harsh Dedhia

Okay, my next question is about the longer-term trajectory. So,

if you look for the last four, five years,

Avanti has maintained its market leadership in the feed segment, and it has turned out to be one of the biggest companies in the shrimp processing segment, despite the industry growth going through certain headwinds in the last three, four years. So, I would like to applaud the management for this, but if you also look at the share prices last five years, I think we are still down 60% from our peaks, and we have a lot of cash on our books, is the management thinking off of a strategic buyback at lower share prices, which can be value uplifting to their shareholders remain invested or something along those lines?

C Ramachandra Rao

So, the, now the as you said, the management has been consistently giving the dividends and as far as the cash reserves are concerned, we have told earlier also that one we are using that money for working capital requirements, seasonal requirements like when we have more inventory of raw materials and the finished goods also in the case of feed and because the raw materials are subject to high volatility. So, when the new crop comes in and the prices come down, we make more inventory, and they take, and we'll find that this is definitely cheaper in cost compared to the bank borrowing with all the conditions to tax and to very high cost.

So, whereas this is the best way of funding the working capital requirements and coming to the expansions, we are being thinking of expansion and driving discussing in the board meeting several times, but we are yet to come to some, the confident level to go for a new project, there's several projects, which we are discussing, we will come back to the investors at the right time. In way, the board takes a decision to go for the expansion.

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Harsh Dedhia

Thanks for the clarification. Is there a point beyond which, like cash in the books starts to come in return, diluted, in terms of ROEs, like is that a strategy target we have in mind like 1,000 crores, 1,200 crores because there has to be an upper limit to how much cash the company keeps?

C Ramachandra Rao

We see bigger. That's what I've been telling you, when you are looking at the 31st March, balance sheet differently, it will have forecasts, so the when you see the seasonal requirement of the intend, the cash reserves are very less in compared to the season purchase of our inventory is maintaining, higher inventories of raw materials and finished goods for the following season. So, at a point, we cannot take that at a particular point of time, it is showing huge cash. So, we don't have a plan, how to do those reserves.

I don't think it's the right way to think and it is because of the demand for our raw materials, which is cash and carry, we have been able to get a very good prices competitive prices compared to the market, which is ultimately is the benefit of the investor which is the increases the profit. So it is not just go buy in investment without ensuring the growth and the value for the investment. So that is the reason why we are just keeping that expansion of our going for diversification projects on hold. And you can take confident level is that we're using this money only for rotation into working capital. So, absolutely the safety is there, and we are not taking any risk on it.

Harsh Dedhia

That makes sense, like as long as it's used to fund, working capital and if it provides us strategic benefits, I understand things. My last question was about our margin levels. If you see the question, feed margins have been taken the past few quarters, which makes sense because the raw material prices have increased, but structurally do we see the 12% margins which we used to do at some point of time coming back? And

if yes, what is the timeframe in which the management can think of?

C Ramachandra Rao

See, the raw material price constitutes more than 80% of the production of feed. So, that being the case, the lot depends on the margin, a lot depends on the raw material price, if it goes up naturally margins come down to add it to that, so earlier when, which you are referring to, we were not having the GST on the raw materials. For example, fish meal was duty free there is no sales tax, there was no sales tax on soyabean, there was no sales tax on wheat flour, almost all geometries, we use as many as 15 to 16 raw materials, all raw materials, straight back shall not subject to 18% tax, so all these things will add up to the cost because there is no mechanism for us to input, output tax, because

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the final product is exempt from GST. So, whatever is coming is, is going to the cost and it reduces the profit.

Harsh Dedhia

Yes, so it's kind of beyond that constraints.

C Ramachandra Rao

We have constraints, one is price of the cost of raw material, cost of production. Now, we have no control on raw material prices, we have no control on the GST on the other side the feed, feed prices also we cannot increase that our choice to match the margins. Because as I explained, when I discussed about the subject, as the government comes in way, and also the farmer sustainability is the most important thing for the industry. We always see that the farmer gets a benefit.

Then only will continuously shrimp culture. If he doesn't make profit margins between the farm gate price to the cost of production, then there is no purpose, the industry will not have a sustainable growth. So, these are the factors which are contributing to, there are some sort of limitations, constraints and we should in spite of all these things, but we measure that we are taking, we are able to maintain a margin of depending upon the raw material cost from between 9 and 11% we are trying to match the margins.

Harsh Dedhia

Yeah, thanks for that clarification. And that's it for my side. Good luck to the company.

C Ramachandra Rao

Thank you.

Moderator

Thank you, Sir. We are having a follow up question from Depesh Kashyap from Equirus Capital. Please go ahead.

Depesh Kashyap

Thanks for the follow up Sir. Just trying to understand that, we are seeing a lot of interference if I can use the word by the state government of Andhra Pradesh, but how are in other states, are you having a different feed pricing formula in other states like Gujarat or Odisha or you are selling at the same price?

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C Ramachandra Rao

See nearly 60% of the total production of shrimp is in Andhra Pradesh. So, the Andhra Pradesh is the nerve center for the aquaculture, most of the culture is done by the small and medium farmers. So, naturally the government is interested in the interests of the farmers, and we feed manufacturers are

also interested in the farmers because they should continue the activity. So, we don't call it as some sort of policing, but it is some sort of trying to balance between all these things like stakeholders should survive the market should be there.

This what we can take into consideration while fixing the price of the feed that is one thing but the government has its own agenda, they will have to take care of the welfare of the state farmers and like other dependent population they have to take it, So, naturally we cannot say that they are interceding but we can say that they are also playing the role of the moderator they're commonly called both

ed manufacturers as well as the farmers then consult and try to strike a balance, this what's happening.

Depesh Kashyap

Got it Sir but in other states are you able to price the feed?

C Ramachandra Rao

No other states there is no, see if you take each state like Gujarat is very uncertain, Gujarat has got only one, the one crop and then West Bengal then Odisha, these are the three, four biggest states and feed manufacturers are all mostly Andhra Pradesh and we're not doing Tamil Nadu it is mostly concentrated in Andhra Pradesh itself.

Depesh Kashyap

Sir so you are largely saying that whatever you're selling in Andhra Pradesh the same price you get in Gujarat also, is that understanding, correct?

C Ramachandra Rao

Well naturally it's not correct though we have to extend the same price to the other farmers also.

Nikhilesh Alluri

Otherwise, the farmers, it's unfair for them right different costs same product.

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Depesh Kashyap

Got it. And Sir, I got the raw material part and the employee expense got just one you understand the other expense's part also that in this quarter if I look at a standalone in the feed segment, your other expenses increased to 52 odd crores versus 36 crores, that's a big jump of 43%. So, is there any oneoff or anything you can highlight in this number?

C Ramachandra Rao

What we are trying to do is we are encouraging farmers to convert our feed to increase our market share, we have given some farmer schemes. So, the farmer schemes those who come to our feed will be given an extra benefit for conversion from the other feed our feed we are, that is a expense which we have booked now.

Depesh Kashyap

And it is expected to continue Sir?

C Ramachandra Rao

No, it is not, clearly depends upon the season how the market is reacting to such things if the price is its criteria, we give that price, we give the instead of reducing the price what we do we give a farmer scheme to encourage them, if you achieved so much target we give the m a percentage of the value

of the say purchase that they make that will percentage we give them the scheme view is there are 70 varieties sometimes we give them the items, or sometimes we say you can redeemable coupons. They can buy their feeds by redeeming the coupons. But there are two, three varieties of really incentivizing the farmers to come for our feed, that's how the expenditure is coming there for the marketing.

Depesh Kashyap

Got it. Sir lastly, Nikhilesh, just wanted your opinion about US and Europe market we kind of understand what is happening but just wanted to call a color from a Chinese market. We understand that the consumption in China is lower right now because of the lockdowns, but how is the production level there? Do you think when it opens up there will be a massive demand which can give a positive surprise next year?

Nikhilesh Alluri

Yes, on that point about the Chinese lockdowns, continued lockdowns and the lower demand. Yes, that's a definite problem that we're finding. The second thing is that I feel that this sitting on a lot of

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inventory even now. We can only know that once, probably December, early Jan when they start buying for the Chinese New Year. The third point is that the Chinese market to be very frank has been very, very dicey for the past 6 -8 months a lot of renegotiations, a lot of backouts by the buyer when selling the product.

It's been very difficult with the market but the seasoning that the buyers are giving is that the lockdowns and even weak economic conditions in China itself. So,

will it recover? Yeah, definitely. We see it recovering. I see China continue to grow. Once they pass lockdown which I think we're all very certain way like the rest of the world. They will also remove these lockdowns at some point. Once they start doing that and the consumption starts increasing, then I'm pretty sure it will become a dominant market like the US and with its proximity towards in distance to India, it will be a good gain for India in the long run.

Depesh Kashyap

Got it. Thank you for answering my question. Thank you very much.

Moderator

Thank you, Sir . Next question comes from Chokalingam Narayanan from ICICI Prudential PMS. Please go ahead.

Chokalingam Narayanan

Thanks a lot for taking my question. How much is the proportion of Cooked Shrimps that we sell today?

Nikhilesh Alluri

Just give me a second. So, when we do value -added products, we actually clubbed couple of products into the value -added product. So right now, the cushion is about Cook Shrimp, about 16%, I think we used to do about 30% before and like I think Depesh asked that question before, we have still been supplying Cook Shrimp, but just at a lower pace. So that will accelerate now.

Chokalingam Narayanan

Okay I understood. With regards to the different expenses that were I've seen increase, if you could kind of quantify an employee cost how much is related to the management related remuneration increase and how much is related to the new plant? If you could quantify.

Santhi Latha

1,75,000

C Ramachandra Rao

The expenditure is how much is it relating to. Can you just come back on the question, please.

Chokalingam Narayanan

No, I asked in versus last year, when you look at the increase in employee cost, what quantum in absolute crores is relating on Q2 this year versus Q2 last year, what proportion is, what quantum inputs is relating to the change in managerial remuneration and what is relating to the new plant?

Santhi Latha

See around Rs. 9 crores is towards the managerial remuneration and Rs. 3 crore s towards the employee benefits. The new plant is only operational for three months instead of the full six months, and the new employees are only being hired since we are now hiring for the new plant.

Chokalingam Narayanan

So, the Rs. 9 crores number is for first half or one quarter?

Santhi Latha

It's for the first half.

Chokalingam Narayanan

First half. Okay, understood. Second is with regards to the other expenses, you mentioned something with regards to, the schemes for farmers, what is the qu antum in the first half and second quarter? If you could quantify.

Santhi Latha

It is there only in the second quarter; it is not there in the first half. And the same expenditure was not there in the previous year, So, it is around Rs. 5.5 crores.

Chokalingam Narayanan

Understood. And lastly, on the container rates having come down? Have you started to see the benefit of that on the freight cost? What was the freight cost processing business? And if the rates were to currently prevail, what sort of savings could you see?

Nikhilesh Alluri

I don't have it with me right now. But I can, because on a comparative note, I don't know. Like, I don't have it on hand. But I can tell you that, at the peak, we were paying about \$14,500 to LA, and now it's reduced, the lowest code that we're getting is about 6000. So, that's a substantial decrease. But however, our contracts are a combination of long -term contracts and also spot market contracts. And due to uncertainty, this

year, and last year, most of the contracts by the customers were short term, because it was a lot of unpredictability, and high volatility of raw material price.

And also, most importantly, they were not able to get the market demand since they're sitting on high inventory. So, I would say yes, we will get a benefit of the freight reduction. But it won't show a substantial impact, because most of the contracts that we have are also spot market contracts. On the outlook, I think I feel the freight rates would continue to go down. I think it is by another \$1,500 to \$4500 to LA that's what I am predicting. Hopefully, that does come through so that the consumer at the end can start really seeing the price reductions and the cost of protein and go down.

Chokalingam Narayanan

If you could help in terms of even if you don't have the absolute crore number, it's a percentage of revenues, if you could kind of say, a broad ballpark that will kind of help.

Nikhilesh Alluri

Okay. So, I actually I do have it. I think maybe I spoke ahead of time. But on this quarter, we paid an average of \$12,000 of freight compared to \$7,000 last year, but since the prices have started coming down, so, next quarter, we can see, start seeing low freight costs.

Chokalingam Narayanan

Understood and what is the progress with regards to your PLI policy facilities.

Nikhilesh Alluri

So, we have completed the land acquisition and we've also started kind of filling up the land to get it to a level before we start off construction and civil activities in December. So, you we have the Hindu

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tradition, we have the Mahurat, and all those things scheduled for December for that before that the filling in the land and ordering all the necessary materials finalizing the plans. So, we are going ahead with that in hand because we have, we do feel that our product continues to have strong demand in the market. So, and we also take it as an opportunity given by the government of India to help us kind of consolidate our position.

C Ramachandra Rao

To add what Mr. Nikhilesh said, we have applying for this first years of PLI because we have achieved it, we are applying it. It will be scrutinized and maybe by first week of January we will know the results of that, but we are not making any provision in the accounts for the PLI, after only the government's approval only we will take into account and one more thing we have got approval for another operation screams long term interventions of the Ministry of Food processing industry of government of India.

They have another scheme, that the government has announced for subsidizing their investments on post-harvest processing facilities and we have made an application in principle in place we have received application only today, the approval but we are working on that, but we have been selected for the scheme that announce by the government and under particular the operation greens, they are calling it. It gives some subsidy on the investment.

Chokalingam Narayanan

Okay, this is for new plants, is it?

C Ramachandra Rao

Yes.

Chokalingam Narayanan

Okay, this will be on top of PLI?

C Ramachandra Rao

On top of PLI. PLI is for the achieving the incremental sales, whereas this is for the investment itself.

Chokalingam Narayanan

Okay, Understood. And on the PLI, you've already applied for it. So, what could be the quantum that you might be eligible if you could give a ballpark?

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C Ramachandra Rao

No, it will take some more time to give the number the day. We are just working on it. And we'll submit in by two, three days, we'll submit that. I think maybe next year, we'll be able to give you the exact figures for it.

Chokalingam Narayanan

Understood Sir, that will be helpful. Thank you.

C Ramachandra Rao

Thank you.

Moderator

Thank you, Sir. Due to the time constraints, that would be the last question for the day. Now I hand over the floor to the management for the closing comments.

Nikhilesh Alluri

Thank you, everybody for taking time to attend the investors call. We value your time, and we will continue to work to give solid performance in the coming quarters. Have a good day and a pleasant weekend.

Moderator

Thank you, Sir. Ladies and gentlemen, we would like to come to the end of this conference. On behalf of KFinTech, we would like to thank the entire team of Avanti Feeds for giving us the opportunity to host this call and we appreciate the interest from the investor and analyst for the participation. Thank you and if you need any further information, you may connect with Mr. Sahil Shah of KFin Tech at sahil.shah@kfintech.com. Thank you for using Door Sabha Conference Call service. You may disconnect your lines now. Thank you. Have a good evening, everyone.

Note: 1. This document has been edited to improve readability.
2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Feb 2023

February 28, 2023

To To

The Deputy General Manager, The Listing Manager,
BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, Exchange Plaza,
Rotunda Building, P.J. Towers, Bandra (East),
Dalal Street, Mumbai – 400001 Mumbai – 400051
Maharashtra, India Maharashtra, India

BSE Code: 512573 NSE Symbol : AVANTIFEED

Dear Sir /Madam ,

Sub: Transcript of post earnings Audio Conference Call for Q 3 FY 2022-23.

Further to our letter dated February 23, 2023 , we enclose herewith the transcript of post earnings Audio Conference Call for Investors held on February 22, 2023, in connection with unaudited financial results (Standalone and Consolidated) of the Company for the quarter and nine months ended December 31, 2022 and the same will also be available on the website of the Company at <https://avantifeeds.com/corporate-announcement/> Investor / Analyst Corner .

This is for your information and record.

Thanking you,

Yours faithfully,
For Avanti Feeds Limited

C. Ramachandra Rao
Joint Managing Director,
Company Secretary ,
Compliance Officer & CFO
DIN: 00026010
Encl: As above

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call

Avanti Feeds Limited Q 3 FY23 Earnings Conference Call

22nd February, 2023 , at 04:00 PM (IST) for a duration of 65 Minutes

CORPORATE PARTICIPANTS

1. Mr. A. Indra Kumar
Chairman and Managing Director

2. Mr. C. Ramachandra Rao
Joint Managing Director, CS & CFO

3. Mr. Alluri Nikhilesh
Executive Director - Avanti Frozen Foods Private Limited

4. Mrs. B. Shanti Latha
General Manager - Finance and Accounts

5. Ms. Lakshmi Sharma
Sr. Manager - Corporate Affairs

Good evening , ladies , and gentlemen. I am Vidya, moderator for the conference call. Welcome to Avanti Feeds Limited Q3 FY23 Results Conference Call , hosted by Kfin Technologies Limited. We have with us today from the management Mr. A. Indra Kumar, Chairman and Managing Director ; Mr. C. Rama chandra Rao, Joint Managing Director , CS & CFO ; Mr. A lluri Nik hilesh, Executive Director of Avanti Frozen Foods Private Limited ; Mrs. B. Shanti Latha, GM -Finance and Accounting ; and Ms. Lakshmi Sharma, Sr. Manager -Corporate Affairs.

As a reminder, all participants will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an Operator by pressing * then 0 on your touchtone telephone. Please note this conference is recorded. I would now like to hand over the floor to the management. Thank you and over to you sir.

C. Ramachandra Rao

Thank you , Vidya. Good evening, ladies , and gentlemen. I extend a warm welcome for all, for this investor conference call to review th e unaudited financial results for the Q3 FY23. Along with me here are Mr. A. Indra Kumar, Chairman and Managing Director ; Mr. Alluri Nikhilesh, Executive Director of Avanti Frozen Foods Private Limited , joining from France ; and other team membe rs The resul ts of Q3 FY23 already are published from sometime now and we are sure that you would have gone through them.

However, I would like to share with you some of the key indicators relevant for our discussion today .

CONSOLIDATED FINANCIAL RESULTS FOR Q3 FY 23:

(A) Q3 FY 23 RESULTS

The comparative performance of Q3FY23 with that of Q2FY23 and Q3FY22 have been given in the presentation already circulated. Gross Income in Q3FY23 is INR1,132 crores as compared to INR 1,349 crores in the previous quarter Q2FY23, a decrease of INR 217 crores by 16%. Compared to Q3FY22 gross income of INR 1,088 crores, there is an increase of INR 44 crores by 4%. The PBT is I

NR96 crores in Q3FY23 as compared to INR 90 Crores in Q2FY23 an increase of INR 6 Crores by 7% and compared to Q3FY22 PBT of INR 66 crores, there is an increase of INR 30 Crore s by 45%. The consolidated results indicate net impact of several factors, such as increase/decrease in income, expenditure and exceptional item etc., relating to Feed

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call and Frozen Food divisions which have been discussed in the following divisional performan ce of these units, individually.

STANDALONE FINANCIAL RESULTS OF FEED AND PROCESSING DIVISIONS

A. FEED DIVISION :

Q3FY23 RESULTS

The gross income for the Q3FY23 is INR 878 crores as compared to INR 1040 crores in the previous quarter of Q2FY23, decreased b y INR 162 crores representing a decrease by 16% mainly due to decrease in quantity of feed sales and early harvesting on account of disease, rains, decrease in farm gate prices of bigger size shrimps compared to smaller size. The gross income in Q3FY23 inc reased to INR 878 crores from INR 819

crores in the corresponding quarter of Q3FY22 increased by INR 59 crores representing 7%, due to increase in sales realization.

The PBT for the Q3FY23 is INR 70 crores as compared to INR 52 crores in Q2FY23, an increase of INR 18 crores by 35%, mainly due to stabilization of prices of major Raw Materials. The Feed sales reduced to 1,06,313 Mts in Q3FY23 as compared 1,26,034 Mts in Q2 FY23. The PBT in Q3FY23 has increased by INR14 crores from INR38 crores in Q3FY22, representing by 37%.

As you know, the cost of raw materials constitutes major share of cost of Feed production, particularly, Fishmeal, Soyabean Meal and Wheat Flour. The average raw material cost in terms of percentage over feed sale price was 83.61% in Q3FY23 as compared to 87.40% in Q3FY22 and 88.11% in Q2FY23, indicating a marginal decrease by about 3.79% as compared to Q3FY22 and 4.5% in Q2FY23. The average cost takes into consideration volatility of the major raw materials like Fishmeal, Soyabean meal and Wheat Flour, sometimes increase and sometimes decrease during respective quarters. The present rates of Fish meal, Soyabean meal and Wheat Flour are INR 110/- , per Kg, INR 57/- per Kg and INR 36/- per Kg, respectively.

Export of Fishmeal from India :

The export of Fishmeal from India to countries like China, Taiwan, Vietnam etc., has gone up steeply over the past 8 to 10 months, creating shortage in Fishmeal for domestic consumption. The spurt in demand for exports is due to increase in import of Fish meal from India by China, Taiwan and Vietnam etc., due to shortage of production in Peru and also higher ocean freight from Peru compared to imports from India. Added to this, the Indian Rupee (INR) has been depreciating against USD giving

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call a higher sales realization to Indian exporters further the exports are incentivized by

Duty Drawback @ 2.95% on FOB Value and @ 2.30% of RODTEP. The Fishmeal production in India is about 3.75 – 4 lakh Mt per annum and Shrimp Feed Industry consumes about 3 lakh s Mts per annum for feed production i.e. 75% - 80% of Fishmeal is required for feed production in India. With the present trend for export demand, almost 3 – 3.5 lakh Mt per annum are likely to be exported. This is of great disadvantage to the domestic consumers of Fishmeal, creating shortage and pushing up the domestic prices. To mitigate this hardship, the Govt. of India is being approached to initiate measures to safeguard the domestic Shrimp Feed manufacturers in the interest of Shrimp exports earning valuable foreign exchange. In this context, it is pertinent to mention that the recent budgetary decrease of Customs Duty on import of Fishmeal to 5% from 15% is not significant and advantage to the domestic consumers.

Wheat Flour Price :

Like Fishmeal, Wheat Flour prices also

increasing steeply which appears to be due to inconsistent policy of exports of Wheat and Wheat products during 2022. In anticipation of allowing exports of Wheat and Wheat products, the traders seem to hoard these products, resulting in increase of Wheat Flour price.

In order to check the rising domestic Wheat and Wheat products prices, on 25th January'23, the Govt. of India announced the sale of 30 lakhs tons of Wheat in the open market. Again, yesterday i.e. 21st February'23, the Centre announced sale of an additional 20 lakh tons Wheat in the open market to further bring down the retail price of Wheat and Wheat Flour. The Govt. has decided that State owned Food Corporation of India will off load an additional quantity of 20 lakhs Mt of Wheat under Open Market Sale Scheme. Further, this year (2022 -23 crop year) the Wheat crop also estimated to rise to 112.18 Mn tons as compared to 107.74 Mn tons in the previous year (2021 -22 crop year).

It is expected that the Wheat Flour prices will soon and stabilize, hereafter.

To sum up, I would like to share with you that the prices of these major raw materials along with related products like Fish oil, Soya Lecithin etc., keep changing from time to time depending upon the seasonality, production, global trends etc., which has

direct impact on the raw material cost of the feed, beyond the Company's control.

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call B. SHRIMP PROCESSING DIVISION :

Q3FY23 RESULTS

- The gross income for Q3FY23 is INR 256 crores as compared to INR 310 crores in Q2FY23, a decrease by INR 54 crores representing 17.7% due to decrease in sales volume by 627 MT representing 18%. The significant reason for lower sales volume in Q3FY23 is postponement of shipments on Buyers request because of inventory holding at their warehouses.
- The gross income in Q3FY23 decreased to INR 256 crores from INR 270 crores compared to corresponding quarter Q3FY22, a decrease of INR 14 crores representing 5.2%. Though Sales volume decreased by 18.2%, gross total decreased by 5.2% only, due to positive impact of increase in average export realisation by \$ 0.29 per Kg and foreign exchange gain due to depreciation of INR against USD.
- The PBT for the Q3FY23 is INR 30 crores as compared to INR 40 crores in Q2FY23, decreased by INR 10 crores which represents 1.1% over gross income, mainly due to decrease in sales volume and average sales realization by \$ 0.32/kg. Having said that, the PBT has not decreased proportionately with gross income reduction. The Company could able to maintain the PBT owing to increase in foreign exchange gain and marginal decrease in ocean freight cost.
- The PBT in Q3Y23 is INR 30 Crores increased from INR 26 Crores in the corresponding quarter Q3FY22.

Provision for Recall Expenses in the Financial Statement s:

In Q3FY23 Financial Statements, an additional provision of INR 1.52 Crores have been made as an exceptional item towards value of returned/destroyed product and other related expenses, with cumulative provision of INR 35.62 crores till 31st December'22 out of which an amount of INR 31.56 crores has been paid on the basis of claims leaving the balance INR 4.06 crores as a provision in the Financial Statements.

As regards the product liability claims for bodily injury caused by consuming Company's contaminated product under the recall, the Company's insurer, New India Assurance Company has appoi

nted a Surveyor for processing of the claims. So far the Company has received 13 claims towards bodily injury which have been forwarded to the insurance surveyor for processing. Since the liability has been covered under Commercial General Liability Insurance Policy, no provision has been made in the financial statements. The extent of claims in financial terms is yet to be ascertained.

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call INDUSTRY OVER VIEW – FUTURE OUTLOOK :

You may notice that in Q3FY23, Feed Division resulted in an increase of profit though the sales have decreased, mainly due to stabilization of prices of major raw materials during the quarter.

The Shrimp exports have also decreased in Q3FY23 compared to Q2FY23.

The later part of the year 2022 experienced severe stress on the Shrimp Culture industry by decrease in production of shrimps, farm gate prices going down, global recession etc., The year 2022 ended with, rather a disappointing note for these reasons.

2023 Budget support to the Industry :

As far as import duties and GST are concerned, the Aquaculture Industry did not receive much support from the 2023 budget presented on 01st February'23 by the

Hon'ble Finance Minister, except the following:

- The import duty on Fishmeal has been reduced to 5% from 15%. However, this decrease has not helped the Feed Industry, as explained earlier.
- The import duty on Fish Lipid Oil for manufacture of Aquatic Feed has been reduced to 15% from 30%. However, this decrease is not helpful to the Feed Industry, on the same lines as Fishmeal, explained earlier.
- The import duty on Krill Meal for manufacture of Aquatic Feed has been reduced to 5% from 15%. This also is not of much help since the imported Krill Meal cost is very high even after 5% duty.
- The import duty on Vitamin & Mineral premixes used for manufacture of Aquatic Feed has been reduced to 5% from 15% which has provided a marginal benefit to the importers of Vitamin and Mineral Premixes used for Feed manufacture.
- The import duty on Algal Prime(Flour) for manufacture of Aquatic Feed has been reduced to 15% from 30% providing a marginal relief.

The quantity of Vitamin & Mineral Premixes, Algal Prime (Flour) used in the Feed is not significant and as such the decrease of duties by 10% / 15% does not give much relief as expected by the Feed manufacture rs.

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call Continuing this outlook, the year 2022 -2023 started on a low key. The farmers did not show much interest and are reluctant to stock the seed which otherwise would have started now briskly. As per the information available, upto mid -February'23, the stocking was 5700 Mn Seed as against 7800 Mn Seed during the corresponding period of previous year according the stocking went down by 26.92% in the first 45 days of the year. However, as the farm gate prices of shrimps is increasing, the farmers are looking for stocking from March'23 onwards. It is anticipated that the shrimp culture will pick up from March'23 to make up the shortfall in first two months.

However, to be cautious, with global economy looking bleak with recession looming large throughout the world.

The Shrimp production in 2023 is likely to around 8.5 lakh Mt as against 9 lakh Mt in 2022.

SHRIMP PRODUCTION AND FEED CONSUMPTION IN FY22 AND COMPANY PLANS FOR FY23 :

SHRIMP FEED CONSUMPTION:

Though, at the start of the first season, the Shrimp Feed consumption in CY22 in India is expected to grow by about 15% compared to CY21, with an estimated sales of 12 lakh Mts. However, due to the various reasons stated earlier the shrimp feed consumption in CY22 is now expected to be at 9.75 – 10 lakh Mts, as compared to 11 lakhs Mts in CY21.

The Company's feed sales during the FY22 was about 5.41 lakh mts as compared to 4.73 lakhs mts in F Y 21. I

t is expected that for FY23 it would around 5 lakh Mt unless the shrimp culture in the rest of the year goes down steeply due to uncontrollable reasons.

The company has completed setting up of a new Shrimp Feed manufacturing facility in Bandapuram with annual installed capacity of 1,75,000 Mt with a CAPEX of INR125 crores. The new facility has commenced commercial production in December'22. With the new plant commencing production, there would not be short supply of Company's feed during the peak season this year, as in the previous year, which has resulted in short supply of Feed to the market to the extent of about 50,000 Mt.

The country's Shrimp production and export has come down in CY22 to about 6.00 – 6.50 lakh Mts, as compared to 7.00 to 7.50 lakh Mts in CY21.

The Company's Shrimp exports during the FY22 was about 12,836 mts as compared to 11,518 mts in FY21. It is expected for FY23 would be around the same level of 12,500 mts.

Avanti Frozen is in the process of expanding pre-processing and main processing as detailed:

- 1 Pre-processing facility in Gopalapuram (adjacent to the existing Processing plant). Completed and awaiting final approvals to start Pre-processing with a Capex of INR 11.43 crores.
- 2 New processing plant and cold storage in Krishnapuram, East Godavari District with 7000 MT p.a. capacity. Land acquired and Civil works commenced. The Estimated cost is INR 64.6 crores.

Company has been selected under two investment Incentive Schemes of the Government of India:

- 1) Sales based incentives under "Production Linked Incentive" Scheme and
- 2) Grant -in-Aid under "Operation Greens – Long Term Interventions" Scheme.

Production Linked Incentive Scheme:

- Company is eligible for incentive of 6% (Value Added Products 10%) on incremental sales over a period of 6 years from the FY2021 -22 to FY2026 -27, subject to maximum of INR 79.44 Crores with minimum 5% CAGR in Sales.
- The Company has made a claim application at 6% on the incremental Sales of INR57 Crores for release of incentive under PLI for FY22 and it is under review by the Ministry, this is not accounted in the books of accounts. As per the policy of the Company, such accounting will be done based on receipts.

- Approval from GOI for Grant -In-Aid, for the proposed investment in New Shrimp Processing Plant at Krishnapuram, have been received in December'22.
- Maximum Grant-in-Aid under the Scheme is INR 10 Crores.
- Grant -in-Aid will be released in 3 installments. Application for disbursement is required to be submitted 8 months, 16 months and 24 months after the date of approval of the project.

The outlook for coming quarters for the feed processing division appears to be promising on account of softening of the ocean freights, increase in value-added products, exports and also with the Chinese market promising we just hope that the processing division would do better in the coming quarters.

I think with this I close the big background with the setting the ground for discussion. Now we'll go into the question -and-answer session.

Moderator

Thank you , sir. Ladies and gentlemen, we will now begin the question -and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. We will wait for a moment while the question queue assembles . The first question comes from Onkar Kulkarni, from Sri Investments . Please go ahead.

Onkar Kulkarni

Hello. My question was regarding , just now

you mentioned that with the softening of raw material prices the future seems to be bright. So , what do you think , what could be your margins in the medium to long -term? I mean, we are not able to gather , like what kind of margin percentage you can deliver in the mid to long -term because of so much of volatility in all the things.

C. Ramachandra Rao

I think the question has to be split into two , one is about the feed, the other about the processing. Let me first take up the feed division . As I explained very clearly in my presentation that the raw material prices are likely to come down for further reason . But it is very uncertain, it will come down and what extent we'll be able to take advantage of that , these are all the factors which will only can be answered in the due course . The decision of the Government to release the 30 +20, about 50 lakh tons of wheat , it has come very recently . So, we have to see how the market is going to react for this , whether the prices are going to come down or how it is going to happen.

Similarly, we are trying to see the exports; the fish meal has really created a great disadvantage for domestic consumers like the shrimp feed producers, because the prices are very high, export prices which we are giving it about INR 150. So , they're selling at INR 110 per kg now , fishmeal. So, whatever amount of the concession , the difference is so huge that to divert them some Government has to come with a very strategic planning to provide the comfort to the domestic industries as far as the availability of fishmeal is concerned . We are working on that. So, like soya bean is also like that . Yesterday , the prices have gone up again on soya bean meal . The reason is not known, why it has gone up.

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call So, these are all . As we have been telling almost in every investor's call that these raw

materials are very highly volatile, and it is very -very difficult to give you a precise margins this is going to result in . And on the other side as you know that the pricing of feed is also not totally free from certain conditions , regulations by the Government. So, on the both sides we have very stringent conditions whereby we are operating . So, under these circumstances it is very difficult for giving you any specific percentage of the profit margin . Coming to the question of processing . Here also there is always a mismatch between the raw materials, the farm gate prices and the final export price. So, there also we try our best to reduce our cost of processing and maximize the profitability. I think Mr. Indra Kumar , our CMD, will explain more on this aspect.

A. Indra Kumar

Everything depends on the international market situation and the openings of the different markets . As of now, because the recession and inflation across the world, there is a pressure on the prices , and definitely within another two -three months that would come to normalcy , and in the US already they have huge inventories. And because of China declared a complete lockdown and lifted it only in the month of December. So , there has been no item was exported to China because of the lockdown and they declared 100% lockdown . Because of that there was turbulence in the market because China they are the second largest importer of seafood , mainly shrimp .

With the lockdown declaring on the exporting countries and exporters, we have looked into civil market of America, US . And as everybody knows about the Russia and

Ukraine war, the European market is also very volatile. Definitely, because of that the shrimp farmers were little skeptical of stocking in the beginning of the year i.e., January, but slowly they're coming back for stocking. The prices seem to be stabilizing. And as of now, since our company is concentrated more on value-added products, we are able to sell and the margins are quite reasonable. And if we look at the supply and demand, the supply of shrimp for the processing plants is very low because in the end of 2022 because of the Cyclones, the disease and also the Chinese lockdown different, the farmers were low in stocking and so that the raw material availability has come down right now. Slowly the farmers are going back to stocking and it will stabilize.

Onkar Kulkarni

Okay, this is about the margin. But, what about the revenue front? I mean, with all the headwinds you have, what kind of revenue you are expecting for medium term, given the market conditions?

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call A. Indra Kumar

See, the revenues will be the same as last year maybe there won't be much increase. The revenue maybe around 5% or 10% more or similar as last year because seeing the entire world situation we cannot expect much jump in the revenues.

Onkar Kulkarni

Here I am asking you about overall revenue.

A. Indra Kumar

Yes, overall revenue. Yes.

C. Ramachandra Rao

Yes, most of our customers are a longstanding customer and they have tie ups, they are in the US long time, so we are able to cater to them. They are more consistent buyers. So, as far as the demand for the product or say exports for the company is concerned, we do not foresee any big headwinds in the export market as far as the company is concerned.

Onkar Kulkarni

Yes. But my question was regarding a little bit long term, around two to three years, what kind of revenue you are expecting given all the headwinds you have?

A. Indra Kumar

The company is working on increasing the revenues. That's why we are expanding the production capacities and also going in for the value-added products and we have to see the market, situations and other situation.

Alluri Nikhilesh

Yes, just to add in on the long-term for two-three years, we are adding an additional capacity to produce more value-added products. And once we do that, these kind of value-added products require high pre-processing activity, because a lot of the preparation is being done in-house so the consumer can consume the product without

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call much preparation on their side. So, that's the reason there why we're expanding the pre-processing capacity. So, on two-three years horizon we have already started taking in new product orders. We have already started shipping out some of these orders that the market needs to develop for these orders, and we need to develop the recognition

in the market for these kinds of products .

The trial orders have already started going out . So, for two-three years horizon , when it becomes fully commercialized, it would provide higher revenues in this segment. We've started two to three categories of value -added products which need to get into full commercialization . Once they do, we can expect a higher level of realization from the current level and also an increase in revenue. But the quantity could not increase as much the volume because we 're producing high -value products , so the quantity might not increase as much, but the value will increase.

Onkar Kulkarni

With the additional capacities commencing very recently, what kind of asset ton you're expecting on them? Asset turnover ratio. How much your revenue could increase because of those additional facilities coming in?

Alluri Nikhilesh

It's very hard to put a number to it right now because like I was saying it's a step -by-step process , it's a new product that we're introducing into the market. So , we need to gain recognition for producing such kinds of products. So , I wouldn't put a number to it right now. But I would say a s for the strategy is to diversify our product portfolio to enable higher margins and revenue. So , right now, I c

an't put a number because we are in very early stage of even the construction.

Onkar Kulkarni

Okay, that's for processing . But as far as this feed is concerned, your capacities have gone up , right? You have recently increased your capacities. So, on that also how much revenue you can produce with those increased capacities ?

A. Indra Kumar

We have increased the capacity to 1,75,000 tonnes because of the product mix . And now what has happened , see, we have to upgrade the technologies what is required by the customer. So, we are gearing up to that , and definitely last year in 2022 we could not supply to our customers because we didn't have capacity. So, we have increased

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call the capacity , and also due to the product mix , what the product mix what we are trying doing in the market to the current requirement of the customer , say, we are gear up for all the products what is required for the shrimp culture .

In fact, say for example, earlier we used to supply the starter feed in a crumble form . Now, we are doing it in a pellet form. So , the productivity will come down , but the growth of the shrimp will be much better with the good FC INR There's a little bit apprehension by the farmers which they're coming out . So, as on the shrimp culture increases we can increase our revenues.

Onkar Kulkarni

So, at full capacity utilization, how much more revenue you can generate with additional capacity ?

A. Indra Kumar

At full capacity we can generate around , I think , 25% more .

Onkar Kulkarni

Sorry, I missed the number . I missed the number which you talked about . Can you please repeat?

A. Indra Kumar

25% more on this.

Onkar Kulkarni

Okay . Another question which keeps coming back to the management for last say two - three years is the utilization of cash and there have been plans about entering into new segments which haven't fructify . You haven't been utilizing cash.

A. Indra Kumar

Yes, Mr. Kulkarni, we have expanded with our own generation and we require the funds for the working capital . Working capital requirement in this industry is very high.

Moderator

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call Sorry for interrupting you , sir. I request the participants to restrict with two questions in the initial round and join back the queue for more questions.

Onkar Kulkarni

Yes, I will join back the queue, but let the management answer the current question at least.

A. Indra Kumar

The capacity increase and the markets what we are planning to expand into the new segment s which requires a lot of study because of the COVID reason or different market position we have to go carefully.

Onkar Kulkarni

Plans are still on , you mean ?

A. Indra Kumar

Yes, plans are still on.

Onkar Kulkarni

And how much progress has been made about that?

A. Indra Kumar

Please understand , we have to go cautiously . We have to see the market and we have to supply what is required by the market and when we're diversifying into other products we need to be very careful and we need to work on success.

Onkar Kulkarni

Yes, sir, that' s what I'm asking. At what level you are in terms of that.

A. Indra Kumar

We are almost , say, once the market s are right we can start the production and supply within six months.

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call

Onkar Kulkarni

Okay . All right. Thank you . I will come back in the queue .

Moderator

Thank you , sir. The next question comes from Vishwanath Shettigar, an individual

investor . Please go ahead.

Vishwanath Shettigar

Hello, my first question is that, the shrimp processing segment contribute somewhere around 2-2.5% of the total revenue. So, in terms of percentage, what do you feel that their processing segment would contribute say five years down the line?

A. Indra Kumar

No, it's not 2-2.5%, sir. We are almost 20% on the revenue.

Vishwanath Shettigar

It's 20% of the revenue?

A. Indra Kumar

Yes.

Vishwanath Shettigar

Second thing, as far as the pricing pressure is concerned with regard to increasing shrimp feed price. Like you, other players are also having similar issues that you cannot raise the price. Do you feel that when the price of raw material goes down, there will be pressure again from Government that you need to reduce the price?

A. Indra Kumar

So, definitely, we have to see the market, we have to see the customers and your competitor. First, you have to see the customer and the competitor. We have to

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call carefully see the pricing so that the customer is comfortable and we are able to market our products. We have competition and we have to see the one way because the Government also tries to interfere because it's more of an agriculture nation and more of a political popular schemes. So, we have to carefully handle all those things.

Vishwanath Shettigar

Okay. And last question is with regard to falling ROE and ROCE, right. If you look at the company's ROE and ROCE, it is very low, below 10, right. So, we need to work something around on that thing, because it's basically below cost of capital right now.

C. Ramachandra Rao

Yes, because as we explain it to you, the activity what you say ROE depends on the revenues that we get and the expenditure and net profit that PBT and this one. So, one is, automatically once they improve, it also improves. So, I think we have to bear with this. Unless you have better opportunities we cannot go for any investment to get a better ROE and ROCE.

Vishwanath Shettigar

So, what is the management viewpoint with regard to long-term ROE, where they want to be, say, 5 years or 10 years down the line?

A. Indra Kumar

If you take in the segment of the shrimp processing, we are working out on the higher value addition and additional products, and where we are adding value to the products.

And we get higher yield margins . And in the shrimp feed we are also trying to bring the working out , a lot of research is being done to reduce the cost of production , how it comes though , and improve the FCR.

Vishwanath Shettigar

Okay . The last question with regards to hatcheries . I have seen that you have started with the hatchery . So, what's the way forward on that , sir?

A. Indra Kumar

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call Yes, the hatchery business we've started this to provide the shrimp farmer of best quality, good quality feeds. And our hatchery capacity is not compared to the industry standards . So, we have just started it and we have started by the time we got permission and all these things it took long time . The hatchery business would be around; we can scale it up to 1 billion capacities , which way the revenue would be around approximately around INR 30 crores.

Vishwanath Shettigar

Okay. Yes, that's it . That's it from my side.
Moderator

Thank you , sir. I request the participant to restrict with two questions in the initial round and join back the queue for more questions . The next question comes from Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah

My questions have kind of been answered on the guidance for the next year. So , thank you.

Moderator

Thank you , sir. The next question comes from Jasdeep Walia from Clockvine. Please go ahead.

Jasdeep Walia

Hi, thanks for taking my question. S ir, we understand there's a demand with you on account of high inventory in US. But let's say if the demand were to come back. Are there any issues with the shrimp production in India ? For example, we have been hearing that there's a lot of disease issue with the shrimp , on account of which the farmers have not been able to scale up production even if they want . So, just wanted your comments on that.

earing that there's a lot of disease issue with the shrimp , on account of which the farmers have not been able to scale up production even if they want . So, just wanted your comments on that.

A. Indra Kumar

Please come back again . Your voice is not clear and please speak slowly because we could not understand your question.

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call Jasdeep Walia

Sure, sir. Sir, I understand that there's a demand issue right now on account of high inventories in US, but let's say the demand were to come back . Are there any other issues in India with the concerning production? For example, we have been hearing that there is a lot of disease issue in India on account of which farmers may not be able to scale up production, let's say if the demand were to come back .

A. Indra Kumar

No, that is not right . If the demand is there and the price is there , India can scale up production.

Jasdeep Walia

Got it, sir. So, there is no broader issue with regard to disease , controlling disease.

A. Indra Kumar

Disease is there , but the disease management also is there.

Jasdeep Walia

Got it . Thanks a lot , sir. That's all.

Moderator

Thank you , sir. The next question comes from Ronav Shah from E quitas. Please go ahead.

Ronav Shah

Yes, sir. Thanks for the opportunity. So , my questions are regarding two things . First is, what is the current capacity utilization of our existing feed and processing plant , sir?

A. Indra Kumar

Feed plant , we were utilizing around 98% . And now with the expanded capacity , because just now the s eason has started we are around 80 %. As you talked about 20

Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call today, the season has just started . Stocking has just started. W e are working on a n 80% capacity and with days pass by the stocking happen much more , we may touch around 90 -95%.

Ronav Shah

Okay, sir. And for processing?

A. Indra Kumar

And the processing , we are operating at around 60 -65% because we are concentrating more on value -added products . The capacity is there, but doing value addition is much more human intervention .

Ronav Shah

Okay.

A. Indra Kumar

Yes, because of the capacity , because if customers wants human , like the process is either you can do by machine or by hand. T hey want handmade . So, the capacity would not be, we cannot touch 90% or something because it is manual , human factor is there. If it is a bulk, let's say if it is a commodity side we can touch around 80 -90%. But it is a value addition we are able to do around 60 -65%.

Ronav Shah

Okay , sir, got it. And sir , in terms of processing division, what is the benefit in t erms of if we are saying that we are focusing on the value -added products . How it benefits in terms of the realization? S o, what is the incremental realization which we can get from the value -added products ? And what is the current proportion of the value -added products in the processing from exports , sir?

A. Indra Kumar

Nikhilesh , are you answering?

Alluri Nikhilesh

Could you repeat , sir, please?

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call
Ronav Shah

Yes, sir. So, what is the current proportion of the value -added products in our export s and processing division ? And the second is , what is the incremental realization which we can get from the value -added products from the normal exports?

Alluri Nikhilesh

Muthyam could you give the breakup of what is the percentage of value -added export s?

A. Indra Kumar

It is around 24 -25% of the value -added.

Ronav Shah

Okay.

Alluri Nikhilesh

So, out of the total exports , about 25% is value -added . On a regular day today with facing kind of price pressure, but it should develop. I think we've reached the bottom of the pr

icing pressure and it should start increasing from now . We can expect double - digit margin on the value -added products and commodity high -single digit margin.

A.Indra Kumar

For you to understand a little bit more , earlier what we were doing value -added has become a commodity now . Say, PD GO and PD or butterfly and all, earlier they were valued -added , now they have become commodity and we have gone on to higher products like cooked range and all these things , now they are called value -added . So, we are taking the newest products as value addition . In shrimp export s there are different things , headless shell -on is a commodity product . And further value -added, re-wheeling and de -shelling and all these things are supposed to be value -added . Now, we are not taking as value -added products further. We are taking higher products like a cook products or stews or different as a value -added.

Ronav Shah

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call Okay . Got it, sir. And last question from my end . Sir, USFDA case at that time we have creat ed some provision and at that time there was incremental 80 million of provision. So, are we expecting any reversal of that in upcoming quarters?

C. Ramachandra Rao

Can you please come back? Can you repeat the question ?

Ronav Shah

Yes, sir. So, in earlier quarters for the USFDA issue we have created some provision in the books of accounts and at that time we have on safer side created around 80 million of incremental provision. So, are we expecting any reversal of the same in

upcoming quarter s?

C. Ramachandra Rao

Not exactly reversal means . What we are doing is , depending upon the claims received from time -to-time; during a particular quarter we are making the provision . So, that particular quarter if you have any additional claims, we make a provision for that. And when the claims are settled, we take that as the expenditure from the provision. So , what we'll do , now, it has almost come to the zero level now, from which we may not be much he ar after.

So, what we are intending to do is by 31st March we will close all claims that have been received so far, and how much settlement is there whatever it is, if there is an excess provision, it will be written back or if it is a shortfall we'll provide further and close it. By 31st March, we should be able to get the total liability which we have incurred on or account of the recall , that we'll be able to do it by end of this year. But we do not foresee any increase hereafter . Almost all the claims we hope that has been received already.

Ronav Shah

Okay, got it. Got it , sir. Thank you. Thank you so much.

Moderator

Thank you , sir. The next question comes from Saket Kapoor from Kapoor Company. Please go ahead.

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call Saket Kapoor

Namaste Sir, i f you could explain to us , firstly the seasonality factor in the business . How does the seasonality factor take the place?

A. Indra Kumar

Sir, in Shrimp culture , if you take a calendar year , Shrimp farmer starts stocking after Pongal or Sankranti , because shrimp culture in the cold climate , the metabolism of shrimp doesn't work. So, actually it is a seasonal . After Pongal , after January 15 th or 16th they will prepare the ponds and after 20th of January some people will gradually they stock . That goes on up to March , 10th of March. Because the temperature , higher the temperature i t is good for the shrimp .

The first crop gets over , the people who stock in January they harvest in April , like that it goes on . The first crop gets over by June. And the second crop starts by again June , because people who harvested in M ay they stock in June . There are two crops. One is from January to April or depending on the stockings . Second crop is from June -July to September -Oct

ober, this is the pattern of the shrimp culture. Hope you r question is answered.

Saket Kapoor

Yes, sir. Sir, in your opening remarks you did mention about the vagaries of the raw material prices also , this feed prices and then other than the fish meal price. So, if you could give us some more color of what constitutes the raw material?

A. Indra Kumar

Raw ma terial is f ish meal, soya, soya meal , wheat flour and we have different almost 20-21 varieties of raw materials , so minute and major . The major are fish meal, soya meal and wheat flour.

Saket Kapoor

Sir, when we take this fishmeal as a major consequent, why have we not looked at backward integration in terms of developing our own fish meals and therefore,

removing the element of vagaries . I think that other players in the same segment are coming up with this idea then they're also into the trading aspect into it. So, what is our thought in terms of fishmeal?

A. Indra Kumar

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call

Fishmeal is done from the marine fish which is available on the west coast of India .

The fishmeal companies are majorly specialized in that product . We cannot do everything . Fishmeal business itself is big activity which deals with the fishermen community, and a lot of concentration and a lot of this thing is required. They are specialized.

Moderator

Thank you , sir. Ladies and gentle men, due to time constraints, we are taking two questions per participant. We have a follow up question from Onkar Kulkarni from Sri Investments . Please go ahead.

Onkar Kulkarni

Sir, if you recall 8 -10 years back there was a Vannamei shrimp which were introduced and that was a game changer for Avanti as well as for the overall industry . I mean, any such opportunity arising in the future or that was just a one off ?

A. Indra Kumar

See, there's lots of research and a lot of innovation is going on . Say, today Vannamei, earlier our native species Black Tiger. So, the Black Tiger there was a wild seed which was used earlier. Now , SPF seed for Black Tiger is being produced . So, the Black Tiger is also coming back into the picture , not with Vannamei, because Vannamei has been successful because of the specific pathogen free . Pathogen free Vannamei was available; the success rate was very high. Now, the specific pathogen free Black Tiger seed is also being available, because the technology we've developed the seed and now it is available and some farmers who are going for that also . And there are lot of work has been done for blue shrimp and different types of shrimp that have to come into the commercial viability.

Onkar Kulkarni

Okay. But there is no immediate or like say within a year there is nothing which is happening or on the cart?

A. Indra Kumar

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call Lot of work is going , sir, which I cannot or anybody can not tell which is coming

tomorrow or within one year . But Black Tiger SPF is coming . SPF seed is available. It is coming , already people have started stocking SPF for Black Tiger seed. It took almost 10 years for them to develop it.

Onkar Kulkarni

Okay . Can you just let me know what was the cash in the Company's balance sheet , as of 31 st December ?

C. Ramachandra Rao

Yes, we have about INR 1,100 crores.

Onkar Kulkarni

Okay . And you said majority of that you require for the working capital . May I know how much percentage of that is required generally like every year?

A. Indra Kumar

See, as we answered earlier, this is a seasonal business . In the peak season we will be requiring around INR 700 -800 crores.

Onkar Kulkarni

INR 700 -800 crore?

A. Indra Kumar

INR 700 -800 crores or sometimes INR 900 crores because the availability of the raw material, we have to book the raw materials, seeing the prices and all t

he se things .

These things we have to look and keep the stock and keep depending on it. Availability of fishmeal or availability of soya, they are seasonal. We have to cover those and before the prices go up, we have to buy it. All the se things are there.

C. Ramachandra Rao

May I add some something what CMD said , that by using these funds, we are in a much -much better advantageous position compared to going for a bank borrowing. See, because, so, one thing is that we are able to pay our raw material supplies

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Transcript – Avanti Feeds Ltd Q3 FY23 Earnings Conference Call immediately within three to four days of receiving the product and quality control is

cleared. So, this has given us a lot of advantage in price trends to bargain for good price that is one advantage we are getting. Similarly, if we're in the season, what happens is apart from the raw materials required , but for example, now, January , February, March, the year -end what we do is we credit these discounts to our dealers.

So, the cash rotation is less in these two -three months, when we use these funds for all our raw materials.

So then, we procured the raw materials by paying from these funds. So , if you compare , really speaking, if you look at the returns today, because of the FD rates have gone up and the same time the borrowing cost has also gone up . If you are to use this it will be a disadvantage if you borrow funds. So , we use the same funds for these working capital requirements . This in fact, is an advantage to the company and the shareholders also . We were able to maintain the cost particularly interest costs, much lower almost negligible . So, this entire amount , it depends upon throughout the year, maybe a couple of months you may have some surplus, but it does not mean that we have got lot of cash surplus for a longer period . It was a short period, in almost nine -months in a year we required these funds .

A. Indra Kumar

It is a rotation; I think it's a very seasonal item when the crop of soya comes we keep purchasing and all these things. So , the money is used mostly for the working capital here.

C. Ramachandra Rao

In September – October you get Fishmeal. In March -April you get wheat flour . If sometime there is fishing brand fishmeal at the time every year they will have their own calendar. We have to manage the funds to keep the stocks.

Moderator

Thank you , sir. That will be last question for the day. Ladies and gentlemen, we would like to come to the end of this conference. Thank you for your participation . You may disconnect your lines now. Thank you and have a good day everyone.

A. Indra Kumar

Note s:

1. This document has been edited to improve readability .
2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Jun 2023

June 06, 2023

To To

BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, Exchange Plaza,
Rotunda Building, P.J. Towers, Bandra (East),
Dalal Street, Mumbai –400001 Mumbai –400051
Maharashtra, India Maharashtra, India
BSE Code: 512573 NSE Symbol: AVANTIFEED

Dear Sir/Madam,

Sub: Transcript of post earnings Audio Conference Call for the quarter and year ended March 31, 2023.

Further to our letter dated June 01, 2023, we enclose herewith the transcript of post earnings Audio Conference Call for Investors held on May 31, 2023 in connection with Audited financial results (Standalone and Consolidated) of the Company for the quarter and year ended March 31, 2023 and the same will also be available on the website of the Company at <https://avantifeeds.com/corporate-announcement/#Investor-Analyst-Corner>

This is for your information and record.

Thanking you,

Yours faithfully,

For Avanti Feeds Limited

C. Ramachandra Rao

Joint Managing Director,

Company Secretary,

Compliance Officer & CFO

DIN: 00026010

Encl: As above

Transcript –Avanti Feeds Limited Q4FY23 Earnings Conference Call -1-

Avanti Feeds Limited Q 4FY23 Results Conference Call

31st May, 2023, at 04:00 PM (IST) for a duration of 59 mins 38 secs

CORPORATE PARTICIPANTS:

Mr. C. Ramachandra Rao

Joint Managing Director, CS & CFO

Mr. A. Venkata Sanjeev

Executive Director

Mrs. Santi Latha

General Manager -Finance and Accounts

Mr. D.V. S. Satyanarayana

CFO-Avanti Frozen Foods Private Limited

Ms. Lakshmi Sharma

Senior Manager -Corporate Affairs

Transcript –Avanti Feeds Limited Q4FY23 Earnings Conference Call -2-

Moderator

Good evening, ladies and gentlemen. I'm Pelsia, moderator for the conference call.

Welcome to Avanti Feeds Limited Q4FY23 Results Conference Call. We have with us today from the management, Mr. C. Ramachandra Rao, Joint Managing Director,

Mr. A. Venkata Sanjeev, Executive Director; Mrs. Santhi Latha, GM Finance and

Accounts and Ms. Lakshmi Sharma, Senior Manager, Corporate Affairs. As a

reminder, all participants will be in listen-only mode, and there will be an

opportunity for you to ask questions after the presentation concludes. Should you

need any assistance during the conference call, please signal an operator by

pressing * and then 0 on your touch-tone telephone. Please note this conference is

recorded. I would now like to hand over the floor to Mr. C. Ramachandra Rao. Thank

you and over to you sir.

C. Ramachandra Rao

Thank you, Pelsia. Good evening, ladies and gentlemen. I extend a warm welcome

for this investors conference call to review the audited financial results of Q4FY23

and also FY23 as in full year. Along with me here are Mrs. Santhi Latha, General

Manager -Finance and Accounts; Mr. D.V.S. Satyanarayana, CFO of Avanti Frozen

Foods Pvt. Ltd. and Ms. Lakshmi Sharma, Sr. Manager, Corporate Affairs.

The results of Q4FY23 and FY23 are already with you for some time now, and we

are sure that you would have already gone through them. However, though it may

be a bit repetitive, I would like to share with you some of the key indicators relevant

for our discussions today.

Consolidated Financial Results for Q4 FY23 & FY23:

A.Q4FY23 Results

The comparative study of Q4FY23 with that of Q3 FY23 and Q4FY22 have been given in the presentation already circulated. Gross income in Q4FY23 is Rs.1,117 crores as compared to Rs.1,132 crores in the previous quarter Q3 FY23, a decrease of Rs.15 crores, which is by 1.3%. Compared to Q4FY22 gross income of Rs.1,348 crores, there is a decrease of Rs.231 crores which represents 17%. The PBT is Rs.140 crores in Q4FY23 as compared to Rs.96 crores in Q3FY23, an increase of Rs.44 crores representing 46% and compared to Q4FY22 PBT of Rs.121 crores, there is an increase of Rs.19 crores, representing 16%.

The consolidated results indicate net impact of several factors, such as increase/decrease in income, expenditure and exceptional item etc., relating to Feed and Frozen Food divisions which have been discussed in the following divisional performance of these units, individually.

STANDALONE FINANCIAL RESULTS OF FEED AND PROCESSING DIVISIONS

A.FEED DIVISION:

Q4FY23 RESULTS

The gross income for the Q4FY23 is Rs.875 crores as compared to Rs.878 crores in the previous quarter of Q3FY23, a decrease of Rs.3 crores mainly due to decrease in quantity of feed sales. The gross income in Q4FY23 decreased to Rs.875 crores from Rs.1050 crores in the corresponding quarter of Q4FY22 decrease by Rs.175 crores representing 17%, due to decrease in sales quantity by 29895MT.

The PBT for the Q4FY23 is Rs.107 crores as compared to Rs.70 crores in Q3FY23, an increase of Rs.37 crores by 53%, mainly due to stabilization of prices of major Raw Materials and marginal increase in Sales realization. The Feed sales reduced to 1,03,376 Mts in Q4FY23 as compared to 1,06,313 Mts in Q3 FY23. The PBT in Q4FY23 has increased by Rs.5 crores from Rs.102 crores in Q4FY22, representing by 5%.

As you know, the cost of raw materials constitutes major share of cost of Feed production, particularly, Fishmeal, Soyabean Meal and Wheat Flour. The average Transcript –Avanti Feeds Limited Q4FY23 Earnings Conference Call -4- raw material cost in terms of percentage over feed sale price was 80.63% in Q4FY23 as compared to 84.36% in Q4FY22 and 83.61% in Q3FY23, indicating a marginal decrease by about 3.73% as compared to Q4FY22 and 2.98% in Q3FY23. It may be observed that the significant contributing factor for increase in margin is due to

increase in operational profit from Rs.116.93 crores in Q4FY22 to Rs.133.49 crores during Q4, an increase of Rs.16.56 crores, mainly due to stabilization of raw material prices.

The average cost takes into consideration volatility of the major raw materials like Fishmeal, Soyabean meal and Wheat Flour, sometimes increase and sometimes decrease during respective quarters. The present rates of Fish meal, Soyabean meal and Wheat Flour are Rs.130/-per Kg, Rs.57/-per Kg and Rs.28/-per Kg, respectively.

Let me just deal with each one of them.

Export of Fishmeal from India:

The export of Fishmeal from India to countries like China, Taiwan, Vietnam etc., has gone up steeply over the past 8 to 10 months, creating shortage in Fishmeal for domestic consumption. The spurt in demand for exports is due to increase in import of Fishmeal from India by China, Taiwan and Vietnam etc. and also, shortage of fish meal in Chile and Peru, they are the, really the largest producers of fish meal in the world. Added to this, the Indian Rupee (INR) has been depreciating against USD giving a higher sales realization to Indian exporters further the exports are incentivized by Duty Drawback @3% on FOB Value and @3.10% of RODTEP. The Fishmeal production in India is about 3.75 –4 lakh Mt per annum and Shrimp Feed Industry consumes about 3 lakhs Mt per annum for feed production i.e. 75% -80% of Fishmeal is required for feed production. With the present trend for export demand, almost 3 –3.5 lakh Mt per annum are likely to be exported. This is of great disadvantage to the domestic consumers of Fish meal, creating shortage and Transcript –Avanti Feeds Limited Q4FY23 Earnings Conference Call -5- pushing up the domestic prices. To mitigate this hardship, the Govt. of India is being approached to initiate measures to safeguard the domestic Shrimp Feed manufacturers in the interest of Shrimp exports earning valuable foreign exchange by export of Value Added Shrimps.

In this context, it is pertinent to mention that the recent budgetary decrease of Customs Duty on import of Fishmeal to 5% from 15% is not significant and advantage to the domestic consumers.

The price of Soyabean meal has been going up and down with marginal variation thereby on an average the Soyabean meal price has been stable. However, in the case of Wheat Flour, the price has been on decreasing trend with the price being stable at Rs.28/-per Kg, from Rs.33/-per Kg, earlier.

To sum up, I would like to share with you that the prices of these major raw materials along with related products like Fish oil, Soya Lecithin etc., keep changing from time to time depending upon the seasonality, production, global trends etc., which has direct impact on the raw material cost of the feed, beyond the Company's control.

Now, let me give a brief of Shrimp Processing Division.

B. Shrimp Processing Division :

Q4FY23 Results

- The gross income for Q4FY23 is Rs.245 crores as compared to Rs.256 crores in Q3FY23, a decrease by Rs.11 crores representing 4.3% mainly due to decrease in average sales realization by \$0.68/kg. However, on positive side, sales volumes are increased marginally by 15 MT during the quarter.

- The gross income in Q4FY23 decreased to Rs.245 crores from Rs.300 crores during Q4FY22, a decrease of Rs.55 crores representing 18% YoY. The sales volume during Q4 FY23 decreased to 2880 Mts from 3559 Mts in Q4 FY22, decrease by 679 Mts. The average realisation of sales also went down by \$0.60 per Kg, resulting in decrease in gross income. Added to this, the incentive of RODTEP income for the period Jan'21 to Dec'21 was accounted in Q4FY22 increasing the previous year income for comparative purposes.

- The PBT (Before Exceptional item) for the Q4FY23 is Rs.38 crores as compared to Rs.30 crores in Q3FY23, increased by Rs.8 crores, mainly due to decrease in ocean freight charges and increase in average USD/INR conversion rate

by

Rs.1.52/\$.

- The PBT in Q4Y23 is Rs.38 crores increased from Rs.21 crores in the corresponding quarter Q4FY22.

Now, let me give a brief of provision for recall expenses in the financial statement . The Company has not made any additional provision for recall expenses in Q4FY23 since full provision has been made in the Financial Statements till 31st December, 2022 against the total claims received from the Buyers. Status of product recall is as follows:

Value of claims received and charged to Profit & Loss Rs.35.62 Cr

Amount of claims settled up to 31.03.2023 Rs.32.57 Cr

Balance claims in the process of settlement Rs.3.05 Cr

As regards the product liability claims for bodily injury caused by consuming Company's contaminated product under the recall, the Company has received total 17 claims valued USD 61,682 out of which 7 claims to the tune of USD 8,000 were closed without making any payment as there was no liability.

Out of balance 10 claims valued USD 53,682, the Company has received supporting documents for only 1 claim of USD 16,000 and the same has been settled by the Company. The Company is yet to receive the supporting documents for the balance 9 claims valued USD 37,682. However, the Company has shared all the relevant Transcript –Avanti Feeds Limited Q4FY23 Earnings Conference Call -7- data to Insurance Provider i.e., New India Assurance Company to assess and settle the claims. Since the liability has been covered under Commercial General Liability Insurance Policy, no provision has been made in the financial statements. The insurance company has appointed a surveyor and all the documents have been given to him and he's in the process of scrutinizing them and give his recommendations to the insurance company.

Let me now go into the future outlook of the industry global and domestic .

The industry experts at the 2022 Global Seafood Alliance ,GOAL Conference ,remain optimistic about long -term growth in aquaculture despite increasing concerns about costs and market conditions in 2023 .Aquafeed sand market prices have consistently been the top concerns for the fish shrimp farmers over the past few years. Since 2021 ,the stakeholders top concern has been feed prices This is mainly due to high volatility of the raw materials, since the start of particularly since the start of Ukraine war which led to the supply shocks and sent prices soaring.

Other concerns are quality feed and also access to the credits. The banks have now

reduced the credit to this sector and also the interest rates have gone up because of the high inflation. Now, as far as the Indian situation is concerned, the outlook for the year 2022-23 started on a low key. The farmers did not show much interest and were reluctant to stock the feeds which otherwise would have been started briskly. As for the information that we have as on-date, the stocking is about 9,229 million feed, as against 13,548 million feed during the corresponding period of the previous year. The stocking went down by 30% during the first 4 months of CY2023. However, as the farm gate prices of shrimps is stable, the farmers are looking for stocking in a phased manner to ensure that the farm gate prices do not fall steeply with arrival of the raw material (shrimp) in large quantities. Therefore, unlike in the previous years, the culture during the current year is likely to be spread throughout the year.

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The Shrimp production in 2023 is likely to around 8.5 lakh Mt as against 9 lakh Mt in 2022.

Let me now, give you the details of Shrimp Production and Feed consumption in FY22 and Company plans for FY23:

The Company's feed sales during the previous year FY22 was about 5.41 lakh mts as compared to 4.73 lakhs mts in FY 21. It is 4.97 lakh Mt in FY23 down by 44,000 Mt when compared with FY22. However, it registered a marginal increase of 24,000 Mt over FY21.

Now that the new Shrimp Feed Manufacturing Unit in Bandapuram is capable of

operating to its full capacity this year, the Company looks forward for a regular supply of feed to the farmers as per their requirement as against shortage during the previous year.

Now, the shrimp processing and export.

The Country's Van namei Shrimp production and exports for the FY22 was 6,34,538 MTs and 6,43,037 MTs respectively, including opening stock.

The Company's Shrimp exports during the FY23 is about 12,497 MTs as compared to 12,836 MTs in the FY22. It is estimated that the exports during FY24 would be around the same level of 12,500 MTs.

Avanti Frozen is in the process of expanding Shrimp Processing Plants as detailed below:

1 Pre-processing facility in Gopalapuram (adjacent to the existing Processing plant). Commercial operations of pre-processing plant have been started from 31st March '23. The capacity of new pre-processing plant is 6,000 MT p.a.

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2. New Processing Plant and Cold Storage unit in Krishnapuram, East Godavari District with a capacity of 7,000 MT p.a. Civil works of the processing plant has been commenced in Dec '22 and it is in progress now. Total estimated project cost is Rs.64.6 Cr (excluding Land cost). An amount of Rs.21.68 Cr has already been spent on the project till 31st Mar '23 and Purchase orders are placed for major plant & machinery. Expecting commercial operations by Mar '2024.

The Company has been selected under two Incentive Schemes of Government of India:

■ Sales based incentives under "Production Linked Incentive" Scheme; and

■ Grant-in-Aid under "Operation Greens –Long Term Interventions" Scheme.

Production Linked Incentive Scheme:

Company is eligible for incentive of 6% (Value Added Products 10%) on incremental sales over a period of 6 years from the FY2021-22 to FY2026-27, subject to a maximum incentive of ₹79.44 crores with minimum 5% CAGR in Sales.

The Company has received an incentive of Rs.6.85 crores under PLI Scheme of the Govt. of India for FY22 during April '23, which will be accounted for during Q1FY24.

Operation Greens Scheme:

oApproval from GOI for Grant -In-Aid, for the proposed investment in New Shrimp Processing Plant at Krishanpuram, is received in December'22.

oMaximum Grant -in-Aid under the Scheme is ₹10Cr.

Thank you.

Now we will take up Questions and Answers.

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Moderator

Sure,sir. Ladies and gentlemen, we will now begin the question -and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again .The first question comes from Onkar Kulkarni from SrilInvestments. Please go ahead.

OnkarKulkarni

Yes, myfirst question is regarding the outlook for the current financial year .What kind of sales and profit you're looking at and what kind of margin s?

C. Ramachandra Rao

We're actually targeting to maintain the same level. But however, as it stands today, it appears to be the maybe variance about 10% would be there on the downside .So, if we can achieve that ,that would be a really good achievement, because as it stands today, we have a shortfall by about 28,000 metric tons, and we hope to make it up in the coming months . And the positive side is that the farmers are now going for stocking in a phased manner , and we are confident that we should be able to meet the target maybe with a variance of 10 -15% down over the last year. I think under the circumstances ,if you look at the overall industry, the feed has almost dropped in the first 4-5 months is down by about 25 -30%. So, whereas ours was not that much, it was only about 10% or so. So, we hope to make it up in the coming months and targeting to reach the last year's sales with a variance of about 7% downside .

OnkarKulkarni

So, we are expecting a revenue to be flattish or down by 10%?

C. Ramachandra Rao

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It will be flattish, as you know that the prices, you know ,there are three products which we've been explaining almost every investor call that the three items like Fish Meal , the Wheat Flour and Soybean Meal .Fish Meal is something which is giving a kind of real concern to us, because the export market is very encouraging for the fish meal producers and there is no mechanism by which that can be addressed so that the domestic fish meal consumers 'interest is taken care of. We have represented to the Government saying that,because nearly 70 -80% of the total production of about 4 lakh tons is being consumed by the domestic market and if they 75% export ,assuming that 4 lakh tons is the total production of Fish Meal in the country , the export is estimated to be about 3 lakh tons. So, virtually it is about 75 % is going out .So, that is causing real concern to us , and that's the reason why the prices are also going up .See, there are two hopes that we are looking for. One is that the production in Chile and Peru. Peru is the most important country, which is exporting fish meals, there has not been much production there, because of so many reasons. Because lot of juvenile fish coming up there, the production has come down drastically in the last couple of years. And till now they have not announced the yearly quota. We are expecting sometime in June 1 st week they are going for ,what they do is they 'll get assess what is the potential of the fish that is available in the coastline and also how much they can produce and the quota is fixed. That process has not been taken up so far. Normally it is taken up quite early but this year it has not happened. Two times they went and came back and third time they are going and they have gone now and by June 1 st week we are expecting some information about that. If they are positive and about the availability of fish in Peru, then we hope that the global prices of the fish meal will stabilize. So,because as against, what the local price of Rs.125-130 per Kg they are getting about Rs.160,Rs.170. So, the fish meal producers in India are preferring to export . That is one thing .We have represented to them to do some regulation either in quantity wise or by other monetary restrictions like withdrawing the incentives like duty drawback and this RODTEP. But as we know the government , it is not so easy to get because this is getting foreign exchange also. But we are making our best efforts to this side. As far as the other two products is concerned, we are more positive on them because of the seasonality ,because in the soybean meal crop comes in the October .

The recent information that this year they are going to get good crop of soybean meal also. And once in October we start getting the fresh seed, soybean, I think the prices will likely to be more or less stable with a variance of 5-10%. And wheat flour has also come down and this crop is also going to be record production. That's what I read that this year also the crop is going to be good which will come around March 24. So, these two products if we can really get some advantage on the price front, we definitely we should be able to post better results.

Onkar Kulkarni

And what about margins?

C. Ramachandra Rao

Margins, that all depends on the, again the price raw material, if the prices are likely to be here at the same level, we should be able to get about 8%, 7-8% we should be able to make it, provided the prices keep at this level. Because fish meal ban started, fishing ban has started, it is going to start from tomorrow in the West Coast. So, West Coast gives almost 60% of the country's production and East Coast is opening up on 15th June. East Coast, it is over. So, we will have to see how much catches that we're going to be getting it from the East Coast. And if the production is good, I think the price should not go up. On the other hand,

it should come down a little.

That's all depends upon the how these raw materials behave.

Onkar Kulkarni

Okay. So, around 8% EBITDA margins we are talking about or PAT margins?

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C. Ramachandra Rao

No, EBITDA.

Onkar Kulkarni

EBITDA margins.

C. Ramachandra Rao

I'm sorry. PAT.

Onkar Kulkarni

PAT margins of 8%, right?

C. Ramachandra Rao

7-8%.

Santhi Latha

7-8%, as in the early of this year.

Onkar Kulkarni

Okay, because the quarterly rate of PAT margins is around 9% and the yearly rate is around 6%?

C. Ramachandra Rao

Yes.

Santhi Latha

Yes, we are expecting in between both of those.

Onkar Kulkarni

Okay, so around 7-8%.

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C. Ramachandra Rao

If you look at the yearly performance of FY22 and FY23, the volume has come down we have been able to maintain the profitability slightly more or less than better results overall. With this is what if you look at the FY23 and FY22 comparatively.

Onkar Kulkarni

Okay. The second question is on, I mean, this question has been asked to you for several times now, and you have more than Rs.1,000 crore of cash. So, I mean, what you want to do with that? You have already explained several times that around Rs.400-500 crore is for working capital. But now that we're expecting around flattish sales, and then even if you adjust that, still you will be left with around Rs.400-500 crore. And supplement to that question is that your profitability has increased by 25% this year as compared to last year, but you haven't increased the dividend payout. It's even that you have Rs.1,000 crore of cash and improved profitability and good cash flow. So, I mean, what's the reason for that and how you are looking to deploy that Rs.1,000 crore?

C. Ramachandra Rao

We are saying that, there are two reasons for it. One is that we are not able to really thereon any particular project which we can really invest, but now we have got more clarity on the fish feed and also the pet food. So, the fish feed, we are working on that, and we should be able to come out with some work CAPEX and all before the end of this financial year. May be end of this year, we should be able to give a clarity

on the fish feed what is going to be the capacity because there are so many varieties of fish feed, which we are going to take up and what is the market situation and all, we'll come out some CAPEX, which depending upon the requirements we will be able to give the clarity on the fish feed.

As far as the pet food, like dog food and cat food, we are working on it. Of course, India doesn't have much demand for cat food, but definitely dog feed has got very good market and we are working on that, and we have the technology also available with us, with Thai Union has already there in Bangkok making this product, in Thailand. We already have a tie-up with them for this getting the technology of this, we will be able to do it and we are waiting for some, we are getting some service done here, how, what is the demand and supply and what is the requirement, what should be the production, what are the nitty-gritties of this project.

There, also there will be some CapEx that is going to be and also, we need lot of working capital there also. So, as we've been explaining that borrowing the working capital from the bank is going to be very expensive. And it's almost like 12%, 13% is the interest rate that they're charging. Whereas we are getting about 7% to 6-7% interest on these amounts, which we have kept it. We can actually use them for the working capital, and it actually makes sense, because using them when we are not able to employ them directly in a big project, which again we have to consider the profitability, sustainability of such a project.

Onkar Kulkarni

So, is there any concrete plan regarding this fish feed capacity which are going to come up?

C. Ramachandra Rao

Yes, we are working on it

hat. We should be able to come out with some clarity by end of this year, because both fish feed and pet food we should be able to get some clarity. Fish feed is our first priority. We are working on that. So, the other also we are working equally to schedule this other way. That is most important.

Fish feed, we have already the data because gradually the fish culture, the farmers are preferring floating feed. So, the demand for floating feed is increasing. So, so far, we have not been--the demand for float feed has not been much. But now it is daily growing up. So, I think this should give us the clarity as to the total requirement in that. As I told you, we should be able to come with more information on this future investment and revenues and all projections by end of this year.

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Onkar Kulkarni

End of this calendar year, right?

C. Ramachandra Rao

Yes, calendar year, right. Calendar year.

Onkar Kulkarni

Okay and can you just explain what's the size of opportunities in this fish feed market?

C. Ramachandra Rao

That's what, see India is one of the largest producers of fish and consumer of fish also. Naturally there's plenty of opportunity of increasing production. Now, a traditional method you don't get so much fish. Once you get the formulated feed used in fish culture also, definitely the yield will be higher the cost will be lower and it will be advantageous for the consumers and also to the producers.

Onkar Kulkarni

Just like the way you are saying that the shrimp feed is around 8.5 lakh tons. What kind of market is this, fish feed? And what are the margins?

C. Ramachandra Rao

See, here we have to have the two large areas, one is the domestic, the local feed that is being used by the farmers. And formulated feeds, like floating feed, feeds that is being used by the other set of farmers. So, gradually we are seeing that the traditional feed users, farmers, they are converting it to floating feed because they are finding advantage in this. So, like that, we have to see not only that should demand creation is also one of the objects in the company so that the overall production increases. Those figures we cannot right away share with you because it is still under process. Once it comes, definitely along with our project details we'll come with all those details.

Onkar Kulkarni

So, I'm not asking about company specific plans. I was just wanting to know what

is the size of opportunity ,what kind of market it is.

C. Ramachandra Rao

That is what I am saying. The market is now very difficult to say because we have both together. See, both together, we have to do the feed consumption ,fish feed consumption by the farmers directly by themselves, not going for floating feed .

A. Venkata Sanjeev

Yes, I'm on the line.

C. Ramachandra Rao

If you would like to add something on this matter which we are doing ,so the investing, this is what we are facing that we are trying to first ascertain how much demand for the floating feed because gradually some of the farmers are also going for the floating feed. We have better opportunities of increasing the total capacity of consumption of floating feeds in India, that's what we are projecting.

Onkar Kulkarni

Okay, then --Yes, please go ahead.

A. Venkata Sanjeev

What we're looking for is ,right now for fish feed we don't want to do the very cheap feed which is called white fungus farming. We mostly want to concentrate on the higher value of fish like barramundi. But, right now, the culture is very sporadic all over India. So, the data is not really accurate because the farmers don't go for stocking of barramundi continuously because they go for other fishes and trajectory.

Onkar Kulkarni

Fine. But if you would have given some clarity on at least how much it is compared to shrimp feed or like one-fourth or like half or something

like that.

C. Ramachandra Rao

Kulkarni, I think I am right, Mr. Kulkarni, the shrimp feed consumption is much less than the fish feed consumption overall. It is much higher.

Santhi Latha

Shrimp feed is quite higher compared to the fish feed .And also, we are asking a time till the year end because we are also doing a survey of it before we start up , what are the numbers to look at .

Onkar Kulkarni

Okay. So, you are stating that this fish feed market is higher than the shrimp feed market. Right?

C. Ramachandra Rao

Definitely.

Onkar Kulkarni

Okay.

C. Ramachandra Rao

Yes. But price-wise it will be a lesser.

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Santhi Latha

It will be price-wise lesser, but volume-wise it's more.

C. Ramachandra Rao

Volume-wise it is more.

Onkar Kulkarni

So, margins will be lesser in this, but volume will be higher.

C. Ramachandra Rao

See, all these questions can be answered as Mr. Venkat Sanjeev said, there are different types of species ,value-added species which we have to see .The price depends upon the type of species which we are going to recommend or the feed that we are going to manufacture .All these details ,I think we'll have to wait for another 6 months; we should be able to come with more clarity on that.

Onkar Kulkarni

Okay. And this is for the domestic market, or this is also for the international market?

C. Ramachandra Rao

Venkat Sanjeev, please go ahead.

A. Venkata Sanjeev

I think initially we'll go it for the domestic market but again in Bangladesh is one of the biggest markets for fish. So, we might start importing it after a few years after we stayed back in the Indian market.

Onkar Kulkarni

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Okay. You have any collaborations with --for this? Already technical capability.

C. Ramachandra Rao

Collaboration for what?

OnkarKulkarni

For manufacturing of fish feed, just like the way you have withfor shrimp feed.

C. Ramachandra Rao

No, we have collaboration with Thai Union . I mentioned that in my earlier interaction is that we have tie dup with them already.

OnkarKulkarni

Okay,even for fish feed , right?

C. Ramachandra Rao

Yes. Absolutely.

OnkarKulkarni

Okay. All right. Thank you very much.

Moderator

Thank you. I request the participants to ask two questions in the initial round and joinbackthe queue for more questions. Next question comes from Aman Madrecha fromAugmenta Research. Please go ahead.

Aman Madrecha

Hisir.Thanks for the opportunity. Sir, couldyou please highlight what's happening in the Ecuador market ?Because month -on-monthwe're seeing that the export volumes of Ecuador are continuously increasing, whereas Indian exports are not Transcript –Avanti Feeds Limited Q4FY23 Earnings Conference Call -21- going well. So ,how is the Ecuador market shaping up and how is the consumption going in the US market from the shrimp exports ?Some highlight on that.

C. Ramachandra Rao

Yes, Ecuador is really a real challenge for us to really compete with them because volume-wise they are much higher .But however, we have the advantage of more value-addedproducts and because of the proximity of the USmarket,we're supplying them. And another reason was thatthe China was not importing .Now that China hasopened up and the US market prefers value -added products, because that was the time when really,we were passing through the very tough period of Corona and after effects of Corona. So, the COVID ,that's reason why they had a lot of production in Ecuador that they just supplied to US market .Earlier they were supplying to Chinese market .Suddenly ,they came andbecause of closure of the Chinese market, they stopped imports because of this COVID.

The Ecuador found the market there, but now, I think that things will ,more settle and we have always the advantage of value-addedproducts, which we are def initely mayin abetter position as of now, to produce value -added products compared to Ecuador.It looks like there are not many comp

anies and not much of technology

involved and all ,whereas we have all the ,Southeast Asian countries have this advantage as of now. So, this advantage has to be taken by the Indian processes .

But of course, particularly Avanti Feeds, we are really focusing more on value -added products like breaded shrimps, the Skewers and Shrimp rings

C. Ramachandra Rao

So,these products will definitely have a better margin, and also,we have got equipment. We're going for expansion, is also making more focus on this. So that our total volume , thepercentage of value-addedproducts should be more. It's what our target. So, once we get that, you get better margin and also you have a specific market preferring ,alsoehave now alternate market we are looking for Japan,we Transcript –Avanti Feeds Limited Q4FY23 Earnings Conference Call -22- are exporting to Japan. Japan is a good market now,we have found the new market that we have started supply too. And also,we are supplying to Korea.

These are the markets which --of course China has also started. So, unlike earlier times when the China payments were not coming in time, now they are more prompt in payments, theirbanks.So,this is a positive development. AndI think these are all the other markets we can always explore and we are exploring and we have found new customers in Japan, Korea and also China .I think we should be able to diversi fy and expand our market to other countries also. Not to moredepend on USmuch, definitely USis thebiggest consumer and also is the, in our exports t hey form the highest percentage of our exports.

Aman Madrecha

So,sir, are we expecting the things to settle down on the shrimp export side for this current year or we are not expecting things to settle down for this year at least?

C. Ramachandra Rao

See, let me tell you, sir, this year is definitely a challenging year. See, we have already passed five months in the calendar year. And we have only seven months left in the calendar year. So, the challenges are many and like market stabilization and we are also every day we are seeing that the markets are not consistent, recession is still there, looming large on almost all the global markets. This is the situation, very difficult to predict for this year, maybe from we can rather confidently estimate for 24-25 it would be much better year than looking at the current year. Current year is going to be a challenge for everyone. Whether it is aquaculture industry or any other industry. 23-24 would be definitely a challenging year, sir.

Aman Madrecha

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So, sir, like for example, as we are telling that Ecuador is a major exporter to China and now they're exporting to US. So, what makes you confident that it will shift that? This can't be a permanent loss of market share, right, from India?

C. Ramachandra Rao

See, that's what I was mentioning that, see there are two developments which have really identified by the global alliance, aquaculture alliance, which they met in December 22. They are very optimistic about this because on one side the consumption is increasing phenomenally of this product, both, let's say positive side and even there is an increase, it is met by the increased production and it is not that there is going to be a surplus production, so that it will cause harm to our industry. It won't be like that.

It will be more stable now, because Ecuador catering to some extent to China and some extent to US and we are opening up to other markets like China, Japan, Korea and all these countries, definitely we have our own market share and we can confidently look at the optimistic view of the year FY24-25. FY23-24 a little challenging because the global recessions are there. Slowly it will settle down. And once it is settled down, we are very confident that it is going to be a stable, it won't be much upheaval or not anticipated in the near future.

Aman Madrecha

Sir, you are talking about FY23-24, right?

C. Ramac

hendra Rao

Yes, FY23-24.

Aman Madrecha

Transcript –Avanti Feeds Limited Q4FY23 Earnings Conference Call -24-

And sir, on the feed side. So, what since you are getting on the farming side, how are the farmers reacting to this and how will the filing? Because Q1 is the major reason for us in terms of field consumption. So, any sense on that?

C. Ramachandra Rao

Yes, see in the initial stages the farmers were not so enthusiastic about it, because of the prices and without the raw material, feed price going up and all these things. Good feed was also not there. So, slowly now, it got delayed, delayed and also the farmers, the farm gate prices have also improved and most stable now. So, now the farmers are looking to stock in a phased manner. And moreover, that gives an advantage for them and because the raw material, that is shrimps, will not be reaching the market at a time, it will be in a phased manner. So, the demand-supply is always balanced. which will help for stability of the farm gate price that is one thing. And as far as the feed prices are concerned, they are also more or less they're looking for stable and they are able to get their margins and they are able to get the balance between the farm gate price and the cost of production.

I think this is a positive development that has happened now, we can expect them to phased manner. That is always good to have in stead of going all stocking at a time, it is a phased manner, which in fact the Seafood Exporters Association and all have been advocating to go for area wise special in a phased manner so that we will get it and also to advising them to grow bigger size, not to harvest in smallest size of shrimps.

So that the higher, 30 count, they will be able to cutting out less, they will be able to get better price, that is one of the positive developments and now we had--in fact as far as the shrimp grows, the Avanti Feeds is excellent in getting the conversion ratio. You get--our feed is, let's say, doing exceedingly well, what recently we have received information that Avanti Feeds is the best in the market. And so, everyone is looking to us for the particular ly at the time when they want to grow the shrimp size better in the hasty, not to harvest in a hasty smaller size shrimps.

Transcript –Avanti Feeds Limited Q4FY23 Earnings Conference Call -25-

So, that is the positive development certainly, and the farmers are also, it is

something like cyclic feature, sometimes it comes but more or less on a long-term there is always a growth prospective, and the farmers are also looking for the increasing their total area in a phased manner. It was not once. And there are other challenges for them like credit availability, that is also a challenge. And as I told you in my earlier interaction, because of the bankers are not giving a credit, number one. They are selective on that, and also the interest rates are very high. So, these are all the concerns which the farmer, normally what the dealers extend credit to them. They will also come back, when it is profitable everybody's interested to invest in dealers, the farmers, and everyone will focus on that and increase the production. I think that is a very optimistic approach which everyone is looking for in the industry today.

Aman Madrecha

And sir, how is the Andhra Pradesh Government supporting the farmers at this point?

C. Ramachandra Rao

See the Government of Andhra Pradesh has brought in a regulation for a regulated growth of this industry. So, what they want to do is, they want to see that everyone, every stakeholder survives in the market. So, when the farmer is suffering, the feed price goes up, they're asking us to come and discuss, and to whatever extent possible concern that. Similarly, they are helping the farmers. But sometimes what happens is they are also under constraints, the Government of India -- when Government of Andhra Pradesh, they cannot extend all subsidies, which they were getting earlier, like power subsidy and all. So the Government has its own c

onstraints.

We would consider all these things are a temporary phenomenon, nothing of this is permanent. It is going to be gradually stabilized and everyone will realize the advantage of this activity. See, because, on one side, the farmers are getting Transcript –Avanti Feeds Limited Q4FY23 Earnings Conference Call -26- employment, on the other side they're getting production, sales, practice, everything is there only when there is a production. So, I think this is going to be temporary phenomenon. Maybe by next year, once everything looks bright, definitely everybody will take it in stride. I mean, only this is a challenging year. That's what I was telling from the beginning that this year everybody has to work with a focus and a take on the concerns that come and next year onwards it will be good.

Aman Madrecha

Okay, Sir. Thank you. I'll get back in the queue.

Moderator

Thank you. Next question comes from Gunit Singh from Counter Finance PMS.

Please go ahead.

Gunit Singh

So, I just want to understand firstly, how our margins have driven up this quarter, even though overall sales volumes have gone down. And you also mentioned that fish feed prices are nearing the all-time high level. So, I mean, what has driven up the margins this quarter?

C. Ramachandra Rao

Which quarter? This quarter means Q4?

Gunit Singh

Q4, yes.

C. Ramachandra Rao

The raw material prices have stabilized now.

Santhi Latha

Transcript –Avanti Feeds Limited Q4FY23 Earnings Conference Call -27-

And also, better inventory management and planning.

Gunit Singh

Okay. But you mentioned that Fish Meal which is one of the main raw materials that has prices that has gone up.

Santhi Latha

That has been going up now.

C. Ramachandra Rao

So, as I was telling, not only Fish Meal there are other two products like Soybean Meal and Wheat Flour also. So, the Wheat Flour has really come down and it is giving some sort of cushion for us to make up the price marginally increase in the Fish Meal. And also, similarly Soybean Meal has also been stable and what we are looking for optimistically is the crop that is going to come in September October the Soybean Meal and in the March the Wheat Flour. The wheat flour, when wheat production is very good. Now the wheat flour price is around Rs.27-28.

We are expecting that it will be stable and maybe early next year or so, when the prices may drop down by Rs.1 or Rs.2 and once the crop comes, we want to see whether there will be a significant fall in the price of Wheat Flour, wheat and wheat flour. The second thing is Soybean Meal also is--now it is stable. So, around RS. 57-58 it is --somewhere around RS.55-58. So that is the rate at which is being purchased and this crop is also it's coming in October, September -October it is coming. And as per the Government of India estimates the crop is very good and it is going to be a bumper crop this year also. So, when there is a crop, it got no restrictions of export, no this thing, then naturally the prices should come down when the soybean fresh crop arrives the market.

Gunit Singh

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Okay, that's very encouraging. So, I mean can we expect like a 13% operating margin as the base margin for the coming year for FY24? What set of margins do we expect?

C. Ramachandra Rao

FY24, it's a high figure. Very early to say, still we have some time, seven months are there still. So, very difficult. So, maybe we'll be able to give some indicators after Q3.

Gunit Singh

Alright. And sir, I have another remark to make. So, in 2016 -2017, our stock used to trade at about Rs.800, Rs.900 and currently it is trading at about 40 % off those levels and we used to have a sale of around Rs.3,000 crore at that time, which has come up to about Rs.5,000 crores right now. So, rather than looking out and investing or soaring into other venues, why don't we do a share buyback? Because the company is available at much cheaper valuations than before and return on this investment should be high

er because the company is going through a downturn right now in terms of margins. And as soon as the margins returned, I mean, the company's --company has very cheap valuations currently as compared to historical levels. So, why don't you consider doing a buyback considering that we also have surplus cash on the books.

C. Ramachandra Rao

See, yes, our board considers that buyback is not the way at this stage, at this juncture, when the economy is like this. So, when we want money, we want to go for expansion, it is not that we are keeping quiet, not thinking of expansions and growing. Last four or five years has been economically it was so volatile, uncertainty, recession and inflation, what not. Everything has happened in these four years, how does a company management can take a decision about investing in large quantity, large sum in an industry.

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So, it is always necessary that we have the proper decision while making the CAPEX. And moreover, see, in a company, in an industry or inactivity like this you need more of working capital rather than a CAPEX. See, the working capital acts like a continuous capital. In fact, if you look at figures it goes, the whatever we are --and the operation goes, you know that we have another Bandapuram branch which has come up that needs more working capital.

So, even Rs.1,000 crore or Rs.1,500 crore, which you have, if you require Rs. 700-800 crore, the balance we are looking for some project investment. It is a good investment. It is what we are looking for. So, the buyback, if you go for it, I don't think it is big advantage for the investors themselves. It is good for them to have the value of the share growing by investment and getting return, but for any purpose just selling reducing the capital. I don't think really materially make any difference in the long-term.

Gunit Singh

Right sir. Sir, just a suggestion like instead of doing a dividend payout, if we do a buyback in future, I mean instead of the dividend payouts that will be more EPS accretive for the shareholders, and that will also be tax efficient for the company. So, I mean, just a suggestion that going forward, if you consider it, that would be great.

C. Ramachandra Rao

Noted, sir. We'll do that.

Moderator

Thank you. That will be the last question for the day. Ladies and gentlemen, we would like to come to the end of the conference. We appreciate the interest from the investors and analysts for the participation. Thank you. And if you need any further information, you may connect with Miss Lakshmi Sharma of Avanti Feeds Limited

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atinvestors @avanti feeds.com . Thank you for your participation and for using Door Sabha'sconference call service. You may disconnect your lines now. Thank you and have agood day everyone.

Note:1.This document has been edited to improve readability

2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Aug 2023

August 28, 2023

To To

BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, Exchange Plaza,
Rotunda Building, P.J. Towers, Bandra (East),
Dalal Street, Mumbai – 400001 Mumbai – 400051
Maharashtra, India Maharashtra, India

BSE Code: 512573 NSE Symbol: AVANTIFEED

Dear Sir/Madam,

Sub: Transcript of post earnings Audio Conference Call for the quarter ended
June 30, 2023.

Further to our letter dated August 22, 2023, we enclose herewith the transcript of
post earnings Audio Conference Call for Investors held on August 22, 2023 in
connection with unaudited financial results (Standalone and Consolidated) of the
Company for the quarter ended June 30, 2023 and the same will also be available
on the website of the Company at [https://avantifeeds.com/corporate-
announcement/#Investor-Analyst-Corner](https://avantifeeds.com/corporate-announcement/#Investor-Analyst-Corner)

This is for your information and record.

Thanking you,

Yours faithfully,
For Avanti Feeds Limited

C. Ramachandra Rao
Joint Managing Director,
Company Secretary,
Compliance Officer & CFO
DIN: 00026010

Encl: As above

Transcript – Avanti Feeds Limited Q1 FY24 Earnings Conference Call - 1 -

Avanti Feeds Limited Q1 FY24 Results Conference Call

August 22, 2023, at 16:00 hrs. (IST) for a duration of 59 mins 02 secs

CORPORATE PARTICIPANTS:

Mr. A. Indra Kumar
Chairman and Managing Director

Mr. C. Ramachandra Rao
Joint Managing Director, CS & CFO

Mr. A. Venkata Sanjeev
Executive Director

Mr. A. Nikhilesh
Executive Director - Avanti Frozen Foods Private Limited

Mrs. Santhi Latha

General Manager - Finance and Accounts

Mr. D.V.S. Satyanarayana
CFO - Avanti Frozen Foods Private Limited

Ms. Lakshmi Sharma
Senior Manager - Corporate Affairs

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Moderator

Good evening, ladies, and gentlemen. I'm Vidya, moderator for the conference call. Welcome to Avanti Feeds Limited Q1 FY24 Earnings Conference Call. We have with us today from the management, Mr. A. Indra Kumar, Chairman and Managing Director; Mr. C. Ramachandra Rao, Joint Managing Director; Mr. A Venkata Sanjeev, Executive Director; Mr. A. Nikhilesh, Executive Director - Avanti Frozen Foods Private Limited; Mrs. Santhi Latha, GM Finance and Accounting; and Ms. Lakshmi Sharma, Senior Manager Corporate Affair.

As a reminder, all participants will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call please signal an operator by pressing * and then 0 on your touch-tone telephone. Please note that this conference is being recorded. I would now like to hand over the floor to Mr. C. Ramachandra Rao, Joint Managing Director. Thank you and over to you, sir.

C. Ramachandra Rao

Thank you, Vidya. Good evening, ladies and gentlemen. I extend a warm welcome to all of you for this investors conference call to review the unaudited financial results for Q1 FY24. Along with me here are Mr. Venkata Sanjeev, Executive Director, Avanti Feeds Limited; Mr. A. Nikhilesh joining from Paris; Mrs. Santhi Latha, General Manager, Finance and Accounts; Mr. DVS Satyanarayana, CFO, Avanti Frozen Foods Private Limited and Ms. Lakshmi Sharma, Senior Manager Corporate Affair. Shortly, Mr. Indra Kumar also would be joining, he's on the way. Okay, now, let me start the proceedings. The results of Q1 FY24 are already with you for some time now, and we are assured that you have gone through that. However, I would like to share with you some of the key indicators relevant for our discussion today.

CONSOLIDATED FINANCIAL RESULTS FOR Q1FY24:

(A) Q1FY24 RESULTS

Let me first discuss about consolidated financial results of Q1 FY24. The comparative performance of Q1 FY24 with that of Q4 FY23 and Q1 FY23 have been given in the presentation already circulated. Gross income in Q1 FY24 is INR 1,586 crores as compared INR 1,117 crores in the previous quarter, that is Q4 FY23, an increase of INR 469 crores representing about 42%. Compared to Q1 FY23 gross income of INR 1,582 crore, there is a marginal increase of INR 4 crores representing

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at 0.3%. The PBT is INR157 crores in Q1 FY24 as compared to INR 140 crores in Q4 FY23, an increase of INR 17 crores with representing 12% when compared to Q1 FY23 PBT of INR 100 crores there is an increase of INR 57 crores by 57%. The consolidated results indicate net impact of several factors such as increase, decrease, in income, expenditure and exceptional items et cetera relating to Feed and Frozen Foods division which have been discussed in the following in the divisional performance of these units individually.

STANDALONE FINANCIAL RESULTS OF FEED AND PROCESSING DIVISIONS

A. FEED DIVISION: Q1FY24 RESULTS

Let me take up the standalone financial results of Feed division Q1 FY24. The gross

income for the Q1 FY24 is INR 1,351 crores as compared to INR 875 crores in the previous quarter before FY23, an increase of INR 476 crores mainly due to increase in quantity of presales and other income. The gross income in Q1 FY24 increased to INR 1,351 crores from INR 1,311 crores in the corresponding quarter of Q1 FY23, an increase by INR 40 crores representing 3% due to increase in sales quantity by 4,164 metric tons.

The PBT for Q1 FY24 is by INR 125 crores as compared to INR 107 crores in Q4 FY23, an increase of INR 18 crores representing 17%, mainly due to relatively stable without much volatility of prices of major raw materials and increase

in other

income. The feed sales increased to 1,65,507 metric tons in Q1 FY24 as compared to 1,03,376 metric tons in Q4 FY23. The PBT in Q1 FY23 has increased by INR 48 crores from INR 77 crores in Q1 FY23 representing 62%.

As you know the cost of raw materials constitutes a major share of cost of feed production particularly fishmeal, soybean meal and wheat flour. The average raw material cost in terms of percentage over feed sales prices, sale price was at 84.75% in Q1 FY24 as compared to 80.63% in Q4 FY23 and 87.74% in Q1 FY23, indicating a marginal increase by about 3% as compared to Q1 FY23 and an increase of 4% in Q4 FY23. The increase in trend is continuing so far in the current quarter it is Q2 FY24.

The average cost takes into consideration volatility of the major raw materials like fishmeal, soybean meal and wheat flour, sometimes increase and sometimes decrease during a secured quarter. The present rate of fishmeal, soybean meal and

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wheat flour are INR 150 per kg, INR 54 per kg and INR 30 per kg respectively. The prices of fishmeal, soya bean meal and wheat flour were INR 130 per kg, INR 57 per kg and INR 28 per kg respectively, when we had our previous investors call on 31st May, 2023, you may observe that fishmeal prices have steeply gone up from INR 130 to INR 150 while the marginal reduction was there in the soybean meal from INR 57 to INR 54 and the wheat flour prices also have gone up to INR 30 from INR 28.

Export of Fishmeal from India:

So, let me just analyze why this fishmeal in India is going up. The export of fishmeal from India to countries like China, Taiwan, Vietnam has gone up steeply over the past 8 to 10 months creating shortage of fishmeal for domestic consumption. The demand for export is due to increase in import of fishmeal from India by China, Taiwan, Vietnam, etc. Added to this, the Indian rupee has been depreciating against US dollar giving a higher sales delegation to Indian exporters for the exports, for incentivized by duty drawback at 3% on FOB value and at 3.10% on RODTED. The fishmeal production in India is about 3.75-4 lakh metric tons per annum, and shrimp feed industry consumes about 3 lakh metric tons per annum per feed production that is 75-80% of fishmeal is required for feed production in the domestic market.

With the present trend for export demand, almost 3-3.5 lakhs metric tons per annum are likely to be exported in this year. This will create a significant shortage of fishmeal for domestic consumption. The decrease of customs duty on import of fishmeal to 5% from 15% recently is not going to make perceptible decrease in imported fishmeal with the advantage of the domestic consumer. There is no advantage for the domestic consumers as far as the reduction in customs duty is concerned. Though the soybean meal prices has been going up and down because only marginally thereby the average soybean meal price has been about 54 per kg during the quarter. However, in the case of wheat flour the price has been increasing, with the price being INR 30 per kg from INR 28 per kg earlier.

To sum up, I would like to share with you that the prices of major raw materials along with related products like fish oil, soyabean etc., keep changing from time-to-time depending upon the seasonality, production, global trends, etc., which has direct impact on the raw material cost of feed beyond the company's control.

A. SHRIMP PROCESSING DIVISION:

Q1FY24 RESULTS

Now, let me discuss about shrimp processing division results for Q1 FY24. The gross income for Q1 FY24 is INR 238 crores as compared to INR 245 crores in Q4 FY23, a decrease by INR 7 crore representing 3%, mainly due to decrease in sales quantity by 7%. The gross income

for Q1 FY24 includes sales-based incentive of INR 6.85 crores received under Production Linked Incentive Scheme.

The gross income in Q1 FY24 decreased to INR 238 crores from INR 273 crores during Q1 FY23, a decrease of INR 35 crores representing 13% YoY. The sales volume during Q1 FY24 decreased to 2,658 metric tons from 3,260 metric tons in Q1 FY23, decreased by 602 metric tons. The average realization of sales also went down by \$0.48 per kg, resulting in a decrease in gross income.

The PBT before the exceptional item for the quarter Q1 FY24 is INR 32 crores as compared to INR 38 crores in Q4 FY23, decreased by INR 6 crores mainly due to decrease in sales quantity. Though the sales quantities decreased in Q1 FY24, the higher PBT is maintained due to the fleet of sales-based incentive under the PLI scheme, decrease in ocean freight charges, and the increase in average USD/INR conversion rate by INR 0.21 per dollar during Q1 FY24.

The PBT Q1 FY24 is INR 32 crores, increased from INR 30 crores in corresponding quarter Q1 FY23. Though there is a significant decrease in sales quantity by 602 metric tons in Q1 FY24, the PBT is maintained at the same level of corresponding quarter to receipt of sales-based incentive under PLI scheme, decrease in ocean freight charges and increase in average USD/INR conversion rate by INR 6.10/ per dollar in Q1 FY24.

Provision for recall expenses in the financial statements:

We would like to bring to your notice that the company has not made any additional provision for recall expenses in Q1 FY24, since this provision has been made in the financial statements till 31st December 2022 against the total claims received from the buyer. Status of product recall is as follows:

Value of claims received and charged to Profit & Loss INR 35.62 Cr
Amount of claims settled up to 31.03.2023 INR 32.57 Cr
Amount of claims settled during Q1FY24 INR 2.06 Cr
Balance claims provision in the book of accounts as at
30.06.2023 INR 92 Lakh

As regards the product liability, the claims for bodily injury caused by consuming companies contaminated products under the recall, the company has received all the claims and confirmed insurance surveyor to submit the final report to insurance company for claims of the same, for our claim processing. Since the liability has been covered under commercial general liability insurance policy, no provision has been made in the financial statements.

As we stated in our Q4 FY23 investors call, the outlook for the current year 2023 appears to be bleak as far as the improvement in the performance of the shrimp culture industry is concerned over the previous year's performance. The export price of shrimps declining due to global shrimp market continue to face over separations, which is likely to cut this into the second half of 2023.

As you know, the import of Brood stock is a major indicator of shrimp culture in the country. The import of Brood stock by India in 2022 was just 2,55,000 animals representing a marginal decrease of 7% over 2021. In the normal course, December to January import of Brood stock indicates the shrimp culture in the first crop of the year, which is the main season. The Brood stock imports registered a marginal increase from 1,12,232 animals during Dec'21 – Mar'22, that is a previous year, over the import of 1,08,270 animals during Dec'20 – Mar'21 earlier that year. However, in 2023, import of Brood stock dropped to 67,777 animals during Dec'22- Mar'23, that is the current year's first crop indicating a consequential steep fall in shrimp production.

During the first half of 2023, India's frozen shrimp exports dropped to 16% in value terms, despite volumes falling only by 3% to 3,23,680 metric tons according to trade data released by the Ministry of Commerce and Industry. By vol

ume, India's shrimp exports total was less the year than anticipated. The average units value decreased by 13% to US dollar 7% kilogram, the decline was led by reduced export to major markets like US, China and Japan as global inflation dampened the demand. The

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shrimp production in 2023 is likely to be around 12.5-8 lakh metric tons as against 9 lakh metric tons in 2022.

SHRIMP PRODUCTION AND FEED CONSUMPTION IN FY22 AND COMPANY PLANS FOR FY23:

SHRIMP FEED CONSUMPTION:

On the basis of estimated shrimp production in 2023, the estimated feed consumption is about 10.5-11 lakh metric tons. The company's feed sales during the previous year FY22 was about 5.41 lakhs metric tons as compared to 4.73 lakh metric tons in FY21. It is 4.97 lakh metric tons in FY23 down by 44,000 metric tons when compared to FY22. However, it is just a marginal increase of 24,000 metric tons for FY21.

Now that this new shrimp feed manufacturing unit in Bandapuram is capable of operating to its full capacity, the company looks forward for a regular supply of feed to the farmer as per the requirement as it is started during the earlier year.

SHRIMP PROCESSING & EXPORT:

Now, coming to the processing and export. The Country's Vannamei Shrimp exports declined in FY23 compared to FY22 by 8.11% from US\$ 5234.36 million to US\$ 4809.99 million.

The country's overall export of frozen shrimps for FY23 was 7,11,099 metric tons as compared to 7,28,123 metrics tons in the FY22, a decline of 17,024 metric tons representing to 2.34.

The Company's Shrimp exports during FY23 is about 5,497 metric tons as compared to 12,836 metric tons in FY22. It is estimated that export during FY24 would be around same level as per 12,500.

Avanti Frozen is in the process of expanding Shrimp Processing Plant as detailed below:

1. New Processing Plant and Cold

Storage unit in Krishnapuram, East ■ 70% of Civil works are completed

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Godavari District with a capacity of 7,000 MT p.a. ■ P&M installations will be starting from Sept'23 onwards.

■ An amount of Rs.41.83 Cr has been spent on the project till 30thJun'23 against an estimated project cost of Rs.64.6 Cr (excluding Land cost).

■ Pre-processing trial run has been commenced from 19th Jul'2023.

■ Expecting commercial operations by Mar'2024.

The Company has been selected under two incentive schemes from the Government of India.

- I. Sales-based incentive under Production Linked Incentive scheme and
- II. Grant-in-Aid under Operation Greens - Long Term Interventions scheme.

I. The Production Linked Incentive scheme:

- i. the company is eligible for incentive of 6%, value-added products 10%, on incremental sales over a period of six years from the financial year 2021-22 to financial year 2026-27, subject to a maximum incentive of INR 79.44 crores with minimum 5% CAGR sales.
- ii. The company has received an incentive of INR 6.85 crores under PLI scheme of Government of India for FY22 during April 2023, which was accounted for during Q1 FY24.

II. Operation Greens scheme:

- i. approval from Government of India for Grant-in-Aid for the proposed investment in new shrimp processing plant at Krishnapuram is received in December 2022.
- ii. Maximum Grant-in-Aid under the scheme is INR 10 crores.
- iii. The company has submitted an application for first installment of grants on 15th July 2023. Application is under review by the Ministry of Food Processing Industry.

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I think I've covered up almost a bird's eye view of what has happened in this financial year and this quarter particularly. Now, I would request you to give your questions so that we can

answer them.

Q&A

Moderator

Thank you, sir. Ladies and gentlemen, we will begin our question-and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. The first question comes from Mr. Onkar from Sri Investments. Please go ahead.

Onkar

My question was regarding the projection of revenue and profitability for the rest of the financial year. What it would be, as you have already said that the outlook looks blink for the current financial year, what can we expect?

C. Ramachandra Rao

The projected financial results, there has been lot of changes, ups and downs, in this aquaculture activity as of now. See, as I told in my discussion on the subject, I told that what we thought initially is not happening now. At one stage, we thought that it would be very good, but it has not happened because of the global still continued price, then price coming down and lot of stocks piled up in the markets like US, and it is likely to continue for the rest of-- the rest of the year, we may expect maybe about 25% less, 25-30% less in the second half of this year. That's what our expectation, that is we'll start from the October, November, December, and January, February, March. That's what we are expecting. But the aquaculture, the culture is not progressing as we expected.

There has been a lot of disappointment depression among the farmers, but we are guiding them and advising them to keep the stocks and allow the shrimps to grow, you may get better prices and we are hoping for that. But still the situation is blank because as I told earlier, there is an oversupply issue. So, the markets have to really come back for the demand. There should be increase of demand because the production has gone up in the countries like Ecuador and all, there is a lot of production. And we at in India have to focus more on value-added products, so that

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we would be able to improve that, that is what we are focusing now. We are trying to increase our exports of value-added products. I think Nikhilesh, if you can just give your views, inputs, on the market likely to have in the next the second-half of this year.

A. Nikhilesh

Good evening, everybody. So, on the market side, things have the price we believe has these two at lowest point. So, there is some price recovery that is expected. On terms of demand, you see that, there is slow demand and there is the month-on-month retail sales of seafood had come down in the primary US market. But we feel that the consumption will start going up from the end of the year or next year, if the right pricing strategies, the lower cost is passed on to the consumer by the supermarkets. So, the Thanksgiving Christmas period is the most important period for things, and I feel that they get for a good season of sales in the US, after which they will reassess their inventory for next year. So on the total, I feel current price levels it's desirable for higher consumption as the general market environment also takes on. For us one case such the, there is still a lot of opportunity left in the market, because the market share is quite low, it's very fragmented amongst all the suppliers. So, there is some kind of consolidation that we can target in the next 16 to 24 months. Thank you.

C. Ramachandra Rao

Yes, that's the update on the market situation. And definitely, as we have been telling, even in our earlier investors calls that this is going to be a challenging year. So, we have to take all steps on the two sides, one is the cost reduction and the other is the productivity, increase in productivity, and focus on value-added products. All these things put together, we have to be able to increase

the volumes

and also make reasonable margins. But as far as the raw materials for feed is concerned, it is consistently has been going up and being the natural products like fishmeal and soyabean meal and wheat flour, see it all depends on not only the production and also the government policies from time-to-time that they take. And this will have a lot of influence on the pricing of these.

And as far as the company is concerned, we are trying to mitigate any hardship due to this kind of unforeseen changes. So, we keep sufficient stocks and see that an average cost is maintained in our cost of raw material production costs of this feed. This is what we are trying to do it. But many things are beyond our control. So, we

have to keep our fingers crossed. But I would say that it is not so dismal, but

Transcript – Avanti Feeds Limited Q1 FY24 Earnings Conference Call - 11 -

definitely the things looks, as Nikhilesh said, it looks bright, they're going to have Thanksgiving Day and Christmas, and definitely we will increase-- the consumptions will go up, that is one of the important developments we are all looking for. Because per capita consumption of shrimp should go up, so that definitely it will automatically whatever the production that is now having will be able to be absorbed by the market. Okay, I think we have answered your question.

Onkar

Yes, thanks for the detailed explanation. Just one clarification on that. You mentioned that you are expecting a decline of 25-30% in terms of revenue and profitability as compared to Q1 of this financial year or?

C. Ramachandra Rao

Yes, first half. Q1 and-- see, basically we'll take Q1.

Onkar

Q1 of the current financial year, right?

C. Ramachandra Rao

Yes. If you look at the Q4 FY23 and Q1 FY24, if you have to take the average of that, I think over that we'll have something like 20% less, that's what we're expecting, but still, this is only our, only estimate or guesstimate or whatever you call it, that but we are still hoping that things will improve in the rest of this year till 31st December.

Onkar

Okay. The second question is on the capacity front. Since you are sounding little bit bearish for the current financial year. I mean, what makes you bullish on increasing the capacity as far as feeds as well as shrimp division is concerned? You have increased the capacity or you are in the process of increasing capacity as far as the frozen shrimp feed is concerned, right? So, I mean on bullishness.

C. Ramachandra Rao

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See as far as the increase in production of feed is already through and we are now in a position to meet the demand whatever that market requires, we are ready to make it, that's number one. Number two, we are also increasing the production capacity of processing plant also. So, see long-term what we consider, this is a temporary development that had happened because of so many other reasons. But definitely in the course of time, we need to get ourselves equipped to improve our value-added products and increase our exports to other markets apart from the US. This is what is our objective.

A. Nikhilesh

I'd like to also add on the processing side, we're building a new facility under the PLI scheme and this would enable us, I mean, this was being built because there was higher requirements for our product was good, the reception for the product to cater to that requirements, the seasonality of the business where like there are few

months where a lot of product needs to be processed and exported. Also, there are some renovation requirements in for our unit one. So, at the time this can take in the capacity, and because we need to continue servicing the contracts that we have in the long-term as well. So, it would give us that flexibility and also our capacity

to take in more value-added products and value-added products takes a lot of manpower requirements, preprocessing requirements. So, it would cater to a multiple different uses gives us flexibility in the next forthcoming future as required.

Onkar

Okay. Another question is on the newly-- that's on a new development which has offered. I wanted to know more about what's your plan on Avanti Pet Care.

C. Ramachandra Rao

See in our AGM, CMD has informed the investor, I mean the shareholders that the Pet Care project is going to come up. But we are in the process of entering to a Memorandum of Understanding and technical knowhow agreement and also joint venture agreement. These things are happening and we will be able to come, because project cost is being estimated depending on what is the domestic requirements of these Pet Care products and things like that. I think Mr. Venkata Sanjeev, who is handling the project will give you more information about it.

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A Venkata Sanjeev

So, with the Pet Care as Ramachandra sir said that we're in the process of making joint agreement and all. So, we see, right now the Pet Care market for cats and dogs is around 70,000 metric tons in India and it's growing at a rate of 20% YoY. So, most of the brands which are right now playing a part in the market are mostly imported brand except two brands which are produced in India that is Pedigree and Drools. So, we think there's an opportunity for us to penetrate the market and capture a certain market share in this arena.

C. Ramachandra Rao

See, what we're doing is, in fact, we have taken a very senior executive to do the market survey, and also to prepare the project report. He is on that job now. And then simultaneously, we are also working with our partners in exchanging the Memorandum of Understanding, the Terms and Conditions of a Joint Venture agreement, and also the conditions of technology transfer. All these things are happening in a reasonably good speed, this was happening and we hope that in maybe in a month or so we should be able to come up with all these figures. And perhaps in the next quarter we will be able to give you more information about the total demand, supply, what is going to be the estimated project cost etc. All these details we can share once we are through with all information availability and also entering into Joint Venture agreement and Technology Transfer agreement with our partners.

Onkar

Okay. For financials we can discuss in the next quarter, but just wanted to know, what is the major raw material for this Pet Care and what kind of margins generally we can expect in this business. Not your margins but industry wide margins you can give us a number of that.

C. Ramachandra Rao

The technology itself means what is the raw material that is going to be used, what

is the formulation for different types of, this particular dogs or cats, whatever it is, there are several types of dogs and breeds, and there are also wet feed, dry feed, there are varieties of feed. All these things require a systematic study in Indian context. We have to take into Indian context. That too, we have to see it from North India, South India and all this data is being collected. We are in the process of that.

Transcript – Avanti Feeds Limited Q1 FY24 Earnings Conference Call - 14 -

So, once we have total picture, then we will be able to arrive at the total cost of the project, what is going to be the estimated sales for next year, maybe four or five years and what is going to be the profitability, all these things we will be able to give, as I told you in the next quarter. So, we expect a lot of information we would be able to gather in the next three to four months.

Onkar

Correct. But since you have formed the company, you must have

generated this

information earlier also, right? I mean, what kind of margins you can expect and all that stuff, right? Otherwise, you wouldn't have formed the company, right? I'm not asking for your margin, sir, I am asking for what is the industry margin.

A Venkata Sanjeev

See, it's not like shrimp feeds where you produce only a single type of feed and everyone buys it. For dog food and cat food they are different segments. Like if you take for example, if you take Drools, it's in the meat, it's in the low segment. If you take something like Acana, it's in the premium segment. So, we're still deciding on which segment we should be entering. And so, the raw materials also will vary according to the segment. So, if I take a premium segment, they use non grain, if I use-- if I'm going for something low budgeted, they'll be using grains like wheat and et cetera. So, we're still in the process of doing the market research and et cetera. So, after it's done, we can give you a proper answer and where we're going to enter and which segment we're going to enter or what raw materials we're going to use for the production.

C. Ramachandra Rao

See, what we have done so far has been, there is an in principal understanding of with the technology, which has been used by the foreign company with them agreed to invest, they've agreed to give the technology, they've agreed to support us with what type of feed that is required in India, that all these things have been in principally agreed and we are bringing all these aspects into the first level of MoU, which is a broad understanding.

Then we'll be doing simultaneously once we have an MoU signed up, then they will give more information. Once the MoU is signed, then we'll get more information as to what kind of machinery, what kind of listing is required and what is the process, what is the raw material, all these things we will get into the course of time once we

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have signed Memorandum of Understanding. We are now sub creating the draft MoU and most probably in next one or two weeks' time this MoU it should get signed off and then we start working on other details. Okay, I hope you got this point.

Onkar

Yes, just one clarification on that. So, within this financial year, we can see something--

Moderator

Sorry for interrupting, sir. If you have more questions, please join back in a queue, sir.

Onkar

Sure. Thanks.

Moderator

Thank you, sir. I request the participants to restrict with two questions in the initial round and join back the queue for more questions. The next question comes from Mr. Nitin Awasti from InCred Equities. Please go ahead.

Nitin Awasti

Hello sir. I wanted to understand the development on fish feed, sorry fishmeal. It seems that Peru has suspended everything that they were doing in this industry for some time because there's no availability of fish there and the prices seem to be moving very high and very rapidly. So, do we have some kind of inventory?

C. Ramachandra Rao

Yes, fishmeal, it's true that one major challenge which we are facing is the export market. As you rightly said the Peru they have banned and things. Already even before they banned the Indian exporters started almost like more than a year now. The exports from India, the fishmeal to Vietnam, Japan, the Taiwan and all these things have started for many other reasons like price are less and they are able to get good quality here, the distance, they travel, everything they are able to get it.

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And the Indian producers of fishmeal also they get benefit because of the advantage that they are getting and the higher prices they are getting and government incentives and also appreciation of dollar against rupee.

A

If these things put together it is getting. So, the demand for fishmeal is continuously growing. But, it is a natural product. We have to see how best we can, we have given the presentation to the government also that the domestic producers of shrimp feed have to be taken care because this is going into a value-added product for export purpose. So, they have to give some quota some sort of or they should reduce the incentives being given to them, but all these things are under consideration, it will take some time to actually get some results out of this.

Nitin Awasti

Understood sir. So, we have built some kind of inventory on fishmeal or are we going to be buying at the market rates?

C. Ramachandra Rao

The inventory means you cannot build inventory for a longer period. We can may at the most one month or 45 days we can build. And also the availability because it is in so much demand now Indian fishmeal for export, most of the Indian fishmeal producers are exporting. So, as in when it is a process like you catch fish and process it and the entire the modus operandi of this fishmeal production has undergone a sea change in the last couple of years because they're paying advanced to fishermen to get the fish and then process and they're exporting commitments are there for exports Like this, the entire system has undergone a change. So, we try to because the Avanti has a very good reputation in the market. All the vendors our suppliers have, in India they give the first priority to us and even a part of their export commitments also, they're just giving it to us, because of our reputation and

our prompt payment situation that we are able to get at least the quantities which we required, but definitely there is a shortage.
Nitin Awasti

Understood, sir. Thank you.

Moderator

Thank you, sir. The next question comes from Madhur Rath from Counter Cyclical Investment. Please go ahead.

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Madhur Rath

Thank you for the opportunity. Sir, I just wanted to know our shrimp processing segment. Are we trying to move out from--

C. Ramachandra Rao

You are not audible. Can you please speak little bit louder?

Madhur Rath

Yes. Sir, our shrimp processing segment. Sir, are we trying to move out of the US market as majority of our revenue comes from US and our competitors coastal Corp also has highlighted that due to Ecuador competition is very high in the US market. So, if you could give your thought on that, are we trying to move out of the US to some different countries on?

A. Nikhilesh

I would say we're definitely not looking to move out from the US market. It's our primary market and will continue to be in our primary market. But we are expanding our sales with a focus on other countries as well. So, we're allocating more resources than we used to before as a percentage to other countries, just to diversify the risk from one market. Even though Ecuador is proven to be one of the dominant suppliers in the US market, India is still one of the largest exporters and we are targeting activity which Ecuador cannot cater to at the moment. So, in fact, I would say our strong focus is still to service our primary customers in the US market.

C. Ramachandra Rao

I may add to what Nikhilesh said. See, the last week at the roundtable global aquaculture in which it was said that US continues to be the largest consumer of shrimps and they are the largest importers of shrimps in the world. So, they are more than about 70%. Nikhilesh, am I correct? They said about 70-80% of the world's they are consuming, that is what I saw in the global aquaculture roundtable. So, that being the case, as Nikhilesh rightly said, there's no question of going out of

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US market. It

is fact, we have to consolidate the US market with more value-added products and more as you said primary markets, we should be able to concentrate on that and improve. Okay. Thank you. I think we have answered your question.

Moderator

Thank you, sir. The next question comes from Aniketh Kulkarni from BMS capital. Please go ahead.

Aniketh Kulkarni

Yes. Thanks for the opportunity. So, has India loss being competitive advantage to other countries on the export front, and if so, what are the reasons for it and how do we see processed shrimp export shaping up for the company over the next three years?

C. Ramachandra Rao

Can you repeat the question?

Aniketh Kulkarni

Yes. So, my question was, has India lost any competitive advantage to other countries on the export front? And, if so, what are the reasons for it? And how do we see our processed shrimp export shaping up in the next three years for the Company?

A. Nikhilesh

Good evening. So, on the competitiveness, I wouldn't say that, I would say that India is still very competitive in the global market. Ecuador is definitely today's lowest cost producer. But they have certain limitations and India has certain strengths. So, we have and we are very competitive to the US, mainly because we do a lot of value-added shrimp in general compared to Ecuador. India has a huge population, a huge workforce 1.5 billion population compared to the smaller population of Ecuador. So, we can process a lot more value-added shrimp than Ecuador. On why it's losing, so why it's lost a little bit of its competitiveness. It's just because Ecuador's culture and things growing rapidly, good weather conditions for the shrimp in general to grow.

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So, they've been doing it systematically as an industry. And also, they've been targeting China, which has a great appetite for Ecuador raw material. There are lot of Thai companies buy Ecuador raw material for the processing, it's closer on nature to the US, the North American market. So, there are a few things which have helped them, but I feel in the long run India will be competitive as we look more into technology, better facilities to accommodate the high standards of the global food mix of the environment. So, for us as a company, I would say we have a very bad outlook. The Avanti still constitutes a very small portion of market share in the Indian exports of frozen shrimp, there are so many exporters and the market share is very-very fragmented.

So, there is opportunity in that way. We still have to explore a lot more new markets which we are starting to do more with the more aggressive nature and also, we're also looking now into starting distribution of seafood in India itself. So, we found the domestic team to look into it, which looks to be very interesting in the long term. But it's a small pilot project that they're running on the side. So overall, I think there's a bright outlook. We are expanding, we are getting new customers, we are processing more shrimp as we grow every day. So, in that way, I feel there's a bright outlook. Once I feel, the market kind of recovers in the US where Mr. Rao had already explained in the previous questions. At this price point, it's very attractive to have shrimp as an alternate protein compared to chicken and beef as a primary seafood commodity. So, it looks very interesting that way.

Aniketh Kulkarni

And secondly, is the processed shrimp market not strong enough to pass on high raw shrimp prices to the customer without dropping volumes? I mean, the reason

I'm saying higher raw shrimp prices because I'm assuming the higher fishmeal prices would reflect in the raw shrimp price as well?

A. Nikhilesh

So, right now the lower price is not due to, I mean, if there was low supply, we could have passed on the raw material price. But

there's also a production over supply.

All the shrimp producing countries have been ramping up their exports for the last few years, especially during the COVID time. And so now it's just normalizing I would say. So that way, right now, it's an oversupply situation. So, we're not able to pass

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on the prices. But once things normalize, yes, shrimp prices have been passed on higher prices, have been passed on in the past.

Aniketh Kulkarni

Okay, thanks. Thanks for the detailed answer and best of luck for the coming quarters.

Moderator

Thank you, sir. The next question comes from Raju Venkatesh, an Individual Investor. Please go ahead.

Raju Venkatesh

Thank you, sir. All my questions have been answered. Thank you.

Moderator

Thank you, sir. The next question comes from Harsh Beria, an Individual Investor. Please go ahead.

Harsh Beria

Okay. My first question is about our feed segment. I think last year, we had some government intervention in pricing of the feeds, where we couldn't pass on the entire price in raw material. How is that situation right now? Is the government still controlling the end feed prices in the market?

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A.Venkata Sanjeev

So, they're still controlling the prices, because right now the farmgate prices are also really low and if it increases the shrimp feed price, it might affect the farmers' profitability.

C. Ramachandra Rao

I don't say it is 100% controlled, it is something like monitoring. Whenever there is representation from the farming community to the government, the government calls both in feed manufacturers as well as the processors to decrease the feed price and increase the farmgate price that is always been the government's stand.

Whereas we tell them that unless the raw material price has come down, there is no scope for further reduction. This is what we have been telling and it is like convincing to what extent this thing they get convinced about the increase. And same thing, it is not possible to increase the farmgate price and make losses while doing the processing, that is also an issue, because this is something like ongoing process.

We keep discussing with the governments and convincing them about the situation in the market and all these things. It goes on. It doesn't have any cruel, I mean could affect like that stopping that and all not there. It is going on. But only thing is here and there the corrections are required, as and when is required by the Government also to they're answerable to the public. So they also-- we have to do kind of some sort of, I know this thing with them convincing them. So, that's what is happening now in the respect of feed as well as farmgate prices.

Harsh Beria

Thanks for the clarification. My next question is about our fish feed business. So, if I remember in the past, we had also planned to go into feeds of other fishes other than shrimp. Can you talk a little bit more about that venture?

A Venkata Sanjeev

So, with the fish feed venture, we are looking also. The fishery market is around 16 lakh metric tons as of now, but most of it is very low-value fish. So, the feed value is also very low. We are only looking at high-value fishes like barramundi and snakehead fish which is only around like maybe 15-20% of the market share right now. And also, the civil structures and everything for the fish feed plants are ready. We are looking at machinery and et cetera for the fish feed plant as of now.

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C. Ramachandra Rao

I want to add to what Mr. Venkata Sanjeev said that we have already civil structures and all, plant and machinery. We have already entered in

to technical agreement already there with the Thai Union. They're ready with all. But we have to tell them which kind of species that we require, the feed formulation and only depending upon our requirements, so, they would be able to provide whatever formulations that is required for that particular specific species. So, we have actually recruited a senior manager for business development on this fish feed business and he is on the job. He is on the job and recently he has joined and he is on the job.

And once we have complete data of the market, Indian market, and what type of species as Mr. Venkata Sanjeev said going for high end products, so that you have more formulated feed consume were used by the farmers. So that process we are also on the job, we'll be able to get some clarity by end of this year I think was probably. And it should not take much time to implement the project because civil structures are already ready, already available, only order the machinery and we get the machinery, and we'll start off. So, overly a basic market research is to be done for that product also. We are on the job.

Harsh Beria

So, can we expect commercialization of this in FY25?

C. Ramachandra Rao

Yes, FY25 it should be there, because that appears-- we have taken in principle decision to go ahead. So the thing is that immediately we have made the technical knowhow agreement with them and then of course long back created the civil structure for that, it is ready. Only the moment we get the data about the market which kind of species is advantageous for the Indian farmers to grow, that would be

encouraged. We will take all the education program also with the farmer and we start production of this. It should not take much time. As I said FY25 we should be able to start this production.

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Moderator

Thank you, sir. That will be the last question for the day. Ladies and gentlemen, we have come to the end of this conference. We appreciate the interest from the investors and analysts for the participation. Thank you. And if you need any further information, you may connect with Ms. Lakshmi Sharma of Avanti Feeds Limited at investors@avantifeeds.com. Thank you for your participation and for using to Door Sabha's conference call service. You may all disconnect your lines now. Thank you and have a good day everyone.

Note: 1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Nov 2023

November 21, 2023

To To

BSE Limited, National Stock Exchange of India Ltd.,

1st Floor, New Trading Ring, Exchange Plaza,

Rotunda Building, P.J. Towers, Bandra (East),

Dalal Street, Mumbai –400001 Mumbai –400051

Maharashtra, India Maharashtra, India

BSE Code: 512573 NSE Symbol: AVANTIFEED

Dear Sir/Madam,

Sub: Transcript of post earnings Audio Conference Call for the quarter and half year ended September 30, 2023.

Further to our letter dated November 18, 2023, we enclose herewith the transcript of post earnings Audio Conference Call for Investors /Analyst held on November 18, 2023 in connection with unaudited financial results (Standalone and Consolidated) of the Company for the quarter and half year ended September 30, 2023 and the same will also be available on the website of the Company at [https://avantifeeds.com/corporate-announcement/#Investor -Analyst -Corner](https://avantifeeds.com/corporate-announcement/#Investor-Analyst-Corner) This is for your information and record.

Thanking you,

Yours faithfully,

For Avanti Feeds Limited

C. Ramachandra Rao

Joint Managing Director,

Company Secretary ,

Compliance Officer & CFO

DIN: 00026010

1

Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call Avanti Feeds Limited Q 2FY24 Results Conference Call November 18, 2023, at 16:00 hrs. (IST) for a duration of 53 mins 02 secs

CORPORATE PARTICIPANTS:

Mr. C. Ramachandra Rao

Joint Managing Director

Mr. A. Venkata Sanjeev

Executive Director

Mr. Alluri Nikhilesh

Executive Director, Avanti Frozen Foods Pvt. Ltd.

Mr. D.V.S. Satyanarayana

Chief Financial Officer, Avanti Frozen Foods Pvt. Ltd.

Mrs. Shanti Latha

GM-Finance and Accounts

Mr. Narender Sharma

Company Secretary, Avanti Frozen Foods Pvt. Ltd.

2

Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call Moderator Goodevening, ladies and gentlemen. I am Pelsia, moderator for the conference call. Welcome to Avanti Feeds Limited Q2FY23-24 Investors Conference Call. We have with us today, Mr. C. Ramachandra Rao, Joint Managing Director; Mr. A Venkata Sanjeev, Executive Director; Mr. Alluri Nikhilesh, Executive Director, Avanti Frozen Foods Private Limited; Mr. D.V.S. Satyanarayana, CFO, Avanti Frozen Foods Private Limited; Mrs. Shanti Latha, GM Finance and Accounts; and Mr. Narender Sharma, CS, Avanti Frozen Foods Private Limited.

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touchtone telephone. Please note this conference is recorded. I would now like to hand over the floor to Mr. C. Ramachandra Rao, Joint Managing Director. Thank you and over to you, sir.

C. Ramachandra Rao

Thank you, Pelsia. Good evening, ladies and gentlemen. I extend a warm welcome to all of this investors' conference call to review the unaudited financial results for Q2FY24. Along with me are Sri A. Venkata Sanjeev, Executive Director; Sri Alluri Nikhilesh, Executive Director, Avanti Frozen Foods Pvt. Ltd.; Mrs. Shanti Latha, General Manager -Finance and Accounts; Mr. D.V.S. Satyanarayana, CFO

–Avanti Frozen Foods Pvt Ltd.; Mr. Narender Sharma, Company Secretary –
Avanti Frozen Foods Pvt Ltd. The results of Q2FY24 are already with you for
some time now and we are sure that you would have gone through them.
However, I would like to share with you some of the key indicators relevant for
our discussion today.

CONSOLIDATED FINANCIAL RESULTS FOR Q2 AND HALF YEAR FY24:

(A) Q2FY24 RESULTS

The comparative performance of Q2FY24 with that of Q1FY24 and Q2FY23
have been given in the presentation already circulated. Gross income in Q2FY24
is INR 1,312 crores as compared to INR 1,586 crores in the previous quarter Q1
FY24, a decrease of INR 274 crores which is by 17%. Compared to Q2FY23, gross
income of INR 1,348 crore, there is a decrease of INR 36 crores, representing
2.6%. The PBT is INR 113 crores in Q2FY24 as compared to INR 157 crores in
Q1FY24, a decrease of INR 44 crores just by 28%, and compared to Q2FY23
PBT of INR 91 crores, there is an increase of INR 22 crores representing 24%.

3

Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call (B) Comparison of performance for six months
ended 30/09/2023 with six
months period ended 30/09/2022.

In half year FY24, the total income decreased to INR 2,898 crores from INR 2,930
crores in half year FY23. The PBT in half year FY24 increased to INR 270 crores
from INR 197 crores in the corresponding period of the previous year, mainly due
to decrease in the raw material costs and increase in other income.

The consolidated results indicate the net impact of several factors such as
increase/decrease in income, expenditure and exceptional items, etcetera,
relating to Feed and Frozen Food divisions, which have been discussed in the
following divisional performance of these units individually.

STANDALONE FINANCIAL RESULTS OF FEED AND PROCESSING DIVISIONS :

A. FEED DIVISION:

Q2FY24 RESULTS

First, the gross income for the Q2FY24 is INR 1,064 crores as compared to INR
1,351 crores in the previous quarter of Q1FY24, a decrease of INR 287 crores,
mainly due to decrease in quantity of feed sales due to seasonal changes. The
gross income in Q2FY24 increased to INR 1,064 crores from INR 1,040 crores in
the corresponding quarter of Q2FY23, an increase by INR 24 crores, representing
2% due to increase in sales quantity by 1,830 metric tons and decrease in raw
material costs.

The PBT of Q2FY24 is INR 86 crores as compared to INR 125 crores in Q1FY24,
a decrease of INR 39 crores representing 30%, mainly due to decrease in sales
volume due to seasonal changes. The feed sales decreased to 1,27,800 metric
tons in Q2FY24 as compared to 1,65,507 metric tons in Q1FY24. The PBT in
Q2FY24 has increased by INR 35 crores from INR 52 crores in Q2FY23,
representing 67%.

As you know, the cost of raw materials constitutes major share of cost of feed
production, particularly raw materials like fish meal, soybean meal and wheat
flour. The average raw material cost in terms of percentage over feed sale price
was 85.72% in Q2FY24 as compared

to 84.75% in Q1FY24 and 88.11% in Q2

FY23, indicating a marginal increase by about 1% as compared to Q1FY24 and
decrease of 2.5% in Q2FY23.

The increase in trend is continued so far the current quarter that is Q3FY24 is
concerned. The average cost takes into consideration volatility of the major raw
materials like fish meal, soybean meal and wheat flour, sometimes increase and
sometimes decrease during respective quarters. The Q2FY24 rates of fish meal,

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Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call (C) Soyabean
meal and wheat flour are INR 127 per kg, INR 54 per kg soyabean meal
and INR 29 per kg wheat flour respectively. The prices of fish meal, soyabean meal
and wheat flour were at INR 138 per kg, INR 54 per kg and INR 33 per kg
respectively as on date, that is, 18th November 2023.

The fish meal price continues to be on the higher side due to export demand. The
soyabean meal price has been going up and down and thereby the average
soyabean meal price has been about INR 54 per kg. It was expected that the
soyabean meal price may come down at least marginally due to arrival of fresh
crop of soybean from last month. However, so far there has been no such
indication. The MSP on soybean meal has also been increased by the government.

In the case of wheat flour, the price has been on an increasing trend with the price being INR 33 per kg from INR 29 per kg earlier. This wheat also the Government of India has increased the maximum support price.

To sum up, I would like to share with you that the prices of these raw materials along with related products like fish oil, soyalecithin, etcetera, keep changing from time to time depending upon the seasonality, production, global trends, etcetera, which has direct impact on the raw material cost of the Feed beyond the company's control.

Let me compare the six months' performance of the current year with the corresponding period previous year.

Comparison of performance for 6 months ended 30/09/2023 with 6-month period ended 30/09/2022:

In the HYFY22, the total income increased to INR 2,415 crores from INR 2,352 crores in half-year ended FY23 due to increase in feed sales and other income.

The PBT in HYFY22 increased to INR 212 crores from INR 130 crores in the corresponding period of the previous year, mainly due to decrease in raw material costs and increase in other income.

Let me discuss about the processing division.

B. SHRIMP PROCESSING DIVISION:

Q2FY24 RESULTS

The gross income for Q2FY24 is INR 253 crores as compared to INR 237 crores in Q1FY24, an increase by INR 16 crores representing 7% mainly due to increase in sales quantity by 11%. The gross income for Q1FY24 includes sales-based incentive of INR 6.85 crores received under Production Linked Incentive scheme (PLI scheme).

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Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call The gross income in Q2FY24 decreased to INR 253 crores from INR 310 crores

during Q2FY23, a decrease of INR 57 crores, representing 19% YoY. The sales volume during Q2FY24 decreased to 2,950 metric tons from 3,492 metric tons in Q2FY23, decreased by 542 metric tons.

The PBT (before exceptional item) for the Q2FY24 is INR 31.50 crores as compared to INR 32.10 crores in Q1FY24 decreased by INR 1 crore. The PBT in Q1FY24 is higher than PBT in Q2FY24 in spite of increase in sales during the Q2FY24 due to inclusion of sales-based incentive of INR 6.85 crores received under the Production Linked Incentive scheme in Q1FY24 relating to earlier financial year 2021-22.

The PBT in Q2FY24 is INR 31 crores, decreased from INR 39 crores in the corresponding quarter Q2FY23, there is decrease in sales quantity by 542 metric tons, a decrease in average sales realization by INR 37.70 per kg in Q2FY24.

Coming to the comparison of performance of six months.

Comparison of performance for six months ended 30/09/2023 with six months ended 30/09/2022:

The gross income for six months during FY24 was INR 491 crores as compared to INR 583 crores in corresponding six months' period of the previous year. A decrease of INR 92 crores in the gross income during first six months of the FY24 is mainly decrease in quantity of sales by 1,144 metric tons.

The PBT in six months FY24 is INR 63.60 crores as compared to INR 63.10 crores in the six months ended in FY23. The marginal increase in PBT is due to decrease in cost of raw materials consumed and ocean freight rates.

Provision for recall expenses in the financial statements.

The company has not made any additional provision for recall expenses

in Q2

FY24 since full provision has already been made in the financial statements till 31st December 2022 against the total claims received from the buyers.

Status of the product recall is:

Value of claims received and charged to Profit & Loss INR 35.62 Cr

Amount of claims settled up to 31.03.2023 INR 32.57 Cr

Amount of claims settled during Q1FY24 INR 2.06 Cr

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Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call Balance claims provision in the book of accounts as at 30.09.2023 INR 0.99 Cr

As regards the product liability claims for bodily injury caused by consuming company's contaminated product under the recall, the company has submitted a revised claim for the claims received and settled by the company to the insurance company. The surveyor has confirmed that the claim will be processed

by insurance company on or before 30th November 2023. Since the liability has been covered under the commercial general liability insurance policy, no provision has been made in the financial statements of the company.

SHRIMP PRODUCTION AND FEED CONSUMPTION IN FY22 AND COMPANY'S PLANS FOR FY23.

SHRIMP FEED CONSUMPTION:

On the basis of estimated shrimp production in 2023, the estimated feed consumption is about 10.5-11 lakh metric tons.

The company's feed sales during the previous year FY22 was about 5.41 lakh metric tons as compared to 4.73 lakh metric tons in FY21, an increase by 68,000 metric tons. However, the company's estimated shrimp feed sales were 4.97 lakhs metric tons in FY23, down by 44,000 metric tons when compared with FY22.

The company's estimated production in sale of shrimp feed in the calendar year 2023 is about 4.9 lakh metric tons at the same level as in the previous year, when the total Indian feed consumption is down by 15%. The company has been able to maintain its production and sales, though there was an overall decrease in the country.

SHRIMP PROCESSING & EXPORT:

The country's vannamee shrimp exports in terms of value declined in FY23 compared to FY22 by 8.11% from \$5,234.36 million to \$4,809.99 million.

The country's overall exports of frozen shrimp in quantitative tons for FY23 was 7,11,099 metric tons as compared to 7,28,123 metric tons in FY22, a decline of 17,024 metric tons representing 2.34%.

The company's shrimp exports during FY23 was about 12,497 metric tons as compared to 12,836 metric tons in FY22, a decrease by 339 metric tons. It is estimated that the export during FY24 would be around 12,000 metric tons.

The Frozen Foods division is in the process of expanding its capacity as detailed:

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Transcript –Avanti Feeds Limited Q2 FY24 Earnings Conference Call 1. New Processing Plant and Cold Storage unit at Krishnapuram, East

Godavari District with a capacity of

7,000 MT p.a. 1.80% of Civil works are completed

2. P&M installations are in progress.

About 50% installations are completed

3. Pre-processing trial run has been commenced in Q2 FY24.

4. Expecting commercial operations by Mar'2024.

As you know, the company has been selected under the two incentive schemes of the Government of India.

1. Sales-based incentive under Production Linked Incentive scheme and

2. Grant-in-Aid under Operation Greens Long Term Interventions scheme.

THE PRODUCTION LINKED INCENTIVE SCHEME :

The company is eligible for incentive of 6%, on value-added products at 10%, on incremental sales over a period of seven years from FY21-22 to FY26-27 subject to a maximum incentive of INR 79.44 crores with a minimum 5% CAGR in sales.

The company has received an incentive of INR 6.84 crores pertaining to FY22.

FY23 incentive claim application is being filed on or before 31st December 2023.

Operations Greenscheme :

Approval from Government of India for Grant-in-Aid by the proposed investment in new shrimp processing plant at Krishnapuram is received in December 2022.

Maximum Grant-in-Aid under this scheme is INR 10 crores.

The first instalment of Grant-in-Aid is due from the Ministry. The company has submitted all the relevant documents in this regard.

INDUSTRY AND COMPANY'S FORECAST FOR 2024 :

It may be noticed that during the first half of FY24, the shrimp feed sales of the company increased marginally by 2%, while the processed shrimp exports declined to 5,608 metric tons in half year FY24 as compared to 6,752 metric tons in the corresponding period of the previous year.

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Transcript –Avanti F

Feeds Limited Q2 FY24 Earnings Conference Call However, as per the analysis report published by the Rabo Bank on Food and Agri Business, the global survey results forecast YoY shrimp production growth of 4.8% in 2024, surpassing 2022's peak volumes after expected modest decline of 0.4% in 2023 over 2022. Further, a upturn in the US shrimp import market

is beginning to look more real on the basis of the latest update by National Oceanic and Atmospheric Administration of Seafood Trade Database. The upturn is being witnessed for the past three months after a 13 consecutive months YoY decrease. However, the price continues to be down by about 10-15% on the earlier average price.

India continues to lead all source nations sending 28,992 metric tons of shrimps worth \$226.3 million in September 2023, 6% more volume and 5% less revenue than September 2022. However, the average price is down by 11% to \$7.81 per kg from \$8.7 per kg seen earlier. As per the report of the Commerce Ministry, the exports in August 2023 indicated a 17% YoY growth in farm shrimp exports. In the light of information available and the trends indicate an increase in exports in the future may be expected.

As far as sales of shrimp feed is concerned, as I stated earlier, sales during the first half of FY24 registered a marginal increase over the corresponding period of the previous year. As per the field reports, shrimp culture is being continued and shrimp feed sales of the company during calendar year 2023 is slightly to beat more or less same level as in the previous calendar year 2022.

In spite of anticipated decrease in total shrimp feed sales in India by 10-15% in calendar year 2023 compared to feed sales in calendar year of 2022.

To sum up, the rest of the current year appears optimistic for the shrimp industry.

DIVERSIFICATION OF COMPANY'S PLAN INTO PET FOOD & PET CARE PRODUCTS :

You may be aware that the company has incorporated a subsidiary with the name Avanti Pet Care Private Limited as a special purpose vehicle for manufacture of pet food, mainly dogs and cats and other pet care products for catering to the domestic market.

The required technical know-how is being provided by Bluefalo Pet Care Company Limited Thailand, a reputed pet food and pet care products manufacturer in Thailand.

A memorandum of understanding has been entered into with them, which will be followed by transfer of technical know-how agreement and joint venture

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Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call agreement in due course, which is expected to be latest by end of this year, that

is December 31st. The company will be investing 51% of the equity capital of the joint venture company and the balance will be invested by Bluefalo Pet Care Limited and other investors, the details of which are being worked out.

An agency has been appointed for undertaking market research and survey for demand and supply of pet food and pet care products to evaluate and decide on specific products which are in demand in India. The report is scheduled to be received by end of November 2023, that is end of this month, providing basis for production and sales planning. Further details of the project will be reported to you at the appropriate time.

FISH FEED :

Coming to the fish feed, as reported earlier, a senior executive has been appointed to undertake survey and evaluate the demand and supply of fish feed of various species in India with the objective to set up fish feed manufacturing facility by the company, in respect of such species which has demand in India. In the meantime, the company has entered into transfer of technology agreement with the Thai Union Feed mill by providing technical know-how for manufacture of fish feeds in India. Based on the outcome of the market research and survey, the fish feed required for Indian market would be decided to go ahead with the manufacturing of the sale.

Now after giving the brief, the developments in the last quarter, now I would like to take up the question and answer them.

Q&A

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question and answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. First question comes from Faisal Hawa from H.G

.Hawa and Co. Please go ahead.

Faisal Hawa

Sir, how much more expansion is now viewed? And what is the kind of CapEx that we'll see in the next one or two years? And how much will it add to our revenues? What is sales for the expansion that will not now lose?

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Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call C. Ramachandra Rao

To answer this, the expansion, one is, that which is already we have undertaken for the shrimp processing, which will commence in end of this year or financial year. So, the 7,000 tons capacity. And our endeavour is to make maximum utilization of the capacity and particularly the value-added products. So, that is going to give you the higher sales volume, exports volume. That is one area. And the second area is that, the pet care, but it will take time. We are expecting that it should be completed by end of 2024, it will take about a year and to complete the project. And from 1st January 2025, we'll be able to commence the sales in the pet care products.

So, coming to the feed, we already have sufficient capacity, and last year we had the slowdown of the shrimp culture because of the unrelative prices and so many other reasons. But now since, the market is picking up particularly in the US, exports to US is increasing. So, we expanded. The culture is also now briefly going on, even though it is not the normal season. But keeping in that, we expect that the coming year 2024, the sales of the feed also will go up to their higher capacity and the value-added products and shrimp exports, these two will form the majority of the export sales and domestic sales in the next year.

Faisal Hawa

So, what is the sales that we expect in FY24-25?

C. Ramachandra Rao

As we know that, particularly this industry, we can't exactly precisely say this is going to be the turnover, the figures we cannot give. But on nothing what we can say is that, the things are improving. See, initially, if you remember during our earlier last quarter's call, we were having a very sort of not pessimistic view rather on the entire industry in the next one year and perhaps even in the 24 also. But however, thanks to the improvement in the market, US market pickup and exports and also the culture. So, we are expecting that the things will be much better and more optimistic in the rest of this year and also 2024. So, that is an indication with what we can do at this point of time.

So, once we have the figures for 31st March 2024, that is, this financial year, I mean, the most important thing is how the next season starts. Normally, the shrimp culture season starts in end of January or February, but as it stands today, the field report is that the farmers are enthusiastic about the next year and soon after the harvest of the current crop, they will start, as early as possible they would like to start next year. That is what the indication we give. Perhaps after 31st, that is next quarter and we'll be able to give you an idea about what is the picture that is going to emerge in 2024-25, that is financial year.

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Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call Faisal Hawa

And sir, as a market cap you say, our valuation is at the lowest, it should be over the last one decade or so. And the biggest concern about our stock is how we utilize our cash reserves. So, why do we not undertake a small buyback, open market buyback from the market, really lose our cash also as well as address the valuation issue? This is the best valuation it has been in the last.

C. Ramachandra Rao

I think this question we are getting almost every con call. And we have been explaining the reason, because the buyback would not result in any advantage to the investors at all, because the money which we are going to use for our working capital is helping us a lot to make whatever the value, the profitability of the company. If you go for bank financing, which is very, very expensive. So, instead of going for bank financing, we are using this particular, the reserves, that funds which we have, we are keeping on using them at optimum level.

So, we are able to get much, much better the prices for the raw materials, as well as from the bank that we don't borrow. If you look at our balance sheet, we don't have any debt to the company and to the banks for working capital limits, that gives a great advantage. And on the other hand, by just giving 1% or 2% or 5% buyback, it is not going to help anybody, neither the company nor the investor. So, it is always advantageous to keep the resources as and when we want. Now, for example, the pet care, we don't have to invest anything.

Neither the collaborators nor the company is interested in borrowing it, because so many conditions attached to date, the interest, all these things would make

the project much higher than what it is. So, we have the great advantage of the funds to immediately implement and go ahead with our production as early as possible. So, we need not have to depend upon the bank borrowing. In fact, this is being appreciated by even the collaborators also. So, because they also would not like to go for bank borrowings.

They always prefer only better to use our own resources for any expansions and all. So, as and when we decide, it should be readily available. On the other hand, whatever the surplus that is remained, is we are giving for working capital limits, because seasonality of the industry is one of the, again, major concern because, these seasons keep changing and the aquaculture also keeps changing. So, what is there in the first quarter is not there in the second quarter. So, first quarter spillover comes in the next quarter.

So, we must be ready with the funds so that we can use them for raw material procurement. And particularly, when the prices are low, we are able to keep

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Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call higher stocks and take advantage of it. Now, for example, soyabean meal, fresh

crop is coming, we are waiting for the price to come down. If they come down, immediately we buy quantities for normal cost, if you keep 15 days, we keep more than one month. So that gives you lot of advantage for us. That is the reason why, this has been several times discussed at the board level. But somehow, the board considers that it is a wise thing to go ahead with this policy.

Faisal Hawa

Okay. Thank you, sir.

Moderator

Thank you. Next question comes from Nitin Awasthi from Incred Equities. Please go ahead.

Nitin Awasthi

Hello, sir. Am I audible?

C. Ramachandra Rao

Yes, sir.

Nitin Awasthi

Sir, firstly, I would like to recall that, like you mentioned in the opening remarks, that the sales are starting to pick up in the last two months, at least that's what the data is showing, the export from India is picking up. What would you attribute this factor to? Is it that problems in Ecuador where we are finally backing off because of their internal issues or something else?

C. Ramachandra Rao

Nikhilesh, can you please take up this question?

Alluri Nikhilesh

Hi, Nitin. Am I audible?

C. Ramachandra Rao

Yes.

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Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call Alluri Nikhilesh

Hi, Nitin. I hope you're well. So, to answer that question, it's not due to any other factor, but the reason being that the first half of the year, the imports have been down as data shows, but in the second half, especially during this period the product for Thanksgiving and Christmas goes in, so that's why you see an uptick in the shipment to the US in particular. I hope that is an answer.

Nitin Awasthi

Yes, that fairly answers it. Secondly, because of this uptake, we are seeing an optimistic outlook at least building up for the next year, next harvest, like calendar year harvest. However, the two raw materials that you will use, fish meal and soya. Officially, particularly even now seem to go big, is going buzzer, because I think all the supply from India has been absorbed by China, which we haven't seen in many years and it's been an abnormal price that we're seeing. So, profitability seems to be very largely impacted because of that. At least, going forward, we see that prices of 150, it is not very far fetched.

C. Ramachandra Rao

True. What you said is correct. See, the profitability is impacted, but we are making a lot of effort to convince the government that you make a provision by whatever the procedure you call, whether it is on the imposing a restriction on exports or discouraging by withdrawing export incentives or whatever it is. So, whatever the shrimp meal that is produced in India is first made available to the local industries, because this is a value-added product. What we are doing is, we

are producing the shrimps and we are exporting the shrimps and the value-added product is more advantageous to the government. But however, as you know, we have made representations to the government and we are awaiting.

This is a thing which has to be answered by only the government, because we as a consumer, we do not have much choice because if you are a fish meal exporter, the producer says that when I am getting so much there, why should I give it to you. That's what. At least as Avanti Feed

has got a better relationship with most of

the manufacturers, at least when they don't have export orders, they'll first prefer to Avanti. So, that we have been able to keep our requirements getting, but the price is something which is very difficult. Only marginally they reduce the price compared to their exports, that is the only thing which we could do at this point of time.

Hopefully, the government would realize the necessity for regulating this exports of shrimp, fish meal to other countries. Most so, what happened is, Southeast Asian countries which they consume the fish meal, the Chile and Peru, the transportation and also off late there has been a decrease in the fish catches in

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Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call Chile and Peru that is also has contributed to some extent, the shortage of fish

meal in those countries. So, they added to that, the cost effective fish meal procured from India, that is the reason why most of the Southeastern countries are importing from India, the fish meal. I think that's what we can do at this point of time, sir.

Nitin Awasthi

Understood sir. But this seems to be a very serious factor, which could actually halt the growth of the industry for no fault of its own. So, I think action should be taken from the government side, it's good that you are representing. I think the representation should grow because the numbers speak for itself, one country has plucked out more fish meal from India in this year than I think four-five years combined exports.

C. Ramachandra Rao

Yes, see, in fact, our CMD, Indra Kumar, here represented twice. He went to Delhi, met the Finance Ministry and also the Commerce Ministry and requested them to do something to regulate it. It's not necessary. You're completely banned. But you can always put the parity, you can bring the level playing for Indian consumers also. So, if you make the big difference, that is not going to help the domestic industry. Though, they realize, but it's all the government procedures and all that that they said, when we are getting foreign exchange why should we discourage them. So that is the stand the government always takes, because they are getting foreign exchange. That's a valuable foreign exchange.

So naturally, they say why should we put restrictions. It is what is happening. Anyway, it will not happen, but one day definitely they'll realize that how it is they help the domestic industry to increase its share of foreign exchange much more multiple number of times you can get if shrimp is exported. That has to be realized by the various levels with the government and the policy has to be brought whereby they can at least put some quota or something like that or discourage these incentives that is duty drawback, road tax and all these things can be discouraged. So that a portion of the production is given to the Indian consumers.

Nitin Awasthi

Got it, sir. So last question from my side. India Shrimp Tariff Act has been introduced in the Senate in US. Any thoughts on this? Why India being targeted specifically? Because, I think, Ecuador share has also been considerably up in exports to the US. However, they are getting treaties being signed, trade deals being signed by them and tariffs being reduced. And on the other hand, you have

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Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call Indian Shrimp Tariff Act which brings, I mean, like that just makes the business unfeasible the tariffs this Act goes through.

C. Ramachandra Rao

Nikhilesh, can you take this question, please?

Alluri Nikhilesh

Could you repeat what you're saying, Nitin? I'm sorry, I couldn't hear the first part.

Nitin Awasthi

Now worries. I'll just repeat it. So, there's this Act which is being introduced in Senate in the US, the India Shrimp Tariff Act. And meanwhile, there are also imports from the Ecuador, which is our competitor. So, US has been increasing multi-fold, and whereas with Ecuador, US has been signing trade agreements in trade deals, lowering their tariff and they are introducing bills like this, which will actually make business in the shrimp processing industry impossible if bill like this goes through. So, what are your thoughts on that?

Alluri Nikhilesh

Thank you, Nitin. I would like you to double check on the information. The duty, it's not the Indian shrimp tariff, it's called the CVD or Countervailing Duty that's being put by the US on shrimp from India, Ecuador, Indonesia, Vietnam, so all the major shrimp processing countries. And

in addition to the Countervailing

Duty, I see that Indonesia and Ecuador might will be subject to, even Antidumping Duty. So, I feel that this is not to India specific, but it's more towards the general shrimp producing country.

The biggest, in my opinion, the duty which is proposed to be included if everything passes, which also again, there's so many bills introduced. So, it's not all of them go through, right? So, if it does get introduced, it's going to be a country specific duty. So, we need to see how this develops, but it's not India specific. So, it is a big question mark right now, but this is an external factor, which is the US Government governing this. So, we are waiting for the developments and the following and taking the necessary precautions. But again, I just want to assure you this is not India specific.

Nitin Awasthi

Understood. So, heartening to hear that. Thank you. That's all from my side.

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Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call Moderator
Thank you. Next question comes from Jasdeep Walia from Clockvine Capital.

Please go ahead.

Jasdeep Walia

Hi, sir. Thanks for taking my questions. So, I just wanted your thoughts on, how does cost of production compare between India and Ecuador, first at the raw shrimp level and then at the processed shrimp level?

C. Ramachandra Rao

Nikhilesh?

Alluri Nikhilesh

I'll take that question. So, the specifics on the cost structure, I'm not 100% aware, because it's not usually clearly disclosed. We just have an information on people giving us information by word-of-mouth. But looking at it, the cost structure, the cost of the farm gate shrimp in Ecuador is lower than India. This is due to a variety of factors, because most of the processors in Ecuador are actually also large farmers, right?

So, they are controlling the farm gate price and doing the vertical integration play, where it's unclear what is the actual cost of production. But on processed shrimp, definitely, Ecuador is very cost competitive. They are the biggest competitor to Indian shrimp today. But again, we play in different, I would say like Avanti, in particular, plays in a different game compared to Ecuador, because Ecuador just focuses on very commodity products like headless shell on or head on, shell on. So, just basically taking the shrimp and selling it there. We focus more on value-added play.

Nevertheless, there is intense competition from Ecuador and the processed shrimp on the commodity products, they're more attractive than India. But again time and again, we've been saying in the last few years, we focus on moving away from commodity to value-added products, which is beneficial for us. I hope I answered your question.

Jasdeep Walia

Sir, in your earlier commentary, you used to say that on the processed shrimp side India is more competitive because cost of labour is lower in India. So now you said that Ecuador is more competitive. So, can you explain this dichotomy?

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Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call Alluri Nikhilesh

Yes, I can explain that. So, Ecuador has become the largest producer in the past two years. So, it's not something that we know the last decade. It's come up to be the largest produced in the last two years. So, that is the reason, the commentary has changed today. They have expanded their production from 600 to 1 billion tons

1.5 billion now. That is the targeted production for this year. So, we have almost doubled every year for the last two to three years. So, that's the distance that you see, but we are very competitive on certain products which Ecuador does not focus on. Like, I was saying in my previous comment, Ecuador focuses on value, I mean, commodity shrimp where we focus on value-added shrimp.

Jasdeep Walia

By value-added shrimp, I understand one category of products is the breaded shrimp or let's say, ready-to-cook kind of shrimps. So, what about basic process shrimp where you just devein the shrimp, clean the shrimp, pack it and send it for export? So, there also you're saying, Ecuador is more competitive.

Alluri Nikhilesh

No. I would say over there, we would be par-to-par, like you must understand, like on a general basis, you see that India has a population about 1.5 billion people today. For Ecuador if I'm not wrong, is not even a 10th of what we have in terms of manpower. So, we are able to process more cut peel deviation compared to Ecuador, and coming to breaded and ready-to-eat products they are still far away.

Jasdeep Walia

Got it. My second question is that, I've been reading that the prices of beef in US have increased significantly. Also, prices of pork in China have increased significantly over the last couple of months. So, in your experience, you would have seen these kind of trends earlier also. What do you think will be the impact of these price changes on the shrimp consumption in US? Does it need to faster clearing of inventory of shrimp or it doesn't mean much?

Alluri Nikhilesh

So, it's very difficult to say, because you pinpointed only one factor, which is the price increase in different protein. But you must also, there are so many other factors, like I'm not sure if you came across the Chairman of JPMorgan, who recently said that the disposable income of the US middle class is at a all-time low. The savings that they made through the pandemic, etcetera, they're quickly diluting through it. So, there are so many factors that affected. As of now, I would

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Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call say, like, there is no change in our forecast for shrimp sales in the next six months.

Jasdeep Walia

Got it, sir. Thank you. That's all from my side.

Moderator

Thank you. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. I repeat, ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. We have a follow-up question from Faisal Hawa from H.G. Hawa and Co. Please go ahead.

Faisal Hawa

Sir, since our business is constantly throwing up cash and we are very much debt away. Would it be a right assumption to make that we will keep on making small expansions in different capacity, wherever we see some areas where it can be so easily and this way we will at least double revenue every four to five years?

C. Ramachandra Rao

That has been always the, see, always we look for the expansion provided. It creates value addition for the investors, the investment. So naturally, as you know that we have been trying almost like last five, six years to continuously on lookout for a suitable product for expansion, diversification. Of course, fish feed has been discussed quite often. But there is a reason why we didn't take up that fish feed a couple of years ago, because there was not a proper demand for the product. We should be able to make profit out of that business. So, that's why we have been keeping. At the appropriate time, that is the answer which we have been giving in all our earlier calls. This is how we are doing it. See, the expansion we are ready to do provided, it has some advantage to the company and the investors, definitely we'll do that. There is no time limit four or five years like that, but we can always.

Faisal Hawa

Sir, in the last five to six years, has there been any expansion where we have fallen behind deadlines and not been able to start the production on time?

C. Ramachandra Rao

No, there was no such thing. Only one occasion that feed at Bandapuram.

Because of the post after corona time, shipments did not come. There was about 19

Transcript –Avanti Feeds Limited Q2FY24 Earnings Conference Call three to four months' delay. But for that, there was never such a way. We were ready. Only thing is the shipments took time for three to four months, because of the availability of vessels and all those things at that time, this was very, rather, a very complicated issue was there at that time. So that is the only occasion, we did not have any real impact on account of that.

FaisalHawa

And sir, debt or days are up a bit. So, is that a seasonal matter or there is more to it?

C.Ramachandra Rao

Seasonal matter. It is purely seasonal.

FaisalHawa

So, we will be always in single-digit debt or days?

C.Ramachandra Rao

Yes.

FaisalHawa

Ok sir. Thank you so much.

Moderator

Thank you. That will be the last question for the day. Ladies and gentlemen, we would like to come to the end of the conference. We appreciate the interest from the investors and analysts for the participation. Thank you. And if you need any further information, you may connect with Ms. Lakshmi Sharma and Mr. Narender Sharma of Avanti Feeds Limited at investors@avantifeeds.com. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you and have a good day.

Note: 1. This document has been edited to improve readability

2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Feb 2024

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February 19, 2024

To To

BSE Limited, National Stock Exchange of India Ltd.,

1st Floor, New Trading Ring, Exchange Plaza,

Rotunda Building, P.J. Towers, Bandra (East),

Dalal Street, Mumbai — 400001 Mumbai — 400051

Maharashtra, India Maharashtra, India

BSE Code: 512573 NSE Symbol: AVANTIFEED

Dear Sir/Madam,

Sub: Earnings Audio Call Transcript for the quarter ended December 31, 2023.

KKK

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations 2015, we enclose herewith the transcript of earnings Audio Conference

Call held on February 14, 2024 in relation to the unaudited financial results

(Standalone and Consolidated) of the Company for the quarter and nine months

ended December 31, 2023

The said earnings call transcript is available on the website of the Company at

<https://avantifeeds.com/corporate-announcement/#Investor-Analyst-Corner>

This is for your information and record.

Thanking you,

Yours faithfully,

For Avanti Feeds Limited

C. Ramachandra Rao

Joint Managing Director,

Company Secretary,

Compliance Officer & CFO

DIN: 00026010

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Avanti Feeds Limited Q3 FY24 Results Conference Call

February 14, 2024, at 16:00 hrs. (IST) for a duration of 56 mins 34 secs

CORPORATE PARTICIPANTS:

Mr. C. Ramachandra Rao

Joint Managing Director, CS & CFO

Mr. A. Venkata Sanjeev

Executive Director

Mr. A. Nikhilesh

Executive Director - Avanti Frozen Foods Private Limited

Mrs. Santhi Latha

General Manager - Finance and Accounts

Mr. D.V.S. Satyanarayana

CFO - Avanti Frozen Foods Private Limited

Ms. Lakshmi Sharma

Senior Manager - Corporate Affairs

Transcript — Avanti Feeds Limited Q3 FY24 Earnings Conference Call

Moderator

Good evening, ladies, and gentlemen. I am Sowmya, moderator for the conference

call. Welcome to Avanti Feeds Limited Q3 and 9M FY24 Earnings Conference Call.

We have with us today, Mr. C. Ramachandra Rao, Joint Managing Director; Mr. A.

Venkata Sanjeev, Executive Director; Mr. Alluri Nikhilesh, Executive Director of

Avanti Frozen Foods Private Limited; Mrs. Santhi Latha, GM of Finance and

Accounts, Ms. Lakshmi Sharma, Senior Manager and Mr. D.V.S Satyanarayana,

CFO of Avanti Frozen Foods Private Limited.

As a reminder, all participants will be in the listen-only mode and there will be an

opportunity for you to ask questions after the presentation concludes. Should you

need assistance during the conference call please signal an operator by pressing *

and then 0 on your touchtone telephone. Please note this conference is recorded. I

would now like to hand over the floor to Mr. C. Ramachandra Rao, Joint Managing

Director. Thank you. And over to you, sir.

C. Ramachandra Rao

Thank you, Sowmya. Good evening, ladies, and gentlemen. I am pleased to extend a warm welcome to all of you for this investors conference call to review the unaudited financial results for the Q3 FY24. Along with me here are Mr. A. Venkata Sanjeev, Executive Director and Mr. A. Nikhilesh, Executive Director of Avanti Frozen Foods Pvt Ltd, joining through call; and Mrs. Santhi Latha, GM of Finance and Accounts; and Mr. D.V.S Satyanarayana, CFO of Avanti Frozen Foods Pvt Ltd; and Ms. Lakshmi Sharma.

To begin with, Mrs. Santhi Latha will present highlights of the financial results of the Q3 FY24 and 9Months ended 31st December 2023 of Feed Division, and also consolidated financials of the company for the same period. Thereafter, Mr. D.V.S Satyanarayana will present the financial highlights of shrimp processing and export

vision. After presentation by both of them we will take up questions and answers.

Okay. So now I request Santhi Latha to take over.

Transcript — Avanti Feeds Limited Q3 FY24 Earnings Conference Call -2-

Santhi Latha

Thank you, sir. I will take you through the financial performance highlights of Feed division.

CONSOLIDATED FINANCIAL RESULTS FOR Q3FY24 & 9MFY24:

(A) Q3FY24 RESULTS

So, Q3 FY24 consolidated results, the comparative performance of Q3 FY24 with that of Q2 FY24 and Q3 FY23 have been given in the presentation already circulated. Gross income in Q3 FY24 is INR 1,287 crores as compared to INR 1,312 crores in the previous quarter Q2 FY24, a decrease of INR 25 crores, marginal decrease by 1.9%. Compared to Q3 FY23, gross income of INR 1,132 crores there is an increase of INR 155 crores by 13.7%. The PBT is INR 116 crores in the current quarter, that is Q3 FY24 as compared to INR 113 crores in Q2 FY24, an increase of INR 3 crores and compared to Q3 FY23 PBT of INR 96 crores there is an increase of INR 20 crores by 21%.

B) COMPARISON OF PERFORMANCE FOR 9 MONTHS ENDED DECEMBER 31, 2023 WITH 9-MONTH PERIOD ENDED DECEMBER 31, 2022.

In 9M FY24, the total income increased to INR 4,185 crores from INR 4,062 crores in 9M FY23. The PBT increased to INR 386 crores from INR 287 crores in the corresponding period of the previous year. Almost an INR 99 crores increase mainly due to increase in revenue and decrease in raw material cost and better overhead absorption.

The consolidated results indicate net impact of several factors of both frozen and feeds especially increase or decrease in income, expenditure and any other exceptional items.

Transcript — Avanti Feeds Limited Q3 FY24 Earnings Conference Call -3-

STANDALONE FINANCIAL RESULTS OF FEED AND PROCESSING DIVISIONS

A. FEED DIVISION:

Q3FY24 RESULTS

The gross income for the Q3 FY24 is INR 958 crores as compared to INR 1,064 crores in the previous quarter, a decrease of INR 106 crores, mainly due to a decrease in the quantity of Feed sales due to seasonal changes. The gross income of Q3 FY24 increased to INR 958 crores from INR 878 crores in the corresponding quarter, an increase by INR 80 crores representing 9% due to an increase in sales quantity by 9,968 mt.

The PBT for the Q3 FY24 is INR 76 crores as compared to INR 86 crores in Q2 FY24, a decrease of INR 10 crores mainly due to a decrease in sales volume due to seasonal changes. The Feed sales decreased to 1,16,318 metric tons from 1,27,864 metric tons in Q2 FY24. The PBT in Q3 FY24 has increased by INR 6 crores from INR 70 crores in Q3 FY23 representing 9%.

As you know, the cost of raw material constitutes a major share of cost of Feed production particularly three raw materials which are fish meal, soyabean meal and wheat flour. The average raw material cost in terms of percentage over Feed sale price was 84.83% in Q3 FY24 as compared to 85.53% in Q2 FY24 and 83.6% in Q3 FY23.

Increase or decrease in raw material consumption is mainly because of the prices.

The prices stabilized in the current quarter when compared with Q2 FY24, but are on a higher side when compared with Q3 FY23.

The average cost takes into consideration, volatility of the major raw materials like fish meal, soyabean meal and wheat flour. Sometimes they increase and sometimes

decrease during their respective quarters. The Q3 FY24 rates of fish meal, soyabean meal and wheat flour are INR 129 per kg, INR 53 per kg and INR 30 per kg respectively. The present market prices of fish meal is around INR 125 per kg, soyabean meal is INR 52 per kg, and wheat flour is around INR 30 per kg. Transcript — Avanti Feeds Limited Q3 FY24 Earnings Conference Call -4- The fish meal price continues to be on the higher side due to export demand. The soyabean price has come down marginally due to the arrival of fresh soya and is expected to remain stable at least in the next few months. So, the average soyabean meal price

has come down to about INR 52 per kg. In the case of wheat flour, the price has come down due to arrival of good crop in 2023 with the price being INR 30 per kg from INR 33 per kg in earlier 2023.

To sum up, I would like to share with you that the prices of these raw materials along with related products like fish oil, soya lecithin et cetera, keep changing from time-to-time depending upon the seasonality, production, global trends, et cetera which have direct impact on the raw material cost of the feed which is beyond the control of the company.

COMPARISON OF PERFORMANCE FOR 9 MONTHS ENDED DECEMBER 31, 2023 WITH 9 MONTH PERIOD ENDED DECEMBER 31, 2022.

In 9M FY24, the total income of Feed division increased to INR 3,373 crores from INR 3,229 crores in the previous year. The increase is due to an increase in feed sales and other income. The PBT 9M FY24 increased to INR 288 crores from INR 200 crores in the corresponding period of the previous year mainly due to an increase in sales, other income and decrease in raw material cost and also better overhead absorption.

SHRIMP PRODUCTION AND FEED CONSUMPTION IN FY23 AND COMPANY PLANS FOR FY24:

SHRIMP FEED CONSUMPTION:

So, on the basis of estimated shrimp production in CY23, the estimated feed consumption is about 10.5-11 lakh metric tons.

The company's feed sales during the previous financial year is about 4,97,000 metric tons as compared to 5,25,000 metric tons we are expecting in FY24.

Transcript — Avanti Feeds Limited Q3 FY24 Earnings Conference Call -5-

The company's sale of shrimp feed in the CY23 is about 5.13 lakhs metric tons, a decrease of 2% when compared with previous year. When the total Indian feed consumption is down by 15%, the company's revenue is down by only 2% when compared with that.

SHRIMP PROCESSING AND EXPORT DIVISION

The company's vannamei shrimp exports in terms of value declined in FY23 compared to FY22 by 8.11%, from \$5,234 million to \$4,008.9 million.

The country's overall export of frozen shrimps in quantitative terms for FY23 was 7,11,099 metric tons as compared to 7,28,123 metric tons in FY22, a decline of 17,024 metric tons representing 2.34%.

The company's exports during FY23 were about 12,497 metric tons as compared to 12,836 metric tons in FY22, a decrease by 339 metric tons. It is estimated that exports during FY24 would be around 12,500 metric tons.

Now, I would like to hand over to Mr. D.V.S. Satyanarayana to present highlights of Shrimp Processing and Export Division.

D.V.S. Satyanarayana

Thank you, madam.

Now I would like to take you through the financial highlights of Shrimp Processing and Export division.

B. SHRIMP PROCESSING DIVISION:

Q3FY24 RESULTS

The gross income for Q3 FY24 is INR 329 crores as compared to INR 253 crores in Q2 FY24, an increase by INR 76 crores which is representing 30% mainly due to an increase in sales quantity by 35%.

Transcript — Avanti Feeds Limited Q3 FY24 Earnings Conference Call -6-

The gross income in Q3 FY24 increased to INR 329 crores from INR 255 crore during Q3 FY23, an increase of INR 74 crores representing 29% YoY growth.

The sales volume during Q3 FY24 increased to 3,990 metric tons from 2,865 metric tons in Q3 FY23, an increase by 1,125 metric tons.

The PBT before exceptional item for the Q3 FY24 is INR 40 crores as compared to INR 32 crores in Q2 FY24, increased by INR 8 crores, the PBT is increased mainly due to increase in sales quantity by 1040 metric tons during Q3 FY24.

The PBT in Q3 FY24 is INR 40 crores, increased from INR 30 crores in the

corresponding quarter that is Q3 FY23 as there is an increase in sales quantity by 1,125 metric tons.

COMPARISON OF PERFORMANCE FOR 9 MONTHS ENDED DECEMBER 31, 2023 WITH 9 MONTHS ENDED DECEMBER 31, 2022

The gross income for 9M during FY24 was INR 820 crores as compared to INR 838 crores in the corresponding 9M period of previous year, that is FY23. The decrease of INR 18 crores in the gross

income during 9M FY24 is mainly due to decrease in average sales price realization.

The PBT in 9 months FY24 is INR 104 crores as compared to INR 98 crores in 9M FY23, an increase in PBT by INR 6 crores is mainly due to decrease in ocean freight rates during the current period.

PROVISION FOR RECALL EXPENSES IN THE FINANCIAL STATEMENTS.

The company has not made any additional provision for recall expenses in Q3 FY24 since, full provision has been made in the financial statements till 31st December 2022, against the total claims received from the buyers. So, the current status of product recall is as follows.

Transcript — Avanti Feeds Limited Q3 FY24 Earnings Conference Call -7-

Value of claims received and charged to Profit & Loss INR 35.62 Cr

Amount of claims settled up to 31.03.2023 INR 32.57 Cr

Amount of claims settled during Q1FY24 INR 2.06 Cr

Balance claims provision in the book of accounts as at INR 0.99 Cr
31.12.2023

As regards the product liability claims for bodily injury caused by consuming company's contaminated product under the recall, the surveyor has submitted the final survey report to insurance company and it is under review by insurance company. As per information provided by broking firm, the claim will be settled in early March 2024. Since the liability has been covered under the commercial general liability insurance policy, there is no need of provision and hence we have not made any provision in the financial statements.

So, here I will just update on the new shrimp processing plant.

1. [New Processing Plant and Cold) 1. Plant ® & Machinery installations

Storage unit in Krishnapuram, are completed. Commissioning will

Kakinada District with a capacity of start from Feb 20, 2024

7,000 MT p.a. 2. Trial production is underway and

Commercial Production scheduled

to commence from Mar'24.

As you are aware, the company has been selected under two incentive schemes of Government of India.

=> Sales-based incentives under Production Linked Incentive scheme; and

» Grant-in-Aid under Operations Green long term intervention.

PRODUCTION LINKED INCENTIVE SCHEME

The company is eligible for incentive of 6% on raw products and 10% for value-added products on incremental sales over a period of 6 years from 2021 - 2022 to 2026 -

Transcript — Avanti Feeds Limited Q3 FY24 Earnings Conference Call -8-

2027 financial years' subject to a maximum incentive of INR 79.44 crores with minimum CAGR of 5% in sales.

The company has received an incentive of INR 6.85 crores pertaining to FY22.

Incentive claim application for the FY23 was filed in December 2023.

OPERATION GREEN SCHEME

Approval from Government of India for Grant-in-Aid for the proposed investment in new shrimp processing plant at Krishnapuram is received in December 2022.

Maximum Grant-in-Aid under the scheme is INR 10 crores. The first installment of Grant-in-Aid is due from the Ministry. The company has submitted all the relevant documents in this regard.

Now, I request the JMD sir for sharing future outlook of the industry.

C. Ramachandra Rao

Thank you, Satyanarayana. Having reviewed the financials of Q3 FY24 and comparison of 9M performance ending 31st December 2023. I would like to share with you the present status and outlook for the year 2024 of this aquaculture

industry.

In line with global forecast of moderate recovery of fishery sector in 2024 over 2023, the stocking of feed for first crop of shrimp culture in India commenced during the second half of January 2024 with an increase of about 10-15% over the corresponding period of the previous year. As the shrimp farmers are confident of stable farm gate prices during this year, the same trend of increased stocking is expected during the rest of the first crop period. Considering the present trend, an increase of 10-15% over 2023 in feed consumption seemed to be certain to increase to about 12.5-13 lakhs metric tons

in the current year. Our company targets to achieve about 6 lakh metric tons feeds sales in the year.

The processing and export for shrimp division is also expected to increase exports to about 15,000 metric tons during the current year, considering the Transcript — Avanti Feeds Limited Q3 FY24 Earnings Conference Call -9- commencement of commercial production by the new processing plant at Krishnapuram in Andhra Pradesh before 31st March 2024. The company is focusing on increasing the processing and export of value-added products during the current year. The company while strengthening the exports to US and Canada markets also exploring other markets like Japan and Korea where the company is receiving very positive response from them.

The Government of India has also been focusing and encouraging aquaculture sector by extending promotional schemes like PLI scheme, Operational Greens et cetera, which the company is availing. It is heartening to know, note that in budget for 2024-2025 presented by the Hon'ble Finance Minister on 1st February 2024, announced Pradhan Mantri Matsya Sampada Yojana (PMMSY), is being stepped up to enhance aquaculture productivity from existing 3-5 ton per hectare, doubling the exports to 1,00,000 crore and generate 55 lakhs employment opportunities along with big infrastructural changes of establishing 5 integrated aqua parks. Further details of the scheme expected to be notified after the general elections while presenting the regular union budget.

To conclude, the stakeholders of the industry look forward for a bright future for the aquaculture industry in 2024 and thereafter, unless any unforeseen developments in climatic conditions or changes in the global market scenario impacts the industry.

DIVERSIFICATION OF COMPANY'S PLAN INTO PET FOOD & PET CARE PRODUCTS

You may be aware that the company has incorporated a subsidiary company with the name Avanti Pet Care Private Limited as a special purpose vehicle for the manufacture of pet food, mainly dogs and cats and other pet care products for catering to the domestic market.

The required technical know-how is being provided by Bluefalo Pet Care Company Limited, Thailand, a reputed pet food and pet care products manufacturer in Thailand. A Memorandum of Understanding, transfer of technical know-how Transcript — Avanti Feeds Limited Q3 FY24 Earnings Conference Call - 10 agreement, and joint venture agreements have been entered into with the joint venture partners.

An agency has been appointed for undertaking market research and survey for demand and supply of pet food and pet care products to evaluate and decide on specific products in demand in India. Further details of the project will be reported to you in due course.

FISH FEED

As reported earlier, a senior executive has been appointed to survey and evaluate the demand and supply of fish-feed of various species in India with the objective to set up fish-feed manufacturing facility by the company. Now, the survey is in progress and the report is being expected in a couple of months.

FROZEN SHRIMPS AND FISH DOMESTIC MARKET

The company has made the strategic decision to venture into domestic market, a move that the management believe will enhance our business prospects and create new opportunities for value creation within the country. The company is in the process of structuring the marketing strategy by taking on senior marketing professionals and it is expected that the sales in the domestic market may be grounded in a couple of months.

I think with this I conclude the introduction part, the brief, the future for the aquaculture industry. And now we will take up questions and answers from you.

Thank you, ladies, and gentlemen.

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Q&A

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press *

and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. Our first question comes from Gunit Singh from Counter Cyclical Investment PMS. Please go ahead, sir.

Gunit Singh

In terms of exports of seafood. So, I mean, can you share more light on that and how can we capitalize on this opportunity?

C. Ramachandra Rao

Nikhilesh?

Alluri Nikhilesh

Hi, could you repeat your question?

Gunit Singh

So, recently there have been reports of some difficulty or problems that the seafood industry, seafood exports from Ecuador are facing. So, I mean, I want to hear your thoughts on that and how the company can capitalize on this, because in the recent past we've seen that Ecuador has taken up some market share of Indian exports to the US. So, I mean, how does the outlook look going forward and currently for us in the US market?

Alluri Nikhilesh

Thank you. So, right now there is a lot of political and social instability in Ecuador. So that would be a short-term problem for the country, because simply like a lot of buyers can't even go to the country right now. I know several of them who have canceled their trips to Ecuador, in light of the situation. So, we might benefit out of in the short term, but long term, I think I feel India is still in a good area for exports, mainly because we focus more on higher value products compared to Ecuador. Ecuador's population is about 17-18 million, compared to our 1.4 billion. So, they're not able to process as much as India can in the value-added space. So that way it's healthy for us in the US market in the long term. I hope that answers your question.

Gunit Singh

Yes, that does. So basically, in the value-added segment, we have an edge, but I mean, in the non-value-added segment, is there a number that you can give in terms of the landed cost of exports from Ecuador versus from India?

Alluri Nikhilesh

So, Ecuador does very low value items like the lowest that you can go to. It's like just the plain shrimp or the shrimp without the head. So, they're much more competitive than us over there, because they don't have any other overhead like you're grading, high-end grading machines or even cookers, et cetera. So, there's no landed cost as such, but I would say those products, just to provide raw material, they would be about 10% lower than what India can provide. Also add to it that we Avanti as such doesn't focus on those products. They account for less than 5% of our total sales or even 2% of our total sales. The product that Ecuador does, we don't overlap with them.

C. Ramachandra Rao

I may add to what Nikhilesh said that, see, we are focusing more on the value-added products, export of value-added products, which will have, as stated it will have an edge, and more and more we want to go for value-added and a new factory is equipped with advanced equipment to make value-added products, and that is the area where really the companies, the profitability or the volumes with exactly they lies. So, we are going on that. In that perspective, Ecuador may not be that big competitor for us on that.

Gunit Singh

Okay, got it. I want to understand this in the perspective of the shrimp feed consumption, because if our export of even low value exports to US, they lose in competition to Ecuador, then the shrimp feed consumption may also go down. So, I was coming from that sheet, but I got it. And I want to understand what percentage of our raw material cost is in wheat, fish and soya, in terms of percentage?

A. Venkata Sanjeev

Totally it would be 85% all three together.

Gunit Singh

And breakdown of individually?

A. Venkata Sanj

eev

Sorry?

Gunit Singh

Individual breakdown of wheat, soya and fish?

C. Ramachandra Rao

I can just add to what Mr. Venkata Sanjeev said. See, this is a formula depending upon the kind of feed we are making, whether it is a starter or grower or finisher, the combination changes between the raw materials like the fish meal, soyabean meal and the wheat flour. Moreover, pricing also will have an impact. So, we make an adjustment in the overall the raw material composition of each variety of products. So, it is very difficult and not possible to give the individual breakup of soyabean meal, fish meal and wheat flour. So, I think it's, overall, we say that this Transcript — Avanti Feeds Limited Q3 FY24 Earnings Conference Call -14 is about 85%. It depends upon the product. So, it may range from 70-85%. It may range with these three products.

Gunit Singh

All right, sir. Got it. And my last question would be what is the outlook for FY25 in terms of top line and bottom line, and what kind of steady state margins are we looking at in FY25 considering the push by government and situation getting better.

C. Ramachandra Rao

See now, as I told in my earlier presentation, that 2024 as such appears to be still a challenging year for aquaculture sector. But still, compared to 2023, we expect that 2024 would be a better year. So, in the sense that there is a marginal increase in exports as well as feed consumption, culture itself by about 10-15%. So, this is still a beginning of the season. So, it started the mid of January and it continues, and the first crop goes on till almost July, August. So, as we go forward, we expect that the production will go up as a result the production, the consumption of feed also goes up, and of course, exports also do go up.

So, for 2024 it is fine. And 2025, as you said, the impact of the government schemes, what we told you earlier, like Pradhan Mantri Matsya Sampada Yojna, et cetera. See, the governments have to come, we are going to have the general elections and after that the new government comes and they formulate the procedures where we stand, how we take advantage of this, the government schemes for increasing the aquaculture, the exports of seafood, it all depends because 2024 year, once we cross it comfortably, which we expect that it will be more or less on the 2022 year, 2023 had actually decreased the performance and we hope to get back to 2022 level and if possible even to cross that.

That is what we are looking at this point of time. So, as we go, maybe in time next quarters, we'd be able to give you the exact progress of the industry.

Transcript — Avanti Feeds Limited Q3 FY24 Earnings Conference Call -15

Gunit Singh

All right, sir. Got it. That's all from my side. Thank you. All the best.

C. Ramachandra Rao

Thank you.

Moderator

Thank you. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. I request the participants to restrict with one question in the initial round and join back the queue for more questions. Our next question comes from Apoorva Mithada from Purnartha Investment Advisors.

Please go ahead.

Apoorva Mithada

Thank you for giving me the opportunity. So, in Q3, I've seen that the EBITDA margins have not gone up, even though in this quarter the shrimp processing has been higher and there has been stable raw material prices. So, have we increased the discount that is given to the dealers? And could you just give a breakup of per ton, what would be the discount this quarter and the last two quarters?

C. Ramachandra Rao

Yes, see, the discount structure, it depends upon the market and the dealers also. We start with the general discount to incremental discount to turnover discount, the single fee discount. There are varieties of discounts which we give depending upon the performance of the dealer. Generally, the COD is the standard one, which gives, once the dealer achieves a slab in which

he falls, that percentage is given. It may be

1.5%, 2.5%, that is one discount that we give it. The second discount is the

incremental discount that we take the previous year's performance and we fix the current year's performance, and for increments we have a slab, and as they achieve the incremental volumes, we get a certain additional discount.

Transcript — Avanti Feeds Limited Q3 FY24 Earnings Conference Call - 16

The third one is the single fee discount. We give the single fee discount to such of the dealers who deal with Avanti Feed exclusively. For them, we give 1% discount. Like that new area discount, supposing the areas which were not there earlier, we are going to come for the first time, that is a one-time discount we give it. Like that the discounts vary from different dealers and different parts of the country and the performance of the dealer. So, it is very difficult to say generalize the discount. Maybe the 7-8% in an average, we may give a discount for the total. It ranges between 6-8%.

Apoorva Mithada

Okay. And just the first part of the question is why EBITDA margins have not gone up? Like, could you give an insight? Because shrimp processing revenue has gone up this quarter and raw material prices haven't fluctuated that much.

C. Ramachandra Rao

Yes, I think the question has two parts. One is about the feed and one is about the processing and exports. Just to brief you about the feed, in our investors call, we are seeing that the raw material prices are continuously increasing. There has never been a case where we have seen decrease in raw materials prices in spite of the new crops, good crops, whatever it may be, it is not coming down. One of the reasons could be because main, like wheat, soya, there is MSP, Minimum Support Price, the government announces, and the government keeps announcing very often, particularly when the elections are around, then they invariably announce support to the farmers. So that way the prices have not been coming down at all.

And on the other hand, we cannot increase the price of the feed also because too much increase in the feed price will discourage the farmer to undertake the shrimp culture. So that again is a very limited scope that we have to increase the price of the feed. So therefore, the feed prices for profitability does not increase suddenly. It only keeps around, if we can do around 6-8%, if you can keep stable 6-8%, really

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the prices of raw material come it may go up to 9%, 10%. I think that is what we have been seeing for the past almost 5- 6 years. That has been the trend of the field as far as the processing is concerned. I think. Nikhilesh, can you explain please?

Alluri Nikhilesh

Hi. The processing, I think there's been a good recovery in the volume. But the EBITDA, as you said, is pretty much flat because of weaker market conditions in the US primarily, and I would say also the rest of the world also been primarily weak market conditions. We are however trying to push up the EBITDA margins this financial year because the shipments what we're sending now, start going into the next financial year. So, by adding more value-added categories, also trying to put up the price with our customers. Thank you.

Moderator

Sorry to interrupt you, Apoorva sir. Could you please come back in the queue for further questions sir?

Apoorva Mithada

Okay.

Moderator

Thank you, sir. Our next question comes from Nitin Awasthi from IncRED Equities. Please go ahead.

Nitin Awasthi

Hello sir. My question was around the fish meal part. I just missed the figures exactly. I was a little confused when I heard it. What was the fish meal cost during the quarter and what is it currently? I believe you gave those figures in the opening statement. However, there was some mix up so I couldn't understand the correct prices.

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Conference Call -18

C. Ramachandra Rao

Yes. Just please hold on.

Santhi Latha

The price in the quarter was INR 129 and right now it is around the same INR 125 to INR 127. It is in the same range.

C. Ramachandra Rao

See the fish meal price, just to give explanation. The fish meal price keeps

fluctuating depending upon the catches, fish catches, and also to the export demand. As we are seeing for the last almost 3 - 4 years, there has been a big demand for Indian fish meal in countries like Taiwan, Thailand, Indonesia, Korea and all they are importing fish meal from India because that is found to be cheaper than the fish meal imported from Chile and Peru. So, the quality and all is good. But that is making a big difference for the fish meal what it was earlier and now. So, if there is not much of export orders, the fish meal manufacturers are preferring to supply in the domestic market at a marginally lesser price. So, it is ranging between INR 120 and INR 130 between that. We expect that if the good catches happen in the next year maybe it will be around INR 115, INR 120. But as it stands today it is only INR 125. I don't think in the near future it will come down unless we get good catches and there are no export orders.

Nitin Awasthi

Understood sir. But just wanted to clarify one thing. As per my understanding in the export market front for fish meal, prices seem to have crossed INR 150 which is probably all-time high which an Indian fish meal exporter was getting, because of the total collapse in Peru exports and demand even from China now having to be fulfilled from India. Do you see those circumstances actually playing about? Have you made forward contracts or anything of that sort like quantities guaranteed at Transcript — Avanti Feeds Limited Q3 FY24 Earnings Conference Call -19 around INR 130 anything of that sort or will be going to the market every month or so?

C. Ramachandra Rao

Actually our SOP for purchase of fish meal is that we have vendors evaluated and we have about 13-14 suppliers, but among them there are only 4 or 5 big suppliers. But all of them prefer export market because they are not only getting the dollar conversion advantage, on that they are getting duty drawback, on that they're getting RODTEP. So, these are the incentives given by the government that makes that very attractive for them than to surprise. For India indeed. On the other hand, in India we have to pay GST. So, these are the disadvantages we are having. Coming to answer your question regarding the forward contracts, this trade, this business doesn't have the practice of forward contract.

It is because even to get supposing we want to buy say 2000 tons of fish meal at a time, it is very difficult to get it. They only give 500 tons or 200 tons like that. 1000 tons and above, it's very difficult to book on the spot deal also, even if you have forward contracts, none of them is prepared to take that kind of way, because no one knows how much catches they are going to get, what is going to be the export order. So, they are all very assured businessmen. So, they will not enter into any forward contract. That happens only when is a big fluctuation only they take some positions for forward contracts. But in this stage it is not happening like that. They are getting advantage on exports, so they would not like to take any forward contract commitments with the Indian buyers.

Nitin Awasthi

Understood sir. Thank you.

Moderator

Thank you, sir. Our next question comes from Pradeep Jain from Solidarity Investment Managers. Please go ahead, sir.

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Pradeep Jain

Hi. Thanks for the opportunity. So, my question is more on the long-term perspective. If you see sometimes it's Ecuador, sometimes it's India in this shrimp industry who is leading the position, right? So how do you see India over next 10 years in this industry? And what

is the fair growth rate you think that Indian shrimp industry can do over a decade?

C. Ramachandra Rao

Yes, see the 10 years seem to be quite long period Mr. Pradeep Jain. At the most we can see for next couple of years because it is very difficult to predict for the next 10 years. Let me tell you the components of this trait. One is that raw materials which are mostly dependent on nature like soyabean meal or wheat flour or the fish meal. All these products, they keep fluctuating. The prices are fluctuating. We cannot take any decision or planning for this in future.

Number 2, the export prices of the shrimps are also very difficult to plan for more than a couple of years. But 2 years itself is very difficult in this industry to forecast. So, in spite of all that, definitely we have a plan. The Government of India is also looking at a INR 1 lakh crore exports through aquaculture industry. And we do have

our plans how we go about the feed. And the other thing is that, the feed consumption increases as the area of the culture increases or by the more farmers take up this they can take up only when there is a profitable culture. And again they should get a good farm grade price and from again the exporter will do it only if he gets a higher export price.

So, these are all the chain that is the supply chain that is operating. So, with all that we reasonably, we expect if we can get a 5-10% growth in the next couple of years, we consider that it is a really good improvement. And we'll have to see, because so many raw materials are becoming scarce day-by-day, year-after-year we are finding it's very difficult to get the raw material sources. So, there is a need for a lot of R&D to take place. They find substitutes for raw materials so that while keeping the composition, the protein contents, et cetera, the quality of the feed intact and reducing the cost of inputs.

Similarly, the aquaculture also becoming expensive, how we can do it. There are so many methods that we are thinking of doing the aquaculture. And the export process is like what we are discussing about value-added products which gives the more benefit advantage for us. So overall I would say that it would be around 2 years what that could be done. I think, Nikhilesh or Venkata Sanjeev, do you want to add anything to this?

Alluri Nikhilesh

Yes, I just want to add to this. So, talking about a food product, which has almost become a staple item now the demand will be stable and as the disposable incomes increase, the affordability of this protein which is considered a premium protein will become higher. There's a lot of effort from industry also to promote shrimp pretty much like avocado or eggs are promoted to eat because of their health benefits, sustainability, et cetera. Countries like India are opening up. China is now the largest importer of shrimp in the world. As people can afford this more, the demand will increase.

As for India, compared to Ecuador or any other country like you had said, it's a cycle, but India has been consistently producing a good amount of shrimp for the past 20 - 30 years. So, there is no short-term disruption that can be seen. But even in the long term, like Mr. Rao said, 10 years is a long time. But on the macro side, the demand of the shrimp is growing slowly and so it should be benefiting Avanti as a whole. Thank you.

Moderator

Pradeep sir, so sorry to interrupt you sir. Could you please join back the queue for more questions, sir?

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Pradeep Jain

Sure, sure.

Moderator

Thank you. Thank you so much sir. Dear participants, I kindly request you to restrict with one question in the initial round and join back the queue for more questions. Our next question comes from Varun Arora from Safe Enterprise. Please go ahead, sir.

Varun Arora

Hi. Thank

s for the opportunity. I may be repeating the question, so sorry for that.

My question is regarding the environment that you are seeing with respect to passing of the raw material prices. So, if you could explain for both the feed business and process shrimps, how's the environment in terms of passing the raw material prices?

C. Ramachandra Rao

Yes. Let me first explain the feed, then Mr. Nikhilesh will explain about the processing and export. See the raw materials as we said like fish meal, soyabean meal and wheat flour are the major raw materials that we consume for manufacture of the feed. See the cost of production of these products are increasing day-by-day and the soyabean meal again depends upon the natural climatic conditions. One year you get a good crop where then you can see the prices not going much. But in the next year there will be either drought or no rains and all, then their prices will shoot up because of the shortage in production.

So, it also depends on the soyabean production in other countries, if in other countries it affects the production of soyabean meal, so naturally the prices, if there is a Shortage, the prices go up. So, this is one thing which makes these raw materials continuously going up. Coming to the production, naturally, the raw material cost component is about 70-85%. So naturally, the cost of production of feed also goes

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up invariably. The question that you made was whether it can be passed on to the farmer. See, the farmer also sustainable culture year-after-year, if we increase the price and it works out, it doesn't work out profitable to the farmer.

Farmer will not undertake shrimp culture, rather he would go to fish or any other product. They will not do this shrimp culture. So, we have to keep in mind the cost of manufacturing the producing the shrimp also, so that he will make some margins, while the farm gate prices are kept in a reasonably good rate, so that he makes some money. So, makes profit out of this activity. So, these are the reasons that we cannot straightaway pass on the increase in the price of the feed to the farmer. Moreover, we have the government regulations in states like Andhra Pradesh, where it is in the interest of the farmers the governments are also working.

They say that they come on the feed manufacturers to reduce the price, because the farmers are not able to make any benefit out of this activity. So, this is one area where the feed price cannot be 100% passed on to the farmer. Nevertheless, what we do is, we take all aspect into consideration and we make a moderate increase whenever there is a raw material price increase and make some share is taken by the company and some is passed on to the farmer. As far as the processing is concerned, I think I'll request Nikhilesh to explain the operation of the processing unit.

Alluri Nikhilesh

So currently, the price puts or the price recovery of the increased expenses from the customers is very tough, because the industry is facing an oversupply situation, right. So right now it's very difficult, but usually, because all our contracts are not very long term, they're usually spot buys or the maximum is few contracts we enter into long term contracts. So usually, if not one year, the second year, we're able to pass on the prices, because as the processor, we're just pretty much taking the farm gate prices, adding our overhead and giving it to the end customer. But right now, with the oversupply situation, it's a little bit difficult. But as things stabilize, it should be fairly easy.

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Varun Arora

So, just to follow up on the processed shrimps. Would you say that given the situation in Ecuador you see better prospects than what you saw in last 12 months in terms of taking the realization increase?

Alluri Nikhilesh

I would

say yes, in the short term, because I don't know, several reports of instability, harassments to the shrimp farmers, threats to the factories. So, on the short-term, definitely there is, I wouldn't say advantage, but I think a preference towards buyers sourcing from more stable supply chain just because it's easier for them to navigate with in the short-term, yes, but in the long-term, we need to see. I mean, the hope is the country does stabilize that very quickly. Right!

Varun Arora

Sure. Thanks a lot. Thank you.

Moderator

Thank you, sir. That's the last question for the day. Now I hand over the floor to the management for closing comments.

C. Ramachandra Rao

Yes. Thank you, Sowmya. Thank you, ladies, and gentlemen, for sparing your valuable time for having discussion with that the interesting questions. Because every investor will have this kind of questions that they would like to know about the industry. And one thing we can assure you from the management part of it. We take every effort to see that the operations are profitable and investors are benefited by this. At the same time, the most important thing is the reputation of the company is maintained and in fact it should grow YoY. So, that's what our objective is. With this, I thank you for your participation in the conference call. Thank you.

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Moderator

Thank you so much, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's Conference Call service. You may disconnect your lines now. Thank you and have a good day.

Note: 1. This document has been edited to improve readability

2. Blanks in this transcript represent inaudible or incomprehensible words.

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Call: Jun 2024

Avanti Feeds Limited) L'-'

June 04, 2024

To

BSE Limited,

1st Floor, New Trading Ring,

Rotunda Building, P.J. Towers,

Dalal Street, Mumbai — 400001

Maharashtra, India

BSE Code: 512573

Dear Sir/Madam, Al uslainabilily S

Reliablility te Auazuliy

To

National Stock Exchange of India Ltd.,

Exchange Plaza,

Bandra (East),

Mumbai — 400051

Maharashtra, India

NSE Symbol: AVANTIFEED

Sub: Earnings Audio Call Transcript for the quarter and FY ended March 31, 2024.

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)

Regulations 2015, we enclose herewith the transcript of earnings Audio Conference

Call held on May 29, 2024 in relation to the audited financial results (Standalone and Consolidated) of the Company for the quarter and FY ended March 31, 2024.

The said earnings call transcript is available on the website of the Company at

<https://avantifeeds.com/corporate-announcement/#Investor-Analyst-Corner>

This is for your information and record.

Thanking you,

Yours faithfully,

For Avanti Feeds Limited

C. Ramachandra Rao

Joint Managing Director,

Company Secretary,

Compliance Officer & CFO

DIN: 00026010

{ Avanti' A e s Feeds Limited

Avanti Feeds Limited Q4 FY24 Results Conference Call

May 29, 2024, at 11:30 A.M (IST) for a duration of 1 hour 2 mins 27 secs

CORPORATE PARTICIPANTS:

Mr. C. Ramachandra Rao

Joint Managing Director, CS & CFO

Mr. A. Venkata Sanjeev

Executive Director

Mrs. Santhi Latha

General Manager - Finance and Accounts

Mr. D.V.S. Satyanarayana

CFO - Avanti Frozen Foods Private Limited

Mr. Narender Sharma

Company Secretary - Avanti Frozen Foods Private Limited

Transcript — Avanti Feeds Limited Q4 FY24 Earnings Conference Call

Moderator

Good morning, ladies and gentlemen. I'm Pelsia, the moderator for the conference call. Welcome to Avanti Feeds Limited Q4 FY24 Earnings Conference Call.

We have with us today, Mr. C. Ramachandra Rao, Joint Managing Director; Mr.

A. Venkata Sanjeev, Executive Director; Mr. Santhi Latha, GM, Finance and

Accounting; Mr. D.V.S Satyanarayana, CFO, Avanti Frozen Foods Private

Limited.

As a reminder, all participants will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing * and then O on your touchtone telephone. Please note this conference is recorded.

I would now like to hand over the floor to Mr. C. Ramachandra Rao, Joint Managing Director. Thank you, and over to you, sir.

C. Ramachandra Rao

Thank you. Good morning, ladies and gentlemen. We are very much pleased to extend a warm welcome to all of you for this investors conference call to review the audited financial results for the Q4 FY24.

Along with me here are Sri A. Venkata Sanjeev, Executive Director; Smt. Santhi Latha, GM, Finance and Accounts; Mr. D.V.S Satyanarayana, CFO of Avanti Frozen; and Mr. Narendra Sharma, Company Secretary of Avanti Frozen.

To begin with Mr. Santhi Latha, GM Finance and Accounts Avanti Feeds Limited will present highlights of financial results of Q4 FY24 and year ended 31st March, 2024, of feed division and also consolidated financials of the company for the same period. Thereafter, Mr. D.V.S Satyanarayana, CFO, Avanti Frozen Foods Pvt Ltd will present the financial highlights of shrimp processing and export division. After the presentation by both of them, we'll have quick review of the latest situation and then we'll go on to question and answer session. Now I request Santhi Latha to take over.

Santhi Latha

Thank you, sir. Good morning, everyone. Now I'll take you through the consolidated and Feed Division financial performance highlights.

CONSOLIDATED FINANCIAL RESULTS FOR Q4FY24 & FY24:

(A) Q4FY24 RESULTS

The comparative performance of Q4 FY24 with that of Q3 FY24 and Q4 FY23 has been given in the presentation already circulated.

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script — Avanti Feeds Limited Q4 FY24 Earnings Conference Call

Gross income in Q4 FY 2024 is INR 1,320 crores as compared to INR 1,287 crores in the previous quarter Q3 FY '24, an increase of INR 33 crores, that is 2.5%.

Compared with Q4 FY '23, gross income of INR 1,117 crores, there is an increase of INR 203 crores by approximately 18.2%. The PBT is INR 151 crores in Q4 FY '24 as compared to INR 116 crores in Q3 FY '24, an increase of 30%, about INR 35 crores. And compared to Q4 FY23 PBT of INR 144 crores, there is an increase of INR 7 crores by 4.86%.

(B) Comparison of the performance of the year 2023-24 with year 2022-23.

In FY '24, the total income increased to INR 5,505 crores from INR 5,179 crores in FY '23. The PBT in FY '24 increased to INR 537 crores from INR 427 crores in the corresponding period of previous year. That is an increase of INR 110 crores. This is mainly due to increase in revenue, decrease in raw material costs and better overhead absorption because increase in the quantity sold.

The consolidated results indicate net impact of several factors such as increase or decrease in income, expenditure, exceptional item relating to both feed, frozen divisions, which will be discussed in the divisional performance of these units individually.

STANDALONE FINANCIAL RESULTS OF FEED AND PROCESSING DIVISIONS

A.FEED DIVISION:

Q4FY24 RESULTS

The gross income for the Q4 FY '24 is INR 1,022 crores as compared to INR 958 crores in the previous quarter of Q3 FY '24, an increase of INR 64 crores mainly due to increase in the quantity of feed sold by 5,960 metric tons. The gross income in Q4 FY '24 increased to INR 1,022 crores from INR 875 crores in the corresponding quarter of Q4 FY '23, an increase by INR 147 crores, representing 16.8% due to increase in quantity sold by 18,902 metric tons.

The PBT for the quarter, the standalone PBT for the Q4 FY '24 is INR 119 crores as compared to INR 76 crores in Q3 FY '24, an increase of INR 43 crores by 56%, mainly due to increase in sales volume and better overhead absorption. The feed sales increased to 1,22,278 MTs in Q4 FY '24 as compared to 1,16,318 MTs in Q3 FY '24. The PBT in Q4 FY '24 has increased by INR 12 crores from INR 107 crores in Q4 FY '23, representing 11.2%.

As you know, the cost of raw materials constitutes major share of cost of feed production, particularly fish meal, soyabean meal and wheat flour. The percentage of average raw material cost was 79% on feed sale price in Q4 FY '24 as compared to 82.6% in preceding quarter Q3 FY '24 registering a decrease of 4.35%. However, the raw material percentage was on par with corresponding quarter of the previous year that is Q4 FY '23 which was 78.3%.

To summarize, the prices of major raw materials have shown a decreasing trend during the Q4 FY '24 compared to previous quarter, nearing almost the same levels as in the corresponding quarter of the previous year.

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The average cost takes into consideration volatility of the raw materials like fish

meal, soyabean meal and wheat flour during the year. While soyabean meal and wheat flour prices did not undergo much volatility during the year '23, '24, the fish meal did undergo high volatility due to drastic fall in fish catches in Chile and Peru, leading to fishing ban, resulting in an increasing demand for Indian fish meal in Southeast Asian countries, causing unprecedented hike in the fish meal prices both in domestic and overseas market.

During the current quarter, fish meal price has come down marginally due to good cash in Chile and Peru and release of Peruvian quota during the season. However, the soyabean meal price and wheat flour prices remain more or less stable, which are marginally lower than the previous year.

To sum up, I would like to share with you that the prices of these major raw materials along with related products like fish oil, soya leci

thin et cetera keep

changing from time to time depending upon the seasonality, production, global trends et cetera, which has direct impact on the raw material cost of the feed, which is beyond the company's control.

Comparison of performance for the year ended 31st March 2024 with that of 31st March 2023.

In FY24, the total income increased to INR 4,396 crores from INR 4,104 crores in FY23 due to increase in feed sales and other income. The PBT in FY24 increased to INR 407 crores from INR 307 crores in the corresponding period of the previous year, mainly due to increase in sales, other income and decrease in raw material costs and better overhead absorption.

SHRIMP PRODUCTION AND FEED CONSUMPTION IN FY23 AND COMPANY PLANS FOR FY24:

SHRIMP FEED CONSUMPTION:

On the basis of estimated shrimp production of about 8 lakh metric tons in 2023, the overall industry feed consumption is estimated to be around 10.5 to 11 lakh metric tons. The company's feed sales during the year 2023, this is calendar year, was about 5,13,000 metric ton as compared to 5,26,000 metric tons in 2022, a decrease of 13,000 metric tons.

SHRIMP PROCESSING AND EXPORTS:

The country's shrimp exports in terms of value declined in FY '23 compared to FY '22 by 8.11% from \$5,234 million to \$4,809 million. The country's overall export of frozen shrimps in quantitative terms for FY '23 was 7,11,099 metric tons as compared to 7,28,123 metric tons in FY '22. A decline of 17,024 metric tons representing 2.34%.

However, the company's shrimp exports during FY '24 was about 13,443 MTs as compared to 12,497 MTs in FY '23 and increased by 946 metric tons. It is estimated that the exports during FY '25 would be around 16,000 metric tons.

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Now, I hand over to Mr. D.V.S. Satyanarayana, CFO, Avanti Frozen Foods, to present highlights of Shrimp Processing and Export division.

D.V.S. Satyanarayana

Thank you, madam. Good morning, everyone. Now I would like to take you through the financial highlights of:

B. SHRIMP PROCESSING AND EXPORT DIVISION.

Q4 FY '24 RESULTS.

The gross income for Q4 FY '24 is INR 297 crores as compared to INR 329 crores in Q3 FY '24, a decrease by INR 32 crores, representing 10%, mainly due to decrease in sales quantity by 144 metric ton, representing 4%.

The gross income in Q4 FY '24 increased to INR 297 crores from INR 244 crores during Q4 FY2023, an increase of INR 53 crores, representing 21% YoY. The sales volume during Q4 FY '24 increased to 3,846 metric tons from 2,880 metric tons in Q4 FY 2023, an increase of 966 metric tons.

The PBT before exceptional item for the Q4 FY '24 is INR 32 crores as compared to INR 40 crores in Q3 FY '24. It is decreased by INR 8 crores. The PBT is decreased mainly due to decrease in sales quantity by 144 metric ton and also decrease in average sales price realization during Q4 FY '24.

The PBT in Q4 FY '24 is INR 32 crores, decreased from INR 38 crores in the corresponding quarter, that is Q4 FY 2023, as there is a decrease in average sales price realization.

Comparison of performance for the year ended 31st March 2024 with the year ended 31st March 2023.

The gross income for the FY '24 was INR 1,117 crores as compared to INR 1,083 crores in the corresponding previous year, that is FY 2023. The increase of INR

34 crores in the gross income for the year ended FY '24 is mainly due to increase in sales quantity by 946 metric tons and share of value added products by 1,948 metric tons. Total income up FY 2024 includes the PLI incentive of INR 6.85 crores.

The PBT in FY '24 is INR 136 crores as compared to INR 137 crores in FY 2023. A decrease in PBT by INR 1.00 crores is mainly due to increase in manufacturing expenses and also depreciation.

Provision for recall expenses in the financial statements:

The company has not made any additional provision for recall expenses in Q4, FY 2024. Status of product recall

all is as follows:

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Particulars INR in Cr.

Value of claims received and charged to profit and loss 35.62

(including recall related expenses)

Less: Amount of claims settled up to 31.12.2023 34.63

Balance claims provision in the book of accounts as at 0.99

31.12.2023

Less: Provision reversal during Q4FY24 0.99

Balance Provision as at 31.03.2024 NIL

As regards to product liability claims for bodily injury caused by consuming company's contaminated products under the recall, the company has received insurance claim in full from United Insurance Company on 21st March 2024, and no further liability for the company on this account.

Update on new shrimp processing plant at Krishnapuram:

The new processing plant with a capacity of 7,000 metric tons per annum has been in operation since 21st March 2024.

As you know, the company has been evaluating the following 2 incentive schemes from Government of India:

1. Sales-based incentives under "Production Linked Incentive" scheme; and

II. Grant-In-Aid under "Operation Green - Long Term Intervention" scheme.

1. Production linked Incentive scheme.

Company is eligible for incentive of 6% in case of stock products and value-added products 10% on incremental sales over a period of 6 years from the FY '21-'22 to '26-'27, subject to a maximum incentive of INR 79.44 crores with minimum 5% CAGR in sales.

The company has received an incentive of INR 9.92 crores pertaining to financial year 2023.

II. Operation Green scheme.

¢ Approval from Government of India, for Grant-in-Aid for the proposed investment in new shrimp processing plant at Krishnapuram is received in December 2022.

¢ Maximum Grant-in-Aid under the scheme is INR 10 crores.

¢ The first instalment of 1/3 of total Grant-in-Aid is due from the ministry.

The company has submitted all the relevant documents in this regard.

Now I hand over to JMD sir for sharing future outlook of the industry.

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C. Ramachandra Rao

Thank you, Satyanarayana. Having reviewed the financials of Q4 FY 2024 and comparison of '23, '24 with that of '22, '23 financial performance. Now I would like to share with you some of the developments that have taken place in the industry and the present status and outlook of the aquaculture industry for this year, 2024.

You may remember, recollect, that we had informed you that 2024 will be a challenging year for aquaculture industry. Though we anticipate a marginal improvement in overall industrial performance. In light with global forecast of moderate recovery of fisheries sector in 2024 over 2023, the stockings of seed for 1st crop of shrimp culture in India commenced during second half of January 2024 with an increase of about 10% to 15% over the corresponding period of the previous year with a positive outlook for a successful first crop season.

However, unfortunately, due to uncertain and unfavourable climatic conditions, white spot disease affecting the culture in some of the areas and fluctuations in farm gate prices. The culture did not progress as expected, and they were forced harvesting in some of the areas, impacting the overall production of shrimp for the first quarter.

However, the climatic conditions being more stable now after a severe summer,

the farmers are looking forward to commence fresh stockings from 1st week of June '24. Hopefully, this crop survives full season of 90 to 120 days, and the farmers will be able to make it a profitable season or profitable quarter. The company will also be in a position to increase feed sales in ensuing 2 quarters. The processing and export shrimp division is also expected to increase exports to about 16,000 metric tons for the current year, considering commencement of commercial production by the new processing plant at Krishnapuram. The company is focusing on increasing the processing and

export of value added

products during financial year 2025. As mentioned before, the company's value added products exports have gone up by 142% in FY '24 compared to previous year. The company, while strengthening the exports to U.S. and Canada market, also exploring the other markets like Japan, Korea, et cetera, which are more potential markets for shrimp exports.

At this juncture, I would like to share with you a couple of important events that have impact on aquaculture.

The first one, the levy of counter vailing duty (CVD) at 4.36% on export of shrimps by U.S. Department of Commerce effective from 1st, April 24. The U.S. Department of Commerce has made a preliminary determination of CVD rate on the basis of complaint lodged by U.S. domestic shrimp industry against imports from India, and also the preliminary data that was gathered by the department. In the next step, U.S. DOC will determine the final rate basing on the objections raised by the Seafood Exporters Associations of India, Government of India and other agencies on the basis of data provided by them. The final determination is scheduled to be announced on 6th October 2024.

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In the meantime, the exporters are required to deposit CVD at 4.36% with effect from 1st April 24, subject to adjustment after final determination. Along with India, other countries like Ecuador, Vietnam and Indonesia have also been levied CVD at different rates. The Seafood Exporters Association, MPEDA, EIA and Government of India are making efforts to get the CVD withdrawn at the time of final determination on October 24 by furnishing all the required data and justifying the withdrawal of the CVD.

Secondly, there were reports in U.S. and international media alleging that shrimp exports from India are processed under unhygienic conditions and Indian processes do not adhere to labour regulations et cetera. And these allegations were aimed at a few processes from India. In view of this generalized observations in the media, the company has further strengthened its internal checks and controls to ensure strict compliance of all the regulations.

Coming to the industry considers, these upheavals are part and parcel of the business activity, and they do not hinder the sustainable growth of the industry. The Government of India has been focusing and encouraging aquaculture sector by extending promotional schemes like PLI stream, operations Green, et cetera, which the company is availing.

It is heartening to know that in the budget for 2024-2025 presented by the Honourable Finance Minister on 1st February 2024, announced Pradhan Mantri Matsya Sampada Yojana, PMMSY is being stepped up to enhance aquaculture productivity from existing 3 to 5 tons per hectare with doubling exports to INR 1 lakh crores and generates INR 55 lakhs employment opportunities along with big infrastructure changes of establishing 5 integrated aqua parks. Further details of the scheme are expected to be notified after the general elections while presenting the regular budget, which is expected somewhere maybe at the end of June or July.

To conclude, the stakeholder of the industry looks forward to a future for aquaculture industry in '24 and more in '25, and thereafter, unless any unforeseen developments in the climatic conditions or changes in the global market scenario impacts the industry.

Diversification of Company's Plan into Pet Food & Pet Care Products:

Diversification of company's plans into pet food and pet care products. You are aware that the company has diversified into pet care products business through its subsidiary, Avanti Pet Care Private Limited, as a special purpose vehicle for manufacture of pet food, mainly dogs and cats and other pet care products for catering to the domestic market.

The required technical know-how is being provided by Bluefalo Pet Care Company Limited Thailand, a

reputed pet food and pet care products manufacturer in Thailand. A memorandum of understanding, transfer of technical know-how agreement and joint venture agreement has been entered into with them. The company has identified suitable land for construction of the factory and is in the process of scrutiny of legal documents and acquisition of the land. On the -8-

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 basis of an independent survey and competing products in the market, the company has identified the product range both for cat as well as dog food. Recently, the company is in the process of developing formulations and producing trial products in collaboration with Bluefalo, Thailand to undertake trials in India before finalizing their products. It is anticipated that this process would take about 6 to 8 months before the launch of the products in India.

Fish Feed:

Coming to the fish feed, as reported earlier, the preliminary survey on supply versus demand of fish feed in domestic market has been completed, and the survey has revealed potential demand for certain types of fish feed for high value fishes like morel, sea bass and rainbow trout. The company is considering various options such as import of fish feed of required species initially, conduct trials under Indian conditions and set up manufacturing facility based on the results. With this, I thank you all. And now we will take up the questions from you, gentlemen.

Question & Answers

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. First question comes from Atharva from Purnartha Investment Advisors. Please go ahead.

Atharva Bhutad

Yeah. So I have 2 questions. 1 was on the EBITDA point of view. Last quarter, we reached 10%. So what are the plans to reach 12% to 13% of EBITDA? Because over the last 10 years, we have had a GP margin of around 20%, and we have already reached that. So how do we plan to increase our EBITDA margins to 12% to 13%?

C. Ramachandra Rao

Yes. See, basically, the EBITDA gross margins depend on the raw material cost for this industry as we have been almost discussing on every investor's call. Because our major raw materials are fish meal, soyabean meal, and wheat flour. So, for these products, prices keep changing. Your question was that the what are the plans for increasing the EBITDA and the gross margin? That is what your question is. Am I right?

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Atharva Bhutad

Yes. So basically, we have already reached like a 20% GP margin because raw material costs have come down. So how if they remain the same, how do we plan to increase our EBITDA margins?

C. Ramachandra Rao

Yes. See, that's what I was about to explain. See, this year, the prices have just stabilized, particularly in the year '23. We have seen that compared to year '22, '23 was more stable. All the prices except the fish meal which went very high because of the overseas demand. And that was also the reason because of very low production in Chile and Peru. So that has caused the international market high prices of fish meal because India was the supplier of fish meal to all the Southeast Asian countries which were hitherto getting from Chile and Peru. This year there is a very good crop that is the fish catches are very good in Chile and Peru and they have resumed the production of fish meal and supply. So the prices have come down from INR 125 per kg. It went up even INR 135 also. Now it has come down to about INR 98 - 99 is now. We expect that it will be stable between INR 95 to 98. It may not come down

further. But certainly, it will be around definitely much lesser than INR 124, 125 levels. And we for the rest of the year, we hope this will be continued. And similarly, the IMD has predicted a good rainfall this year also. So though you got very good crop last year, both soya as well as wheat. So this year also, we are

expecting that the soyabean production and wheat production would be at same level if not more in the current year also. Because the sowings will start sometime in June-July, the soya. And September-October we get the 1st crop.

Similarly, the wheat harvesting will be in March '25. So we see that the much variance is not going to take place for these 2 products. And fish meal again is a very, what you call, a dice situation because there is a shortage of fish catches in the West Coast in India. In fact, some of the factories have suspended production. And they may have banned from 1st July or so the fishing ban. So, with all these figures taken into consideration, we see that if it can be less than INR 100, that will be a very good sign. We should be able to keep up the margins in a comfortable level, both EBITDA and also the gross margins.

And as far as the productivity is concerned, we have a good production, good yields are coming and we have sufficient production capacity also. And again, it depends on the how the culture, takes, its, you know, way in the coming months in 2024. As I just explained, the farmers when they started with the enthusiasm in January and February, their enthusiasm did not last long because of the climatic conditions and the white spot and all. They had to do some, early harvesting.

So, they are now looking for stocking it again from June. From June, it should be good because there it is not an extreme climate. It's an ideal climate through June, July, August we'll have a good season. So we are expecting that the farmers would be able to take out good production during the next 4 months or so. 60

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days to 90 days we should be able to do. As we expect it happens, it will be good production. Whatever is we have lost in the first quarter, we'll make it up in the 2nd and 3rd quarters. So that way we look forward for a stable performance for the 2024, 2025 year also.

Atharva Bhutad

Ok. Another question was could you explain why the cash flow from operations have reduced from INR 451 crores to INR 263 crores this year?

C. Ramachandra Rao

This is mostly because we do more working capital. We are using it for working capital. It will be more, inclination for that side.

Shanti Latha

There is a cash flow statement is there. but you see because of working capital changes there is a reduction in the cash flow. Otherwise, from the operations, if you see profit before tax and the adjustments, there is an increase from INR 274 crores to INR 341 crores. But the adjustments in the working capital because there is an increase in the inventory, if you can see, and also, there is an increase in the debtors. So that is what has made it like the operations, it is INR 288 versus INR 177 crores. I think you have the numbers!

Atharva Bhutad

Yes. I have the numbers. I just wanted to understand the inventory part of it. Like, what is the what is the reason for the increase? Because I think last quarter, it was said that, we will stock up inventory for value added products. So I just wanted to understand if that was the case.

C. Ramachandra Rao

Frozen or feed?

Atharva Bhutad

Frozen.

C. Ramachandra Rao

Consolidated the cash flow statement. You see, we have consolidated and standalone fee.

Atharva Bhutad

Yes. So actually, last quarter you had just said that we are going to stock up inventory. So, I just wanted to understand if that is the reason why inventory has gone up.

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C. Ramachandra Rao

Yes. See, what happ

ens is I'll explain this. See, the what happens is when we for accounting purposes, what we do is, though it is dispatched, but it has not reached the destination. As per accounting standards, we are taking it out as inventory only, as a stock in transit that we are taking. So, compared to that, it

will be more in the end of the year. There are more shipments have taken place. So it is more now. Inventory is more. After 45 days, it will come down. At 31st March, it will be more, because all the shipments that have taken place in the second half of March, which is much higher this year, that would not have reflected in the form of a sale. It will come in as an export sale only after it reaches the destination.

Atharva Bhutad

Ok, thank you.

Moderator

Thank you. I request the participants to restrict with 1 question in the initial round and join back the queue for more questions.

Next question comes from Amit Agarwal from Leeway Investments. Please go ahead.

Amit Agarwal

Good afternoon. My question is regarding domestic market. Sir, there is a domestic market is huge for prawn market, but surprisingly, your presentation show that you don't sell anything in domestic market. Any particular reason for this?

C. Ramachandra Rao

We have started domestic market sales, and we did lot of study on what type of products are required and we have already appointed 1 DGM and 2 RMs who are working on that. We have identified the areas and we have in fact have some dealers also have been appointed. And see, the most important thing is that this is again a credit market. We have to be very careful because, when we are trying to only focus on the cash sales, I mean cash in the sense immediate daily addressed payment.

So, it will take some time, but we are very confident that in time to come next, maybe by end of this year, we should be able to increase our domestic sales significantly. Everybody wants credit. So they don't pay on time. That is a big risk. If you supply material and then go after them for money. This is a very big headache which we do not want to take it up for the domestic sale. If we are giving credit, everybody will come and take it.

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Amit Agarwal

Sir, what is the size of the market? And who are the big players in the market right now, in domestic market?

C. Ramachandra Rao

I don't have any exact lead. You can you send an email and we will get back to you? Because we'll discuss with marketing team and come back to you with survey reports.

Amit Agarwal

Just last question regarding the same thing. Sir, is this a low margin business or is that a profitable margin?

C. Ramachandra Rao

I'll clarify that point, because this market, there is no statistics readily available. It is only our marketing staff or any company's marketing staff they go around the market and find out and give the reports. But they do not have any published reports as per the market survey on this. That is one issue and whatever figures that we are giving is only the data collected by our marketing team. Yes, please go ahead with your next question.

Amit Agarwal

My last question is I'm a vegetarian, so I just don't know much about it. Sir, is prawns and shrimps the same thing or we are specialized in shrimps only and not in prawns?

C. Ramachandra Rao

I think my colleague, Mr. Venkata, you answer it.

A. Venkata Sanjeev

It is the same thing in the Indian market. There's no difference between prawn and shrimps in the Indian market. We just use different names for it.

Amit Agarwal

And same in the export market, is it also the same? Shrimps and prawns are the same thing? In export market, USA market?

A. Venkata Sanjeev

Yes, in export market is also similar. Actually, there's a not a big difference.

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C. Ramachandra Rao

In export market, they call it as frozen s

hrimp.

Amit Agarwal

Okay. And in domestic market, you call it prawns, right?

C. Ramachandra Rao

Yes. The locals call it prawns.

Amit Agarwal

Okay. Thank you.

C. Ramachandra Rao

Thank you.

Moderator

Thank you. Next question comes from Kaustav Bubna from BMSPL Capital.

Please go ahead.

Kaustav Bubna

Yes. Hi thank you for taking my question. How is the pricing of Indian processed shrimp compared to Ecuador and Indonesia post the addition of duties by the United States on all three of these nations? So, could you please give the pricing of processed shrimp into the United States for India, Ecuador and Indonesia pre and post imposition of countervailing and antidumping duties?

C. Ramachandra Rao

Yes. As you said, the Ecuador, normally the pricing depends upon the production supply and demand. So, the Ecuador being having large production capacity, they are in a position to slightly lesser in cost perspective. And they are being nearer to U.S. they try to capture U.S. market. And China is also there, one of the big markets that they diverted.

Last year, there was some problem with China. They were not exporting much to China. Now they focused on Ecuador. But of course, India and Southeast Asian countries more or less same cost of production will work out. And we stand in a better footing for the reason that our quality of the value added products or the raw traditional products is more compared to others. So, we have more exports to U.S. compared to others. I think in the U.S is one of the largest exporter to U.S. is India.

So, pricing also varies. And it depends upon the international market price. So it keeps on fluctuating, almost, like every day there is a new price. What we work

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is we take into our cost of production and conversion cost and see the margin.

But it is not necessary that always you make a big margin out of it. It all depends upon the demand and supply and another thing is the inventory situation in U.S. and other countries, Europe.

As far as our company Avanti is concerned, we are very happy to say that we have been able to make good inroad into the Japanese market and in fact, CMD and also Mr. Nikhilesh, ED, both of them are working very seriously on that. And we are very confident that many importers from Japan are showing more interest towards our products. So I think that we should be more spread in the global market, not only U.S. But we'll have whole of Europe as well as the Japanese market also with you. We have some Vietnam also we got. Korea, I'm sorry, Korea, not Vietnam. Korea.

Kaustav Bubna

No, but sir, I mean countries would put import duties onto other nations, if they were promoting domestic production, right? So how is the domestic production of growing in U.S? And how do you see that as a risk to exports in general to the U.S? And also Ecuador is really close to the U.S. So how do you view a nation who is so close to the U.S, taking market share from India?

C. Ramachandra Rao

See, the method of levying the dumping duty or CVD depends on the cost of production. And the basic dumping duty comes from the concept that these countries are dumping the products in U.S. market less than what their cost of production is. That is the concept that comes. And, U.S is very, meticulous and particular about this aspect. And they go into it almost like every year there is an exercise going on what, to for determination of the, rates that are being charged for these products because almost every country definitely resists this. And if they go with an appeal, the figures that what you have arrived at the rate is not correct. It is not that so much subsidies or certain things, we are not getting it,

our cost of production is equally high and the exporters are giving details to them and trying to convince them to reduce the duty. However, the U.S. has its own methodology and its own

criteria for determining

the rates, and they do come to countries and they take the figures, work out what is the cost of production. They take into consideration what are all the subsidies, support that's being given to these exporters from the government side. So, they take all these things into consideration and they arrive at what is the dumping duty. Or even the CVD is nothing but what the taxes that we are giving the relief. The government is giving relief on taxes paid on export products that they consider it as a subsidy. So, they added in CVD.

Like that, these are the things. In fact, the government of India as well as these export associations are fighting very tough, saying that these are all not the, actually, the subsidies, but it was only the, you know, reimbursement of duties and taxes paid by the, domestic exporters for the export. Even every country has this provision that any export is made from their country, whatever taxes paid locally is refunded.

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The same thing this is the stand which the Indian exporters are taking in their briefing which when you submit objections to the preliminary determination of 4.36% CVD, these are the things which we are going to present it to the Department of Commerce in justifying that every country will have this and so you should not be charged as CVD. So, these are all the things which are always continuously being, you know, engaged with the lawyers and experts on this with the Department of Commerce.

So, by October, we will know exactly what is the final determination. Is it going to be less than 4.36%. And so, we have all our efforts towards that. Similarly, dumping also. We cannot specifically say, the criteria is that what is the cost that the local exporting countries are incurring to make this product. Are they selling it in U.S. lesser than that cost? That is the basic criteria for dumping duty. The difference is treated as a dumping duty and they are charging the anti-dumping duty.

Kaustav Bubna

Ok sir. Thank you.

Moderator

Thank you. I request all participants to restrict with 1 question in the initial round and join back the queue for more questions. Next question comes from Nitin Awasthi from Incred Equities. Please go ahead.

Nitin Awasthi

Hello, sir. Just wanted to understand how the booking of the CVD will be done given that the rates are out, but they're not final as of now. And the final rates will be out on October 6, like you mentioned. So, from Q1, will we already start expensing it out and booking it when we report our first and second quarter numbers? And finally, when the final rate is out, will we make an adjustment post that or will we keep it separately on the balance sheet till the time the final rate is out?

C. Ramachandra Rao

So, the practice is that we will take it as a cost, the product expenditure only. We add on and even that is taken into consideration while we were working for cost of the product also. As and when they make the determination and when they refund it, only we take it as an income.

Nitin Awasthi

Understood, sir. Understood.

C. Ramachandra Rao

Yes. Because it's only preliminary, we are depositing, but it is from their point of view, it is a deposit. But from our point of view, it is an expenditure. Since, CVD

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is an expenditure, we have to add to the cost of the product like any taxes. So, we take it as and when the final determination is made. If it is less than 4.36%, the difference is refunded. If it is more than that, we have to pay it. The difference also we have to pay from the date. So that adjustment will be made as and when the final determination is announced on 6th October.

Nitin Awasthi

Understood sir. So, you supplied shrimp directly to a related party, which is Thai

Union, which goes ahead and also supplies shrimps

to a related party of Thai

Union, which is Red Lobster, which has filed for bankruptcy. So, are we directly exposed to any payments or any receivables from Red Lobster?

C. Ramachandra Rao

No. As of now, we are not supplying anything to Red Lobster directly. It is only the Thai Union's company, Chicken of the Sea, which is a company of, Thai Union. Through them, it's being exported to Red Lobster through them. Of course, there are so many developments that are taking place in the whole scenario in the U.S. market but so far we have been only doing through Chicken of the Sea.

Nitin Awasthi

Understood, sir. So last question, capital outlay for the pet food business?

C. Ramachandra Rao

See, we have initially estimated INR 100 crores. The INR 100 crores, we are in the process of, you know, like, land cost, you know how it is going up and all. See, we are now working practically on what is going to be the actual cost nearer to the reality, because whatever the plant and machinery cost or land cost or any other civil constructions like factory, other buildings and all we have taken on an estimated basis because full information was not available at the time of estimating the project cost, we have taken on the basis of the information that is provided by Bluefalo, for instance, the area of the factory or other administrative buildings and also the machinery imported, then local domestically purchased machinery and all. But maybe next 6 months, we should be able to come to the real cost of total project, which we are expecting about 20%, 25% increase by the time we complete the project? That's what our expectation. But as of now, the cost is estimated at INR 100 crores and the entire thing is being funded through equity. We are not going for any borrowing as of now.

Nitin Awasthi

Understood, sir. Bluefalo has any shareholding in the JV?

C. Ramachandra Rao

See Bluefalo has got, the owner Dr. A. Indra Kumar, CMD is also having a share in that.

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Nitin Awasthi

No. So the JV that we have made for the pet food division, how much is owned by Avanti Feed? How much is owned by others including Bluefalo?

C. Ramachandra Rao

Yes, capital structure is 51% is held by Avanti Feeds and 17% by the promoters, another 15% by Bluefalo, another 17% by some private investors.

Nitin Awasthi

Understood, sir. Thank you.

Moderator

Thank you. Next question comes from Gunit Singh from Counter Cyclical Investment PMS. Please go ahead.

Gunit Singh

Hi, sir. In one of the replies to our previous participant, you said that, whatever loss or whatever conditions we are seeing in the first quarter, they will be made up in the coming quarters looking at the season and the cultivation. So, I would like to understand, since we are 2 months into Q1, what are the current conditions in the market? What kind of sales and what kind of, I mean, margins are we looking at as of now? Is it like below expectations? I want to understand your views on that.

C. Ramachandra Rao

Yes. As explained, I told that in the first quarter that is till 30th June '24, that is the first quarter, which is rather lesser than what our expectations were. In the normal course, you may see that May, June are the peak months. But this year, it was slightly different because the first crop was not, when continued for a period which is normally should have. But they have, there was premature, at least harvesting. So that's why there was a gap. And now they are starting again. In June 1st week, they are starting. It means that June month, it will be less only, because they will not be stopping, all the points at a time.

They gradually, they go on stocking it. So, what I said was the second quarter means that is July, August, September, October, November, December. See, like that stage wise, you get better yields, because we are presuming that on one side,

the culture will be v

ery good, so that gives, you know, opportunity for increasing our feed production and sales that we make, and raw material costs are also likely to be more or less stable in the next half year. So, there 2 quarters. So, I think all these things put together, subject to the conditions, all these work out favourably. We should be able to makeover whatever the loss of sales, that was there in the first quarter, can be made good in the second quarter and third quarter.

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Gunit Singh

Alright, sir. So, I mean, look, Q1 is normally our heaviest quarter in terms of sales. So [mean, that we could not be able to maintain the Q1 sales that we made in Q1 last year. Is that a fair assumption?

Santhi Latha

No. I think we are not expecting any drop in the margins or in the quantity sold in the Q1. Though, the market is not doing well.

Santhi Latha

We want to increase.

C. Ramachandra Rao

You expected more, but, it did not happen. But nevertheless, the overall situation will be, next to make up the shortfall in the 1st quarter, in the 2nd & 3rd quarters because there is a delayed drop rate.

Santhi Latha

So, we expect our market share to go up because the overall market is down. The overall market has not reached its peak in the first quarter as expected. We are talking about the overall market, not only about Avanti Feeds.

C. Ramachandra Rao

June, we are expecting to be good stockings in June and July and which will result in a good crop. Already started at some places, but we are expecting that this will pick up momentum in June and it will be somewhere around September, October, November we will be able to get good results. The crop will come and it will be safe manner. It will not be at a one time. we will see the results, the performance in the second and third quarters.

Gunit Singh

Alright sir. Got it. So, despite the slower market, [mean, Avanti sales and margins in Q1 would not be, I mean, anywhere lower than last year?

C. Ramachandra Rao

Yes. Still June is there. We are expecting that June will give some relief for us. So we hope so. We'll wait for that. See, because still we have got full month. June entire month is not yet started. So we'll have full month of June. I think, it will have real, impact on the performance. If the June month, we get more sales and all, we get good prices and raw metal prices are also stable, we get good performance in the first quarter, if June goes on well.

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Gunit Singh

Alright, sir. And you mentioned that raw material prices have mostly softened down and even fresh meal prices have come down from INR 135 to about INR 98 levels. So, what are our outlooks for, FY '25 in terms of steady state EBITDA margins that we can comfortably look at?

C. Ramachandra Rao

It is very difficult to make any prediction as of now. It is like astrologer making predictions. So because it is a natural law, the fish catches depend upon the overall climatic conditions and how particularly ocean conditions for, the growth of the fish and fish catches and all these things. Same thing happens for all other 2 raw materials like soybean meal and also this wheat flour. So it's very difficult to predict 1 year in advance. It is, we can only say that today because we are sitting in May end, so we can say next 6 months it is likely to be good. It's what we have been always emphasizing next 2 quarters. So beyond that, what's going to happen is very difficult for us as of now.

Gunit Singh

All right, sir. So on the new plant that got commissioned the new capacity, so what kind of incremental revenues can we expect from that in FY '25?

C. Ramachandra Rao

You are asking feeds or frozen shrimp?

Gunit Singh

Sir, whatever extra capacity that has been commissioned, you mentioned about 7,000 metric tons, right?

C. Ramachandra Rao

We made

a shrimp processing. We have commenced the new factory. And we are focusing more on value added products.

Gunit Singh

Yes, sir. So what kind of additional revenue can we expect from that, plant in FY '25?

C. Ramachandra Rao

I think we'll be able to give you in the next quarter, because we have just started that where it's all, because we are focusing more on value added products. And we hope, the next quarter will have more clarity on that how much demand. See as I told you, our CMD and ED, Mr. Nikhilesh, both of them are in fact on tour, to the market. So we'll have to wait and see how the so far has been very good.

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Response has been very good for our value added products and we expect that more supports will come and more orders from the other markets also will come. So, I think your question can be answered more precisely maybe by end of next quarter. We will be having clarity in July, August, September. In that quarter, we'll be able to come with a clear picture as to future and what we have been able to succeed with the other markets, but one thing we can say that as of now the whatever products that we are now making has got very good response in the global market.

Moderator

Thank you, sir. That was the last question for the day. Now I hand over the floor to the management for closing comments.

C. Ramachandra Rao

Yes. Thank you, ladies and gentlemen, for your active participation. And it gives us more encouragement to answer your questions and work better and see that the value of the investors really increases and we are very confident with all expansion of Avanti Processing division and also new Avanti Pet Care in days to come in the domestic market also, very positive about the future of the domestic market. But it will take some time. Even fish feed also, we are working very seriously on that.

With all this, we hope that by end of this year, maybe early next year, we'll have more clarity on the way in which these projects are going. And also the pet care is an interesting one which we are working very hard on that. To see that it's placed on a premium position in the Indian market, and we get a lot of customer response for those pet care products also. I think with all that, I would like to conclude. And thank you for your participation. Thank you very much.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's Conference Call service. You may disconnect your lines now. Thank you and have a good day.

Note: 1. This document has been edited to improve readability

2. Blanks in this transcript represent inaudible or incomprehensible words.

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Transcript — Avanti Feeds Limited Q4 FY24 Earnings Conference Call

Call: Aug 2024

August 14, 2024

To To

BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, Exchange Plaza,
Rotunda Building, P.J. Towers, Bandra (East),
Dalal Street, Mumbai –400001 Mumbai –400051
Maharashtra, India Maharashtra, India
BSE Code: 512573 NSE Symbol: AVANTIFEED

Dear Sir/Madam,

Sub: Transcript of Q1 FY25 earnings conference call with Analysts/Investors .

Further to our letter dated November 9, 2024 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we enclose herewith the transcript of the Analysts/ Investors call held on August 09, 2024 on Operational and Financial Performance of the Company for Q 1 FY25 ended on June 30, 2024.

The same shall also be made available on the website of the Company at [https://avantifeeds.com/corporate-announcement/#Investor -Analyst -Corner](https://avantifeeds.com/corporate-announcement/#Investor-Analyst-Corner)
This is for your information and record.

Thanking you,

Yours faithfully,

For Avanti Feeds Limited
C. Ramachandra Rao
Joint Managing Director,
Company Secretary ,
Compliance Officer & CFO
DIN: 00026010

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Transcript –Avanti Feeds Limited Q1 FY25 Earnings Conference Call Earnings conference call with Analyst/Investors for Q1 FY25

August 09, 2024, at 16:00 hrs. (IST) for a duration of 1 hour 2 minutes

CORPORATE PARTICIPANTS:

Dr. A. Indra Kumar

Chairman and Managing Director

Mr. C. Ramachandra Rao

Joint Managing Director

Mr. A. Venkata Sanjeev

Executive Director

Mr. Alluri Nikhilesh

Executive Director, Avanti Frozen Foods Pvt. Ltd.

Mr. D.V.S. Satyanarayana

Chief Financial Officer, Avanti Frozen Foods Pvt. Ltd.

Mrs. Shanti Latha

GM-Finance and Accounts

Mrs. Lakshmi Sharma

Sr. Manager, Corporate Affairs

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Transcript –Avanti Feeds Limited Q1 FY25 Earnings Conference Call Moderator

Good evening, ladies and gentlemen. I'm P elsia, your moderator for the conference call.

Welcome to Avanti Feeds Limited Q1 FY 25 Earnings Conference Call. We have with us today Dr. A. Indra Kumar, Chairman and Managing Director; Mr. C. Ramachandra Rao, Joint Managing Director; Mr. A Venkata Sanjeev, Executive Director; Mr. Alluri Nikhilesh, Executive Director of Avanti Frozen Foods Pvt Ltd; Mrs. Shantilata, GM Finance and Accounts; Mrs. Lakshmi Sharma, Senior Manager -Corporate Affairs and Mr. DVS Satyanarayana, CFO of Avanti Frozen Foods Pvt Ltd. As a reminder, all participants will be in a listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touchstone telephone.

Please note that this conference is recorded. I would now like to hand over the floor to management for the opening remarks. Thank you and over to you.

C. Ramchandra Rao

Thank you, P elcia. Good evening, ladies and gentlemen. I am C. Ramchandra Rao, Joint Managing Director, Avanti Feeds Ltd. I am pleased to extend a warm welcome to all of you for this investor conference call to review the unaudited financial results for Q1

FY25. Along with me here are Mr. Alluri Nik hilesh ED , Mrs. Santhilata, Mrs. Lakshmi Sharma and DVSSatyanarayana and Dr. Indra K umar and Mr. Venkat Sanjeev are joining from the factory at Kovvuru . To begin with Mrs. Sh antilatha, GM Finance ,Avanti Feeds Lt d will present highlights of financial results for the period ended 30th June 2024 of Feed Division and also consolidated financial of the company for the same period. Thereafter, Mr.DVSSatyanarayana will present the financial highlights of shrimp processing and export division. After the presentation by both of them, we'll take up questions and answer session. Over to Mrs. Shantilata.

Shantilata

Thank you, sir. Good evening, everyone. Now I'll take you through the consolidated and standalone financial results of Feed Division for the quarter ended 30th June 2024.

CONSOLIDATED FINANCIAL RESULTS FOR Q1 FY25:

(A) Q1 FY25 RESULTS

The comparative performance of Q1 FY25 with that of Q4 FY 24 and Q1 FY24 have been given in the presentation already circulated. Gross income in Q1 FY 25 is INR1,541 crores as compared to INR1,320 crores in the previous quarter that is Q4 FY 24, an increase of INR221 crores by 16.7%. Compared to Q1 FY 24 there is a decrease in the gross income of 1,586, there is a decrease of INR45 crores by 2.84%. The PBT is INR 180 crores in Q1 FY25 as compared to INR151 crores in Q4 FY24, an increase of INR 3

Transcript –Avanti Feeds Limited Q1 FY25 Earnings Conference Call 29 crores by 19. 2% and compared to Q1 FY 24 PBT of INR157 crores, then there is an increase of INR23 crores by 14.64%.

The consolidated results indicate net impact of several factors such as increase or decrease in income, expenditures and any exceptional items relating to both Feed and Frozen Food divisions, which have been discussed in the following divisional performance of these units individually. First, we will go through the Feed division standalone financial results for Q1 FY25.

STANDALONE FINANCIAL RESULTS OF FEED AND PROCESSING DIVISIONS

A. FEED DIVISION:

Q1 FY25 RESULTS

The gross income of Feed Division for Q1 FY25 is INR1,298 crores as compared to INR 1,022 crores in the previous quarter of Q4 FY24, an increase of INR276 crores mainly due to increase in quantity of feed sold by 36,313 MT, and this is the main season for the shrimp culture. The gross income in Q1 FY24 decreased to INR1,298 crores from INR1,351 crores in the corresponding quarter of Q1 FY24. A decrease by INR53 crores representing 4% due to decrease in sales quantity by 6,916 MT.

The PBT for Q1 FY25 is INR153 crores as compared to INR118 crores in Q4 FY24, an increase of INR35 crores by 29

.67% mainly due to increase in sales volume and better overhead absorption .The feed sales increased to 1,58,591 MTs in Q1 FY25 as compared to 1,22,278 MT in Q4 FY24. The PBT in Q1 FY25 has increased by INR28 crores from INR125 crores in Q1 FY24, represented by 24.4%. As you know, the cost of raw materials consumed constitutes the major share of cost of wheat production. The major raw materials are fish meal, soya bean meal and wheat flour. The prices of these raw materials keep fluctuating since their production is based on agriculture and fish catches from the ocean.

The prices of fish meal increased in Q1 FY25 to INR 117 per kg from INR 111 per kg in Q1 FY24, whereas there was a marginal decrease from INR 119 per kg in Q4 FY24 to INR117 per kg in Q1 FY25. In case of soya bean meal, there was a marginal decrease to INR51 per kg in Q1 FY25 compared to INR52 per kg, and it was INR54 in Q1 FY24. The wheat flour price decreased to INR 28 per kg in Q1 FY25 from INR 29 in Q4 FY24 and INR27 in Q1 FY24. The present price of wheat flour is INR32 per kg, which again is a steep hike when compared with Q1 FY25. It is pertinent to note that the prices of the raw materials keep continuously fluctuating throughout the year.

Sometimes the prices are incomparable. While on one hand, the raw material prices are instrumental in determining the margin, on the other hand, the status of aquaculture activity determines the consumption of feed in terms of volume. In case of successful

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Transcript –Avanti Feeds Limited Q1 FY25 Earnings Conference Call culture for full crop, the feed consumption will be higher compared to shortened crop

period due to unforeseen situations like floods, disease outbreak, etc beyond the control of the farmer. For instance, in Q1 FY 25, the initial period of about 45 days, that is till mid-May, the shrimp culture was going on smoothly. However, from latter part of May, June and July, there were floods, outbreak of diseases resulting in loss and premature harvest. Moreover, the quality of the feed was also not up to the standard resulting in

lower survival of the shrimp.

Therefore, in spite of best aquaculture practices adopted by the farmers, these natural calamities do play a vital role in determining the success of shrimp culture. Having faced some challenges during first crop, the farmers have now commenced talking again as the farm gate prices are showing an improvement with an expectation that the prices remain stable during the rest of the financial year and also the climatic condition remains favorable. To sum up, in general, FY 2024-25 is expected to be a challenging year for the aquaculture industry both in respect of shrimp production as well as global demand for shrimp exports.

Now we'll talk about the company plans, shrimp production and feed consumption in FY24 and FY25.

SHRIMP PRODUCTION AND FEED CONSUMPTION IN FY24 AND COMPANY PLANS FOR FY25:

SHRIMP FEED CONSUMPTION:

On the basis of estimated shrimp production of about 10.5 -11 lakh metric tons in 2024, the feed consumption is estimated to be about same level. The company's feed sales during the year 2024 was about 5.31 lakh metric tons as compared to 4.97 lakh metric tons in 2023, an increase of 34,900 metric tons.

SHRIMP PROCESSING & EXPORT:

India seafood exports touched 17,81,602 MT, an all-time high in volume during the FY23-24. Frozen shrimp remained a major export item in quantity and value accounting for a share of 40% in quantity and 66% of the total dollar earnings for the country. The country's shrimp export in terms of value increased in FY24 compared to FY23 by 1.5% from USD 4,809 million to USD 4,881 million. The country's overall export of frozen shrimps in quantitative terms for FY 24 was 7,16,004 metric tons as compared to 7,11,99 metric tons in FY 23. An increase of 4,905 metric tons representing 0.69%. The company's shrimp exports during FY24 was 13,443 metric tons as compared to 12,497 in FY23, an increase by 946 metric tons. It is estimated that the exports during FY 25

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Transcript –Avanti Feeds Limited Q1FY25 Earnings Conference Call would be around 16,000 metric tons. Now I hand over to Mr. DVSSatyanarayana to present highlights of shrimp processing and export division.

DVSSatyanarayana

Thank you, Madam. Good evening, everyone. Now I would like to take you through the financial highlights of shrimp processing and export division.

B.SHRIMP PROCESSING DIVISION:

Q1FY25 RESULTS

The gross income for Q1 FY 25 is INR243 crores as compared to INR 297 crores in Q4 FY24, a decrease by INR54 crores, representing 18%, mainly due to decrease in sales quantity by 1,063 metric tons, representing 28%. The gross income includes INR9.92 crore of PLI incentive received during the quarter ended 30th June 2024. The gross income in Q1 FY25 increased to INR243 crores from INR238 crores during Q1 FY24, an increase of INR5 crores representing 2% YoY. The sales volume during Q1 FY25 increased to 2,783 metric tons from 2,658 metric tons in Q1 FY 24, a marginal increase by 125 metric tons.

The profit before tax, before exceptional item for the Q1 FY25 is INR27 crores as compared to INR 32 crores in Q4 FY24, decreased by INR5 crores. The PBT is decreased mainly due to levy of CVD on US imports, effective from 1st April, 2024 and the rise in ocean freight rates. The PBT in Q1 FY25 is INR27 crores, decreased from INR32 crores in the corresponding quarter, that is Q1 FY24, as CVD impacted the profitability in the current quarter, that is Q1 FY 25. So now I would like to run through the government incentives, which the Avanti frozen foods is availing.

As you know, the company has been availing the following two incentive schemes from Government of India:

I. Sales based incentives under "Production Linked Incentives" Scheme ; and

II. Grant -in-Aid under "Operations Green -Long Term Intervention "Scheme.

I. Production Linked Incentives Scheme

The company is eligible for incentive of 6% on raw products and 10% on value added products on incremental sales over a period of 6 years from the FY 21 -22 to FY26 -27, subject to a maximum incentive of INR79.44 crores with a minimum of 5% CAGR in sales. The company has received an incentive of INR9.92 crores pertaining to FY 23. The total incentive, which is a cumulative incentive received until the quarter ended 30th June 2024 is INR16.77 crores. The MOPP team conducted a physical site inspection in June 2024 as part of the investment verification. And the company fulfilled the

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Transcript –Avanti Feeds Limited Q1FY25Earnings Conference Callinvestment obligation and commenced production before 31stMarch 2024 as committed to the Ministry of Food Processing of India.

II.Operation Green -Long Term Intervention

Approval from Government of India for grant in aid for the proposed investment in new shrimp processing plant at Krishnapuram is received in December 2022. Maximum grant in aid under the scheme is INR10 crores. The first installment of one third of grant in aid is due from the Ministry. The company has submitted all the relevant documents in this regard. And recently, as required by the MOPP team, the company shared the latest update on the project status and geotag photographs in June 2024. Now I hand over to C Ramachandra Rao sir, for sharing the future outlook of this industry.

C Ramachandra Rao

Thank you, Satyanarayana. Now I would like to share with you on global economic prospects and also the prospects of aquaculture industry. I have taken some references from World Bank's report and also Food and Agriculture Organization (FAO). These international organizations have done some surveys for the future of the industry and they have come up with the reports from which I have taken some extracts to share with you. The World Bank's Group flagship report on global economic prospects states that this year, 2024, the good news is that global growth is holding steady, having slowed down for the past three consecutive years. Inflation has b

een cut to a 3-year low. The

world economy, in short, appears to be a final approach for a soft landing.

The global growth is projected to stabilize at 2.6% this year, despite flaring geopolitical tensions like Ukraine war, Red sea crisis, etc and high interest rates. Global risks remain tilted to the downside despite the possibility of some upside surprises. Further, the report states India and Indonesia are two additional examples of robust performance apart from the US economy, which have shown impressive resilience. India's economy has been buoyed by strong domestic demand with a surge in investments and robust service activity. It is projected to grow an average of 6.7% per fiscal year from 2024 to 2026 making the South Asia the world's fastest growing Region.

Now I'll go through the global shrimp market versus Indian shrimp industry.

Global Shrimp Market vis a vis Indian Shrimp Industry :

Global Shrimp market size was valued at USD 68.40 million dollars in 2022 and is poised to grow from USD 72.6 million in 2023 to USD 110.75 million by 2031, growing at a CAGR of 5.5% in the forecast period from 2024 to 2031. In recent years, the global

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Transcript –Avanti Feeds Limited Q1FY25Earnings Conference Callshrimp market has been changing as per consumer preferences and demands due to

increasing consumer demand for seafood, a rise in health conscious eating habits and the popularity of shrimp in various cuisines worldwide. The versatile nature of shrimp is a key ingredient in various dishes and its appeal extends across diverse cultures leading to the increasing popularity and consumption of seafood choices globally. Moreover, health conscious consumers are attracted to low calorie, high protein food sources of shrimp.

The "State of World Fisheries and Aquaculture 2024 Blue Transformation in Action", this is a report published by Food and Agriculture Organization, features that activities/initiatives led by FAO, taken in collaboration with partners and key stakeholders, shall integrate aquatic taken in global food security and sustainability.

This will also enhance ;

■ Policy Adequacy

■ Scientific research and capacity building

■ Dissemination of sustainable practices

■ Technological innovations and

■ Support community involvement

These factors ensure sustainable growth prospects for the shrimp industry. The Indian shrimp industry is a source of healthy proteins, offers employment to over one million people and contributes immensely to India's foreign exchange.

In 2023, Indian exports touched an all-time high but declined by 5.38% in value terms. The major contributing factor being decreased realization due to global shrimp prices coming down. The Ecuador production of shrimps increased significantly resulting in increase in supply over the demand particularly to the major US market. In order to address these challenges, faced by seafood industry such as ensuring sustainability in shrimp culture, promoting higher consumption of shrimps for increasing demand which will balance supply in demand and maintain stable prices for sustainable market and aquaculture activity.

The government of India has been initiating several measures from time to time for encouraging the increase in productivity in all sectors including shrimp culture and processing and export options, apart from the existing incentives of production incentive, which is called as P LI, from incremental sales and one time grant in aid under operation green scheme for setting up seafood processing plant. Recently announced budget for FY24 -25 under the leadership of Hon'ble Prime Minister. The Hon'ble Finance Minister has announced financial support for setting up a network of nucleus breeding centers for Shrimp Brood stock and financing for shrimp farming, processing and export facilitated through NABARD. Apart from these incentives, the honorable Finance minister has also announced incentive schemes for employment generation and scaling

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Transcript –A

Avanti Feeds Limited Q1FY25 Earnings Conference Call in budget for FY24 -25. The scheme envisages employment into incentives for 3

categories of employers implementing EPFO. They are incentives for first time employees, job creation in manufacturing sector and support employees for a new internship scheme in being introduced for top 500 companies. The company allows us to be one of the top 500 companies to buy this scheme from the existing ranking of 565 as on 31st March 24 as per the market cap announced by NSE.

Further, I would like to share with you about the CVD impact on aquaculture industry that is the levy of countervailing duty at 4.36% on export of shrimps by US Department of Commerce effective from 1st April 24. The US DOC has made preliminary determination of CVD rate on the basis of complaint lodged by the US Domestic shrimp industry against imports from India and preliminary data analyzed by the US DOC. In the next step, the US DOC will determine the final rate basing on the objections raised by the Seafood Exports Association of India, Government of India on the basis of data provided by them. The final determination is scheduled to be announced on 6th October 2024. In the meantime, the exporters are required to deposit CVD 4.36% with a final determination. However, in this context, I would like to mention that recently this has been kept on hold for some time. But in any case, the final determination comes, we have to take care of this in our pricing. That is very important subject to the adjustment of the final determination.

Along with India, other countries, Ecuador, Vietnam and Indonesia have also been levied CVD at different rates. The Seafood Exporters Association, MPEDA, EIA and Government of India are making efforts to get CVD withdrawn at the time of final determination in October 24 by providing all the necessary information, data to the US DOC.

Now I'd like to just make a mention about diversification of company's plan into pet food and pet care products.

Diversification of Company's Plan into Pet Food & Pet Care Products :

As you know, the company has tied up with Bluefalo Company Limited, Thailand, a well-known pet food and pet care products manufacturing company in Thailand for setting up a joint venture company in India along with the transfer of technology. The joint venture company is named Avanti Petcare Private Limited, which has been established as a subsidiary of the company. The company has purchased about 30 acres of land to set up the facility. The Avanti Petcare will initially commence trading of pet food products in India under the Avanti brand named importing from Bluefalo. After completing the setting up of manufacturing facility in India, the products will be

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Transcript –Avanti Feeds Limited Q1FY25 Earnings Conference Call produced and marketed in India. The trading activity is planned to start before 31st March, 2025.

Fish Feed :

As regards to fish feed, as we reported earlier, the company has undertaken market survey of fish feed for various species of fish and intends to initiate import feed from Thai Union Feed Mill Company to begin with and conduct trials under the Indian conditions.

Once the product performance is proven, the production in India will be taken up for domestic sale.

With this, I would like to conclude the general update on the status of the industry. And now I will request to start the question and answer session.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question and answer session. If you have a question, please press * and 1 on your telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request you may do so by pressing * and 1 again. We will wait for a moment while the question queue

assemblies.

First question comes from Ronak Soni from Equirus Securities. Please go ahead.

Ronak Soni

Yes. Hi sir. Sir, what is your outlook for, let's say, feed volumes picking up going ahead in the

subsequent quarters?

Shantilata

Please can you repeat the question?

Ronak Soni

Yes. The volumes of the feed business, how will they going to improve, let's say, the subsequent quarters going ahead? Given that there was some volume loss in this particular quarter, how do you see the volume growth rates coming back for the feed industry and for you in general for the next few quarters?

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Transcript –Avanti Feeds Limited Q1FY25Earnings Conference CallC. Ramachandra Rao

As you can see, we can tell you the quarter wise production and sales.

Shantilata

Quarter I think we have lost around 6,916 MT when compared with the previous year.

But when you are talking about the previous quarter, it is 36,300 MT more.

C. Ramachandra Rao

I'll explain to you, I may add to what Shantilata said, that consumption of the feed depends upon the aquaculture situation. See, what has happened is in Q1, it went well. And after that, in the April, May, there was lot of floods and outbreak of disease and all. So the consumption came down. In fact, in the normal course, May month and June month are the peak periods for the main crop for the sale. But however, this year, it was not so. But while saying so, I would also like to add that now the farmers have started stocking again. And we expect that if assuming that the climatic conditions remain favorable and also the prices of global shrimp price is also stable and definitely, the second crop is likely to be successful, which will run now, we started just now, say, July, August, September, October, these 3-4 months, we'll have good crop, as I said, provided we have these two favorable situations.

Ronak Soni

Right sir. So any scope of taking price increases or let's say our price cuts given that now that prices have come down and we've been given reports that there could be some subsidies coming in, in terms of electricity for the farmers over there. So any scope of pricing or pass through going ahead?

C. Ramachandra Rao

So this is just now the government has come now and they have to claim the rules for all these tariffs, electricity tariffs. And also as I explained, the prices of raw materials are very uncertain and they keep fluctuating. We never expected that the wheat flour price will go up to INR 32 today. In some of the enquiries, they are putting INR 32.80. So which was there around INR 28-29 has come now INR 32-33 for no reason. We don't know what is actually happening. No calamity has happened as far as the wheat or wheat flour is concerned. But it keeps fluctuating. Similarly, fish meal and also the soya bean meal. So, the prices of the feed, to take a long term view of this and keep stable price is definitely a good procedure.

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Transcript –Avanti Feeds Limited Q1FY25Earnings Conference CallBut nevertheless, it happens depending upon that, we are taking whatever the burden

of additional for ourselves as of now. And there is no increase. And coming to your question as to the prices which have raw materials come down, will there be any price cut? That's what I think you're asking for. So that we always keep it as fluctuating, but there is no such move as of now.

Ronak Soni

Right sir. And sir, any guidance for processing remains unchanged versus last quarter or any changes in the lower volumes?

Alluri Nikhilesh

Could you repeat your question again?

Ronak Soni

So I was saying that you used to give guidance in terms of processing volumes for the full year, which was I think anywhere around 1,500 metric tons, if I'm not wrong. So does that remain unchanged for the full year or you revised the guidance?

Management Team

I think in the opening remarks, we said 16,000.

Ronak Soni

Right. Okay. Sure. That's it from my side.

Moderator

Thank you sir. Next question comes from Kunal Ochiramani from Kinara Capital. Please go ahead.

Kunal Ochiramani

Sir, I just wanted to ask regarding the policies. Does government include us in regarding claiming the policies with shrimp as we are one of the major exporters from

India ?

Second, if any other policies, have been announced recently wherein apart from what we are availing today, will we be eligible in future ? Has there be any announcement in this budget? That's what I wanted to ask.

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Transcript –Avanti Feeds Limited Q1FY25 Earnings Conference Call C. Ramachandra Rao See, normally before framing the policy, the budgetary policy, concerned departments will have discussion with the Seafood Exporters Association, MPEDA and all the major stakeholders in the feed and they formulate the policies. And recently, budget has proposed certain decrease in import of certain ingredients, feed ingredients and also like the fish feed and also shrimp feed and some of minerals, premixes and all these things. But this policy is framed on many, many factors which are taken into consideration before the decision is taken. They take input from the stakeholders like seafood processing, they take from hatcheries, they take from the feed industry and they take from the farmer's association.

Overall the financial situation also they take as far the industry is concerned, whatever the policy that is made is in tune with the inputs that they got. So for instance, recently, they have announced some supports for having brood stock getting that and also encouraging the clusters by financing them. They are export financing and all these things are coming. But all these things are made in the budget speech. But none of these things have really taken place nor they have come in form of a procedure, the regulations, how it should be done. Even for the employment generation and encouraging the manufacturing units. All these things have been mentioned in the budget, but we are all awaiting for the outcome of how the NA BARD is supposed to be the nodal agency for extending the financial support.

And we are waiting for the procedures and regulations for operating the schemes announced by the Hon'ble Finance Minister. So overall, I don't think there will be any big announcement as far as the policy is concerned. However, the GST part that has been left to the GST Council, so we'll have to wait for the GST Council's decision how they monitor the taxes, the GSTs on various products that is going into the manufacturers as far as our sector is concerned, how they are going to make any impact.

Moderator

Thank you sir. Ladies and gentlemen If you have a question, please press * and 1 on your telephone keypad. Next question comes from Mithun Aswath from Kivah Advisors. Please go ahead.

Mithun Aswath

Hi sir, in terms of your production has gone up YoY for the Q1 in terms of the shrimp processing, but the revenues and the sales have kind of come down YoY on the shrimp processing side. I just wanted to understand that because the volumes have gone up, but the volumes of sales have not gone up, but the production has increased. So do you see subsequent quarters the ramp up in the sales? That was point one. The second

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Transcript –Avanti Feeds Limited Q1FY25 Earnings Conference Call question I had was on the duties which have been removed on the fish meal, which is

one of your raw materials. I just wanted to understand what is the benefit for you on margin. And also, if you could give a mix of what are the raw materials involved in the shrimp feed? What percent is fish meal and the wheat and the soya?

I remember in the last call you had mentioned that because the situation in Chile, there was this massive rise in the fish meal prices. So if you could just throw some color on that, that would help us to kind of understand what your margin outlook would be for the current year?

Alluri Nikhilesh

Yes, I'll take the first question. So on the production, we've increased the production like you pointed out. However, the sales didn't increase as much, mainly because a lot of stock is in transit. Now the transit time has substantially increased due to the Red Sea crisis, so they're taking an alternate route. That's the first part. The second part is

art is

that we have a lot of inventory in the warehouse, which hasn't been shipped because of unavailability of containers. So those were the two main parts of why the production

has increased and sales hasn't, but you'll see that cashing up in the coming quarters.

C. Ramachandra Rao

Yes. Coming to the feed, you raised couple of questions. Number one is with regard to the impact of the prices, the policy changes that have been made in the recent budget. Practically, as far as the domestic shrimp feed industries are concerned, there is no advantage at all because the first thing is that we have reduced the customs duty on shrimp feeds. What happens is that when the prices come down, we start getting imports from other countries becoming competitors for us in the domestic industry with a severe competition from them. And we have already more than what is the annual consumption. We have 3 or 4 times more than the requirement of the production capacities in India today.

In fact, we have made several representations to the government also, because as you keep reducing the shrimp feed customs duty, basic duty, then it will be disadvantage for the Indian manufacturers just giving you a very good quality feed for the aquaculture in the domestic aquaculture industry. So that is not at all advantage. And any basic custom duty, now we have all the raw materials available in India. Almost every raw material is available. Earlier, we were importing fish meal from Chile and Peru. We give this reference because the Chile and Peru are one of the major countries producing the fish meal and supplying to the world over. So that is taken as the availability of fish meal there will determine the global prices.

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Transcript –Avanti Feeds Limited Q1FY25 Earnings Conference Call So when there is a food crop in Chile and Peru, the global prices of fish meal come down.

And that indirectly gives an advantage to us because our exports also will get reduced. So that is available for the Indian market. That is the advantage we give for Chile and Peru references. So that is the reason why we give it. And as far as we are concerned, we go by the domestic prices which again depends upon the two factors. One is fish catches. The other one is export demand. These are the two basic criteria on which we have the local prices are based. So when there is a good crop and also there is a globally availability of fish meal is good, the demand for export is not so much, then we get a reasonably good stable price.

If there is an increase in the demand, then the prices go up. That is one aspect of it. So similarly, soya bean meal and the wheat flour, as I told you earlier, as explained, it all depends upon the agricultural cost, which is YoY basis during the season. Now in October, November month, we get the soya bean, the fresh seed. So as of now, the crop is good and everything is going on well. So that we expect that the price of soybean meal will be stable. So coming to your question with regard to the proportion how much we do it, is it something like a formulation depending on so many factors and which cannot be determined or disclosed. That can be a confidential information which the company has.

And the formulation is made according to the requirement of the particular season and particular areas, that is how it is done. So, I think we cannot disclose, this information, because it is not only one formula which is applied universally. Ok.

Mithun Aswath

Yes. Just the last question, for the next 3 quarters, are the raw materials on a holistic basis lower for you compared to the last 3 quarters of last year or are they higher? So as to judge how your margins are going to fare over the next few quarters. My sense is that right now, are the prices of the raw materials lower than last year for the second quarter or are they kind of flat? Just wanted to understand that.

C. Ramachandra Rao

So just I explain the reason for giving so much explanation in our presentation

on initially

is that to understand how the raw material prices are fluctuating and it is not actually stable. Suddenly, if it goes up to INR121, it comes down to INR119 sometimes. So it is very difficult. In a quarter, you will find in 3 months in 3 different rates for all these products whether soyabean meal or fish meal or wheat flour. In such a case it is very difficult to exactly say whether the prices will go up or come down. We do not know sometimes in spite of having a good crop, we find the prices going up. For instance, in wheat flour, we don't know why it's going up.

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Transcript –Avanti Feeds Limited Q1FY25 Earnings Conference Call The government policies, for example, government, the procurement by the Corporation

of India, the wheat is more now. So, they want to keep it as a food security policy. So, with the result of so much of wheat flour going into the government godown, the FCI godown, it is not available in open market. The prices are going up. Like similarly the situation in case of fish meal, if the catches are not good, we don't get, the prices go up.

Similarly, if there is a demand for export, the fish meal producers would like to export rather than to sell in the market. When we approach, they say you give us the export price, we will give you. That is what happens. So it is very difficult to really come to a point where we can be predicted with a reasonable accuracy. It is very difficult. So that's why we keep explaining so much about it.

Mithun Aswath

I understood, sir. At least for the next quarter, do you have a visibility of is it better or worse than last year?

A. Indra Kumar

We cannot say now because right now they are soft. But it all depends on the international market situation.

Mithun Aswath

Okay. And one more question I had, if I may, on your new venture on the pet food business. Just wanted to understand what is the investment that you're doing here and what kind of scale can this business do? And is this primarily for the export market? Or would there be a domestic play as well here?

C. Ramachandra Rao

Yes, these pet products are for only domestic market. It is not for export. It is for the domestic market. And the investment is expected to be around INR 130 -150 crores, of which we have land cost, we have invested about INR 35 crores as of now. And also we had spent about INR 2.5 -3 crores for other expenditures for the survey of the demand for pet foods and other branding and other staff that we have expanded. We spent about INR 2.5-3 crores. And as far as the product, as we told you, we are planning to launch before 31st March 24. CMD, you may add something if you would like to add?

Indra Kumar

Yes. See, usually, it will be a domestic market. The market is going up on a drastically high pace. We can establish our brand; we will also look at the export markets.

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Transcript –Avanti Feeds Limited Q1FY25 Earnings Conference Call Mithun Aswath

Right. I'm just trying to understand this is a completely type of different type of business, right? You will have to create your own brand, a lot of marketing and all that. Just wanted to understand.

A. Indra Kumar

Technology wise, the manufacturing of feed and all, they're similar to what we are manufacturing shrimp feed or something like that, but it's a different pet animal. So, it's again a formulation and what the pet requires. And regarding the marketing, yes, in the shrimp feed, it is the farmers who buy the seed for the commercial crops. Then in the pet food, it is like pet owners. It is more of an emotional thing and we have to work in the consumer market.

Mithun Aswath

Right. And if I can squeeze one last one. Whenever these farmers have a bad crop, they bought this feed from you. Do you see potential losses or write offs? And how does that work? Or is there the government helping fund those purchases?

A. Indra Kumar

No. See, the farmer buys feed as per the requirement. Say, he would always plan his requirement of feed as per his requirement and

and he would be taking from the dealers.

And see, if he will be given back to the dealers if he has some problem with the crop and dealer will sell to some other farmer. This is how it goes.

Mithun Aswath

Right. I'm just trying to understand in terms of there would be quite a bit of a loss that you would have incurred, right, because of the last couple of months. I just wanted to understand what is that impact.

A. Indra Kumar

See, they will not return back the feed to the company. It is only the uptake, see, because as you saw, this year rains are good, and there's a lot of flood. Because of the heavy rain, there was a flooding on some of the areas. Because of the flooding and all, there has been diseases and there has been overflowing in shrimp farms. That's what that has happened from end of June and July. But now it is quite stabilized. Now the farmers are going back for stocking. Because good rains in the country also, emphasizes good

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Transcript –Avanti Feeds Limited Q1FY25 Earnings Conference Call crops. But the heavy rains are there, they'll all lose the crop. But generally, the water regenerates it's a good sign for the country for the agriculture and aquaculture.

Mithun Aswath

Fine, sir. Thank you.

Moderator

Thank you. Next question comes from Vedant Mehta from QRC Investment Advisors. Please go ahead.

Vedant Mehta

Yes. Hi, good evening. I just wanted to understand the EBITDA margin expansion. Is it linked to only the raw material prices being depressed? Or what other factors that are driven by?

C. Ramachandra Rao

So basically the major contribution factors are the raw material prices. So the other expenses be the normal the fixed expenses under other labor and all, we have the standard expenditure. And the increase in expenditure YoY basis, it will be there by increments of the salaries, etc. It will be the overall expenditure increase will have an impact on that.

Shanthilata

And transportation cost is the major factor in case of frozen food. So the ocean freight also affects the EBITDA.

A. Indra Kumar

Because of the Red Sea issue and the shortage of containers because the US and the European governments are imposing some tax on the Chinese products from September 1st shipments received from September sometime in September 1st. So they are shipping out, all their cargos before that, it reaches before that. So all the containers have been booked by the Chinese companies, majorly the lithium batteries and the electric cars. So the Ocean price have gone up very high because all the space in the vessels have been booked by the Chinese companies at a very high price. So, for us to as earlier our yesterday, as Nikhilesh has said, there are shortage of containers and shortage of space in the shipping vessels because everything has been booked, which would be eased by,

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Transcript –Avanti Feeds Limited Q1FY25Earnings Conference Callend of this month or something like that because, the deadline would be over for the Chinese.

And the EBITDA margin, yes, definitely, on the frozen side, definitely it works on the raw material side and also since the shortage of containers and space in the vessel, the oceanfreighthave gone up almost 3 to 4 times high.

Vedant Mehta

Ok, thank you.

Moderator

Thank you. I request the participants to restrict with 2 questions in the initial round and join back the queue for more questions. Next question comes from Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep Rawat

Yes. Good evening and thank you for the opportunity. So I just wanted to know about the demand outlook in the shrimp processing segment for various geographies, specifically US and EU? And how do you see competition coming out from Ecuador? Alluri Nikhilesh

Okay. Thank you. I'll answer that question. So on the production sidefrom Ecuador, I think, see, Ecuador today is the largest producer of shrimp, but they do not compete in the same categories as the Indian processing industry does. Ecuador does more whole sh

rimp or headless shrimp like commodity shrimp, where India is more into peeled shrimp and moving more into value addition. So that way, I don't see that Ecuador is really a threat to India, but there is oversupply, which is balancing slowly more efficient producers will stay in the market in terms of producing ratios. The demand in the US market, Europe, also the rest of the world continues to be stable, not great changes. Hopefully, the low pricing of the shrimp, the protein of shrimp drives in more consumption. There's more marketing activities that are being done. For the company itself, a strong quality standards and product continues to have good traction in the customer base. So we will continue to focus on expanding in all these markets.

Pradeep Rawat

Yes. Thank you very much and wish you all the best.

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Transcript –Avanti Feeds Limited Q1FY25Earnings Conference CallAlluriNikhilesh

Thank you.

Moderator

Thank you. Next question comes from Sameer Deshpande, an individual investor. Please go ahead.

Moderator

He has withdrawn his question sir. Next question comes from Devam Modi from Ardeko. Please go ahead.

Devam Modi

Yeah. Thank you for the opportunity. To begin with, could you share the details related to the PLI incentive that the company has received or is eligible for going ahead?

DVS Satyanarayana

We will send an email. You just send an email so that we will reply back. We have already explained in the presentation we will reply back to you.

Devam Modi

Okay. Sure. And, just like you highlighted on the pet food front, if you can also share on the fish feed front, what is the investment and resources that we'll be looking to allocate this year and next year in FY 25-26?

C. Ramachandra Rao

The fish feed we have only we have employed some senior executives who are undertaking the Feedsurvey. And we are ready in the process with identifying the fish species which is suitable for India and for that feed. So we want to take up trials to do the trials with imported feed from the Thai Union feed mill and first experiment here and see whichever is the Indian conditions is suitable. We would like to start importing and do it initially. And thereafter, we want to produce in India. We have the civil works ready. It is only the machinery that we have to order and we can immediately start within a matter of about 6 months, we can start production.

Once we establish the demand, supply and what is the requirement, what is the species that require that is in need in Indian conditions, we will start. So it will take maybe so
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Transcript –Avanti Feeds Limited Q1FY25Earnings Conference Call We are now under the process of the survey and trials. We are going to import some feed and do trials in India. CMD may would like to add some.

Indra Kumar

Yes. The fish feed, we have a lot of fish available in India, which is a majorly low cost fish and the feed for instance, very cheap feed and it is anybody can make that feed. But the species, what we are looking at is in earlier meetings what we said, we wanted to go for a high variety of species, which is already being done in the past of developing in India, like Baramundi, Seebas or Snakehead or Kraut or different varieties of fish, which is already people have taken up culture and they're doing a lot of trials on it. We are developing feed for that, which is already existing with Thai Union, which they are doing in Thailand, which we want to import earlier and start doing trials with the development of the market.

And if those variety of species develop with a high protein applied to high protein and good protein fish, which needs high nutrition, nutrition value, there are a lot of technologies involved. So we want to get into that. Then the commodity grade the question of you asking how much Capex would be around, see, once we decide on that, but initially we are importing and once we decide on that, the Capex of INR 100 crores would be there.

Devam Modi

Okay, sure. And in this case,

so based on what you highlighted, it should be more like a high margin, but relatively lower volume than sort of the shrimp feed business. Would that be the right impression?

Indra Kumar

Yes. There are fish available you know, common carp and all, which are traditionally from India. So farmers most of the common carps, farmers make their own feed because it's a very cheap it comes around the 15-20 rupees' net manufactured feed for themselves. And for the financial savings, it is anything. But this variety of fish, we'll see people are going trial and doing the trials are high quality fish. High quality fish like sea bass and all these are high protein and high nutritious fish which require high nutritious feed. So we have to target that. The volume may in future, it may increase to a higher side depending on the consumptions and the development.

Devam Modi

Okay. Sure. And there would be an overlap in the customer that you would be having on the shrimp feed style, there would be an overlap with the fish feed to the higher end.

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Transcript –Avanti Feeds Limited Q1FY25Earnings Conference Call Indra Kumar

No, there would be no overlap. There's a different segment, totally.

Devam Modi

Okay, sure. And just one book keeping sort of question. In FY 24, we see that there is a power and fuel expense of INR 94 crores. How much would be the amount attributable

to the power side and how much to the fuel side within that?

Alluri Nihikesh

Could you send an email, and I will just break it out and send it to you?

Devam Modi

Sure. No problem. Thanks. That's it for my side.

Moderator

Thank you. That would be the last question for the day. Now I hand over the floor to management for closing comments.

C. Ramachandra Rao

On behalf of, the board of directors and also the management, I would like to thank all the investors who have participated for having more discussions, more questions and having more clarifications. It is good to have such a session whereby the management has the investors also to be more transparent in disseminating the information about the company prospects, the profitability, margins, etc. I once again thank all the investors for taking active part in this session and made it more fruitful. Thank you.

Moderator

Thank you. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you, and have a pleasant day.

Note: 1. This document has been edited to improve readability

2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Nov 2024

November 27, 2024

To To

BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, Exchange Plaza,
Rotunda Building, P.J. Towers, Bandra (East),
Dalal Street, Mumbai – 400001 Mumbai – 400051
Maharashtra, India Maharashtra, India

BSE Code: 512573 NSE Symbol: AVANTIFEED

Dear Sir/Madam,

Sub: Transcript of post earnings Audio Conference Call for the Q2 H1FY 25
ended on September 30, 2024 .

Further to our letter dated November 20, 2024 , we enclose herewith the transcript
of post earnings Audio Conference Call for Investors /Analyst held on November 20,
2024 in connection with unaudited financial results (Standalone and Consolidated)
of the Company for the Q2 H1FY 25 ended on September 30, 2024 and the same will
also be available on the website of the Company at
<https://avantifeeds.com/corporate-announcement/#Investor-Analyst-Corner>

This is for your information and record.

Thanking you,

Yours faithfully,
For Avanti Feeds Limited

C. Ramachandra Rao
Joint Managing Director,
Company Secretary ,
Compliance Officer & CFO
DIN: 00026010

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CIN: L16001AP1993PLC0%"//8

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call

Avanti Feeds Limited Q2 H1 FY25 Results Conference Call

November 20, 2024, at 16:00 hrs. (IST) for a duration of 60 mins 09 secs

CORPORATE PARTICIPANTS:

Mr. C. Ramachandra Rao
Joint Managing Director, CS & CFO

Mr. A. Venkata Sanjeev
Executive Director

Mr. A. Nikhilesh

Executive Director - Avanti Frozen Foods Private Limited

Mrs. Santhi Latha
General Manager - Finance and Accounts

Mr. D.V.S. Satyanarayana
CFO - Avanti Frozen Foods Private Limited

Mrs. Lakshmi Sharma
Senior Manager - Corporate Affairs

■1 Avanti'
.-....ii Feeds Limited
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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call Moderator

Good evening , ladies and gentlemen, I am Soumya, the moderator for today's conference call. Welcome to Avanti Feeds Limited Q2 and H1 FY25 Earnings Conference Call. We have with us today, Mr. C. Ramachandra Rao, Joint Managing Director; Mr. A. Venkata Sanjeev, Executive Director; Mr. Alluri Nikhilesh, Executive Director of Avanti Frozen Foods Private Limited; Mrs. Shanti Latha, GM of Finance and Accounts; Ms. Lakshmi Sharma, Senior Manager, Corporate Affairs, and Mr. D.V.S Satyanarayana, CFO of Avanti Frozen Foods Private Limited.

As a reminder, all participants will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * and then 0 on your touchtone telephone. Please note that this conference is recorded. I would now like to hand over the floor to Mr. C. Ramachandra Rao, Joint Managing Director. Thank you. And over to you, sir.

C. Ramachandra Rao

Thank you, Soumya . Good evening, ladies and gentlemen. I am pleased to extend a warm welcome to all of you for this investors' conference call to review the unaudited financial results for the Q2 FY25. Along with me here are Mr. A. Venkata Sanjeev, Executive Director; Mrs. Shanti Latha, General Manager, Finance and Accounts, Mr. D.V.S Satyanarayana, CFO, and Lakshmi Sharma, Company Secretary. And Mr. Nikhilesh is joining from the Avanti Fr

ozen Food processing plant from Yerravaram.

To begin with, Mrs. Shanti Latha, GM, Finance and Accounts of Avanti Feeds Limited will present highlights of the financial results for the period ended 30th September 2024 of Feeds division and also consolidated financials of the company for the same period. Thereafter, Mr. D.V.S Satyanarayana will present the financial highlights of shrimp processing and export division. After presentation by both of them, we'll take up question -and-answer session. Over to you, Mrs. Shanti Latha.

Shanti Latha

Thank you, sir. Good evening. Now I'll take you through the consolidated and feed division financial performance highlights for the quarter ended 30th September 2024.
CONSOLIDATED FINANCIAL RESULTS FOR Q2FY25:
(A) Q2FY25 RESULTS ,

The comparative performance of Q2 FY25 with that of Q1 FY25 and Q2 FY24 have been given in the presentation already circulated. Gross income in Q2 FY25 is INR 1,397

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call crores as compared to INR 1,541 crores in the previous Q1 FY25, a decrease of INR 144 crores by 9.34%. Compared to Q2 FY24 gross income of INR 1,312 crores, there is an increase of INR 85 crores by about 6.48%. The PBT is INR 162 crores in Q2 FY25 as compared to INR 180 crores in Q1 FY25, a decrease of INR 18 crores by 10%. And compared to Q2 FY24 PBT of INR 113 crores, there is an increase of INR 49 crores by about 43.36%.

The consolidated results indicate the net impact of several factors such as increase or decrease in income expenditure and exceptional items relating to both Feed and Frozen food divisions, which have been discussed in the following divisional performance of these units individually.

STANDALONE FINANCIAL RESULTS OF FEED AND PROCESSING DIVISIONS

A. FEED DIVISION:

Q2FY25 RESULTS

The gross income for Q2 FY25 is INR 1,118 crores as compared to INR 1,298 crores in the previous quarter of Q1 FY25, a decrease of INR 180 crores mainly due to decrease in quantity of feed sold by 23,694 MT. The gross income in Q2 FY25 increased to INR 1,118 crores from INR 1,064 crores in the corresponding quarter, an increase by INR 54 crores representing 5.07% due to increase in sales quantity by 7,033 MT.

The PBT for Q2 FY25 is INR 145 crores as compared to INR 153 crores in Q1 FY25, a decrease of INR 8 crores by 5.22%, mainly due to decrease in sales volume. The Feed sales decreased to 1,34,897 MT in Q2 FY25 as compared to 1,58,591 MTs in Q1 FY25. The PBT in Q2 has increased by INR 59 crores from INR 86 crores in Q2 FY24, represented by 68.6%. The increase in the PBT is because of the raw material and other overhead absorption.

■ So the major raw materials are fish meal, soya bean meal and wheat flour. The noticeable development in this quarter is marginal softening of two major raw materials that are fish meal and soya bean meal prices resulting in marginal improvement in the profitability.

■ The prices of these raw materials keep fluctuating since their production is based on agriculture and fish catches from the ocean. The prices of fish meal decreased in Q2 FY25 to 105 per kg from INR 117 per kg in Q1 and from 126 per kg in Q2 FY24. In case of soya bean meal, their prices were stable at INR 49 in both Q2 and Q1 of FY25, and it was INR 54 in Q2 FY24. However, the wheat flour price increased to INR 31 per kg in Q2 FY25 from INR 28 per kg in Q1 FY25 and Q2 FY24. The present price of wheat flour is INR 36 per kg, which is a steep hike from Q2 FY25.

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call ■ While on the one hand the raw material prices are instrumental in determining the margins, on the other hand, the status of aquacultural activity conditions such as climatic changes, diseases

et cetera determine the consumption of feed in terms of volume, which will have an impact on the overall performance.

■ In the normal course, the quarter July to September is when the second crop for the shrimp culture is started. However, in the current year, due to cyclone and fires in Andhra Pradesh during July and August, the consumption of feed at a lesser volume as the harvesting took place early with small sized shrimps that is 100 count, and the culture didn't progress as expected.

■ However, favorable climatic conditions supported farmers to restocking from September, extended the season from October, November, and December, raising the hopes of higher consumption of feed during Q3 FY25 compared to corresponding period of the previous year.

■ To sum up, in general, FY24 -25 is expected to be a challenging year for the aquaculture industry, both in respect of shrimp production, as well as global demand for shrimp exports. In spite of the challenging year, your company is expected to have better capacity utilization.

SHRIMP PRODUCTION AND FEED CONSUMPTION IN FY24 AND COMPANY PLANS FOR FY25 .

SHRIMP FEED CONSUMPTION:

So, on the basis of estimated shrimp production of about 10.5 to 11 lakh MTs in 2024, the feed consumption is expected to be about same level. The company's feed sales during the half year ended FY25 is 2,93,487 MT against 2,93,370 MT in half year FY24.

SHRIMP PROCESSING AND EXPORT

India's seafood exports touched 17,81,602 MT, an all-time high in volume during the FY23-24. Frozen shrimp remained a major export item in quantity and value, accounting for a share of 40% in quantity and 66% of the total dollar earnings.

The country's shrimp exports in terms of value increased in FY24 compared to FY 23 by 1.5% from USD 4,809 million to USD 4,881 million.

The country's overall export of frozen shrimp in quantitative terms for FY24 was 7,16,004 MTs as compared to 7,11,099 MTs in FY '23, an increase of 4,905 MTs representing 0.69%.

The company's shrimp exports during FY24 was 13,443 MTs as compared to 12,497 MTs in FY '23, an increase by 946 MTs. It is estimated that the exports during FY25 would be around 16,000 MTs.

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call Now I hand over to Mr. D.V.S. Satyanarayana to present highlights of shrimp processing and export division.

D.V.S. Satyanarayana

Thank you, Madam. Good evening, everyone. Now I would like to take you through the financial highlights of Shrimp Processing and Export division

B. SHRIMP PROCESSING DIVISION:

Q2FY25 RESULTS

■ The gross income for Q2 FY25 is INR 284 crores as compared to INR 243 crores in Q1 FY25, an increase by INR 41 crores, representing 17%, mainly due to increase in sales quantity by 640 metric tonnes, representing 23%.

■ The gross income in Q2 FY25 increased to INR 284 crores from INR 253 crores during Q2 FY 24, an increase of INR 31 crores representing 12% year-over-year. The sales volume during Q2 FY 25 increased to 3,423 metric tonnes from 2,950 metric tonnes in Q2 FY 24 and increased by 473 metric tonnes.

■ The PBT before exceptional items for the Q2 FY25 is INR 23 crores as compared to INR 27 crores in Q1 FY 2025, decreased by INR 4 crores. The PBT decreased mainly due to increase in raw material costs during the quarter.

■ The PBT in Q2 FY25 is INR 23 crores, a decrease from INR 31 crores in the corresponding quarter of Q2 FY 2024, primarily due to the impact of CVD, an increase in ocean freight and also depreciation on profitability in the current quarter.

Comparison of performance for six months ended 30th September, 2024 with six months ended 30th September, 2023.

■ The gross income for 6 months during FY25 was INR 527 crores as compared to INR 491 crores in the corresponding 6 months' period of previous year

at is FY

23-24. An increase of INR 36 crores in the gross income during 6 months of FY25 is mainly due to increase in sales quantity by 597 metric tons, representing 11%.

■ The PBT in 6 months FY25 is INR 50 crores as compared to INR 64 crores in 6 months FY 24. A decrease in PBT by INR 14 crores is mainly due to CVD, and increase in ocean freight rates, and also depreciation.

Government Incentives:

As you know, the company has been availing the following two incentive schemes from Government of India:

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call I. Sales Based incentive under Production Linked Incentive Scheme ; and

II. Grant in Aid under Operation Green Long Term Intervention scheme.

Production Linked Incentive scheme :

Company is eligible for incentive of 6% for raw products and 10% for value added

products on incremental sales over a period of 6 years from the FY21 -22 to FY26 -27, subject to a maximum incentive of INR 79.44 crores with a minimum 5% CAGR in sales.

The company has received an incentive of INR 9.92 crores pertaining to FY 22-23.

The total incentive, including FY 23, received until the quarter ended 30th September 2024 is INR 16.77 crores.

The MoFPI team conducted a physical site inspection in June 2024, as part of the investment verification.

The company fulfilled the investment obligation and also commenced production before 31st March, 2024, as committed to the Ministry of Food Processing Industries.

The incentive claim for FY 23 -24 will be filed in the month of December 2024.

Operation Green Scheme :

Approval from Government of India for Grant in Aid for the proposed investment in new shrimp processing plant at Krishnapuram is received in the month of December 2022.

Maximum Grant in Aid under the scheme is INR 10 crores.

The first installment of 1/3rd of Grant in Aid is due from the Ministry. The company has submitted all the relevant documents in this regard.

As required by the MOCP, the company shared the latest update on the project status and also geotagged photographs in the month of June 2024 .

Now I hand over to JMD sir, for sharing future outlook of the industry.

C. Ramachandra Rao

Thank you, Satyanarayana. In my previous discussion with you, I had given an outline of global economic prospects and also prospects of aquaculture industry based on the World Bank Group's flagship report on global economic prospects. A review of the expectations and forecast made a quarter ago remains promising and achievable during

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call the year 2025. So, far there has been no tedious disturbing factors having major impact on achieving the projected performance for the year 2025, other than the normal fluctuations.

Global shrimp market versus Indian shrimp industry

Global ship market size was valued at USD 68.400 billion in 2022 and is poised to grow from USD 72.16 billion in 2023 to USD 110.775 billion by 2031 growing at the CAGR of 5.5% in the forecast period (2024 – 2031).

In recent years, the global shrimp market has been changing as per consumer preferences and demands due to increasing consumer demand for seafood, a rise in health-conscious eating habits, and the popularity of shrimp in various cuisines worldwide. The versatile nature of shrimp makes it a key ingredient in various dishes and its appeal extends across diverse cultures leading to the increasing popularity and consumption of seafood globally. Moreover, health-conscious consumers are attracted to low calorie, high protein food source of shrimp.

The global market for shrimp continues to be volatile and global industry expected to face a mixed outlook and I mean growing competition market share.

However, the

forecast continues to be promising, it projected higher volumes of consumption due to reasons mentioned above. The Government of India has been initiating several measures from time to time for encouraging increase in productivity in all sectors including shrimp culture and processing and export of shrimps. Apart from the existing incentives of Production Linked Incentive on incremental sales and one-time Grant in Aid under the Operations Marine scheme for setting up seafood shrimp processing plants.

In the recently announced budget for FY24-25 under the leadership of the honorable Prime Minister, the honorable Finance Minister has announced financial support for setting up a network of nucleus breeding centers for shrimp brood stock and financing for shrimp farming, processing and export facilities through NABARD.

We understand that the NABARD in consultation with the Government of India Ministry of Fisheries are working on these proposals. Apart from these incentives, as mentioned in my previous discussion, the honorable Finance Minister has also announced incentive scheme for employment generation and skilling in her budget speech for FY24-25. The company has initiated the following central government schemes during Q2 FY25.

1. Apprenticeship program : we have initiated the hiring of apprentices under the National Apprentices Promotion Scheme and have selected 75 apprentices under the Apprenticeship Act. By March 2025, we aim to train at least 150 apprentices across all 8

Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call our facilities. The apprentices will be imparted training in shrimp culture, shrimp processing, hatchery, and feed related activities. The other incentive is the:

2. Prime Minister Internship Scheme . We have enrolled in recently launched PM Internship Scheme to its portal. Initially, we'll be taking about 100 interns and the process will begin on 25th November this year. Further, the company has been training workers on personal hygiene, team building, housekeeping, techniques, anger management, communication, and grooming in association with 'Learnnet' a Business Affiliate of National Skill Development Corporation since July 2024. A total of 350 workers have been trained to date as part of Phase I and an additional 500 workers will be trained in Phase II .

I would like to share an update on levy of CVD by U.S. on ship imports by them. The U.S. Department of Commerce announced its pilot determination on 22nd October 2024 in the countervailing duty investigations of frozen warm water shrimp from Ecuador, India, Indonesia, and Vietnam. The proposed rate of CVD for India is 5.77% as in its preliminary determination of 4.36%. However, this rate is subject to U.S. International Trade Commission's final announcement which is expected in December this year.

Diversification of Company's Plan into Pet Food & Pet Care Products:

As you know, the company has tied up with Bluefalo Company Limited, Thailand, a well-known pet food and pet care products manufacturing company in Thailand, for setting up a joint venture company in India, involving the investment by them along with the transfer of technology. This joint venture company's name is Avanti Pet Care Private Limited, which has been established as a subsidiary of Avanti Feeds Limited . The company has purchased about 30 acres of land to set up the facility under APCPL. APCPL will initially commence trading of pet food products in India under the APCPL brand name importing from Bluefalo, Thailand.

After completing the setting up of manufacturing facility in India, the products will be produced and marketed in India. The trading activity is planned to start before 31st March 2025, for which the company is already recruited team for market development for the company's pr

ducts.

Fish Feed:

Apart from pet care, we have fish feed, which we have been making a lot of efforts to bring into Indian fish culture. As reported earlier, the company has undertaken market survey for fish feed for various species of fish, and intends to initially import feed from Thai Union Feedmill Company Limited and conduct trials under Indian conditions.

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call Once the product performance is approved, the production in India will be taken up for domestic sales. A very serious study is being made on this aspect. And we have identified about 5 or 6 the fish culture ponds where fish culture is being done, and associated

with them for import of the sample feed trial runs will be held. And if it is proved to be effective in Indian conditions, it will be brought initially as a trading activity. And in course of time, we will set up necessary production facilities in our existing feed plant for which already there is sufficient civil works. This is only the import rate, feed, the machinery has to be installed to start production.

I think we have covered all the aspects. And we will I think we can take up the question and answer session now. Okay, thank you, Soumya. We can start the Q&A session.

Moderator

Thank you so much, sir. Ladies and gentlemen, we will now begin the question -and-answer session. If you have a question, please press * and 1 on your telephone keypad, and please wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. Our first question comes from Mr. Kunal Ochiramani from Kinara Capital Pvt Ltd. Please go ahead.

Kunal Ochiramani

Hi, sir. Congratulations on good numbers. Just wanted to know this quarter was good in terms of exports due to strong demand in Europe. So just wanted to gauge how the global demand is currently? And how will it be as per your industry? Secondly, there was marginal softening in commodity prices. However, as your team reported in processing, you see raw material prices the profits were down. So on that front, wanted some clarity? And overall, some clarity on when are you going to take on fish feed business?

C. Ramachandra Rao

I think first question, Nikhilesh, can you answer that first question, please?

Alluri Nikhilesh

Okay. Hi Good evening. So, on the global demand question, shrimp continues to be a strong seafood category. Lot of customers, consumers always think shrimp is a good seafood meat. So consumption only will increase with higher income levels. So that's positive. And being closed in, it can give also long shelf life. So like overall, global demand for shrimp is good and is forecasted to be positive in the long term. What was the second question?

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call Kunal Ochiramani

It was about the raw material prices being high in processing business and hence the profits are down?

Alluri Nikhilesh

So, in September this year, it was very unfortunate that Andhra Pradesh suffered huge rainfall. So a lot of crops, shrimp ponds were washed away. So the off season continued instead of for 2 months for almost 3.5 months where we didn't get the second crop even till now. So we had to buy raw material at higher prices due to limited availability. So that was the reason for the high cost of input.

C. Ramachandra Rao

The third question, can you please repeat?

Kunal Ochiramani

For the fish feed business?

C. Ramachandra Rao

Fish feed as I told you, the fish feed business, we have undertaken lot of survey. And also, we have identified about 6 farms, the fish culture farms, where we would like to run the trial feeding and seeing the results

ow the fish feed, which is the formula which we have now, that is Thailand, Thai Union has got that fish feed which we are going to import and use it here in our farms, and see how the results are.

Because there are several varieties of fish like Sea bass and unless each product has got different parameters, like protein levels that is required, so it is a bit difficult for us to have a different type of products under the species of fish. So, what we are doing is now we are trying to undertake the trials in respect of each one of them and try out in about 5 to 6 fish culture farms. We have entered into some sort of understanding, MOU, with the owners of these farms to undertake the trial runs. And once it is proved to be effective, and if it is good, then we will make them produce in Thailand and import to start with. And gradually, we will, once the demand picks up in India, we will start our own production facility in course of time.

There's a lot of work is being done because the price is another important challenging factor which the prices of Indian products keep fluctuating. And once we enter into the imported fleet, it will have a cost effective, and we will determine the demand for the product. So, we are trying to balance these two things and arrive at a competitive price for the Indian farmers so that we will be able to give them in competition with the other

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call producers in India. So, while it gives a better ease, it should be competitive also. Price should be competitive. That is what our endeavor is and we are working very seriously on this. Maybe next, 3 to 6 months we should be able to start off on this.

Kunal Ochiramani

And relating to my second question, sir, CVD and freight rates are high, and it's been 2 months since the quarter has ended. So what is the outlook now and going ahead?

C. Ramachandra Rao

The final determination of CVD has come at 5.77 %. So we'll have to see that announcement sometime next month and that will have a direct impact on that. But we are also working on various other cost effective measures and try to see that we'll still make margins out of this by increasing the value added products and all. I think, Nikhilesh, can you just throw some light on this?

Alluri Nikhilesh

So, CVD and A DD, they're two separate duties, countervailing duty and antidumping duty. And right now, our antidumping duty is about a little low 1%, 1.2% something. And CVD is determined to be 5.77 % where the final determinations are being made right now. So maybe we expect or we anticipate that the CVD might reduce by maybe 4.4%, but not sure. But on the alternate route, all the other countries like Ecuador, Vietnam, Indonesia, everyone attracted CVD or AD D. Unfortunately, India stands with the highest duty of 5.77 % compared to the other countries.

In the long run, in the past, we've had CVD duty for Shrimp before, but it's a lot of working with the government, the U.S. Regulatory authority, and also the private sector to submit and rework on some of these claims that the US DOC is making. And so this is a time taking process. But if you work it right, then the duties will come down. It's not any tariff per se, which was not revised previously.

So it is a complicated case. It is a small problem for India at the moment and also the other countries have CVD, so everyone has this problem. But on the long run, I think we can work with the government to reduce such duty. And second, also, this also means higher selling price in the market. So that would be helping to drive revenues up, because the selling price of shrimp has been falling continuously for the last 2, 3 years. So that's about the CVD and AD D.

C. Ramachandra Rao

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Co

nference Call It's very important, it all depends on the government there U.S. and also it is an ongoing process. It is almost done. The CVD, once 1 year, the 2nd year, again, it will be reviewed.

And again, the data is collected whether what are the incentives that the government is giving, and what are the taxes that is being levied, and all that it will work out, and as Nikhilesh said, it may come down also in the next year. But it is an issue which we have to live with it. Because, the CVD has been levied by U.S. on almost all the countries. It is only our effort should be to reduce the CVD percentage on versus levied on Indian exports.

Moderator

Ladies and gentleman, if you have any questions, please press * and 1 on your telephone keypad. And you're requested to ask 1 question in the initial round and you may join back the queue for more questions. Our next question comes from Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep Rawat

Good Evening and thank you for the opportunity. So, I have just one question about Ecuador. So how is the competition pairing up with respect to Ecuador, especially after the power shortage issue over there?

C. Ramachandra Rao

Nikhilesh, can you take this one?

Alluri Nikhilesh

So, Ecuador, we've told in previous meetings that Ecuador and India, we have separate product categories. India does more of field and cook shrimp than Ecuador does head on well commodity products. On the power shortage, at the current moment, this has affected Ecuador's exports. They're not able to produce it much. So, the selling price in China has been moving up due to non-delivery from the Ecuadorian market from what we gather in market Intelligence. And also, in the U.S, there's also less exports of Ecuadorian shrimp in the past 1, 2 months. However, we need to see how this pans out in the long term.

Currently, we are most of the buying for the primary market is done for the holiday season. So right now, there's no large impact for any other producing country like India, Vietnam or Indonesia because of the power problems in Ecuador.

Pradeep Rawat

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call Okay, understood. And one last question, if I can squeeze in. Can you also mention the CVD on other countries like Ecuador and Vietnam?

Alluri Nikhilesh

Maybe if you could send an email, we can send it in the separate note.

Moderator

Thank you, sir. Our next question comes from Nitin Awasthi from InCred Equities. Please go ahead.

Nitin Awasthi

Hello sir, one question continuing from the previous participants' questions is that the amount of CVD that we have paid so far, I believe we are liable to pay CVD from April this year. And, for how far have we paid the CVD? And whenever we have paid it, have we booked it as an expense or as a different item?

C. Ramachandra Rao

Satyana rayana, the CFO, will answer the question.

D.V.S. Satyanarayana

Yeah. So far , the company has paid around INR 8.5 crores CVD till 30th September 2024. And whatever the CVD we deposit with the U.S. Government, we are booking as an expenditure. We are debiting to P&L.

Nitin Awasthi

Understood, sir. So as of now when the rate increase is coming, we're still continuing and depositing what we are depositing earlier or are we depositing as per a new rate?

D.V.S. Satyanarayana

No. We are depositing as per the existing rate, the rate which was decided during preliminary determination, which is 4.36%.

Nitin Awasthi

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call Understood, sir. So , second question from my side would be, are we looking to use BTGS as a component in our

fleet given that there has been a lot of production of that commodity in the country now due to a different reason within the ethanol program? But however, there is a lot of animal feed company experimenting with this product. Are we also doing the same?

A. Venkata Sanjeev

No, listen, we're not using it in our shrimp field. Hello?

Nitin Awasthi

Yes, sir.

A. Venkata Sanjeev

We're not using BTGS in our shrimp field as a plug because it has some nutritional factors, which are not very good for growth promotion.

Nitin Awasthi

Understood. However, are we experimenting with it, trying to make it efficient? Or that is not out on the system?

A. Venkata Sanjeev

That is fact but we didn't get favorable results.

Moderator

Thank you, sir. Our next question comes from Kamal Sharma, an Individual Investor. Please go ahead.

Kamal Sharma

Thank you. So, my question relates to two recent announcements coming from government. So one is, of course, what you mentioned in the presentation about the budget , wherein there were, I think, three separate incentives where shrimp or aquaculture was referred to? And then a recent one, wherein there is a MSP hike on soya bean plus of course in your presentation, you have mentioned about hike in the EBITDA rate as well. So how do you see these two together? So first one is, what is the opportunity size and the project fee announcement open up for? And how long will this time be arranged?

Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call And is it like, we if the government is planning to achieve those targets in 1 year, 2 years whatever or do we have that clarity yet? And of course do we have the capacity to support that opportunity utilization? Combined with the impact of soya bean price MSP announcement, so how will these two go together?

C. Ramachandra Rao

See, the MSP announcement has been there with from the government from time to time. And mostly it is related to some political activity rather than the real situation of the crop prevailing in the country. That has been the stand that has been the procedure that's been followed by the government.

Whenever they consider that the farmers are not getting remunerated for their crop, they increase the MSP. That is the MSP is the price at which the government procures the soya from the farmers. But there are other factors which are working in the market, it keeps on changing. For instance, recently soya price has been increased. So, MSP has been increased. But there we did not feel that much impact on the soya price as such - it is remaining more or less stable on 5% this side or that side, it is fluctuating on a day-to-day basis.

So, MSP is something which is the government regulation which says that if you buy from the farmer, you have to buy only from that, and for MSP, it's a price which, the farmer has to sell. That is the remunerative price. So that, in fact, we'll not have a direct impact immediately, but over a period of time, when the government start purchasing more, then it will have an impact. Then there will be demand for that. The prices will be more than the MSP. But as of now, it is not the situation as far as the soya is concerned. Coming to the other question which you mentioned?

Kamal Sharma

The opportunity standard is coming due to the budgetary announcements?

C. Ramachandra Rao

Yes. The budgetary announcement is about the, the other things that are about the, as far as the aquaculture industry is concerned, they are for processing and export. We have already explained the details of the schemes that are in operation now. And other than that, they are trying to encourage a nucleus breeding centers for the brood stock. That is one of the major constraints that India has been facing, because India does not have a pro

per brood stock available for the culture.

We have been importing from different countries, and each time the quality of the brood stock varies, and sometimes it will have less survival, sometimes it will have quick

Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call disease, prone to diseases and all. So the Government of India would like to now

encourage the Indian farmers or processing units, the stakeholders, to start nucleus breeding centers for these brood stock. But, with the support of NABARD. But so far, no instructions or no scheme has been announced by NABARD. I think we'll have to wait for some more time if they come out with the, for on this proposal.

Other than that, as we have explained, they are encouraging the employment. So they are increasing the apprenticeship programs and also internships. As far as the aquaculture industry is concerned, we are taking number of apprentices in each of the shrimp culture activity. For example, in feed manufacturer and culture itself, shrimp culture and processing, we are training them. So that is an advantage which overall if it is possible for Indian shrimp culture to make more economic and more competitive prices globally - it will have a very good future as the consumption of shrimp is increasing globally.

These are the impacts of budget. But government seems to be very serious about this. They are taking aquaculture, marine food products export as one of the major trust areas for the government for adding foreign exchange and as well as also employment generation. Okay, I think I've answered your query.

Kamal Sharma

Yes, to a large extent, but I just wanted to know if you have any numbers also available, in order?

C. Ramachandra Rao

For what sir? No numbers as of now. See, government schemes, it'll take time. See, there are several schemes which were announced in last budget, they were not implemented at all. So it will take some time. See, when they really got it only with, after a lot of pressure, they commenced these 2 programs mainly which is substantially helping the industry that is the PLI, and also Operation Green Scheme. These 2 are good. But again, there are some constraints in that also.

The government is always, you know, in the situation they announce, but when the time comes for implementation, there are lot of bottlenecks for that. So they try to take these bottlenecks. We are trying to solve one after the other. So in course of time, we should be able to get these benefits. But to give numbers, as of now, nobody has got numbers as to what is the projected advantage of this.

Moderator

Thank you, sir. Our next question comes from Suresh Pal from KRST Capital Limited. Please go ahead.

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call
Suresh Pal

Thank you for the opportunity. So, my question is, we can see that the global shrimp prices are rising from quarter to start. I can see that from July end, this month of October, shrimp prices have risen more than 10%. I would like to know how Avanti Feeds will likely be benefited from this shrimp price rise that is happening in last 3, 4 months?

C. Ramachandra Rao

Nikhilesh?

Alluri Nikhilesh

Right now, there is, I think, the shrimp price increase, I don't think there's any such benefit for the industry because this price increase is mainly due to new duty levies. So there's no impact as such except the revenues are forced to go higher. So that's only, I guess, direct impact on to the company in the immediate term.

Suresh Pal

No, but duty might have risen 5%, 6%, right? But the price rise is more than 10%. Like if I consider 3, 4 months, it is more than 10%?

Alluri Nikhilesh

Are you talking about the selling price?

Suresh Pal

Yes, selling price I'm talking about.

Alluri Nikhilesh

I don't know if it's increased by 10%. There are some sizes which have actually increased by 8%. There's 1 or 2 sizes, but on average about 3% to 4%, 5%, maybe, but that's only because the raw material price is higher. So it's not at the market accepting higher price at the retail store at the foodservice store. It's more with the duty and higher raw

material price at the moment.

Moderator

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call Thank you, sir. Our next question comes from Amit Kumar Rajput from Capital Craft Research. Please go ahead.

Amit Kumar Rajput

Thanks for the opportunity sir. So, my first question regarding the American election and the recent policy shift you are looking for. As of now, our majority of business is coming from America, so any content sort of policy safety you are preparing for it as of on a tariff side?

Alluri N ikhilesh

So, on the U.S., I think with Donald Trump coming, at least my personal opinion is that it's more positive for India because the last term, he was there, there's nothing substantial against India or Indian people. So, but, again, we don't know. So as a company that's diversifying our sales channels to other countries like Europe, Asia, and also Canada, Middle East, so trying to get more sales portfolio into these markets so that we kind of diversify the market rate.

Amit Kumar Rajput

Great to know. So, my second question regarding the margin side there. So could we see the recent trend in margin going forward in future? In recent your margin has been raise on a yearly basis?

C. Ramachandra Rao

Yes. See the margins are raising as it is obvious because of the margin softening of the raw material prices. So as long as these raw material prices remain at this level, we certainly make a profit, but unfortunately it's not in our control. So, we expect, the fish meal, which last year, it gave lot of trouble to us, because it was going up because of the exports. But this time, the Chile and Peru were the major suppliers of fish meal to the world. They have globally. They have their good crops. They are able to supply. So the demand from India has drastically reduced. So the fish meal producers in India have now look for Indian market rather than depending on the export market for a higher yield. That is number 1.

Number 2, coming to the other two products like the soya bean meal and wheat flour. See, the soya bean meal the production has been continuously good. See, each year, year-after-year, this year also, the crop has done very well, and, the harvesting has already started and we expect the prices to still stop soften. But we do not know, how

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call they are going to move, but it all again depends upon the soya oil. Soya oil is another factor which determines the price of soya bean meal.

So these 2 are the balancing factors for the soya bean meal. So we expect that, the prices remain at this level for some more time. If not going down, at least it will not go up. It's what our expectation is. So that being the case, as far as the soya bean meal is concerned, we are very comfortable as of now.

Coming to the wheat flour, it is surprising that the wheat flour prices are going up, like, you know, at a great speed going up. Nobody is able to exactly tell why it is going up. See, it is an essential commodity as far as the human consumption of wheat flour is concerned. So the rate at which it is going, it is impossible to even predict why it is growing. Crop is good. We are getting till March; we don't have crop. The next crop comes

only in March. Still 4 months are left, 4, 5 months. But how it's go

ing to be in these 4

months? It is expected that after Maharashtra elections, the prices are going to little soften.

We have to wait and see how this, particularly wheat flour, which no one is able to really imagine, but being the highly consumed product in a daily, families, the wheat flour is going up like anything which is surprising. So, we will wait and see. We are expecting that after Maharashtra elections by end of this year, their prices should come down. So if these prices remain, definitely we'll be able to achieve the margins what we have achieved now and we'll be able to maintain these margins definitely.

Amit Kumar Rajput

Okay. Fair enough. So, sir, my last question would be, if you can give me any sort of guidance regarding FY25 financial year on the margin side?

C. Ramachandra Rao

See, what happened was in the, earlier this quarter, there was, as Nikhilesh said, there was unexpected rainfall, it was cyclone and all, has reduced the crop. Actually, the duration of the crop, the main crop reduced. And they were forced to harvest, the 10 counts, sorry, 10 grams. There were 100 counts. So that's why the feed consumption has come down, the margins automatically will come down. But the best point of that is that later on in August/September, the climate has really improved and it was very congenial for the shrimp culture.

So, the farmers have stocked it again and it's going well as of now. If nothing serious happens in next 1.5 months, 2 months, we should be able to, get the normal crop and 20

Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call also then the consumption will also be there. We are expecting more or less whatever the last year's consumption plus or minus 5%, we should be able to achieve 5, 40,000 MTs or something like that was the last year's feed sales. And we are also likely to register more or less the same sales this year.

And as I told you, because of the raw material softening, we may be able to get better margins compared to the last year. That's what our expectations are, positive expectations. And we'll have to wait and see for another one and a half months.

So that will result in automatically in the next FY25 ending on 31st March, which will be reflected. Again, if the situation continues, again, the next crop will start sometime in the January end and February beginning. Then again, there will be sales. I think it looks as of now very promising. Let's just wait and see because it's a very volatile market.

Moderator

Our next question comes from Sriram R, an Individual Investor. Please go ahead.

Sriram R

I have 2 questions. One is on the shrimp processing. Do you import the raw shrimp or do you have a shrimp farm? Second question is sorry sir, go ahead.

Alluri Nikhilesh

You may continue with your second question.

Sriram R

Yes. My second question is the budget had some provisions regarding decrease of custom duties for shrimp fee. So how has that impacted you? Are we seeing more imports now because of the duty cut?

C. Ramachandra Rao

Yes. First, I think, Nikhilesh, can you answer the first question?

Alluri Nikhilesh

We don't import any shrimp. India is one of the largest producer of shrimps. So, we buy shrimp locally. So as Avanti, we don't farm ourselves. We have like some contract farming, that's a major source of shrimp.

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call C. Ramachandra Rao

So as far as the reduction in the customs duty of some of the products relating to the shrimp culture, it's true that there is a reduction, but it did not really have any impact on us and rather it has a negative impact. As far as the proteins, protein premixes and mineral premixes, we were importing earlier, but now

everything is available in India.

Almost every product is available in India. And, what they have done is they have decreased duty on shrimp feed, imported shrimp feed, which is a negative point as far as our industry is concerned, the Indian shrimp feed industry is concerned. Because if reduced the price of imported then foreign companies are likely to dump their products in India.

So that, in fact, we have represented, to the government that please bring back the same level because if you reduce the shrimp feed duty, then the neighboring countries, they'll have the advantage of the reduced import duty, so they will dump in India. But we are, so far, there has not been so much impact on account of this. But certain advantages are there. The farmers do know that the Indian shrimp feed is more fresh and they are able to get better yields and all those things. So they may not immediately go unless it is really very attractive for them to go and it gives the expected results, the feed.

So that is the one disadvantage which we found. But as far as the other products are concerned, we are having all the products available in India. Only argan oil was reduced, but that is again a substitute for fish oil. But that is very expensive. And India has got plenty of fish oil available. So along with fish meal, we are buying locally the fish oil also, sourcing it. So there is no need for practically any import of raw materials. So there is no impact of reduced duty on our feed cost.

Sriram R

Sir, just one question. I mean, what is the pricing difference between the imported shrimp feed and our feed?

C. Ramachandra Rao

It is same. There is no difference at all. See, if you, in fact, look at the yields and performance of the Indian feed, it is much more. I think, Mr. Venkata Sanjeev will be able to give more details on this.

A. Venkata Sanjeev

So as of now, the prices are almost similar to Indian feed prices. The performance of the imported feed is not as good as the Indian feed, like Mr. Rao said, and also the new

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call Indian feed companies which have taken over the market share, so it's become very hard for the foreign players to enter and get a substantial market share.

C. Ramachandra Rao

See, the already most of the foreign companies are already in India. They have their plants. For example, CP, they are already, -there are so many foreign companies which are there in India. And there is no need for them to bring, import the feed. That's what we have represented to the government. See, they already, the foreign companies are

there in this, feed manufactured in India and they are getting the feed. Then why should they, why should the Government of India allow reduction in custom duty on the import of these products? So, we hope that by next budget we will be able to get some favorable outcome of our representation.

Sriram R

Okay, sir. Got it. Thanks for an elaborate answer, sir. Very helpful. Thank you. All the best.

Moderator

Thank you, sir. Due to time constraints, that will be the last question. Now I hand over the floor to the management for closing comments.

C. Ramachandra Rao

Yes. Right.

Shanti Latha

Thank you, investors. Thank you everyone for participating in this call. So in case of any queries, you can reach out to us by mail. Thank you.

Moderator

Thank you so much. Ladies and gentlemen, this concludes your conference call for today. Thank you for your participation and for using Door Sabha's conference call service. You may all disconnect your lines now. Thank you, and have a good day.

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Transcript – Avanti Feeds Limited Q 2 H1 FY25 Earnings Conference Call

Note: 1. This document has been edited to improve readability

2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Feb 2025

February 28, 2025

To To

BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, Exchange Plaza,
Rotunda Building, P.J. Towers, Bandra (East),
Dalal Street, Mumbai – 400001 Mumbai – 400051
Maharashtra, India Maharashtra, India

BSE Code: 512573 NSE Symbol: AVANTIFEED

Dear Sir/Madam,

Sub: Transcript of post earnings Audio Conference Call for the quarter and nine
Months ended December 31 , 2024 .

Further to our letter dated February 24 , 202 5, we enclose herewith the transcript of
post earnings Audio Conference Call for Investors /Analyst held on February 24, 202 5
in connection with unaudited financial results (Standalone and Consolidated) of the
Company for the quarter and nine months ended December 31 , 2024 and the same
will also be available on the website of the Company at
<https://avantifeeds.com/corporate-announcement/#Investor-Analyst-Corner>

This is for your information and record.

Thanking you,

Yours faithfully,
For Avanti Feeds Limited

C. Ramachandra Rao
Joint Managing Director,
Company Secretary ,
Compliance Officer & CFO
DIN: 00026010

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Avanti Feeds Ltd 1 24.02.2025

Q3FY25 Investor Conference Call

Avanti Feeds Limited

Q3FY25 Investors Conference Call

Event Date / Time: 24/02/202 5, 16:00 Hrs.

Event Duration: 01 Hr. 04mins 07 secs

CORPORATE PARTICIPANTS:

Mr. C . Ramachandra Rao
Joint Managing Director

Mr. A . Venkata Sanjeev
Executive Director

Mr. Alluri Nikhilesh
Executive Director - Avanti Frozen Foods Pvt. Ltd

Mrs. Sant hi Latha
GM Finance & Accounts

Mrs. Lakshmi Sharma
Senior Manager Corporate Affairs

Mr. DVS Satyanarayana
CFO (Avanti Frozen Foods Pvt Ltd)

Mr. K. Srinivasa Reddy
CFO (Avanti Pet Care Pvt Ltd)

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Q3FY25 Investor Conference Call
Q&A PARTICIPANTS:

1. Nitin Awasthi : Incred Equities
2. Kamal Sharma : Individual Investor
3. Jasdeep Walia : Clockvine Capital
4. Mithun Aswath : Kivah Advisors
5. Sameer Deshpande : Individual Investor
6. Sachin Pal : MC Research
7. Tom A Kadavil : Geojit Financial

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Q3FY25 Investor Conference Call Moderator

Good evening, ladies and gentlemen, I am Pelsia, the moderator for the conference call. Welcome to Avanti Feeds Limited Q3 FY '25 Investors Conference Call. We have with us today, Mr. C. Ramachandra Rao, Joint Managing Director; Mr. A. Venkata Sanjeev, Executive Director; Mr. Alluri Nikhilesh, Executive Director, Avanti Frozen Foods Private Limited; Mrs. Santhi Latha, GM, Finance and Accounts. Mrs. Lakshmi Sharma, Senior Manager Corporate Affairs and Mr. D.V.S Satyanarayana, CFO of Avanti Frozen Foods Private Limited.

As a reminder, all participants will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing * and then 0 on your touchtone telephone. Please note that

this conference is being recorded.

I would now like to hand over the floor to Mr. C. Ramachandra Rao, Joint Managing Director. Thank you. And over to you, sir.

C. Ramachandra Rao

Thank you, Pelsia. Good evening, ladies and gentlemen. I am pleased to extend a warm welcome to all of you for this investor's conference call to review the unaudited financial statements for quarter ended financial year 2025. Mr. A. Venkata Sanjeev, Executive Director, Avanti Feeds; and Mr. Alluri Nikhilesh, Executive Director, Avanti Frozen have joined from the plant.

Along with Mrs. Santhi Latha, GM Finance and Accounts; Mr. D.V.S. Satyanarayana, CFO of Avanti Frozen Pvt. Ltd; and Mr. K. Srinivas Reddy, CFO of Avanti Petcare Private Limited.

To begin with, Mrs. Santhi Latha, GM Financial Accounts will present highlights of financial results for the period ended 31st, December 2024 of feed division and also consolidated financials of the company for the same period. Thereafter, Mr. D.V.S Satyanarayana will present the financial highlights of shrimp processing and export division. After that, Mr. Srinivas Reddy will give you the status of Petcare project as of as on date. After presentation by all of them, we will take up question and answer session.

Santhi Latha

Thank you, sir. Good evening, everyone. Now I will take you through the consolidated and standalone financial performance highlights for the quarter and 9 months ended 31st December 2024.

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Q3FY25 Investor Conference Call Consolidated financial results for the quarter ended Q3 FY '25.

So, the comparative performance of Q3 FY '25 with that of Q2 FY '25 and Q3 FY '24 have been given in the presentation already circulated.

Gross income in Q3 FY '25 is INR 1,405 crores as compared to INR 1,397 crores in the previous quarter Q2 FY '25, an increase by INR 8 crores. Compared to Q3 FY '24 gross income of INR 1,287 crores, there is an increase of INR 1,118 crores by 9.17%. The PPT is INR 184 crores in Q3 FY '25 as compared to INR 162 crores in Q2, FY '25, an increase of INR 22 crores by 14%. And compared to Q3 FY '24 PBT of INR 116 crores, there is an increase of INR 68 crores by 59%.

Comparison of performance for 9 months ended December '24 with 9 months period ended December 23.

In 9 months, FY '25, the total income increased to INR 4,343 crores from INR 4,185 crores in 9 months FY '24.

The PBT in 9 months FY '25 increased to INR 526 crores from INR 386 crores in the

corresponding period of the previous year, mainly due to increase in revenue and decrease in raw material costs and better overhead absorption.

The consolidated results indicate net impact of several factors such as increase or decrease in income and expenditure relating to both feed and frozen divisions, which have been discussed in the following divisional performance individually.

Standalone financial performance of feed divisions, Q3 FY '25 results.

The gross income for Q3, FY '25 is INR 1,077 crores as compared to INR 1,118 crores in the previous quarter of Q2 FY '25, a decrease of INR 41 crores due to decrease in the quantity of feed sold. The gross income in Q3 FY '25 increased to INR 1,077 crores from INR 958 crores in the corresponding quarter of Q3 FY '24, an increase by INR 119 crores due to increase in sales quantity by 15,731 metric tons.

The PBT for Q3 FY25 is INR 166 crores as compared to INR 145 crores in Q2 FY '25, an increase of INR 21 crores above 15%, mainly due to the increase in raw material cost. The PBT in Q3 FY '25 has increased by INR 90 crores from INR 76 crores in Q3 FY '24 represented by 118%.

The feed sales decreased to 132,049 MTs in Q3 FY '25, as compared to 134,897 in Q2 FY '25, and 116,318 MT in Q3 FY '25.

Comparison of 9 months performance of December '24 and December '23.

In 9 months, FY '25, the total income increased to INR 3,493 crore from INR 3,373 crore in 9 months FY '24 due to increase in feed sales and other income. The PBT in 9 months FY 2024 increased to INR 465 crores from INR 288 crores in the corresponding period of the previous year, mainly due to increase in sales and other income and decrease in raw material costs and better overhead absorption.

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Q3FY25 Investor Conference Call As you know, the major raw material prices are fish meal, soyabean meal and wheat flour. The noticeable development in this quarter is softening of two major raw materials that are fish meal and soyabean meal prices resulting in improvement in the profitability. The prices of these raw materials keep fluctuating since their production is based on agriculture and fish catches from the ocean.

The price of fish meal decreased in Q3 to INR 93 per kg from INR 105 per/kg in Q2 FY '25, and from INR 128 in Q3 FY '24. In case of soyabean meal, their prices reduced to INR 46 per/kg in Q3 FY '25 from INR 49 in Q2, FY '25 and INR 53 in Q3 FY '24. However, the wheat flour prices increased to INR 35 per/kg in Q3 FY '25 from 32 per/kg in Q2 FY '25 and 31 per/kg in Q3 FY '24.

While on one hand, the raw materials are instrumental in determining the margins, on the other hand, the status of aquaculture activity conditions such as climate changes, diseases, etc, determine the consumption of feed in terms of volume, which will have an impact on the overall performance of the industry.

Favorable climatic conditions supporting farmers to rehire made the farmers to re-harvest from September, extending the season up to December 2024, raising higher consumption of feed during Q3 FY '25 compared to that corresponding period of the previous quarter year.

To sum up, in general, FY '24, '25 was expected to be a challenging year for the aquaculture industry, both in respect of shrimp production as well as global demand for shrimp export. In spite of the challenging conditions, your company had better capacity utilization to the plants for 2025 and the shrimp feed consumption in 2024.

SHRIMP PRODUCTION AND FEED CONSUMPTION IN FY24 AND COMPANY PLANS FOR FY25

SHRIMP FEED CONSUMPTION:

On the basis of estimated shrimp production of about 10.5 to 11 lakh metric tons of feed consumption is estimated in the year 2024. The company's feed sales during the 9

months FY '25 is 425,537 MT as against 496,089 MT in 9months period FY '24.

Shrimp Processing and Export.

India seafood exports touched INR 1,781,602 MT; an all-time high in volume during the fiscal year '23-'24. Frozen shrimp remained the major export item in quantity and value, accounting for a share of 40% in quantity and 66% of the total dollar earnings.

The company's shrimp exports during FY '24 was 13,443 MTs as compared to 12,497 for FY '23, an increase by 946 MT's. It is estimated that the exports during FY'25 would be around 15,000 MT's.

An update on the fish feed plant.

As reported earlier, the company will import fish feed from Thai Union Feed Mill Limited and conduct trials of fish feed under Indian conditions. Once the product performance is satisfactory, Avanti Feeds Ltd 6 24.02.2025

Q3FY25 Investor Conference Call is approved and accepted in the market, the production in India will be taken up for domestic sale of fish feed.

Now I will hand over to Mr. D.V.S. Satyanarayana to present highlights of Shrimp Processing and Export division.

D.V.S. Satyanarayana

Thank you, madam. Good evening, everyone. Now I would like to take you through the financial highlights of Shrimp Processing and Export division.

SHRIMP PROCESSING DIVISION

Q3 FY '25 results.

The gross income for Q3, FY

2025 is INR 328 crores as compared to INR 284 crores in Q2 FY 2025, an increase by INR 44 crores, representing 15%, mainly due to increase in sales quantity by 420 metric tons, representing 12%.

The gross income in Q3 FY '25 decreased to INR 328 crores from INR 330 crores during Q3, FY, 2024, a decrease of INR 2 crores representing 0.6% year-on-year. The sales volume during Q3 FY '25 decreased to 3,843 metric tons from 3,990 metric tons in Q3, FY 2024, a decrease of 147 metric tons, although volumes decreased in Q3 FY '25, compared to Q3 FY '24, the sales value remained almost the same due to higher average selling price realization and favorable FX rates.

The profit before tax for Q3 FY '25 is INR 18 crores as compared to INR 23 crores in the last quarter, that is Q2 FY 2025, decreased by INR 5 crores. The PBT decreased mainly due to increase in raw material prices and also the ocean price rates. The PBT in Q3 FY '25 is INR 18 crores, a decrease from INR 40 crores in the corresponding quarter that is Q3 FY 2024, primarily due to increase in raw material prices, impact of CVD, increase in ocean price and also depreciation arise from the new plant.

Comparison of performance for 9 months ended 31/12/2024 with 9 months ended 31/12/2023

The gross income for 9 months during FY '25 was INR 855 crores as compared to INR 820 crores in the corresponding nine months period of previous year, that is FY 2024. An increase of INR 35 crores in the gross income during 9 months of FY '25 is mainly due to increase in sales quantity by 428 metric tons, representing 4.3% growth.

The PBT in 9 months FY '25 is INR 68 crores as compared to INR 104 crores in 9 months FY 2024. The decrease in PBT by INR 36 crores is mainly on account of CVD, increase in raw material prices, higher ocean freight rate during the year and also new plant depreciation.

Now I hand over to Mr. K. Srinivas Reddy to update the status of Pet Food project.

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Q3FY25 Investor Conference Call Kandhadi Srinivas Reddy

Thank you, D.V.S. Satyanarayana. Good evening, all. As you know, company has tied up with our Bluefalo Company Limited, Thailand, a well-known pet food and pet care product manufacturing company in Thailand, for setting up a joint venture company in India with equity investment by them along with the transfer of technology.

We are pleased to inform that Avanti Pet Care has successfully commenced a trading in cat food from January 2025. It's our first product range under the Avanti Pet Care brand that is Avant Furst, starting with the cat food. This is a significant milestone in our strategy to enter an Indian pet food market as we have a plan to import pet food products from the Bluefalo Thailand.

Till such time, Indian factory commence the production and sales. Currently, our products are available in five cities in India, that is Mumbai, Pune, Chennai, Bangalore and Hyderabad. And we are working diligently to expand our reach across the entire country, ensuring availability in market in near the future.

As informed in our earlier investor con call, the company has purchased about 30 acres of planning to set up the manufacturing facilities. The planning for the state of art manufacturing facility in Hyderabad is in progress.

Now I'm handing over to a Mr. C. Ramachandra Rao sir for sharing your future outlook of the industry.

C. Ramachandra Rao

Thank you, Mr. Srinivas Reddy. Ladies and gentlemen, just I would like to give a brief of what is happening in this year, the both shrimp culture as well as the shrimp processing and export.

To start with, the season has started, the first season, which is the major aquaculture season for India that is started from most end of middle of January and it is progressing really very well. So the climatic conditio

ns and other factors have helped to take off very smoothly, and with the good farm gate prices, the farmers are very much interested to increase the area cultivation, and also total, there will be the we are expecting the production will continue successfully throughout the first season without any disturbance.

As we see today, we do not have any major hurdle as far as the culture is concerned. So we expect that the production would be on the same levels as in the last year and maybe slightly about 5% more than what was in the last year. As regard to the value-added processing, we move to value added products, we see value creation as not many competitors are focusing and people will have ready to eat as well. However, the levy of CVD, which is at 5.77% now by U.S., is an additional burden to the export of shrimps to U.S., which is the largest export market for the company.

Keeping this factor in view, the company the endeavor of the company is to expand its global markets to other destinations like Japan, Korea, EU, Middle East for which all efforts are being made by the company. Overall, the global market for shrimp expected

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The company is working with this objective to maintain its margins. I think with this conclusion, I know we will take up the questions from you.

I think Pelsia, I can start with the question -and-answer session.

Moderator

Thank you so much, sir. Ladies and gentlemen, we will now begin the question -and- answer session. If you have a question, please press * and 1 on your telephone keypad, and please wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. We will wait for a moment while the question queue is assembled .

First question comes from Nitin Awasthi from Incred Equities. Please go ahead.

Nitin Awasthi

Hello, sir. A few questions from my side. Firstly, could you share the timeline for the pet food plant in Hyderabad?

C. Ramachandra Rao

Yes. See, we are expecting that, see, the land has been purchased and we are in the process of getting the approvals as survey and other things. And also, we are in consultation with Bluefalo Thailand. We are preparing the drawings of the factory and list of plant and machinery, indigenous imported and other civil works, all these planning works is progressing. So, once we start, we are expecting that by end of '26, we should be able to come out with our own production by end up December '26.

Nitin Awasthi

Okay. Understood, sir. So, second thing I wanted to ask you was what is our total capacity as of now in the processing segment? And with all those because right now, if I'm not wrong, all our capacities have come on stream, right?

C. Ramachandra Rao

Yes. Which one? You were saying the processing. Processing. Yes, I think Nikhilesh. Yes. Please call me the question, Mr. Nitin.

Nitin Awasthi

Yes. So, in the processing side, we were working on additional capacities. So, if I'm not wrong, all our capacities are completely on stream right now. So cumulatively, what would be our total capacity on the processing side?

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Q3FY25 Investor Conference Call C. Ramachandra Rao

Nikhilesh, would you like to take this question?

Alluri Nikhilesh

Hi, Nitin. Right now, like we're scaling up the production, this is a labor -intensive process. We have like over 2,000 workers working at these facilities, so we need to train

them and everything. So, I would say currently, during the season, we're at full capacity, off season because there's no raw material during it's a very seasonal business, so we would say about 50%. Net through the year were about 60% to 65% and this will be scaled up to at least 80% in the next 4 to 5 quarters.

Nitin Awasthi

Understood. Could you give the number over here , metric ton wise?

Alluri Nikhilesh

Maybe like it's a difficult number to give, Nitin, because there are different products that we run. Like, if you say, like, Tempura would require a lot more manpower and the production would be much slower. So maybe we can have a separate discussion if you send an email to give an exact number on the metric ton. It's a lot of assumptions. So those are the assumptions....

Nitin Awasthi

I agree with you in the nature of the industry and the variation in the product. Would it have an impact on the final output? I agree with that. Hence, even if you cannot give a number, if you can give a range, that would also work.

Alluri Nikhilesh

So, we're talking raw material about 28,000 to 30,000 tons in the next 4 to 5 quarters?

Nitin Awasthi

On the raw material side?

Alluri Nikhilesh

On the raw material side.

Nitin Awasthi

Okay. So of course, there will be deductions from this and the final product will be made?

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Yes, depending on what product we'll position.

Nitin Awasthi

Understood, understood. So last question from my side, you have in the beginning of the call, there was a commentary in which the major raw materials used in the shrimp feed bit was discussed. If you could just shed some light on the current tanks on all the three products?

Santhi Latha

See, the fish meal price is slightly going up. It is expected around INR 96 to INR 97. And the Soya remains stable, whereas, what we are worried about is the wheat flour, but we are expecting the fresh crop. So, the wheat flour is around INR 36 right now.

Nitin Awasthi

Yes. Understood.

Santhi Latha

We are expecting a fresh crop in March. So, we are expecting it to little bit reduce. That is the only thing which has been increasing trend. Otherwise, the rest remains stable.

C. Ramachandra Rao

As you know, I may add to what Santhi said. But as you know that the fish meal is majorly dependent on the fish catches and also export market. These are the two criteria for the major pricing influencing factors. So, we have been seeing that status have been pretty good and also because in production in Chile and Peru, which are the major supplying countries of fish meal to the world, they are producing more and there is no demand for exports from India.

So that is one of the reasons where the prices are looking more stable with maybe around INR 100, we are expecting that it should be varying between INR 95 to INR 100. That's what we are looking for as far as the fish meal is concerned. As far as the as rightly said by Santhi that we are worried about wheat flour, because India has been producing substantial quantities of wheat. But however, the policy of the government to

for food security reasons, all the crop is being purchased by the FCI, by the government by making MSP, minimum support price. And the millers have been given only a limited quota for building and making the flour, and we are mostly buying the flour.

So, the prices of these, wheat and wheat flour are dependent on the pricing by the FCI. So earlier, the policy of the government was that FCI was allowed to sell a portion of their total wheat stock at as a open market sale. That was the policy that the Government of India had given to the Food Corporation. But now the government has stopped that open sale and

the entire production of wheat is being purchased by them.

And we are hoping that somewhere in this year the government may look for a portion

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Q3FY25 Investor Conference Call of it to be for open sale, then we have when the wheat is available in the open market, the prices are likely to be lesser compared to the FCI prices.

We'll have to wait and see how the number one, the total production, how much FCI policy to for procurement on behalf of the government and what is going to be open sale. So, this is one area where we are really worried, but we looked at we see that it should not go abnormally high. It should be around INR 36, INR 37. It should be INR 35 to INR 40. It should be between that. But it is really, bit of, concern.

And as far as the soya is concerned, we are pretty stable, and we have been able to get the quantities. And as you know that our margins are mainly dependent on these raw materials and as long as we see a good margins, as long as the prices remain at this level. I think this answer will answer your question.

Moderator

Thank you. Next question comes from Kamal Sharma, an Individual Investor. Please go ahead.

Kamal Sharma

Sir, my question is about the fish -- sorry, the pet feed business. So earlier you had indicated that you will share the numbers related to the overall market size. And maybe just to add on that, do we have the visibility on what is the kind of revenue that we are targeting in this business segment and the kind of margins that we would get?

C. Ramachandra Rao

Yes. I think do you have or do you have Venkata Sanjeev?

A. Venkata Sanjeev

The numbers.?

C. Ramachandra Rao

Yeah. Are we having readily? I think we are also looking for it. We have the data we can share with you. The total in our and we will read it out.

Santhi Latha

See, the pet population in India is around 40 million. So out of that, dogs are 32 million, which is 80%, and the cats are 8 million, which is 20%. The market size is expected to be around INR 50,000 million, growing at a 20% CAGR year-on-year. So, it is expected to go between 15% to 20%. So, the total market size is around 221,000 or around 225,000 to 310,000 metric tons. So, we are expecting to make an entry into the market. So, we are as of not sure, but the market size is 3 lakh metric tons overall, pet food market.

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And can you throw some light on what is the present market situation and what are our

objectives to get entry into the market and what are the strategies that we are going to have.

Santhi Latha

Because on these 3 lakhs also 50% is an imported feed or more than 50% is imported feed.

C. Ramachandra Rao

Over to Venkata Sanjeev?

A. Venkata Sanjeev

So as of now, as Mrs. Santhi Latha said, the market size has been increasing at 20%. We've just launched our cat food recently. It's been a month. The acceptance of the cat food is very good. We are placing it in stores, in Mumbai, Hyderabad, Chennai, Bangalore. We're looking to further expand to the North of the country after consolidating in the South. And also, we're going to launch -- we have only launched one flavor as of now, and we're going to launch a few more flavors in the coming months and also the dog food maybe by July.

How much, what will be the turnovers and the revenue we have to look at after the first 6 months? Because we are also very new to the market and just entering, we have to see the acceptance from the market and et c.

C. Ramachandra Rao

Yes. I may add to what Venkata Sanjeev said that it is true that because we have the new entrants into the market and we are very confident that b

ecause the first launch

has given us a very promising entry beginning. So, we'll be working on that. And gradually by July, we will get into the dog food also which is exactly the volume wise it is higher 80% total consumption of feed. So that is where the value comes from. And our endeavor is that our brand should be established before we start the production on our own. That makes us much easier to get into the market at higher volumes, maybe down the line by December, by end of 2026. That is what our target has been and we are very confident of it.

Kamal Sharma

And so, does it offer a better margin than our other business lines? Or is it similar, lower? What is the expectation?

C. Ramachandra Rao

Yes. Please go ahead.

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Q3FY25 Investor Conference Call A. Venkata Sanjeev

As of now, we are reporting for the margins would be lesser and also, we are spending a lot on marketing. So, as the volumes go up, the margins would go up, but as of now, the margins, I think, would remain low. We have to look at the first few months to understand how much is the margin.

C. Ramachandra Rao

Yes, the market is something like theta superstore is stock is retail and all of the chain is very big, very long. So, we have to see how much the total margins available, how much sharing among the stakeholders that we'll have to see. And we only rightly told by Mr. Venkata Sanjeev, only our experience in next 6 months or one year will get more clarity on that.

Moderator

Next question comes from Jasdeep Walia from Clockvine Capital. Please go ahead.

Jasdeep Walia

Sir, thanks for taking my question. Sir, in the shrimp feed business exports, is what percentage of sales as of now? And do you see scope to increase exports in the feed business going forward in the next 3 to 5 years?

C. Ramachandra Rao

Yes. In the feed export to feed, we are making lot of efforts even to the Middle East, and we are exploring the markets there. So, these are, see, there are Bangladesh is a little always some trouble state which is getting and Sri Lanka is like that. So, initially, we have a very good response from Bangladesh, but simultaneously, we have in Middle East also. We should be able to increase our export sales. And they are giving good results. Venkata Sanjeev, can you throw more light on this export to our Middle East?

A. Venkata Sanjeev

So, we've already we're exporting a little bit to the Middle East, and we have gotten good results. We're searching for partners. We're getting a lot of inquiries for the feed. I think we'll start increasing in the coming year.

Jasdeep Walia

So, what are exports as a percentage of volumes in the feed business is at what level as of now?

Santhi Latha

As of now, it is around 1% to 2%.

Jasdeep Walia

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Got it. And any target you have there to increase this number to some level in the next 3 to 5 years?

Santhi Latha

Yes, around 10% we would like to reach.

Jasdeep Walia

Okay. Got it. And so, could you also throw light on what has been happening in Ecuador?

And what's your sense on whether they will keep on increasing production or there are some, let's say, issues there on the ground on a point of which you expect that the production is going to be a little bit subdued in the next year or so?

C. Ramachandra Rao

Yes. Nikhilesh, please take this.

Alluri Nikhilesh

Hi. So right now, Ecuador is the largest producer of shrimp, let me say, on a normal retail basis. But, however, India and Ecuador differ in the products that we offer. We specialize in, peel and cut material, whereas Ecuador specializes in head on and headless material. So,

when we go into India is moving more into value added products and you will see that happening in the next 2, 3 years that India produces more value-added products and gets onto the map. Where Ecuador, because of the limitation of population, that population is about 20 million, if I'm not wrong, whereas India is 1.5

billion.

So, then they just don't have enough of the workforce to do value added and peel and cut material. Even though they do a small quantity, that's not a bulk of the production. So, they...

Jasdeep Walia

My question was not on the shrimp processing business. My question was on just the shrimp production part. That's it. So how do you see shrimp production scenario in Ecuador as of now?

Alluri Nikhilesh

It's quite stable right now. There won't be like increasing scaling up the production like 30%, 40% like they were doing in the past. So, we have to see what will happen. But I think it's going to be a fairly stable year for them and not much increases.

Avanti Feeds Ltd 15 24.02.2025
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Got it. Got it, sir. And sir, also could you tell us when is your fish seed plant coming online?

And what are your -- what kind of investments has gone and what kind of peak turnover can that plant produce?

Alluri Nikhilesh

Sir, as of now, we've just started our -- we're going to start our trials. So, after the trials are done, we're going to plan the investment into the plant.

Jasdeep Walia

Okay. So, there's no formal investment proposal for putting a plant on the ground as of now? You're just testing the market. That's it?

Alluri Nikhilesh

No. We're testing the feed, sir. We're importing the feed from Thailand and testing it for we're testing the results.

C. Ramachandra Rao

Yes. The acceptance and adaptability of the feed from to Indian and shrimp fish culture. So only once we get -- once we get a foolproof because there are many spaces also. There is not one. Am I right Venkata Sanjeev? There are other spaces also. We have to nearly identify which feed -- which feed are going to be more profitable, more in demand. And, there is a lot of work that is going on that trend to see that the fish feed, really, you know, when we start it, it should make a very successful project. That is where our endeavor is that we are working for that. In fact, some samples have already come, and we are now we want to start as soon as possible.

Jasdeep Walia

So, once this testing process will be complete, then you would think about what kind of Capex you want to put into this business?

C. Ramachandra Rao

Exactly. So, we have identified certain fish culture farms and with different species, and we are trying to test the feeds of different types for each of these stems. Over period, we will see the results and how it is in cost, results, what is the benefit that is going to come. All these factors have to be taken into consideration, an estimate of the market also is required to be done. What pricing compared to the local prices that feed

manufacturers are offering.

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Q3FY25 Investor Conference Call So, all these aspects we are working on that. And when we come out, we should come out with a good feed where the farmer gets a benefit out of it. That is the work which we are doing on now.

Moderator

Next question comes from Mithun Aswath from Kivah Advisors. Please go ahead.

Mithun Aswath

I just wanted to understand on the pet food division, you mentioned that right now you are importing and selling in the market. What brand is this under and when do you expect the that food plant to be ready? And how much of that will be used for domestic and exports?

C. Ramachandra Rao

The f

irst question I have indeed, can you come back on that? The plant to which we are expecting is will be ready by end of '26. December '26 where the project will we are working for that. It will be completed by '26 and start December '26 and commercial production will start then. But the first question which you asked, I didn't get it. What was that?

Mithun Aswath

I just wanted to understand what is the brand under which you started?

C. Ramachandra Rao

Okay. Venkata Sanjeev, can you explain that?

Moderator

I'm sorry to interrupt, sir. He got dropped from the call. I'm connecting him, sir. Participants, kindly stay connected while we connect Mr. Sanjeev on the call.

A. Venkata Sanjeev

The brand name is Avant Furst will be launched the cat food has already been launched and the dog will also be launched on the same name AVANT FRUST.

Mithun Aswath

Okay. And just wanted to understand, this plant that you're putting up is for how much capacity? What is the metric ton?

C. Ramachandra Rao

Yes. See, we are working on those details, because we want to see what type of feed, how it should be, how much capacity depending upon the market. So, we work what is Avanti Feeds Ltd 17 24.02.2025

Q3FY25 Investor Conference Call optimum capacity, what we can produce and what type of machinery and all those things, we are working on that. Maybe next week it will take about minimum I think 3 to 6 months to complete concrete numbers on that. So, and that's we have started just now the cash.

We will also see the market reaction, how much we are able to take and all these things, what is the requirements and then we decide what is the numbers because there are already well-established players in the market. So, we need to compete with them. So these are it will take some time to give you the numbers.

Mithun Aswath

And so the pet plant, the pet food plant, that is mainly for the domestic use itself? You will not export?

C. Ramachandra Rao

No, it is only -- for the present, it is only for domestic market, because as just now my colleague told, so there is a lot of demand for pet food in India itself. There is a growth of pet population and also the demand for free readymade food that we were giving it. So, the I think we need to have -- need to concentrate more on the domestic market now and establish our lands, then we can think of exports. As of now, we don't have plans to export.

Mithun Aswath

Correct. And during the 9 months, we've seen good margins on the shrimp feed business, but the shrimp processing business has remained under pressure. So just wanted to understand and what is the outlook for the coming year?

C. Ramachandra Rao

I think I made this remark in my earlier question that the margin mainly depends on the raw material prices. We have seen that. I think if you look at our track record for even nearly past 3, 4 years, we have seen that the price is going up and coming down because of the raw materials.

So, the raw materials really have softened and it is now like fish meal and soya, these prices are good, because all the three products fish meal, soya and wheat flour constitute the major portion of the raw material. If the raw materials prices are stable, we continue to maintain the percentage. Maybe it is ranging from maybe 7% to 10% we keep our margins. It all depends on how the raw material prices are.

Mithun Aswath

Right. I'm talking more on the processing side. We've averaged between 13% to 15%. But I think this year, 9 months, we're at 11%. So just wanted to get a sense on that part of the business. I've seen on the shrimp feed side, you've seen...

Avanti Feeds Ltd 18.02.2025
Q3FY25 Investor Conference Call A. Venkata Sanjeev

I'll

answer that question. So, see, the duty CV D that was imposed by the U.S. Government, it's a new duty, right? If you remove that duty, I think it's like, you know, it benefits the margin to move up. So that's an important factor. But this duty is periodically reviewed, where we give our arguments to the U.S. Department of Commerce, et c. And then it's usually, like in the past, we've seen that, you know, they devise it depending on the quality of information, given and it includes the government, the association, the different stakeholders, et c.

So, in the short term, even though there's a margin pressure, in the long term, this will slowly stabilize, point number one.

And point two, see, like price increase is a gradual process, the price transfer into the consumer. It doesn't happen overnight. So slowly the price transfer to the consumer is happening. We can see that by higher, like higher prices in the U.S. market and buying levels at a higher price currently. So, this is a slow step by step process. So short term, there might be pressure, but long term, again, it's going to be, again, stabilized and get back to normal.

Mithun Aswath

Great. And just my last question is just on the shrimp feed production and sales. We've been offering from FY 2018 about 430,000 to now 530,000 and FY 2022 was 540,000. I'm just trying to understand what is the kind of growth that one can envisage over the

next 3, 4 years? Is it going to be a little cyclical up and down? Or is it going to be at least a high single digit growth on a year-on-year basis?

C. Ramachandra Rao

See, I think there are several factors to answer this question. The one is that the basic thing is the area of culture, the year-on-year basis. So, once the area of culture increases, automatically the feed consumption also increases. That is number one.

Number two, even in the culture also, it is not necessary that every farmer who has a farm, the pond will go for culture. It depends upon the market price. What is the farm gate price? And the third one is the climatic conditions which will have a great influence on the culture. So, see, there are always these factors keep the entire aquaculture activity in more or less the same level stable with 5% to 10% up and down.

There will not be a serious I mean the big jump of 20%, 25% year-on-year basis. It will be stable because the area is more or less stable and the climatic relations keep changing and the market prices are volatile. All these things into consideration, we do not exactly say that this is going to be the trend which is going to increase. And as Mr. Nikhilesh said, the global market is also there. So, these factors will actually rather work, influence the total production of the shrimp feed in the country year-on-year basis.

So, we normally expect see the next year we are expecting about a 5% or 10% increase. That's because this year the culture is good; the prices are good. So, this year, we are
Avanti Feeds Ltd 19 24.02.2025

Q3FY25 Investor Conference Call expecting that it will be better by 5% than last year. That is how the projections and values are made for the feed.

Mithun Aswath

Right, sir. So, I'm just trying to say longer term for the company as a growth driver, obviously, these businesses of shrimp processing and shrimp feed will be stable. Would the growth drivers be your pet food and the fish feed foray that you're looking to enter? Those would be the growth drivers?

C. Ramachandra Rao

The philosophy of the company is that we should focus more on the areas where we have, we are strong. Like organic growth, let us say feed, feed related, food processing, these are the areas where we have lot of experience, expertise and they are good collaborators with us so that like Thai Union which can in association with them we can only

grow in these areas.

For example, in marine products we have already the export market, value added products we are increasing on that trend. And simultaneously we are also working on the domestic market and this is going to be a very really good business, but it requires lot of work because it has to be on par with the pricing levels in the local markets. So, it is our endeavor to keep on these things expanding. And also, pet care is another very big and very good area where we can really achieve because we have the experience in our dealership network or in the feed manufacturing and raw material, economies of raw material, all these factors go a long way in really strengthening our pet food also.

So, I think fish feed, pet food, then the domestic market will be the future growth drivers for us so that we can strengthen our value to the company and shareholders of course.

Moderator

Thank you. I request the participants to restrict with two questions in the initial round and join back the queue for more questions.

Next question comes from Sameer Deshpande, an Individual Investor. Please go ahead.

Sameer Deshpande

Hello sir, congratulations for the excellent results. And from your commentary, it seems outlook seems to be good for the coming quarter and the next year also based on the current raw material prices and the culture is in which has become on a good note.

I wanted to know what are the exports as a percentage of our sales? With the last year, we had INR 5,500 crores of revenues. So total ex ports were how much?

Santhi Latha

20%.

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Sameer Deshpande

And out of the USA continues to be a large market for us, about 70% of that?

Santhi Latha

Yes.

C. Ramachandra Rao

Yes.

Sameer Deshpande

And so, the as you mentioned that this controlling duty, which was levied on our Indian product was higher. So currently the margins may be under a bit of a pressure in the short run till the prices improve in the U.S. market or we are in a position to reduce our costs by some means, is it correct?

C. Ramachandra Rao

Nikhilesh, can you answer this question please?

Alluri Nikhilesh

Yeah. There are two things that we're doing. First, we're reducing and trying to optimize our costs. That process has already start ed. Yes. That's point number one. Apart from our general cost optimization effort, like we're putting it as one of our main goals for this year.

Second is concentrating on higher value products, which don't attract duty. So those are the -- that is the se cond. We've always told in the past several quarters that value added products is what we're focusing on. So that's what we're doing right now. So, to mitigate that risk.

And the third one is also that we're focusing on other markets. In the past, we used to have a lot more focus into U.S., but now we're looking a lot more into other markets as well. And you can see it over the past few quarters that the U.S. Market share has been coming down slowly from what it was averaged in the previous years. So those are the complete time deposits that the complete time deposits. Exactly.

Sameer Deshpande

Europe and Middle East and et c, which you mentioned.

Alluri Nikhilesh

Exactly. And Asia, yes.

Avanti Feeds Ltd 21 24.02.2025
Q3FY25 Investor Conference Call Sameer Deshpande

Okay. And the custom duty in the budget was reduced on two products significantly

from 30% to 5% or 15% to 5%. Does it help us in any way reducing our raw material cost?

C. Ramachandra Rao

Yes. See, as you're referring to the raw materials, so but the raw materials did really affect not much because the effect was in fact the reduction of custom

duty on feed

import is actually a disadvantage for us, because if the 15% or 5% have reduced, so the imported feed competition will go up. So, in fact we have made a representation to the government because India has adequate more than adequate, the capacity to produce Shrimp Feeds .

So, much, much higher more than 5x, 6x annual consumption we have got the production capacity. But we told them that there is no need and already most of the foreign companies which are known for this feed are already present in India. And so, they are already producing the feed and supplying to the market. So, we need not have to import and take concessional rate. The prices we have brought to the notice of the government. It will take its own time to realize that and take corrective action.

As far as some, most of the products is raw materials nowadays we have started when we are using domestically. And, very limited items are being imported. We have got good fish meal, I mean, good fish oil, good fish lipid oil. We have got mineral health, vitamins and premixes. Everything is available in India now. So, there's not much of imposed involved and it does not really make much difference by reducing the duties on that.

Sameer Deshpande

Can I ask a last question? It is regarding this PLI benefits, which we have been receiving. So, did we receive anything in this quarter? And where it likely to be anything in the coming quarter also?

C. Ramachandra Rao

Yes, D.V.S Satyanarayana will tell you.

D.V.S Satyanarayana

So PLI is not a quarterly benefit. Basically, there's an annual incentive which is given by the government on incremental sales as per the guidelines of PLI. So, for the year -- yes, for the last financial year, we have filed the application with the government. It is under review, so which is being expected to be released in the month of April 2025.

Sameer Deshpande

April '25. So, it is not likely to receive be received in this year?

Avanti Feeds Ltd 22 24.02.2025

Q3FY25 Investor Conference Call D.V.S Satyanarayana

No.

Sameer Deshpande

Okay. And is it quite substantial, around 20, 30 or INR 20 crores, INR 30 crores?

D.V.S Satyanarayana

No. It is not substantial.

Moderator

Next question comes from Sachin Pal from MC Research. Please go ahead.

Sachin Pal

I just wanted to understand what's the, scenario for the production as well as the and get an outlook on the...

C. Ramachandra Rao

Your voice is not audible .

Moderator

Your voice is not audible, So I request you to speak bit louder.

Sachin Pal

Yes. So, I was saying that I just wanted to understand what's the outlook on the production as well as, the farm gate sizes on the domestic front. Since we've had a pickup, we had a close -up in terms of shrimp feed volumes in Q1 and that has kind of picked up. We have exhibited a 14% growth in shrimp feed volumes in Q3. So how does that translate into probably the farm gate prices and the production on the domestic front?

C. Ramachandra Rao

See, we are expecting that 2025 should be stable, stable year without much worldwide. At least for the first crop, our expectation that it should go on smoothly because the farm grade prices are as of now is good and the feed prices are also good and the climatic collisions are also good. They are able to really go on stocking very, I mean, aggressively in the last one month.

So, we expect that the first crop, which will go up to June, July will be very good. That's what we are expectation. But of course, always with this thing that anything can happen like climatic conditions may change or farm gate prices may change. And but by and large, we see that first crop will be very good. And if the same levels of prices are

Avanti Feeds Ltd

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Q3FY25 Investor Conference Call maintained, even the second crop also will be good for total making the year 2025 definitely stable than last year and maybe slightly more than last year.

Sachin Pal

Could we see some softening on farm prices on domestic fronts since the feed volumes have picked up and the production is anticipated in 2019?

Santhi Latha

Your voice is again breaking.

Sachin Pal

I was saying that could we see some softening of the prices on this farm grade side since that the volumes are picked up on the shrimp feed side so.

C. Ramachandra Rao

No, that's why it is very difficult. I think Nikhilesh.

Alluri Nikhilesh

Could you repeat the question?

Sachin Pal

Could there be some softening on the farm grade prices since feed volumes are picking up and the overall production levels are anticipating to pick up in the next 3 to 6 months?

Alluri Nikhilesh

We don't have any we don't anticipate any major price decrease. Our policy as a company is to ensure that the farmer gets a fair price and we sell at a fair price in the market as well. So, we don't anticipate any large price decrease at the farm gate price.

Sachin Pal

Okay, understood. And the second thing is again the digital shrimp processing side, so we've had a spike in the straight cost internationally. So how is that shaping up?

Alluri Nikhilesh

I'm sorry, I'm not able to hear you.

Avanti Feeds Ltd 24.02.2025
Q3FY25 Investor Conference Call Sachin Pal

I was saying that on the shrimp processing side, the margins have been impacted by higher freight costs. So how have they been trending recently concerned that there have been some opening of the Suez Canal and there has been some reduction in the freight ship internationally?

Alluri Nikhilesh

So, I don't think still there is large number of shipments passing through the Red Sea Suez Canal area. The prices are still firm, but we hope to get a lower reduction this year when things normalize. Like the Middle East has been quite turbulent the last year with the Israel war and everything. So, nothing really changed in that part. But we hope that this year, the price has been softer on the freight.

Sachin Pal

Okay. And what would be the freight cost as a percentage at this point?

Moderator

Mr. Sachin, your voice is not audible, sir.

Sachin Pal

What would be the freight cost as a percentage at this point of time?

Alluri Nikhilesh

Do you want to answer that, D.V.S?

D.V.S Satyanarayana

Yes. It is around 8%, 8% to 9%.

Moderator

The last question of the day comes from Tom A Kadavil from Geojit Financial. Please go ahead.

Tom A Kadavil

Hello. Regarding the pet food, do we have any planned Capex? And what is the total Capex already done? Or what is the planned Capex for FY '25, '26?

C. Ramachandra Rao

Capex , we have already incurred a land purchase about around INR 36 crores. Further, the plant and machinery will be around INR 60 crores. See the major expenditure so far has been on the land. We have acquired about 30 acres of land, near Hyderabad. The Avanti Feeds Ltd 25 24.02.2025

Q3FY25 Investor Conference Call so we have bought the land and we're now getting it surveyed and all those things are happening. But the work of, you know, preparing the drawings and civil works, plant and machinery imported, the and domestic machinery, all these details are being worked out in consultation with the Bluefalo Limited Thailand. So, it will take some time to give the exact numbers as to the cost, what is going to be the cost of the project, how much is the civil works, how much for other utility buildings.

All these things, I think

it will take at least four, three, four months for us to come to a definitive number . They are at least the projected numbers. We'll be able to share with you maybe next or after that quarter meeting.

Tom A Kadavil

Okay. And one more question was regarding the CVD. You had mentioned that some higher value products will not attract CVD. Is it RTE products?

C. Ramachandra Rao

Nikhilesh?

Alluri Nikhilesh

No. It's not RTE products per se, but it's a higher value product, like value added products, like, ready to fry, something like that.

Tom A Kadavil

Ready to fry?

Alluri Nikhilesh

Yes. It's like see, it's value -added products as a category, right? Like you look at breaded shrimp or like something like a tempura or a samosa, something like that. It's not just commodity shrimp, it's value -added shrimp.

Tom A Kadavil

Thank You.

Moderator

Thank you. Ladies and gentlemen, this concludes your conference call for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you, and have a good day.

Note: 1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Jun 2025

June11, 2025

To To

BSE Limited, National Stock Exchange of India Ltd.,

1stFloor, New Trading Ring, Exchange Plaza,

Rotunda Building, P.J. Towers, Bandra (East),

Dalal Street, Mumbai –400001 Mumbai –400051

Maharashtra, India Maharashtra, India

BSE Code: 512573 NSE Symbol: AVANTIFEED

Dear Sir/Madam,

Sub:Transcript of post earnings Audio Conference Call for the quarter andYear endedMarch31, 2025.

Further to our letter dated June 07, 2025, weenclose herewith the transcript of post earnings Audio Conference Call for Investors /Analyst held on June 07 , 2025in connection with Audited financial results (Standalone and Consolidated) of the Company for the quarter andYearendedMarch31, 2025and the same will also be available on the website of the Company at [https://avantifeeds.com/corporate-announcement/#Investor -Analyst -Corner](https://avantifeeds.com/corporate-announcement/#Investor-Analyst-Corner)

This is for your information and record.

Thanking you,

Yours faithfully,

ForAvanti Feeds Limited

C. Ramachandra Rao

Joint Managing Director,

Company Secretary ,

Compliance Officer & CFO

DIN: 00026010 ■ Avanti •-" Feeds Limited

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Avanti Feeds Limited 07.06.2025

Q4FY25 Earnings Conference callAvanti Feeds Limited

Q4FY25 Earnings Conference call

Event Date / Time: 07/06/2025, 16:00 Hrs.

Event Duration: 01 Hrs. 02 mins38secs

CORPORATE PARTICIPANTS :

Mr. C Ramachandra Rao

Joint Managing Director

Mr. A. Venkata Sanjeev

Executive Director

Mr. Alluri Nikhilesh

Director of Avanti Feeds and Executive Director –Avanti Frozen Foods Pvt Ltd

Mrs. Santhi Latha

GM (Finance & Accounts)

Ms. Lakshmi Sharma

Sr. Manager –(Corp Affairs)

Mr. DVS Satyanarayan

CFO, Avanti Frozen Foods Pvt Ltd

Mr. K.S. Reddy

CFO, Avanti Pet Care Pvt Ltd

Q & A Participants list:

1Shivam Sahu :Individual Investor

2Balaji :Avanti Feeds

3Ronak Shah :Equirus Securities

4Gopi Krishna :JP Morgan

5Nitin Awasthi :InCred Equities

6ReenaGattani : Paul Asset Consultant Pvt Ltd

Avanti Feeds Limited 07.06.2025

Q4FY25 Earnings Conference call Moderator:

Good evening, ladies and gentlemen. I am Pelsia, moderator for the conference call. Welcome to Avanti Feeds Limited Q4 and FY25 Earnings Conference Call. We have with us today, Mr. C. Ramachandra Rao, Joint Managing Director, Mr. A. Venkata Sanjeev, Executive Director, Mr. Alluri Nikhilesh, Director of Avanti Feeds and Executive Director of Avanti Frozen Food Private Limited, Mrs. Santhi Latha, GM -Finance and Accounts, Mrs. Lakshmi Sharma, Sr. Manager -Corporate Affairs, Mr. DVS Satyanarayana, CFO of Avanti Frozen Foods Private Limited and Mr. K.S. Reddy, CFO of Avanti Pet Care Private Limited.

As a reminder, all participants will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone telephone. Please note that this conference is being recorded. I would now like to hand over the floor to Mr. C. Ramachandra Rao, Joint Managing Director. Thank you and over to you, sir.

Mr. C. Ramachandra Rao:

Thank you, Pelsia. Good evening, ladies and gentlemen. I'm pleased to extend a warm welcome to all of you for this investor's conference call to review the audited financial results for Q4 FY'25 and for the year ended 31st March '25.

Mr. Nikhilesh, Director of Avanti Feeds Ltd. and Executive Director of Avanti Frozen Foods, Pvt. Ltd. is joining from the factory at Kovvur.

Along with me are Mr. Venkata Sanjeev, Executive Director of Avanti Feeds Ltd., Mrs. Santhi Latha, GM -Finance and Accounts of Avanti Feeds Ltd., Mr. DVS Satyanarayana, CFO of Avanti Frozen Foods Private Ltd and Mr. K.S. Reddy, CFO of Avanti Pet Care Private Limited.

To begin with, Mrs. Santhi Latha, GM -Finance and Accounts, Avanti Feed Ltd. will present highlights of financial results for the period and year ended 31st March '25 of feed division and also consolidated financials of the company for the same period.

Thereafter, Mr. Satya narayana will present the financial highlights of shrimp processing and export division. After that, Mr. Srinivasa Reddy will present the status of pet care projects.

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Avanti Feeds Limited 07.06.2025

Q4FY25 Earnings Conference call After presentation by all of them with a brief sum up, we will take up the question-and-answer session.

Mrs. Santhi Latha:

Thank you, sir. Good evening, everyone. I will take you through the consolidated and standalone financial performance highlights for the quarter and year ended 31st March 2025. First, we will go through the consolidated financial results for the quarter ended Q4 FY '25. The comparative performance of Q4 FY'25 with that of Q3 FY'25 and Q4 FY'24 has been given in the presentation, which has been already circulated.

Gross income in Q4 FY'25 is INR 1435 crores as compared to INR 1405 crores in the previous quarter, Q3 FY'25, an increase of INR 30 crores. Compared to Q4 FY '24 gross income of INR 1320 crores, there is an increase of INR 115 crores by about 8.7%. The PBT is INR 211 crores in Q4 FY '25 as compared to INR 184 crores in Q3 FY '25, an increase of INR 27 crores by 15% and compared to Q4 FY '24, PBT of INR 151 crores, there is an increase of INR 60 crores by about 40% increase.

Comparison of financial year '25 with that of financial year '24 four performance, in FY '25, the total income increased to INR 5778 crores from INR 5505 crores in FY '24. The PBT in FY '25 increased to INR 737 crores from INR 537 crores in previous year mainly due to increase in revenue and decrease in raw material costs and better overhead absorption.

The consolidated results indicate net impact of several factors such as increase or decrease in income and expenditure etc., relating to Feed and Frozen Food divisions. Now we will discuss the individual performance of these units.

STANDALONE FINANCIAL RESULTS OF FEED AND PROCESSING

DIVISION:

The Q4 F

Y'25 results, the gross income for Q4 FY'25 is INR 1 070 crores as compared to INR 1 077 crores in the previous quarter of Q3 FY '25, a decrease of INR 7 crores due to decrease of quantity sold by 2338 metric tons. The

gross income in Q4 FY'25 increased to INR 1070 from INR 1022 crores in the corresponding quarter of Q4 '24, an increase by INR 48 crores due to increase in sales quantity by INR 7432 crores. The PBT for the Q4 FY '25 is INR 194 crores as compared to INR 167 crores in Q3 FY'25, an increase of INR 27 crores by about 16% mainly due to decrease in raw material cost and better overhead absorption.

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Avanti Feeds Limited 07.06.2025

Q4FY25 Earnings Conference callThe PBT in FY'24 has increased by INR 75 crores from INR 119 crores in Q4 FY '24 represented by 63%. The feed sales decreased by 2338 MT to 129,711 MT in Q4 FY '25 as compared to 132 ,049 MT in Q3 FY '25, an increase by 7433MT from 122,278 MT when compared to Q4 FY'24.

COMPARISON OF PERFORMANCE OF FEED DIVISION, FY'24 WITH FY'25.

In FY'25, the total income increased to INR 4,563 crores from INR 4,395 crores in FY'24 due to increase in feed sales and other income. The PBT in FY'25 increased to INR 659 crores from INR 407 crores in the corresponding period mainly due to increase in sales, other income and decrease in raw material cost and better overhead absorption.

The major raw materials are fishmeal, soyabean meal, and wheat flour. The noticeable development in this year and quarter is softening of two major raw materials, i.e., fishmeal and soyabean meal, resulting in improvement in profitability.

The prices of these raw materials keep fluctuating since their production is based on fish catches from the ocean and agriculture. The prices of fish meal decrease in Q4 FY'25 to INR 91 per kg from INR 93 per kg in Q3 FY'25 and from INR 119 per kg in Q4 FY'24. In case of soya bean meal, their prices reduced to INR 43 per kg in Q4 FY'25 from INR 46 per kg in Q3 FY'25 and INR 52 in Q4 FY'24.

However, the wheat flour price increased to INR 36 per kg in Q4 FY'25from INR 35 per kg in Q3 FY'25 and INR 30 per kg in Q3 FY'24. While on one hand, the raw material prices are instrumental in determining the margin, on the other hand the status of aquaculture activity, conditions such as climate changes, diseases, etc. d etermine the consumption of feed in terms of volume which will have an impact on the overall performance of the company.

To sum up, in general FY'24 -25 is a challenging year for the aquaculture industry both in respect of shrimp production as well as global demand for shrimp export. In spite of the challenging years, your company had a better capacity utilization. Now, I will talk about shrimp production and feed consumption in FY'25.

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Avanti Feeds Limited 07.06.2025

Q4FY25 Earnings Conference callSHRIMP FEED CONSUMPTION :

The estimated shrimp production for 2024 is 10.5 lakhs to 11 lakhs metric tonsand the feed consumption is estimated to be about same levels . The company feed sales during FY'25 is 5,55,247 MT against 5,31,967 MT in FY'24. In case of shrimp processing and exports, India's seafood exports touched 17,81,602 MT, an all -time high in volume during FY23 -24.

Frozen shrimp remained the major export item in quantity and value accounting for a share of 40% in quantity and 66% of the total dollar earnings. The company's shrimp exports during FY'25 was 14,149 MT as compared to 13,444 MT in FY'24, an increase by 70 5 MT. It is estimated that the exports during FY'26 would be around 17,000 MT.

UPDATE ON FISH FEED:

As reported in earlier con -call, the company has imported fish feed from Thai Union Feed Mill Company Limited and is conducting trails under Indian conditions. Once the product performance is approved, the production will be taken up for domestic sale. Now I will hand over to Mr. DV S Satyanarayana to present highlights of shrimp processing and export division.

Mr. DVS Satyanarayana :

Thank you, Madam. Good evening, everyone. So now I wou

Id like to take you

through the financial highlights of shrimp processing and export division.

So, I will start with quarter results, that is Q4 FY'25. The gross income for Q4 FY'25 is INR 364 crores as compared to INR 328 crores in Q3 FY'25, an increase by INR 36 crores representing 11% mainly due to increase in sales

quantity by 256 metric ton which represents 7%.

The gross income in Q4 FY'25 increased to INR 364 crores from INR 297 crores during Q4 FY'24, an increase of INR 67 crores representing 22% year over year growth. The sales volume during Q4 FY'25 increased to 4100 MT from 3846 MT in the last year same quarter, i.e. Q4 FY'24.

So, there is an increase of 254 MT when compared to the last year same quarter. Higher sales in Q4 FY'25 were driven by volume growth, an increase in average selling price realization, and favorable foreign exchange rates. The PBT before exceptional item for Q4 FY25 stood at INR18 crores unchanged from Q3 FY'25.

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Q4FY25 Earnings Conference call Despite higher sales during the quarter, PBT remained flat primarily due to the full period impact of countervailing duty (CVD) in Q4 FY'25. The PBT in Q4 FY'25 is INR 18 crores, a decrease from INR 32 crores in the corresponding quarter Q4 FY'24 primarily due to the impact of countervailing duty and increase in raw material prices.

COMPARISON OF PERFORMANCE FOR THE YEAR ENDED 31STMARCH 2025 WITH 31STMARCH 2024:

The gross income for the year ended 31st March '25 was INR 1219 crores as compared to INR 1118 crores in the previous year, i.e., financial 24. An increase of INR 101 crores in the gross income during FY'25 is mainly due to increase in sales quantity by 682 MT representing 5%. Higher sales in FY'25 were driven mainly by volume growth, an increase in average selling price realization, and also favorable foreign exchange rates.

The PBT in FY'25 is INR 86 crores as compared to INR 136 crores in the previous year, i.e. FY'24. A decrease in PBT by INR 50 crores is mainly on account of countervailing duty, higher ocean freight rate and depreciation from Krishnapuram new plant. Now I handover to Mr. K. Srinivas Reddy to update the status of pet food project.

Mr. K.S. Reddy :

Thank you, Mr. DVS Satyanarayana. Now I would like to present an update on the status of Avanti Pet Care Pvt Ltd., a subsidiary of the company, set up for a pet care product in India. As you know, company has formed a joint venture with Bluefalo Company Ltd., Thailand, a well-known pet food and pet care product manufacturing company in Thailand, for a setting up joint venture company in India with the equity investment by them along with the transfer of technology. The company is in the final stage of acquisition of land and planning to commence construction from September or October '25, after obtaining a government clearance for setting up of facilities. In the meantime, company with the objective of establishing brand of the company's product has successfully commenced trading in cat foods from January 2025. In the company's first product range, under its own brand, presently the company is getting the product manufactured by the collaboration facility in Thailand and importing for trading.

The brand name of the company's product is 'Avant Furst'. The product launched in cat food -ocean fish flavor. In Q4 FY'24 -'25, i.e., January '25 to March '25, recorded a sales of INR 25.79 lakhs, which is within the expectations for the initial stage. At present, company is marketing products

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Q4FY25 Earnings Conference call in nine key markets, i.e., Mumbai, Pune, Chennai, Bangalore, Hyderabad, Solapur, Nagpur, Jaipur and Ahmedabad.

Further planning to expand to more cities and build a presence in e-commerce and q-commerce in the coming quarter. The company is also building a strong brand visibility through the digital marketing, advertisement on Instagram and Facebook (@avantfrust). The company is planning to in

troduce other

flavors in cat food in the coming months. The company is also planning to launch a dog food product in August 2025. It is pertinent to mention that dog food constitutes a major portion of pet food sales, which is about 80% and cat food is 20%. Now, I hand over to JMD sir for closing remarks.

Mr. C. Ramachandra Rao :

Thank you, At this stage, I would like to share with you some of the developments that have taken place during the course of the year, reflecting on performance of feed and processing and export business of the company.

In respect of feed business, the relieving factor was more stable raw material prices and also feed sales yielding an increased profitability in the year compared to the previous year.

The shrimp culture activity has also been stable except for some instances of disease and premature harvest. The farm gate prices of the shrimps were stable, resulting in maintaining the shrimp production levels. The export of processed shrimps registered a growth due to increase in export quantities and also increase in average selling price realization.

The favorable U.S. dollar conversion rates also helped to enhance the profitability of the shrimp processing division. As stated by my colleagues, the company is focusing on increasing the production and export of value-added products, yielding better margins and less competition. The company is also focusing on developing other markets like Japan, EU, etc. to reduce dependence on U.S. market. As you are aware, the U.S. announced a new reciprocal tariff on April 2, 2025. The U.S. imposed reciprocal tariffs on exports from all countries trading with it.

A baseline tariff of 10% on all countries came into effect from April 5, 2025.

The country-specific reciprocal tariff is scheduled to begin on 9th April.

Various duties are like this: India: Anti-dumping duty, i.e., ADD 1.35, countervailing duty 5.77, reciprocal tariffs 26%. Total tariffs 33.12% Thailand: 0 anti-dumping duty, 0 countervailing duty, reciprocal tariffs 36%. Vietnam: Anti-dumping duty 0, countervailing duty 2.8, and reciprocal tariffs 46%.

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Avanti Feeds Limited 07.06.2025

Q4FY25 Earnings Conference call Total 48.8%. Indonesia: 3.9% Anti-dumping duty, countervailing duty is nil, and 32% is reciprocal tariffs and total tariff is 35.9%. Ecuador: Anti-dumping duty is nil and countervailing duty is 3.8%, and the reciprocal tariff is 10% and total tariff is 13.8%. No tariff applies to container ships before April 5, 2025 if they arrive at the U.S. port before May 27, 2025.

This is some sort of an arrangement for transition period for applicability of the reciprocal tariff. A baseline tariff applies to shipments dispatched between April 5, 2025 and April 8, 2025. On April 9, 2025, the U.S. announced a 90-day suspension of country-specific reciprocal tariffs for all countries except China.

The country specific tariffs which I read out just now. Shipment from April 9, 2025 till a period of 90 days will continue to incur only 10% percent baseline tariff. We will have to see what is going to be the future rate after 9th depending upon the announcement and the policy decision taken by the Trump's government. The company proactively informed all U.S. customers about the tariff changes, and most of the customers have responded positively to the overall 10% price increase.

Production was increased and shipments to the U.S. were expedited, with most orders dispatched before May 21, 2025. Indian and U.S. officials are engaged in high-level discussions continuously, aiming to finalize an interim trade deal with the U.S. In fact, even the U.S. President Trump also announced very recently, a couple of days back, that the negotiations with Indian government for a trade agreement in advanced stage and it may come any moment. An announcement is expected later this month, potentially before President Trump's July 9th deadline.

India, encouraged by recent trade agreements, is carefully

considering U.S.

demands, balancing economic opportunities with potential domestic impact.

In addition to the tariff, the levy of CVD, which is at 5.77%, presently is always an additional burden to the export of shrimps to the U.S., which is a major export market for the company. In this context, the Seafood Exporters Association of India, with support of Government of India, pursuing U.S. Department of Commerce, with a request to review and reconsider the levy of CVD, which represents only remission of duties and taxes levied by the government.

Keeping this factor in view, the endeavor of the company is to expand its global market to other destinations like Japan, Korea, EU and Middle East.

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Q4FY25 Earnings Conference call To sum up, notwithstanding levy of duties such as ADD, CVD and the reciprocal tariff by U.S., the company is confident that in the course of business, the market correction, balancing demand and supply and price

determination do take place ensuring sustain ability of agriculture industry in the long run. With this observation, I would like to keep the floor open for questions and answers. Thank you.

Moderator:

Thank you, sir. Ladies and gentlemen, we will now begin the question -and- answersession. If you have a question, please press star and 1 on a telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again.

Ladies and gentlemen, if you have any question, please press * and 1 on the telephone pad. I request the participants to restrict with two questions in the initial round and join back the queue for more questions. First question comes from Shivam Sahu, an individual investor. Please go ahead.

Shivam Sahu :

Hello?

Moderator:

Pleasego-aheadsir.

Shivam Sahu :

Hello? Ma'am. Why has stock price has been decreased day by day, around 15 to 16% decrease in the last four days.

Mr. C. Ramachandra Rao:

Can you please come back. Your question is not clear.

Moderator:

Sir you withdraw this question sir. Next question comes from Balaji from Avanti Feeds. Please go ahead.

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Q4FY25 Earnings Conference callBalaji:

Good morning, ma'am.

Mr. C. Ramachandra Rao:

Good morning.

Balaji:

Sir, thank you for connecting to me. My question is regarding that raw material, like what is the percentage of share of each raw material ingredients? Theconsumption pattern of theraw material used?

Mrs. Santhi Latha:

Sir, raw material ingredients. Is that what you're asking? The percentage of raw material ingredients?

Balaji:

Yes,ma'am. Percentage of raw material ingredients --

Mrs. Santhi Latha:

Sir, that is our formula. We cannot disclose that.

Mr. C. Ramachandra Rao:

And also, I think what our general manager says is that the combination or composition formulation depends upon different grades of products that we are making. And it is a sort of confidential information which we cannot share with anyone. Because depending upon the circumstances, region, necessity, climatic conditions, the formulas keep changing. There is no consistent standard product mix that we are giving you.

Balaji:

Yes, sir. But now, what is the cost of the raw materials sir. Are there any increase in price of the raw material and will this trend to remain same or is there any increase in raw material further

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Q4FY25 Earnings Conference callMr. C. Ramachandra Rao:

The raw material cost is clear from the financial statements given. You can see that what is the raw material cost is given separately there. The raw material consumed is given. You can arrive at the cost of raw materials from the financial statements.

Balaji:

Yes. Sir, I'm asking, what is the present trend? Is it increasing trend or is it stable.

Mr. C. Ramachandra Rao:

See, it is fluctuating. Let me tell you, you know, recently the government had increased the MSP of wheat, soya and all these things. I thi

nk just a week

back. So, immediately the prices have gone up.

So, it is very difficult to say. Based on the day-to-day market situation, the prices fluctuate. See, after the announcement of MSP, the soybean meal prices have gone up and also wheat product prices have gone up.

Second thing is that, you know, when we get the harvest, the prices decrease marginally and immediately goes up. The soya bean meal crop comes from the September end, October, and the wheat harvest comes in from March.

So, it is fluctuating market. The prices of the raw materials keep fluctuating.

So, we normally take an annual average, we take the price.

Mrs. Santhi Latha:

Your voice is breaking. It's not clear. Her voice is breaking. It's not clear.

Balaji:

Sir, if the Trump 'stariff has remained same, what is the impact on the exports of the Company.

Mr. C. Ramachandra Rao:

Nikhilesh, are u there Nikhilesh?

Mr. Alluri Nikhilesh :

Could you repeat the question, please?

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Q4FY25 Earnings Conference callBalaji:

Sorry, if the Trump --tariff has remained same at the high end, how shrimp feed will be affected sir .

Mr. Alluri Nikhilesh :

10%or26%. Alright.

Balaji:

26%

Mr. Alluri Nikhilesh:

The higher end is 26percent. So, then the tariff would be as follows. Ecuador would be 10%, India would be 26%.. Indonesia would be, I think, about 32% or 35 something, and Vietnam would be over 40%.

So, I think, generally, we'll be number two. We will lose competitiveness over Ecuador, but we'll gain competitiveness again shrimp farming countries in Asia. So, I think overall, it'd be, like, average, not too bad, not too good.

Balaji, Avanti Feeds:

Thankyou, sir.

Moderator:

Thank you. The next question comes from Rota Shah from Equirus Securities. Please go ahead.

Ronak Shah:

Yes. So, I have a couple of questions. So,my first question is regarding what is the current given scenario for the shrimp feed into the market?

Mr. C. Ramachandra Rao:

Yeah. It would be around 12 lakhs MTs.

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Q4FY25 Earnings Conference callMrs. Santhi Latha:

Same like last like last year.

Mr. C. Ramachandra Rao:

Almost same like last year. It could be around 12 lakh tons per annum.

Ronak Shah:

Yeah.So,from the Avanti Feeds perspective, how we are projecting our FY'26 feed consumption, can it be in the range of 5.5 lakh metric tons?

Mr. C. Ramachandra Rao:

Yeah.

Mrs. Santhi Latha:

Yes.

Mr. C. Ramachandra Rao:

Just marginally, it is more than actually 5 lakhs. It should be able to make around 5 lakhs to 5.10 tons.

Mrs. Santhi Latha:

5.50 to 5.60 tons. Maybe we'll be around the same like last year.

Mr. C. Ramachandra Rao:

Our sales would be on the same line as last year --previous year.

Ronak Shah:

Okay. Second question is regarding the competitive pricing. And sir

highlighted that there are the various tariffs and CVD which is going on. So how is the Indian shrimp render cost is compared to the Ecuador vis -a-vis other Asian countries?

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Q4FY25 Earnings Conference call Mr. C. Ramachandra Rao:

Nikhilesh, can you take please?

Mr. Alluri Nikhilesh :

Yeah. Could you repeat the question again, please?

Ronak Shah:

So, Nikhilesh, what is the rendered price competitiveness, which India is having compared to the Ecuador and Asian countries, specifically for the USA considering current CVDs and the tariffs.

Mr. Alluri Nikhilesh :

See, that's a good question. So, I would say with the current duty structure, India currently has a lot of duty onto a country with CVD and ADD as like two duties which we have higher compared to the other countries. But if you see the reciprocal tariff, it's much lower than what the other countries in Asia have like Indonesia, Thailand, and Vietnam. Ecuador, on the other hand, again, has lower duty on that.

So, generally, I would say on a whole bucket of tariffs including the reciprocal tariff, I think we fared pretty much equal to the other Asian producing countries, but much higher

on duty compared to Ecuador. That being said, our competitive advantage against Ecuador will be reduced. But however, the only silver line is that Ecuador doesn't produce a lot of the products that we do. We do a lot of value addition, not high value, but like medium value products like a cooked or a raw or a shrimp ring, tail-on and tail-off products, pin-deveined. So, these things that Ecuador can't do as much as us because just because of the population that we have in the country and the way that our companies are structured, etc. So that way, you know, I would say on a whole tariff bucket where Ecuador has an advantage, but we all have our own niches in the game. So, we need to wait and see what happens in the future. So, there are also for the tariffs, I wouldn't say that these tariffs are permanent. Right?

These are reviewed periodically year on year. So, these keep fluctuating, and we're quite positive that things our association of seafood members and the Indian government are working positively to ensure that the duties are reduced.

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Q4FY25 Earnings Conference call Ronak Shah:

Yeah. And lastly, just a follow-up on this Nikhilesh. So, in last few years, when you see Avanti is continuously focusing on capacity expansion. And on top of that, we are saying that we are going to have 16000 to 17000 metric ton kind of the export sales from the processing, but when we look at to the actual numbers in last three, four quarters, we always fall short of the guidance. On top of that, we are having also a planned capacity expansion. So how we are seeing all these parameters looking considering the--one side, we are saying that we are having competitive edge over the Ecuador in terms of the processed product and the niche product. However, we are not seeing exponential or the substantial growth into the processing division. So, my first question is how you are seeing this or in terms of the growth terms? And secondly, considering the CVD and anti-dumping duty, our profitability goes to the toss. So, when earlier the feed division used to have lower margin, processing used to have better margin profitability, which should be the normal case, which has reversed up significantly. So how overall management is seeing these two-business profitability going ahead? Yeah. That's it for my side.

Mr. Alluri Nikhilesh :

Okay. That's a good question. See, on the capacity addition, I think there's no more additional capacity that's being added right now. Whatever had to be added is completed and we needed it for multiple different reasons because during season --see it's a seasonal business, right? There's no shrimp during the monsoon season because if it rains, the shrimp comes out of the pond. Of course, there is a little volume that comes in, but we call it the off-season.

So, even if we want to process at full capacity, we will not be able to. So, this is something where we're trying to process during season and trying to export as much as product as we can. And as you know, we had two facilities. We added a third one because the first one was built in 1997 --not built, I'm sorry, acquired in 1997. So, it's a very old factory. It's over 30 years. So, we want to shut it down for renovation. There's no room for expansion. So, we needed another facility with state -of-the-art equipment, a cook line, a value-added line, etc. So that is the reason for capacity addition. And also, if you see about exponential, you asked about exponential growth. I think in the last quarter, the revenue increased by 22%, which is quite a good revenue increase if you see on a year -on-year basis. On a full -year basis also, it's about 9%. In a quite --I would say, it's been quite a weak market generally with

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Q4FY25 Earnings Conference call oversupply. So that's still a good revenue growth. If you see for the last quarter, it's been really good. And year -on-year also about 9%, whi

ch is also,

I wouldn't say, like a poor performance in terms of revenue growth.

In terms of the margins, see, that's the best part of being an investor at Avanti.

If the feed business is not doing well because of raw material prices or any competitive pressures, we also have the frozen business, which is in the same industry, which will give an alternate revenue source and kind of diversify revenues and profit margins. Similarly, like you pointed out, in the past, the feed wasn't doing well, the processing was doing well. Today, the feed is doing really well. The processing margins have fallen down due to, I would say the reason is purely non -operational. Like you mentioned, these are from duties coming from countervailing and anti -dumping. But if you see the revenue growth and the business itself, fundamentally, we have been really robustly growing it. Our value -added products are really increasing.

The company's processing division has become one of the top export houses in India. So, generally, things are healthy if you take out the non -operational factors. And the last point I'd like to add is I had mentioned to the previous question that these duties are not permanent. These are reviewed periodically. The U.S. government gives the opportunity to kind of, like, make changes to what they're concerned about, a lot of work with the government, etc. on how certain tax refunds are structured, etc. So, like I said on the previous question, we are working along with the Indian Seafood Association and also the government to address these concerns and try to roll back some certain parts of the duty.

Ronak Shah:

Yeah Okay. Okay. So just lastly, so is it just --

Moderator:

Mr. Ronak can you join back the queue.

Ronak Shah:

Okay.

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Q4FY25 Earnings Conference call Moderator:

Thank you. I request the participants to restrict with two questions on the initial round and join back the queue for more questions. The next question comes from Gopi Krishna from JP Morgan.

Please go ahead.

Gopi Krishna:

Yeah. Hi. We traditionally see that June quarter, like, the Q1 is the strongest for Avanti Feeds because that is where we make lot of business, right, traditionally, if you see our accounts. And I also see that in the Q3 and Q4, the margins are pretty much impressive. Now what is the expectation of Q1? Do you still see that the margins will further expand?

Mr. C. Ramachandra Rao:

See, for this quarter, there are press and minus also. As you said, the raw material prices keep stable. And on that trend, we do not see a big additional burden. But as far as the sales is concerned, we already told you that we are going to be in the same levels as we were in the last year, but however, recently we have reduced the price of feed. Immediately after the announcement of reciprocal tariff by U.S., there was a lot of concern by the farmers, the government, the state government, and all they came and we had a series of

discussions with them. And to accommodate and to see that the aquaculture continues, the sustainability is maintained, we have to take a price cut by decreasing the price by 3 rupees per kg. So that will have an impact --full impact also will be there in this quarter.

And hopefully the raw material prices stabilize and they should be able to maintain same level of profitability in Q1 of FY'25-26. That should be because normally Q1 and Q2 are the good two quarters which we make. The aquaculture is very active and even now the culture is going on very well. So, we expect that the performance for this year also in the same lines as in the last year. And profitability also by and large it should be same, assuming that these prices of raw materials remain stable as they are today. So, I think that we will be able to maintain the profitability for first quarter, Q1.

Gopi Krishna:

And my second question is, we see like the 75% of the business what feed business is coming to North America. Like, if there a

re, like, the tariff is

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Q4FY25 Earnings Conference call coming in place, then Ecuador has a clear edge over India. So, are we trying to expand it to other countries? That's one.

And we see that when there is a tariff issues, there was a lot of concern raised from the farmers of Andhra Pradesh. Was this issue being highlighted to state government? Are there any incentives? Are there any kind of tax relief which we got is what is my last week?

Mr. C. Ramachandra Rao:

Nikhilesh, will you be able to take the first question. Also, of course, generally the tariff is in the public domain whenever there is a tax and the incentives also. As of now, there is no such thing announced by the government. But I think as far as the first question is concerned, I think --Nikhilesh, could you take the question?

Mr. Alluri Nikhilesh :

Yeah, I can say that, yes, the U.S. market particularly has been extremely volatile over the last one year. We've had different types of duties, a completely new duty, like CVD came in, and then we have reciprocal tariff, which was 26% and changed to 10, and we still have no clarity. It's not only for Shrimp, I guess, it's for all industries. So, it has been volatile, so we are actively looking at other markets. Definitely, if you look at our share, like PPT sent by you for the financial year FY'25, the U S market share has come down to about 70% from 83% the year before. And the last were also --so if you see that PPT, it says about seventy percent, but that also includes Canada. But our US Market share has come down to the lowest that we've had at least in the last four quarters, if I'm not wrong. So, we are actively looking into other markets. We just classify the markets as North America, Europe and Asia just to make it simple. But yes, we are diversifying from the U.S. market actively just to escape this kind of volatility that's happening in the country right now. Thank you.

Gopi Krishna:

Thank you.

Moderator:

Thank you. Can you move to the next question, sir?

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Q4FY25 Earnings Conference call Mr. C. Ramachandra Rao:

Yes.

Moderator:

Thank you, sir. The next question comes from Nitin Awasthi from InCred Equities. Please go ahead.

Nitin Awasthi:

Hello, sir. Just a few technical things I just want to understand. Firstly, on the non -(Inaudible) tariffs which are the older tariffs, the ADD and CVD.

These are supposed to be periodically reviewed and we were supposed to have a CVD review in mid of this year. Is that happening or because of the whole tariff situation, it's kind of on pause?

Mr. Alluri Nikhilesh :

No. The review is still happening right now.

Nitin Awasthi:

Okay. Okay. Got it. So probably in another month or two or by the next quarter, we'll have whatever representatives and everything, at least the statements from the committee will be out. Is that correct?

Mr. Alluri Nikhilesh :

Yes. The final determination will be out in the next few weeks.

Nitin Awasthi:

Understood, sir. And this implication will be from April itself. Right?

Mr. Alluri Nikhilesh :

It will be from 2023 February if I'm not wrong.

Mr. Alluri Nikhilesh :

Yeah. It's retrospective. So, the period of evaluation is not this year, but the previous year, what they're evaluating.

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Q4FY25 Earnings Conference callNitin Awasthi:

No, the part where I was asking from, because this duty, like you said, is the evaluation period is of course the older period, but from when will it be applicable? The applicability will of course be a few months before today and that's what I'm trying to get at. Because then that could be a swing that comes in. Either most likely what the industry is expecting is that CBD will be cut, then you have a positive swing for the refund.

Mr. Alluri Nikhilesh :

Okay. I'm following up question, Nitin, but I'm not able to get it completely?

See, there are two different things. Right? The ADD is under review right now.

The

CVD is closed, and they'll open the review later. The ADD, which is under review. The final determination should come out in the next, I think, like you said, two months or so. And the duty would be paid for the year, the entries into the US from February '23 to March '24.

Nitin Awasthi:

Understood, and any particular time frame when the CVD hearings would reopen?

Mr. Alluri Nikhilesh :

Not that I know of at the moment because they're not the respondents also, so there is no direct communication apart from industry news. I can tell you that things are moving in a good direction, in a sense that the government is actively working to provide our workings to the US government, which we did not the last time. So, it's going in a good direction compared to what had happened the last time.

Nitin Awasthi:

Yes, sir. Because that was what there was a worry about because last time what had happened was very unfortunate, and it was a sudden surprise to the street. And of course, the industry is involved in this business like your good service because we were not expecting that CVD rate would be that high.

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Q4FY25 Earnings Conference callMr. Alluri Nikhilesh :

Yes. It was quite unfortunate. It was election years everyone was busy, but now everyone's actively working to ensure that it's kind of rolled back.

Nitin Awasthi:

Got it, sir. The second question was relating to the new business of pet care. The pet care division is in an association with JV. So, the balance sheet impact and the P & L of said JV would just be a line item of profit from associates or loss from associates. Is that understanding, correct?

Mr. C. Ramachandra Rao:

It's a line item.

Mrs. Santhi Latha:

It's a line item. Line by line consolidation. It is a subsidiary of Avanti Feed.

Nitin Awasthi:

Okay. So, it's a subsidiary of Avanti Feed, not a JV?

Mrs. Santhi Latha:

Not a JV.

Nitin Awasthi:

By the accounting framework was what I've meant?

Mr. C. Ramachandra Rao:

Yes. This is a separate company, SPV (Special Purpose Vehicle), for

implementation of this project. And in which the substantial investments of Avanti Feeds are there. So, the consolidation, line by line consolidation takes place in Avanti Feeds accounts.

Nitin Awasthi:

Understood. Understood, sir. So lastly on this one. The pet care business, which is currently a trading business, if I understand it correctly. Right now, 22

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Q4FY25 Earnings Conference call we're just trying to bump up our sales. So, there would only be few costs that we will be incurring per sale that we make, and only post manufacturing will profitability kick in. Is that understanding, correct?

Mr. C. Ramachandra Rao:

You are right. Because, see, it is the initial period. Normally, the expenditure on brand promotion and establishing the market and all these expenses would be more in the initial stages, which will give results in later part. So, as you rightly mentioned, the first quarter is that when we do the trading, definitely, the trading may not result in as much profitability as we anticipated. But nevertheless, it gives a lot of mileage to us because these products are in the market under Avanti brand. So, the mileage and this brand establishment will be very, very helpful when we start production. So immediately, we'll have a ready-made market for our products, and then the profitability will be certainly much better than the trading profit that we are making, and expenditure is also high in the initial stages. Say about two, three years, there will be heavy expenditure on various promotional measures, advertisements, distribution costs, all these things have to be stabilized and brought to a level of, you know, profitable sales levels, then we'll be able to make profit. Okay?

Nitin Awasthi:

Understood, sir. So lastly, from my side, what is the target for, on the sales side, the volume side, which we have for this year for pet feed division?

Mr. C. Ramachand

ra Rao:

Pet care division?

Nitin Awasthi:

Yeah.

Mr. C. Ramachandra Rao:

See, the thing is that there are two feeds that we are now producing. One is the cat food, which we have launched in January 25, and we plan to launch the dog food, which is really the 80% market of pet care would be dog food. The dog food will be launched in the month of August and cat food is only 20%. So, the major portion of our sales will reflect in the third and fourth 23

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Q4FY25 Earnings Conference call quarter and Q1 of next year. That's how they we are planning. So initially, the acceptance by the market is also very important. We are entering lot of expenditure and promotional things that we're giving free samples. Venkat Sanjeev would give more about the pet care products --

Mr. Alluri Venkata Sanjeev :

So, the acceptance, as of now, we've launched a cat food and we're planning to launch a second flavor by end of this month. The dog food, which is the major portion of the pet food industry, it would be launching in August. So, it would take some time for the market to catch up to the brand, but this year we're expecting INR 10 crores revenue. That's what our target is.

Mr. C. Ramachandra Rao:

I may add that the good news for the investors is that our cat food is being accepted very well by the market. That is a very, very significant event for us because the market is treating this as a good product, which is received instantaneously by all the pet parents. They say that the pets are really enjoying this feed compared to others. That's the good news for the investors. And we expect that dog food also will be having the same reception because our quality, as you know, Avanti always maintains the best quality products, so we maintain that also. That's what we can tell from our side.

Nitin Awasthi:

Understood, sir. Thank you for answering my question. Best of luck for the future ventures. And also, I have also seen the cat food brand catching craze around parts of Mumbai. The last cat event, also you guys were present. So,

yeah, that is a good thing for the whole community and congratulations on that, and best of luck going ahead.

Mr. C. Ramachandra Rao, Joint Managing Director:

Thank you.

Moderator:

Thank you. The next question comes from Rahul Rati from Purnatha. Please go ahead.

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Avanti Feeds Limited 07.06.2025

Q4FY25 Earnings Conference call Rahul Rati:

Yes, good afternoon. Congratulations on a great year. You know, it's lots of uncertainty and the delivery has been fantastic. So, my two questions, so I'll start with the first one. If I look at your five -year return on capital employed, the lowest has been 13% and this year has been 23%. And if I look at the last 10 years, 13% has been the lowest. So, we are in you know, somewhere in the early 20s, how do you all think about return on capital employed? Is there a thought process around what you all want? How do you decide capital allocation decisions or the business side of things?

Mr. C. Ramachandra Rao:

Yeah, if you look at the analysis, definitely our profitability has been very good over the years and we are able to maintain that consistency. And as you know that it is something which is completely, you know, based on the nature and also market conditions. So, what we think is that the profitability that we are getting, we keep to maintain the same levels of profitability as far as the operations are concerned, particularly as a group, we have frozen foods, which is now in the mode to really expand in the market, not to the production, but it is to the diverting the market from the U.S. to other countries. And also, the pet care project also is going to come. So, these are the things.

And we consider that the return on capital should be at the same level on an average around, 13% -14%. If you can get around 15%, that we would consider as a very reasonable and good return on investment.

Rahul Rati:

You are at 23%.

Mr. C. Ramachandra Rao:

O

f course. I would put it that is one of the best years that we cannot expect that every year is going to be like this year. This year, fortunately, we got the raw materials prices coming down. But you know what happened, after some time, suddenly reciprocal tariff and we have to reduce the feed price by 3 rupees. So, it directly impacted on the profitability. Three rupees price. So, like that, the unforeseen events do take place.

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Avanti Feeds Limited 07.06.2025

Q4FY25 Earnings Conference call Rahul Rati:

No. No. I'm not worried about unforeseen. I'm just worried about management. So, let's say if I take next three, five years. So next year and three years, will you have above 20% return on capital employed or you're looking at a lower return.

Mr. C. Ramachandra Rao:

We cannot give 20% assurance .

Rahul Rati:

Assurance, expectation?

Mr. C. Ramachandra Rao:

I'm not looking for. See, if we can maintain 15%, we consider it as ideal.

Rahul Rati:

Okay. The second point is given that you're expecting a return on capital of 15%, you know if I look at the last five years, you've almost added 1,000 crores plus as investments plus cash on the balance sheet from what is there and it's not been used over the last , if we look at your 10 -year history, you've always added to cash on the balance sheet in terms of investments and cash. Any thought processes around, you know, what you plan to do with, because it'll be a drag on your return on capital and it'll also inflate your balance sheet. So, any thoughts on capital allocation?

Mr. C. Ramachandra Rao:

I mean, I would like to look at this differently , if you see the balance sheet, we

don't have any borrowings. Totally no borrowings, zero borrowings. Do you know what is the rate of working capital interest today? If you look at the balance sheet and P&L account, how we are able to maintain the inventory levels. Because the money that is generated is going into that. Most portion of that, particularly in the seasonal industry, we need money when the season starts. For example, in soybean meal, the season starts in October. So, we buy soybean meal in large quantities and keep it to maintain the price. Next time it will go up. See these are all the costs, which are not seen in the balance sheet.

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Avanti Feeds Limited 07.06.2025

Q4FY25 Earnings Conference call

You are saying you require about INR 1,900 crores cash.

Mr. C. Ramachandra Rao:

We always believe that the management of the cash that we have should be safe and it should be giving good value to the investors. If we put some industry, okay, we have money, we start some industry and if we don't get returns on that, what will happen? What is the return that we can expect today on any investment? You can't get big returns on investment and so many risks are involved in any new industry.

So, what we believe, the Board of Directors believe that at the appropriate time, we should be able to take the decisions, which will be in the interest of the investors. See earlier, we were thinking that this surplus should be used only for capital but what we see practically is that when we use it for working capital, we are able to make about 15% percent to 20% saving on the interest alone i.e., financial cost. You don't see it in our payroll account.

Rahul Rati:

Are you able to see that?

Mr. C. Ramachandra Rao:

No, sir. That's what I'm trying to say. And your money is safe. Whatever is there, we are always concerned for you. We don't believe in high yielding commercial papers as far as our surplus funds is concerned. We always go for triple rated companies, secured, and at the same time, we try to maintain 7% to 8% pre-tax return and whatever the amount that is available after utilizing for the working capital requirements.

Rahul Rati:

Thank you very much. Thank you.

Moderator:

Thank you. That will be the last question for the day. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and

for using Door Sabha's conference call service. You may disconnect your lines now.

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Avanti Feeds Limited 07.06.2025

Q4FY25 Earnings Conference call

Note: 1. This document has been edited to improve readability

2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Sep 2025

September 03 , 2025

To To

BSE Limited, National Stock Exchange of India Ltd.,

1stFloor, New Trading Ring, Exchange Plaza,

Rotunda Building, P.J. Towers, Bandra (East),

Dalal Street, Mumbai –400001 Mumbai –400051

Maharashtra, India Maharashtra, India

BSE Code: 512573 NSE Symbol: AVANTIFEED

Dear Sir/Madam,

Sub:Transcript of post earnings Audio Conference Call for the quarter ended

June 30 , 2025.

Further to our letter dated August 29 , 2025, we enclose herewith the transcript of post earnings Audio Conference Call for Investors /Analysts held on August 29 , 2025 in connection with UnauditedFinancial Results (Standalone and Consolidated) of the Company for the quarter ended June 30 , 2025and the same will also be available on the website of the Company at [https://avantifeeds.com/corporate - announcement/#Investor -Analyst -Corner](https://avantifeeds.com/corporate-announcement/#Investor-Analyst-Corner)

This is for your information and record.

Thanking you,

Yours faithfully,

ForAvanti Feeds Limited

C. Ramachandra Rao

Joint Managing Director,

Company Secretary ,

Compliance Officer & CFO

DIN: 00026010■f Avanti •--" Feeds Limited

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Avanti Feeds Limited 29.08.2025

Q1FY26ResultsConference callAvanti Feeds Limited

Q1FY26ResultsConference call

Event Date / Time: 29/08/2025, 16:00Hrs.

Event Duration: 01 Hrs. 09 mins54secs

CORPORATE PARTICIPANTS:

Mr. C. Ramachandra Rao

Joint Managing Director

Mr. A. Venkata Sanjeev

Execuve Director

Mr. A. Nikhilesh

Director, AFL & Execu ve Director, Avan Frozen Foods Pvt .Ltd.

Mr. D. V. S. Satyanarayana

CFO, Avan Frozen Foods Pvt .Ltd.

Mr. K.S. Reddy

CFO, Avan Pet Care Pvt .Ltd.

Q&A Par cipant Details:

1Nin Awasthi InCred Capital

2Yash Chandorkar Vivog Commercial Ltd .

3Ronak Shah Equirus Securi es

4Kumar Divyanshu Individual Investor

5Ayush Mi al Mial Analy cs Pvt.Ltd.

6Rahul Rathi Purnatha

7Vincent Andrew Geojit Financial Services Ltd .

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Avanti Feeds Limited 29.08.2025

Q1FY26ResultsConference callModerator

Good evening, ladies and gentlemen. I am Pelsia, moderator for the conference call. Welcome to Avanti Feeds Limited Q1 FY 26 Investors Conference Call. We have with us today Mr. C. Ramachandra Rao, Joint Managing Director ;Mr. A. Venkata Sanjeev, Executive Director ;Mr. A. Nikhilesh, Director AFL and Executive Director ,Avanti Frozen Foods Private Limited ;Mr.D.V. S.Satyanarayana , CFO, Avanti Frozen Foods Private Limited ;Mr. K.S. Reddy, CFO, Avanti Pet Care Private Limited.

As a reminder, all participants will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing * and then 0 on your touch -tone telephone. Please note that this conference is being recorded.

I would now like to hand over the floor to Mr. C.Ramachandra Rao. Thank you and over to you ,sir.

C. Ramachandra Rao

Thank you, Pe Isia. Good evening, ladies and gentlemen. I am pleased to extend a warm welcome to all of you for this Investors Conference Call to review the unaudited financial results for the Q1 FY 26. Mr. A Venkata Sanjeev , Executive Director and Mr. A. Nikhilesh, Executive Director ,have joined online. Along with me here are Mr. D. V.S. Satyanarayana , CFO of Avanti Frozen Foods Private Limited and also Mr. K . Srinivasa Reddy , CFO of Avanti Pet Care Private Limited and other secretarial and accounting staff members.

To begin with, Mr. D. V.S

.Satyanarayana will present highlights of financial results for the quarter ended June 30, 2025 of Shrimp Feeds and Shrimp Processing and Export Division and also consolidated financials of the company for the same period. Thereafter, Mr. K. Srinivasa Reddy will present the status of Pet Care project. After presentation by all of them, we will take up the question -and-answer session.

Over to you, Mr.D. V.S.Satyanarayana.

D. V. S. Satyanarayana

Thank you, sir. Good evening. Now ,I will take you through the consolidated and standalone division financial performance highlights for the quarter ended June 30, 2025. First, I'll take you through the consolidated financial results for Q1 FY 26. The comparative performance of Q1 FY 26 with that of Q4 FY 25 and Q1 FY 25 have been given in the presentation already circulated. Gross income in Q1 FY 26 is INR 1,657 crore as compared to INR 1,432 crore in the previous quarter that is Q4 FY 25. So, an increase of INR 225 crore by 15.7% .

Compared to Q1 FY 25 that is corresponding quarter in the previous year, gross income up INR 1,538 crore. So, there is an increase of INR 119 crore by 7.7%. The PBT is INR 249 crore in Q1 FY 26 as compared to INR 211 crore in Q4 FY 25. So, we can see an increase of INR 38 crore by 18%. And compared to Q1 FY 25, PBT of INR 180 crore, there is an increase of INR 69 crore by 38%. The consolidated results indicate net impact of several factors such as increase or decrease in income and expenditure, etc ., relating to Feed and Frozen Food division, which have been discussed in the following divisional performance of these units individually.

Avanti Feeds Limited 29.08.2025

Q1FY26ResultsConference callStandalone financial results of Feed and Processing divisions.

First, I will take you through the Feed division Q1 FY 26 results. The gross income for the Q1 FY 26 is INR 1,279 crore as compared to INR 1,067 crore in the previous quarter of Q4 FY 25, an increase of INR 112 crore, mainly due to increase in quantity of feed sold during the main season. The gross income in Q1 FY 26 decreased to INR 1,279 crore from INR 1,296 crore in the corresponding quarter of Q1 FY 25. A marginal decrease by INR 17 crore due to increase in sales quantity by 6,974 metric tons, and the same has been compensated by a decrease in sales price by INR 4 per kg.

The PBT for the Q1 FY 26 is INR 224 crore as compared to INR 194 crore in Q4 FY 25, an increase of INR 30 crore by 15.5%, mainly due to decrease in raw material cost. The PBT in Q1 FY 26 was increased by INR 71 crore from INR 153 crore in Q1 FY 25, represented by 46% due to increase in sales and decrease in raw material costs. The feed sales increased to 1,65,564 metric tons in Q1 FY 26 as compared to 1,29,711 metric tons in Q4 FY 25. And in Q1 FY 25, the total feed sales were 158,591 metric tons.

Increase in profitability when compared to previous quarter and the corresponding quarter of the previous year is mainly due to increase in sales and other income, also decrease in raw material cost and better overhead absorption. The major raw materials are fish meal, soybean meal and wheat flour. The noticeable development in this quarter is softening of two major raw materials that is fish meal and soybean meal, resulting in improvement in the profitability. The prices of these raw materials are fluctuating since their production is based on agriculture and fish catches from the ocean.

The prices of fish meals increased to INR 93 per kg in Q1 FY 26 from INR 91 per kg in Q4 FY 25 and decreased from INR 117 per kg in Q1 FY 25. In case of soybean meal, prices reduced to INR 39 per kg in Q1 FY 26 from INR 40 in Q4 FY 25 and INR 49 in Q1 FY 25. However, the wheat flour price decreased

to INR 31 per kg in Q1 FY 26 from INR 36 per kg in Q4 FY 25, and it is increased from INR 28 per kg in Q1 FY 25.

While on one hand, the raw material prices are instrumental in determining the margins, on the other hand, the status of aquaculture activity conditions such as climatic changes, disease

s, etc., determine

the consumption of feed in terms of volume, which will have an impact on the overall performance.

As you noticed, the first half of the year 2025 has been a good profitable period. However, the forecast for the second half of this year is challenging due to factors like gradual increase of raw material prices and levy of reciprocal tariff by U.S. at the rate of 50%, which will have a significant impact on the performance of the company, particularly the second season.

To sum up, in general, FY 25/26 is expected to be a mix of favorable and challenging seasons for the aquaculture industry, both in respect of shrimp production as well as exports from India and global demand for shrimp exports.

Shrimp production and feed consumption in FY 25 and the Company's plans for FY 26.

Shrimp feed consumption :

On the basis of estimated shrimp production of about 10 lakh to 11 lakh metric tons in the calendar year 2025, the feed consumption is estimated to be about the same levels. The company's feed sales during the FY 25 were 5,55,247 metric tons against 5,31,967 metric tons in the financial year 2024. It is estimated that the feed sales during FY 26 would be around 5,60,000 metric tons.

Avanti Feeds Limited 29.08.2025

Q1 FY 26 Results Conference call Shrimp processing and export .

India's shrimp exports touched 7,45,520 metric tons in financial year 2025, generating a revenue of \$5.17 Billion. Frozen shrimp remains a major export item in quantity and value, accounting for a share of about 40% in quantity and 66% of the total dollar earnings. The company's shrimp exports during the FY 25 was 14,149 metric tons as compared to 13,444 metric tons in the year 2024, an increase by 682 metric tons. It is estimated that the exports during FY 26 would be around 17,000 metric tons.

Now, I will run through the Shrimp Processing division Q1 FY 26 results. The gross income for Q1 FY 26 is INR 378 crore as compared to INR 364 crore in Q4 FY 25, an increase by INR 14 crore, representing 4%, mainly due to increase in sales quantity by 123 metric tons, which represents 3%. The gross income in Q1 FY 26 increased to INR 378 crores from INR 243 crores during Q1 FY 25, an increase of INR 135 crore, representing 56% YoY growth. The sales volume during Q1 FY 26 increased to 4,223 metric tons from 2,783 metric tons in Q1 FY 25, an increase of 1,440 metric tons.

Higher sales in Q1 FY 26 were driven by majorly volume growth and increase in average selling price realization and of course favorable foreign exchange rates. The PBT before exceptional items for Q1 FY 26 stood at INR 25 crore from INR 18 crore in Q4 FY 25 due to higher sales volume, increase in average sale price realization and increase in RM price. The PBT in Q1 FY 26 was INR 25 crore, a decrease from INR 27 crore in the corresponding quarter, that is Q1 FY 25, primarily due to marginal increase in raw material prices.

Update on the fish feed business.

As reported in earlier con call, the company has imported fish feed from Thai Union Feedmill Company Limited and is conducting trials under Indian conditions. Once the product performance is approved, the production in India will be taken up for domestic sale. So, with this Feed and Frozen Divisions are completed.

Now, I hand over to Mr. K. Srinivasa Reddy to update the status of Pet Food project.

K. Srinivasa Reddy

Thank you, Mr. D. V. S. Satyanarayana. Now, I would like to update the Pet Food project.

As already informed, the company successfully commenced a trading in cat food from January 2025.

It's our first product range under the Avanti Pet Care brand that is Avant Furst. In cat food, ocean fish flavour, the response from the pet owners is highly positive. As on date, we cover the 60% of pan India.

During Q1 FY 25/26, the company recorded sales INR 38.17 lakh, showing steady growth from INR 25.79 lakh in Q4 FY 24/25 in one cat food flavour. In July 2025, the company expanded its cat food portfolio with the launch of second flavour, Tuna. In addition, the company

launched a dog food, chicken and vegetable flavour. Trading started in August 2025, which constitutes the largest share of the pet food industry around 65%.

On the market expansion, the company expanded its presence in Tier-1 cities and initiated expansion in Tier-2 city markets. In addition to this, e-commerce operations are planned from September 2025, followed by Quick Commerce from December 2025, enabling a wide reach and faster consumer connect. The company continues to focus on creating a strong brand visibility for Avant Furst. So, the Avanti Feeds Limited 29.08.2025

Q1 FY 26 Results Conference call digital marketing campaigns and Instagram and Facebook that is @avantfurst, aimed at increasing

consumer awareness and our brand engagement.

As you know, company has purchased and converted from agriculture to non-agriculture

approximately 30 acres of land near Hyderabad through proposed state-of-art manufacturing facility. And present survey and land development for construction is in progress. The company is planning to commence the construction by end of this year after obtaining necessary government approvals. This is about the update of Pet Care.

Now, I hand over to JMD sir for closing remarks.

C. Ramachandra Rao

Thank you, K.S. As we have already seen, the performance has been so good. Let me just give you update on the current quarter, which is in progress now. Initially, the culture started very well and it was progressing, but due to heavy rains, there were premature harvest and some diseases here and there, have actually temporarily slowed down the aquaculture activity. And now again, it has started and going very well. So, we expect that this trend would continue throughout September and October, so that we'll get good production by this season by October-November. So that, that will take care of our production requirements, whatever we have anticipated in respect of Feed sales.

That being the case about the feeds, the other important aspect about Feed is the increase in raw material prices. It is a little bit surprising that commodity prices have gone up, which has been more or less stable throughout this year, right from the beginning. For example, fish meal, which has been quite long at the rate of around INR93, INR94, has now come up to INR105 now. Similarly, soybean meal, which was around INR38, INR39 has gone up to INR47 now.

So, these prices have gone up. One of the reasons being that the government has announced minimum support price, which is effective from October that is one of the major reasons. And we expect that first the fresh crop of soybean meal would arrive the market in the month of October. So, we expect that the prices of soybean meal would stabilize by then because as of now, the crop is growing well, and we are expecting a good crop this year also just as in the last year.

Similarly, in the wheat flour, wheat flour was about INR 31 in the Q1 FY26, but now it is around INR 35. So, this price has also gone up. And the fresh crop comes around end of February and March. So, we expect that some stabilization would take place in respect of wheat flour. So as you know, and we have been saying almost in every call that the raw material prices are very crucial in determining the profitability and margins of the Feed Division.

So, we look for stable prices in the rest of the financial year also, so that we end up with the volumes more or less the same, marginally increase, it is about 560,000 metric tons we are expecting. And if we achieve that the volume and price are being stable, so we should be able to make reasonably good returns.

Now, coming to the most important aspect, this is the burning topic of today, that is the U.S. levying reciprocal tariffs from the 50% with effect from August 27, which has come into effect now. Several efforts have been made by the governments and export promotional organizations to arrive at a reasonably good level so that it will be beneficial for both the countries for bilateral trade.

. However,

as of now, there is no such development which has taken place and the effective 50% has come into force.

Avanti Feeds Limited 29.08.2025

Q1 FY26 Results Conference call That having realized the reality, then we have now working and we have been in fact working for some

time to develop our markets to other destinations like Japan, Europe, and Canada and other countries where we want to expand and we have been able to achieve reasonably good results over the past one year. Gradually, we are increasing and decreasing dependence on the U.S. market that is a positive development. And also, we are expecting the government also would come in for help of the industries, particularly the three sectors which have been severely affected by this 50% tariff, that is textiles, gems & jewelry and aquaculture.

So, we have learnt that the government has already been seriously working on the modalities, how these industries can be supported for survival and to look for other markets by way of increasing the exports instead of U.S. And simultaneously, the government is also working on promoting the domestic market so that as an alternate to the export market, we have a big population in India and the consumption of shrimp is very, very low. So, this is the one opportunity that we have come in the way. So, with the government support, we hope that we will be able to promote the domestic market sales also and we have already started and we have achieved reasonably good success. And in course of time, Mr. Nikhil will explain you the steps that we have taken for this promotion of the domestic industry.

So, coming to the specific rates, I think India has the highest, I think there are only two countries in the world which has got, one is Brazil and India have 50%, the highest, Thailand has 19%, Vietnam has 20%, Indonesia has 19%, Ecuador 15%. So, these are the rates, of course, we are nowhere near any of these countries. But nevertheless, we are very confident and we should be able to get back into our sales to other countries and also domestic sales. We don't see any big challenge in the long run. It is only a short lived and a temporary phase, by maybe in about 3-6 months' time, we should be able to get back to our original position. This should not be a problem.

So of course, there's the details of this 10%, before September 17, arrival in the U.S., the rate is 10%. Between September 17 and October 5, arrival in U.S., it is 35%, 10% base plus line tariff 25%, total

35%. After October 5, it is 50%. Goods loaded on a vessel for final transit between August 7 and August 27, before September 17 in U.S., 25%; on or after September 17, 50%. Goods loaded onto a vessel for final transit after August 27, arrival in U.S., regardless of arrival date, 50%. See, in addition to the tariff at the rate of reciprocal tariff of 50%, the levy of CVD which is at the rate of 5.77 presently, is always an additional burden to the export of shrimp region, which is the largest export market for the company till date.

Keeping this factor in view, the endeavor of the company is to expand its global market to other destinations like Japan, Korea, European Union and Middle-East. It is pertinent to mention that in view of the reciprocal tariff by U.S. having come into effect, the company and in India focusing on export to other markets and also promote the domestic market for shrimp sales. Further, it is reliably learned that Government of India is also working on steps to support the marine products export sector at this juncture of severe hardship caused to exports to U.S. We do hope that the government will roll out appropriate measures to mitigate the adverse impact on account of the reciprocal duty.

Overall, the global market for shrimp consumption is expected to be stable in 2026 compared to 2025, maybe with a marginal increase by about 5%. The focus is on demand for value-added products, which is gradually increasing and processes see better margins in value-added products and your company

company

is also focusing more on value-added products to get better margins, where the company is working with this objective to maintain the better margins.

I think with this, I will now open the discussion for question-and-answer session.

Avanti Feeds Limited 29.08.2025

Q1FY26ResultsConference callModerator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on the telephone keypad and wait for your turn to ask a question. If you would like to withdraw your request, you may do so by pressing * and 1 again. Ladies and gentlemen, if you have any question, please press * and 1 on your telephone keypad.

First question comes from Nitin Awasthi from InCred Capital. Please go ahead.

Nitin Awasthi

Hello. I have two questions. Firstly, on the volumes front and on the feed volumes, but not for the company, for the industry as such. For the shrimp industry as such, do you expect a fall or stability within the shrimp feed volumes?

C. Ramachandra Rao

I think the shrimp feed; there will not be any fall. We are expecting that it will be the same level as in the previous year, even slightly better. We are expecting about 5,60,000 metric tons of feed for this year. As far as the shrimp is concerned, the production is also likely to be there more or less the same level. Yes, we do not expect any reduction, steep fall in the production of our shrimp this year because of these tariff changes.

Nitin Awasthi

Understood, sir. So second question, I think, Nikhilesh sir would be more suited to answer this question. It's on the processing side of things. But broadly, because of these tariffs, which has come out and because the whole industry is getting disrupted, do you see any positive developments coming out of this?

When I say positive, what do I mean? I'll just clarify that. So, we'd have that thought process narrowed down that do we see the price inflation of this commodity within U.S., making it very expensive for the U.S. consumer to actually have this produce by which that whole conversation that keeps happening that India is dumping will stop happening and the U.S. consumer will realize and the market will realize that we are a necessity to provide shrimp at affordable cost to the U.S.?

A. Nikhilesh

Hi, Nitin. I hope all is well. Yes. I think you've been consistently the first person to ask the question the last few quarters. But that's a good question.

So, to answer that, I think that's a very broad question, and there would be a lot of speculation, and everybody's opinion would differ. In my opinion, yes, there's definitely going to be an inflation in the price of shrimp in the U.S. because all the producers have duty. So, the minimum is 15% for Ecuador and going up to all almost 50% for India, which is the major supplier to the U.S. So, there is definitely a price increase. But in my understanding on the dumping viewpoint, we need to see what the regulator looks at basically. They usually look at whether we are selling to the U.S. at a much lower price than what we're selling to other markets thereby dumping the product.

Avanti Feeds Limited 29.08.2025

Q1FY26ResultsConference callSo, that's something that the DOC will have to review. But, right now, it would be too early to speculate

how they would view this. But on the inflation point, definitely, we're already seeing that in the market that the price of shrimp is going up, not gradually, but quite drastically.

Nitin Awasthi

Understood, sir. So, all the shopping from the U.S. importers for this year's holiday season would have been done or would a part of it be still stalled because of the tariff?

A. Nikhilesh

So, I think a good portion of it is completed, at least for Avanti. We did ship out a considerable amount of product in the first quarter. That's why you see a huge jump in revenue, but there are always parts of it which need to be shipped out. So, we continue to ship at the moment to the U.S. market, and I believe that's

also for the industry.

The November-December period is the holiday season in the U.S. where they require shrimp a lot, where people are eating out and preferring to eat seafood. So the retailer, from what I understand, would like to continue having product on their shelf. So, there are shipments continuing. So, the short-term impact is not as large as we anticipated.

Nitin Awasthi

Understood, sir. Thank you.

Moderator

Thank you. The next question comes from Yash Chandorkar from Vivog Commercial Limited. Please go ahead.

Yash Chandorkar

Hello. Am I audible? Hello?

C. Ramachandra Rao

Yes.

Yash Chandorkar

Thank you for giving me opportunity. I have two questions. First, I want to understand overall how this tariff will impact on our company? And second one is I want to know if any rerouting of our shipments is happening or in general also, like, shrimp shipments, we look at some other countries or like that?

C. Ramachandra Rao

I would ask Mr. Nikhilesh to answer this question.

Avanti Feeds Limited 29.08.2025

Q1FY26 Results Conference call A. Nikhilesh

So, on the impact of the industry, generally, I would say that on the 50% tariff on India impacts almost 55% of the total exports into the U.S. market covering several sectors, including seafood, textile, gems and jewelry, etc. So on that front, definitely, there's an impact on the volume. So at the moment, like I answered in the previous question, the immediate impact is not as much as we thought because we continue to ship because they cannot replace their supply chains almost immediately, especially since India is one of the largest producers of shrimp. So, on a short-term basis, we don't anticipate as large of an impact as we first saw at when the tariff of 50% was introduced.

On Avanti itself, as you know, our feed business is about 50% of the market share. So, all the products, all the farmers that we sell to who are selling to non-US markets also are part of the system. So, the impact over there is not as large as the impact that it would be on the processing business where we derive more than 60% of our revenues from the U.S. business.

So, that's the first part of the answer. Could you repeat the second question again?

Yash Chandorkar

Just want to know any rerouting in our shipments.

A. Nikhilesh

I'm sorry about that. So, that's completely illegal so that we don't definitely do anything like that. We don't reroute any of our shipments.

Yash Chandorkar

Okay. And industry-wise, if you see, like, from any other countries, is this happening?

A. Nikhilesh

Again, like I said that this is illegal. If the U.S. Government finds out, then we're talking about a complete ban on the company and, like, severe federal penalties. So definitely, I don't think and advise anybody to look into that.

Yash Chandorkar

Okay. I understand. Thanks for answering my questions. Thank you.

Moderator

Thank you. The next question comes from Ronak Shah from Equir us Securities. Please go ahead.

Ronak Shah

Yes, sir. Thanks for the opportunity. So, my first question is regarding to the processing business or the export, both from the industry and Avanti's viewpoint. So, once our shipments have started reaching to the territory where the tariffs are taking place at 50-odd%, are we seeing discounts or some sort of passing of the tariffs from the customer and to the companies in India?

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Q1FY26 Results Conference call And secondly, as highlighted that there cannot be a near-term impact; however, if we assume the status will take a time to get update, how we see the business impact in terms of the sales and the margin?

A. Nikhilesh

Okay. So, the first question on tariffs passing on, see the tariff of 50% is something that we cannot

absorb. So, we're definitely passing it on to the customer. And the customer, in turn, is averaging out their total purchases from different countries at different tariff rates because, as you know, the U.S. policy has been extremely volatile in the past 8 months.

So right now, even the customer is taking the wait-and-view approach.

Things can change overnight in the current situation with the volatility that we've experienced in the past few months. So, they continue to do business as usual. So, they are averaging it out and putting it on their shelves. So, that we need to see what is the impact on sales in the next probably in early 2026.

So that said, on the second question, like you said, the short-term impact is not as large as we anticipated, but, of course, this will have long-term repercussion. On the short term, as you know, Avanti, as a company, has been diversifying from the U.S. market actively in the past few years. So, we do have other customer base outside the U.S., which is continuing to support our manufacturing. So currently, we have not stopped production. We're continuing to produce to our customers around the world.

On the margin, I think in the short term, we still look at stable margins and look to have the same profile in the next quarter, at least looking at things today.

Ronak Shah

Okay sir. And my, sir, second question is regarding to the overall guidance. So when we look to the conversation which we had till now, so we are seeing the higher tariffs. They can be the second crop is looking, sir, difficult. So, on top of that current heavy monsoon and all, which has infected some crops.

So, how management is confident of achieving 5.6 lakh ton of the feed sales in FY 26 and on top of that, 17,000 metric ton of exports, we are seeing such kind of volatility and the heavy dependence on U.S. market?

C. Ramachandra Rao

I think, it has two parts. Let me just tell you as far as the production is concerned. So, we believe that the production this year is about 5.6 lakh metric tons because the same level as it was in the previous year. See the first season, we started very well and in between, we had some setbacks because of the untimely and heavy rainfall and also some spread of diseases and premature harvest. But now again, it has picked up.

And now, the culture is growing well and we keep continue to grow shrimps. And as far as the market is concerned, so we have a strategy and Nikhilesh would explain you that how we are trying to find the markets for the total production that the capacity utilization of our plants and how to make use of the production that we get it. Nikhilesh, could you just give a highlight on that?

Avanti Feeds Limited 29.08.2025

Q1 FY26 Results Conference call A. Nikhilesh

Could you repeat that question, please?

C. Ramachandra Rao

The question, what you were saying that because we said that in the second crop, that is what is going on now also, we'll have a good crop. This question is that how will you find the market for this increased production because of these tariffs. Am I right?

Ronak Shah

Yes. So, just refining my question. So, I just want to understand when management is giving a guidance of 5.5 lakh tons of sea feed sales and on top of that 17,000 of exports of the aqua product. So, how confident we are? Because as highlighted, just in short term, we are not seeing any impact, but in longer term, it may impact. So, how that?

A. Nikhilesh

I understood your question, sir. So basically, see, at 50% tariff, it is like quite a difficult situation for India as an export market, not only for shrimp, but for all products that are going towards the U.S. That said, because 50% of the total seafood in India is exported to the U.S. There are definitely lot of works that the country is doing, like signing to FTAs with UK and also trying to work with other countries.

But it is definitely an impact. So, the confidence level is not at a high 90%, definitely. Because we are battling a sort of volatility and a high tariff rate in the short term. But on the long term, we hope that India and US can conclude to some kind of understanding because it's impacting the whole country. But as a company, we are actively diversifying into other markets. We have good clientele. On the first

quarter, we reported a 50% jump in sales. So, that's a huge amount of sales that we already covered in the first quarter. Second quarter is also looking good.

I wouldn't say that there's a big problem. But on the long term, if this tariff continues to stand, there'll be a shortfall in the volumes what we did last year. And this is not consistent only to Avanti. It would be consistent to the whole industry and it would be consistent to the whole country as well in other industries also.

So that said, like I said, we are quite confident that in the long term, we will be able to diversify into

other markets. We would be able to work in the domestic market where there's a huge consumer base of more than 1.4 billion people. And we also looked at the India and U.S. relations normalize in the long run. So, I hope that answers your question.

Ronak Shah

Yes, sir. And, sir, if may permit for the last one. So lastly, from the margin viewpoint, so we are sitting on the August 29. It's like a 60% completion of the quarter. And on the margin front, how you are seeing?

Because I guess we are absorbing, we did get our part. So, considering the current RM price and the volatility, are we expecting around 6-7% on kind of those?

Avanti Feeds Limited 29.08.2025

Q1FY26ResultsConference callA. Nikhilesh

That we need to see at the end of next month. So because we can't disclose it right now.

Ronak Shah

Okay. That's it from my side. Thank you.

Moderator

Thank you. Ladies and gentlemen, if you have any question, please press * and 1 on your telephone keypad.

The next question comes from Kumar Divyanshu, an individual investor. Please go ahead.

Kumar Divyanshu

Yes, hello?

A. Nikhilesh

Hi.

Kumar Divyanshu

Thank you for giving me opportunity and for the very good numbers. So, my first question is on your business of shrimp feed manufacturing. So, I would like to ask from this aspect that how much domestic market produces of your revenue? Like, could you suggest me in the percentage then?

Because it is one of the largest parts of your business.

A. Nikhilesh

More than 99% would be the domestic market.

C. Ramachandra Rao

So, I think are you asking shrimp feed?

Kumar Divyanshu

No, sir. I'm asking about shrimp feed manufacturing.

C. Ramachandra Rao

As Mr. Nikhilesh said, it's 99% domestic market.

Kumar Divyanshu

Okay. So accordingly, because this is the largest part of our business, so I think the impact due to the tariff will not be much on your revenue?

Avanti Feeds Limited 29.08.2025

Q1FY26ResultsConference callC. Ramachandra Rao

No. See, we are expecting, as I told you, 5.6 lakh metric tons of feed we are planning to produce and sell this year. So, not only the U.S. market shrimps, but also there are other markets also, the production keeps going on for other markets also, though the production will not stop, the shrimp production continues and we are confident that the production of shrimps will be on the same level as in the previous year.

And similarly, the feed also, consumption will be on the same level. We do not see any fall or decrease in the sale of shrimp feed or shrimp sales.

Kumar Divyanshu

Okay, sir. And then next question is from the ratio section, the days payable in March 2025 has been increased, but rest of the things have been reduced. So, could you please comment on that?

A. Nikhilesh

Can you please repeat again?

C. Ramachandra Rao

Can you repeat the question, please?

Kumar Divyanshu

Sure, sir. In the ratio section, the days payable in March 2025 have increased as compared to the March 2024. But rest, all the ratios are fair good. They are decreasing. So, could you please comment on the days payable?

C. Ramachandra Rao

Yes. Please hold on here just. Can you give me the page number, please?

Kumar Divyanshu

Sir, actually, I'm just checking one of the from the source data, which I have fetched from the online. So, it is mentioning over there that days payable in March 2024 was 27. But in March 2025, it tends to 34. But the debtor days, inventory days, c

ash conversion cycle, working capital days, all are in decreasing frame that is very good. Just this is a concerning point, which I want to ask.

C. Ramachandra Rao

No. We don't know where from you ?

A. Nikhilesh

Where did you get it ,wedon't know ?

Avanti Feeds Limited 29.08.2025

Q1FY26ResultsConference callC. Ramachandra Rao

We don't have th isfigure.Canyou please send amail? We'll answer you becausewe are not able to get hold of the numbers which you are speaking about.

Kumar Divyanshu

Okay, sir. And the next question is how will you see or how you are seeing upcoming quarter result of September and December is concerned?

C. Ramachandra Rao

So,we'll have to wait. September is not yet go or no, it has not yet started. So ,we will see, let's wait for one more month. I think onnext quarter con call, we will be able to discuss more about this quarter's performance.

Kumar Divyanshu

No, sir. Actually, because of the tariff announced, do you see any decline in the sales or in part of the revenue?

C. Ramachandra Rao

Nikhilesh, could you please take this question?

A. Nikhilesh

Could you repeat that question, please?

Kumar Divyanshu

I'm telling that in the coming quarter of September and December, so could you please address that part of the effect of tariff on your revenue? Like, will it get hampered so much? Or is there any trend to overcome on it?

A. Nikhilesh

I think as of now, if the tariff continues at this rate, I would feel that the impact would be seen not in Q3, but probably in Q4 becauseaccording to our accounting, whatever we're shipping today, only when it delivers into the warehouse of the customer, we recognize it as revenue.

So,it would take a lead time of 50days. So,I don't think there'll be significant impact in Q3, but you would see more impact in Q4 if the tariff continues to hold this way. And if you ask about Q4, I would just say it would be better to answer this question next con call because things are changin g every day. So,it's difficult to speculate for the last quarter right now.

Kumar Divyanshu

Okay. And sir, the last question is from your business from Pet Feed and PetCare. So,is there any planning to increase the revenue from both the two segments of your business ?

Avanti Feeds Limited 29.08.2025

Q1FY26ResultsConference callC. Ramachandra Rao

Wedon't have any immediate plans for expansion. We are just watching. There's so much of volatility in the market. We want to keep watching this year and take decision inQ4.

Maybe at that time, we get clarity on the future prospects and how things are going. Forthe present, we are focusing on the other pet care and other diversified products.

Kumar Divyanshu

Okay. Thank you so much. Thank you very much. That's all from my side.

Moderator

Thank you. The next question comes from Ayush Mittal from Mittal Analytics Private Limited. Please go ahead.

Ayush Mittal

Good afternoon, everyone. Am I audible? Hello?

Moderator

Yes, sir.

A. Nikhilesh

Yes. You're audible.

Ayush Mittal

Yeah. First of all, my appreciation to the company for a very good performance .Whenwe compare performance to other peers, Avanti always stands out in terms of what our company has delivered, maintain its leadership in the shrimp feed segment, the margins we have done. All those things are very commendable to the entire team.

Now,coming to the current challenges that we are seeing, I think this tariff thing is a big issue when we are reading the newspapers, the amount of tariff that has been put, though we all would be hopeful that things revert to normal or at least revert. But a s of now, given the negative environment, have you been asked to cut down the feed prices by the government or something?

C. Ramachandra Rao

No, nothing like that because at this point of time, we have recently cut our prices by INR 4. So ,there's no such request from the government, no rfrom the farmers. We don't have such request.

Ayush Mittal

Sir, when was this INR4 rupee cut price?

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Q1FY26Re

sultsConference callC. Ramachandra Rao

Yes, INR4 cut was there.

Ayush Mittal

When was that done?

C. Ramachandra Rao

April.

Ayush Mittal

Okay. So, if you see our fee segment, I think the operating margins are at a very high side versus the normal margins we used to do. And now that RM prices are also rising, so we should be coming back to the normal margins of 10 -12%. Is that the right number?

C. Ramachandra Rao

Yes. But these things are highly volatile where, as I just mentioned in my initial remarks that the prices are slowly going up. We wish that it will get stabilized again once the new crop of soya and also we get the wheat price and the fish catch is also good. So then the prices, if they remain, definitely we'll have the good margins. But having said, this is not in our hands.

Then raw material prices are dependent on so many factors because they are agri products, soya and wheat and fish meal depends on fish catches. We cannot say that suddenly it drops, the catches drop. It has happened about 15 days back. The catches started declining very fast. So, the prices went up. And when the catches come good, the prices come down. So, it's highly volatile. So yes, we only wish that it will be stable, so we should be able to give you better margins.

Ayush Mittal

Got it. Sir, like you mentioned that this crop was impacted due to very heavy rains. So, is that the reason that we are seeing a very sharp drop in export data for the industry in the recent months? Like, after Q1 was very good, but the articles said the volumes of shrimp exports have been very much impacted from India. Is it temporary or ?

C. Ramachandra Rao

Mr. Nikhilesh. Please go ahead.

A. Nikhilesh

Yeah. Could you repeat the question, please?

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Q1FY26ResultsConference callAyush Mittal

After very strong Q1, there are certain reports that the shrimp export volumes have fallen dramatically in last one or two months from India. Is that due to the crop issue we mentioned earlier or is it due to the tariff or temporary ?

A. Nikhilesh

No. So, it's primarily due to the seasons. It's monsoon season. So, when it's monsoon, it's low season. So, the exports will be quite low in that period. There's low availability of raw material, simply because, like, if it's raining so much, the shrimp will come out of the pond.

Ayush Mittal

Got it.

A. Nikhilesh

So, generally, we consider that as the off season, point number one.

Point number two, The President Trump announced the tariff, people were just more cautious on putting product out on the water and then again talk to the customer and get some guidance on what to do with the products. Both these things coupled together would have put impact on the total export.

Ayush Mittal

Got it. And which like you mentioned earlier that you expect a revival in coming months?

A. Nikhilesh

Like, what do you mean? The revival in total export?

Ayush Mittal

Yeah.

A. Nikhilesh

I think currently, right now, I did not say that I expect a revival. I said that we hope that things would normalize in terms of our relationship of India as a country with the U.S.

Ayush Mittal

Sure. On the animal feed, like the pet venture that we have started, is there certain revenue numbers or targets that we have set for this year?

C. Ramachandra Rao

Yes. Mr. Nikhilesh? Sorry. Mr. Venkata Sanjeev? Would you like to answer?

Avanti Feeds Limited 29.08.2025

Q1FY26ResultsConference callA. Venkata Sanjeev

Yes,sir. We have a target of INR10 crore for this year.

Ayush Mittal

Okay. And given that we are doing a very large expansion in this segment, would we also try to get into some contract manufacturing and other things for MNCs or foreign companies because that is how we will be able to utilize the plan given the large investment we are doing ? Any thoughts or guidance for that?

A. Venkata Sanjeev

Yes. We're looking at all the possibilities that we can do for the bigger players to export when the plant is ready.

Ayush Mittal

And any time lines for that?

A. Venkata Sa

njeev

It will take a year and a half or so. We're going to start construction of plant by end of this year. So ,it should take a year and a half or so from this.

Ayush Mittal

Okay. Got it. Thank you. One more question from my side. Nikhilesh, if you can also talk about the shrimp processing segment. Like, I think we were doing some more expansion on that side and we were looking to ramp the volume. So ,given the current environment, how you're thinking about that part going forward?

A. Nikhilesh

So that currently, we are doing a wait -and-see approach. Right now, we put on hold any further, expansion because of the current tariff situation. But in the long -term view, personally, in my personal opinion, I feel that things will normalize. The only question is when. And then, we still enjoy a good customer ,clientele confidence on our product mainly based on our quality and our range of offerings. So,when things normalize, we can quickly get back onto those ,put those plans back on track. So right now, they're on hold temporarily. We're also, like, kind of planning the, long, weighted, maintenance projects, etc. It's the right time to do those. So, I guess, one of the investor in the previous questions asked, is there anything good that we're looking at it? It's good for us to focus on some R &D work, maintenance work, etc .in this situation. So ,I hope that answers your question.

Ayush Mittal

Yes. Thank you.

Avanti Feeds Limited 29.08.2025

Q1FY26ResultsConference callModerator

Thank you. The next question comes from Rahul RathifromPurnatha. Please go ahead.

Rahul Rathi

Hi. Congratulations on a great set of numbers. I had a question on the supply side. Given the tariffs and the fact that you might start CapEx as you get visibility, how does our quality be replicated in any other geographies?

And is there a moat around our geography and quality at the volume that we are looking at?

A. Nikhilesh

That's a good question. Generally, in the market, Indian product is very good for food service. So ,this means that when a restaurant chef picks it up, they really enjoy Indian product because of the workmanship, the quality parameters, and the overall quality control over the other peers. So ,I wouldn't say that it's a moat, but I would say that there's definitely a preference. That's why India accounts to more than 40% of the exports to theU.S.market.

Second,shrimp processing, itself is a highly labor-intensive process. So,like, think about a country like Ecuador with probably, like, I think the population is about 50 millionor 60millionand ours is about 1.4billion. So,there's a lot more manpower that 's available to do those higher -value products compared to competing nations.

But that said, at a 50% tariff, definitely, there is going to be a shift in the consumer preference on consumption or even the restaurant 'sbuying decisions. So ,on the short term, I think, like I said in the previous questions, this moatprobably would save us on the short term. On the long term, definitely, there would be areshaping of the supply -chain totheU.S.if it continues at this tariff lens.

Rahul Rathi

Right. Does volatility in electricity also play a role in quality of shrimps? So ,I was just looking at Ecuador and I've seen that there are a lot of power outages. Does that have a role to play?

A. Nikhilesh

Yes. Generally, electricity, like you see, like, you really need to run your cold stores or even your feed mills or even the farm, you need people ,need continuous electricity. So ,if there is outages then people are running them on their diesel engines like we used to do back in the day. So definitely ,it affects the cost of production and everything.

Rahul Rathi

Allright. But what you're saying is that even with electricity outages, if they have the adequate power, they should be able to maintain quality, and electricity is an important part ?

A. Nikhilesh

Yeah. It's perishable product, so it's an important part.

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Q

1FY26ResultsConference callRahul Rathi

Anda certain temperature is important to quality that'swhy?

A. Nikhilesh

Yeah. It's all cold chain. It's all cold chain based. And even in the farm, like, you're using aerators to feed oxygen into the water for the shrimp. So,that's also an important part.

Rahul Rathi

Okay. And is there a time if you don't get it into cold storage then it starts deteriorating? So ,is there a certain part of the process that is also a certain reason why India is 40% of exports to theU.S.?

A. Nikhilesh

I would say, yes. Definitely, there's no electricity available and there's no diesel gen -set that is on a backupthatmeans your whole inventory will be written down. It won't have the power.

But that's an extreme case. I would say that I mean, I wouldn't go into that direction towards electricity. People would generally have diesel gen -set with enough fuel to power the plant if they're running that kind of operation.

Rahul Rathi

Allright.Interms of quality consciousness, is Japan the most quality conscious?

A. Nikhilesh

Yes. Japan, for sure, is up there on the quality -conscious customers. I would say, generally, in Japan, Korea,are highly quality -conscious. But, again, you have these packs of customers everywhere. In the U.S., there are certain customers that are highly quality -conscious.

But overall, as a country, I would say Japan is because they eat food with low seasonings, no sauce, so they tend to just steam it and eat it. So ,they have a higher quality standard for that reason.

Rahul Rathi

And are we exporting to Japan also?

A. Nikhilesh

Yes. We have a good plan to reach Japan as well.

Rahul Rathi

And isthat increasing too?

A. Nikhilesh

Yeah. That's increasing. If you see our Asia sales, generally, we've been increasing QoQ&YoY.

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Q1FY26ResultsConference callRahul Rathi

And is it more than the volume growth in Japan oris it similar?

A. Nikhilesh

I would generally club all these together. The reason being, we just want to keep our markets more confidential. So I would say, yes, Japan is part of Asia, and overall Asia is performing well.

C. Ramachandra Rao

Asiaisone-to-one topic.

Rahul Rathi

Right.The other thing is in terms of operating cash flows and CapEx ,soright now, it is on hold for shrimp feed and shrimp processing. But any guidance on what kind of CapEx would you be doing for fish feed and pet feed sover the next two years?

C. Ramachandra Rao

Yes. The fish feed, as we told you, the trials are going on. And if we find a suitable feed appropriate for Indian fish culture then we'll be able to set up the manufacturing facility that they will have a CapEx.Itwill not be very much .It will be a medium -level industry.

And as far as the Pet Care is concerned, we have purchased the land and we are in the process of pairing the DPR and we'd be able to finalize the numbers by next quarter. I think maybe we'll be able to give you the numbers the next quarter investors call.

Rahul Rathi

Sure. So,thank you. So ,any CapEx guidance would be generally helpful in thinking ?

C. Ramachandra Rao

Certainly. We'll share with you as and when we decide on CapEx.

Rahul Rathi

Thank you. Thank you very much .

K. Srinivasa Reddy

Okay.

Moderator

The next question comes from Vincent Andrew from GeojitFinancial Services Limited. Please go ahead.

Avanti Feeds Limited 29.08.2025

Q1FY26ResultsConference callVincent Andrew

Hi. Good evening. Thanks for the opportunity. So ,most of the questions have been answered already.

So, I have two questions. So, can you give the data of export incentive that you accounted for this quarter?

And the second question is, concerning the tariff situation, since you have already mentioned the 50% may not be able to pass on to the customers. So, are we able to or is it possible for you to pass on some percentage on the supply side? And what is the average from this page for this quarter? And currently, what is it?

C. Ramachandra Rao

Yeah. Just, incentive, PLI, you

want some?

Vincent Andrew

Sir, roster?

A. Nikhilesh

The roster funds.

C. Ramachandra Rao

I think we don't have any long-term listing now as of now. Mr. Nikhilesh?

A. Nikhilesh

Yes, sir. So, I'll answer the second part of the question. On the market as such, so currently, we're able to pass on the increase in duty. So, that's been good. Some good customers who continue to pay product, especially because they want product on the shelves, so the Christmas, New Year period. So, that's one thing.

And, again, to add to the same thing that I was telling everybody else that we're looking actively. We're working very diligently to expand into other markets. On the raw material price, we see that as soon as the tariffs were announced, there is some softening in the raw material price. So, there is some uptake by the farmer, some kind of softening. But again, that was temporary and RM prices again started normalizing.

So, we need to look at this at the long term. So, I would say that everybody can agree that 50% is a very big number. I don't think this is just on some kind of calculation, but it's some kind of duty levied on India to come to negotiate with the U.S. Government. So, we need to really see where it stands in the long term. But on the short term, there is some softening on the raw materials, some customers supporting the tariff increase.

So, there are all signs of support, but 50% is too much for the supply-chain to take in. Everyone combined together can't put in 50% margin.

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Q1FY26 Results Conference call Vincent Andrew

Yeah. Thanks for that. Is it possible for you to give the number, already raw material price?

A. Nikhilesh

If you can send an email to us, maybe we can discuss that more in detail over there because then we're talking about, like, 20 different sizes and pricing, variance, etc.

Vincent Andrew

Okay. And roster?

D.V.S. Satyanarayana

So, what was the question on roster?

Vincent Andrew

How much roster amount of incentive received for the account debts this quarter?

C. Ramachandra Rao

Can you please drop an email so that we will check and confirm?

Vincent Andrew

Sure. Thanks.

Moderator

Thank you. That would be the last question for the day. Ladies and gentlemen, on behalf of Avanti Feeds Limited, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now.

Thank you and have a good day.

C. Ramachandra Rao

Thank you.

Moderator

Thank you.

Call: Nov 2025

November 19, 2025

To To

BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, Exchange Plaza,
Rotunda Building, P.J. Towers, Bandra (East),
Dalal Street, Mumbai – 400001 Mumbai – 400051
Maharashtra, India Maharashtra, India

BSE Code: 512573 NSE Symbol: AVANTIFEED

Dear Sir/Madam,

Sub: Transcript of post earnings Audio Conference Call for the quarter and half year ended September 30, 2025.

Further to our letter dated November 11, 2025, November 14, 2025, and November 15, 2025, we enclose herewith the transcript of post earnings Audio Conference Call for Investors/Analysts held on November 15, 2025 in connection with Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and half year ended September 30, 2025 and the same will also be available on the website of the Company at <https://avantifeeds.com/corporate-announcement/#Investor-Analyst-Corner>

This is for your information and record.

Thanking you,

Yours faithfully,
For Avanti Feeds Limited

C. Ramachandra Rao
Joint Managing Director,
Company Secretary,
Compliance Officer & CFO
DIN: 00026010

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Avanti Feeds Limited 15.11.2025
Q2 FY26 Results Conference Call
Avanti Feeds Limited
Q2 FY26 Results Conference Call

Event Date / Time: 15/11/2025, 16:00 Hrs.

Event Duration: 53 mins 04 secs

CORPORATE PARTICIPANTS:

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Joint Managing Director of Avanti Feeds Limited

Mr. A. Venkata Sanjeev

Executive Director of Avanti Feeds Limited

Mr. A. Nikhilesh

Director of Avanti Feeds Limited and Executive Director of Avanti Frozen Foods Private Limited

Mrs. Santhi Latha

GM (Finance & Accounts), Avanti Feeds Limited

Mr. D. V. S. Satyanarayana

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Mr. K. S. Reddy

CFO, Avanti Pet Care Private Limited

Q&A PARTICIPANTS LIST:

1 Akhilesh Rawat : Ridhanta Vision Pvt Ltd

2 Ronak Shah : Equirus Securities

3 Kamal Sharma : Individual Investor

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Avanti Feeds Limited 15.11.2025

Q2 FY26 Results Conference Call

Moderator

Good afternoon, ladies and gentlemen. I'm Akash, moderator for the conference call. Welcome to Avanti Feeds Limited Q2 FY26 Investors Conference Call. We have with us today, Mr. C. Ramachandra Rao, Joint Managing Director, Mr. A. Venkata Sanjeev, Executive Director, Mr. A. Nikhilesh, Director of Avanti Feeds Limited and Executive Director of Avanti Frozen Foods Private Limited ; Mrs. Santhi Latha, GM, Finance and Accounts , Avanti Feeds Limited ; Mr. D. V. S. Satyanarayana , CFO, Avanti Frozen Foods Private Limited and Mr. K. S. Reddy, CFO, Avanti Pet Care Private Limited.

As a reminder, all participants will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch-tone telephone. Please note, this conference is recorded.

I would now like to hand over the floor to Mr. C. Ramachandra Rao. Thank you, and over to you, sir.

C. Ramachandra Rao

Good evening, ladies and gentlemen. I'm pleased to extend a warm welcome to all of you for this Investors Conference Call to review the unaudited financial results for Q2 FY26 and for the period ended September 30, 2025. Mr. A Venkata Sanjeev, Executive

Director, Avanti Feeds Limited, is joining from the factory, and Mr. Nikhilesh, Executive Director of Avanti Frozen Foods Private Limited, will be joining from the factory. Along with me are Mrs. Santhi Latha, GM, Finance and Accounts of Avanti Feeds Limited; Mr. D. V. S. Satyanarayana , CFO of Avanti Frozen Foods Private Limited and Mr. K. Srinivas Reddy, CFO of Avanti Pet Care Private Limited.

To begin with, Mrs. Santhi Latha will present highlights of the financial results for the quarter ended September 30, 2025 for Shrimp Feeds Division and also consolidated financial statements of the company for the same period. Thereafter, Mr. D. V. S. Satyanarayana will present the financial highlights of Shrimp Processing and Export Division. Thereafter, Mr. K. Srinivas Reddy will present the status of pet care project. After presentation by all of them, we will take up question-and-answer session.

Now, I hand over to Mrs. Santhi Latha to give her presentation on Avanti Feeds' performance.

Santhi Latha

Thank you, sir. Good evening. Now, I will take you through the consolidated and standalone financial performance highlights for the quarter ended September 30, 2025. The comparative performance of Q2 FY26 with that of Q1 FY26 and Q2 FY25, along with the comparative performance for six months ended September 30, 2025 with that of September 30, 2024 has been given in the presentation already circulated.

First, we will review the consolidated financial results for Q2 FY26.

■ The gross income in Q2 FY26 is INR 1,659 crores as compared to INR 1,657 crores in the previous quarter of Q1 FY26, an increase of INR 2 crores by about 0.12%.

■ Compared to Q2 FY25 gross income of INR 1,397 crores, there is an increase of INR 262 crores by 18.75%.

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Q2 FY26 Results Conference Call ■ The PBT is INR 227 crores in Q2 FY26 as compared to INR 249 crores in Q1 FY26, a decrease of INR 22 crores by 8.83% and compared to Q2 FY25 PBT of INR 162 crores, there is an increase of INR 65 crores by about 40.12%.

Comparison of performance for six months ended September 30, 2025 with that of six months ended September 30, 2024.

■ Gross income during six months ended September 30, 2025 is INR 3,316 crores as compared to INR 2,932 crores in six months ended September 2024, an increase of INR 384 crores by about 13.1%.

■ The PBT for the six months period FY26 is INR 476 crores as compared to INR 342 crores in six months period of FY25, an increase of INR 134 crores by 39.18%.

■ The consolidated results indicate the net impact of several factors, such as an increase or decrease in income expenditure and exceptional items relating to the feed, frozen and pet care division, which have been discussed in the following divisional performance of these units individually.

The standalone financial results of the Feed Division Q2 FY26 results.

■ The gross income of Q2 FY26 is INR 1,200 crores as compared to INR 1,279 crores in the previous quarter of Q1 FY26. A decrease of INR 79 crores is due to a decrease in the quantity of feed sold by 10,920 MT and also that being the main season, the Q1, the sales will be more.

■ The gross income in Q2 FY26 increased to INR 1,200 crores from INR 1,113 crores in the corresponding quarter of Q2 FY25, an increase of INR 87 crores due to an increase in sales quantity by 19,747 MT.

■ The PBT for Q2 FY26 is INR 180 crores as compared to INR 224 crores in Q1, a decrease of INR 42 crores by 19.64%.

■ When compared to Q2 FY25, PBT of INR 145 crores, there is an increase of INR 35 crores by about 24.14% due to increase in quantity sold, decrease in raw material cost and better overhead absorption.

■ The feed sales decreased to 154,644 MT in Q2 FY26 as compared to 165,564 MT in Q1 FY26 and increased from 134,897 MT in Q2 FY25.

Comparison of performance for six months ended September 30, 2025 with that of six months ended September 30, 2024.

■ Gross income in six months ended FY26 is INR 2,479 crores as compared to INR 2,410 crores in six months FY25, an increase of INR 69 crores by 2.86%.

■ The PBT is INR 404 crores in six months FY26 as compared to INR 298 crores in six months FY25, an increase of INR 106 crores by about 35.57%.

■ The feed sales increased to 320,208 MT in six months FY26 as compared to INR 293,488 MT in six months FY25.

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Q2 FY26 Results Conference Call ■ The major raw materials in the feed are ■sh meal, soya bean meal and wheat ■our. The noticeable development in this quarter is the increasing trend of two major raw materials, that is, ■sh meal and soya bean meal, resulting in profitability when compared with previous quarter.

■ The prices of these raw materials keep fluctuating since their production is based on agriculture and ■sh catches from the ocean. The price of ■sh meal increased to INR 97 in Q2 FY26 from INR 93 in Q1 FY26 and decreased from 105 rupees in Q2 FY25. In case of soya bean meal, their prices increased to INR 42 per kg in Q2 FY26 from INR 38 in Q1 FY26 and decreased from INR 49 in Q2 FY25. However, the wheat ■our price increased to INR 33 per kg in Q2 FY26 from INR 31 in Q1 FY26 and INR 32 in Q2 FY25.

■ The present purchase price of ■sh meal is INR 125 per kg. Soya bean meal, the high-grade soya bean meal, which we procure, is around INR 47 per kg, and wheat ■our is between INR 32.5 per kg to INR 33 per kg.

■ While on one hand, the raw material prices are instrumental in determining the margins, on the other hand, the status of aqua culture activity, conditions such as climatic changes, diseases, etc., determine the consumption of feed in terms of volume, which will have an impact on the overall performance of the company.

■ As you noticed, the nine months of calendar year 2025 has been a good profitable period. However, the forecast for the next three months of this year is challenging due to factors like gradual increase of raw material prices and the threat of reciprocal tariffs by the US.

■ To sum up, in general, FY25-26 is expected to be a mix of favourable and challenging seasons for the aquaculture industry, both in respect of shrimp production as well as exports from India and global demand for shrimp exports.

Update on ■sh feed

As reported in earlier con call, the company is in the process of importing ■sh feed from Thai Union Feed Mill Company Limited and is conducting trials under Indian conditions and also commercial viability. Once the product performance is proved and viable, the production in India will be taken up for domestic sales.

Shrimp feed production and feed consumption in FY25 and company plans for FY26 .

Shrimp feed consumption

On the basis of the estimated shrimp production of about 7 lakh to 8 lakh metric tons in calendar year 2025, the feed consumption is estimated to be about 12 lakh to 13 lakh MT. The company's feed sales during the six months FY26 is 320,208 MT against 293,487 MT in six months FY25 . It is estimated that the feed sales during FY26 would be around 575,000 metric tons.

Shrimp processing and export

The export of frozen shrimps during FY2425 was to the tune of 741,529 MT, of \$5,177 million. The USA is the largest importer with 311,948 MT of frozen shrimp, followed by China, 136,164 MT; the European Union, 99,310 MT; Southeast Asia, 58,003 MT; Japan, 38,917 MT; the Middle-East, 32,784 MT and other countries, 64,403 MT . Frozen shrimp continued to be the major item of export in terms

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Q2 FY26 Results Conference Call of quantity and value, accounting for a share of 43.6% in quantity and 69.46% of the total U.S. dollar earnings.

Frozen shrimp exports during FY 24-25 increased by 8.3% in value terms and 6.06% in U.S. dollar terms and 3.56% by volume. The company's shrimp exports during the F

Y25 were 14,149 MT as compared to 13,444 MT in FY24, an increase of 682 MT . It is es■mated that the exports during FY26 would be around 17,000 MT.

Now, I hand over to Mr. D. V. S. Satyanarayana to present highlights of the Shrimp Processing and Export division.

D. V. S. Satyanarayana

Thank you, ma'am. Good evening, everyone. Now, I would like to take you through the ■nancial highlights of the Shrimp Processing and Export division.

Shrimp Processing division Q2 FY26 results

■ The gross income for Q2 FY26 is INR 462 crores as compared to INR 378 crores in Q1 FY26, an increase by INR 84 crores, which is about 22% growth, mainly due to an increase in sales quan■ity by about 639 metric tons, which represents 15% growth.

■ The gross income in Q2 FY26 increased to INR 462 crores from INR 284 crores during Q2 FY25, an increase of INR 178 crores, represen ■ng 62% YoY growth. The sales volume during Q2 FY26 increased to 4,862 metric tons from 3,423 metric tons in Q2 FY25, an increase of 1,439 metric tons. Higher sales in Q2 FY26 were driven by majorly volume growth, an increase in average selling price realiza ■on and favo urable foreign exchange rates.

■ The pro■it before tax, before excep ■onal items for Q2 FY26 stood at INR 53 crores from INR 25 crores in Q1 FY26 due to higher sales volume, an increase in average sales price realiza ■on and there was a marginal decrease in ocean freight rates as well.

■ The pro■it before tax in Q2 FY26 was INR 53 crores, an increase from INR 23 crores in the corresponding quarter, that is Q2 FY25 , primarily due to higher volumes, be ■er sale price realiza■on, favourable foreign exchange rates and also there was a decrease in ocean freight rates.

Comparison of performance for six months ended September 30, 2025 with six months ended September 30, 2024

■ The gross income for six months during FY26 was INR 841 crores as compared to INR 527 crores in the corresponding six months period of previous year, that is FY25. An increase of INR 314 crores in the gross income during six months of FY26 was mainly due to increase in sales quan■ity by about 2,880 metric tons, which represents 46% growth.

■ The PBT in six months FY26 was INR 78 crores as compared to INR 49 crores in six months FY25. An increase in PBT by INR 29 crores is mainly on account of higher sales volumes, be ■er sales price realiza ■on, favourable FX rates and also there was a decrease in ocean freight rates.

So with this, Avan ■ Frozen results are completed. Now I would like to hand over to Mr. K. Srinivas Reddy to update the status of Pet Food project. Thank you.

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K. Srinivas Reddy

Thank you, Mr. D. V. S. Satyanarayana. Now, I would like to update the Pet Food project. As already informed, the company commenced trading in cat food from January 2025 our ■rst product range under Avan ■ Pet Care brand that is Avant Furst in ocean ■sh ■avour. In July 2025, the company expanded its cat food por ■olio with addi ■on of second ■avo ur, tuna. In August 2025, the company launched dog food, which cons ■itutes the largest share of the pet food industry at around 65%. Star■ng with chicken and vegetable ■avour and more ■avours are planned in the due course. The response from the pet owners from the both cat and dog food has been highly posi ■ve and market acceptance across all regions.

During Q2 FY26 , the company recorded a sales INR 95.08 lakh, re■ec ■ng a strong growth from the INR 38.17 lakhs in Q1 FY26 . The sales movement was driven by the con ■nued increase in patronage to our cat food products as well as newly launched dog food segment. On the market expansion, company

continued to strengthen its presence in Tier 2 cities and has initiated expansion into type 2 and type 3 market. E-commerce operations have now commenced. Our products available on the Supertel platform.

Additionally, the company

is ready to start trading on Amazon, target to go live before the end of November 2025. The company continues to focus on building a strong brand visibility for Avant Furst through the ongoing digital marketing campaigns on Instagram and Facebook. The ID is Avant Furst, enhancing consumer awareness and brand engagement across our target audience. As informed in the previous Con call, the company has purchased the land and converted from agriculture to non-agriculture of approximately 30 acres near Hyderabad for setting up state-of-art manufacturing facility.

Presently, project technical works are being discussed with the Bluefalo team and land development works are in progress. Upon receiving the required technical inputs, the detailed project report will be prepared and obtain necessary government approvals to commence the construction. This is about our pet care project.

Now, I hand over to JMD sir for closing remarks.

C. Ramachandra Rao

Thank you, Mr. K. S. Reddy. I am sure that the investors are all happy with the performance of all three units, fish feed, frozen products and also pet care during this financial year so far. And with that, I would like to just throw some light on the recent developments in this sector so that it will be updated on the future performance of the company.

As you know, in spite of the recent challenges, including a major setback caused by U.S. tariffs, the aquaculture industry continues to demonstrate strong and sustainable growth. This stability is supported by several key factors.

The first and foremost is the market diversification. Producers are actively expanding into new geographies and reducing dependence on a single market, which helps stabilize demand and mitigate external risks, dependence on one market.

The second one is the consistent global demand for shrimps. Shrimp remains a high demand protein worldwide, supported by steady consumption trends in both established and emerging markets.

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Q2 FY26 Results Conference Call The third one is about value-added products and sustainability initiatives. The ongoing shift towards

value-added products and sustainable farming practices enhances the competitiveness, improves the margins and strengthens long-term industry viability.

As all of you know, our company, Avanti Feeds has been focusing more on the value-added products, so that we would be able to take advantage of the emerging markets, favouring value-added products where the margins are high.

The fourth trend, of course, last but not least, encouragement for the domestic market by the Government of India. Recently, the Union Cabinet on November 12, 2025, announced the long pending export promotion scheme for five years with a total outlay of about INR 25,000 crores to help exporters deal with U.S. reciprocal tariffs and increase their competitiveness in the turbulent global market.

Under the EPM, priority support will be extended to sectors impacted by the reciprocal tariff escalations, such as textile, leather, gems and jewellery, engineering goods and marine products. The intervention will help sustain export orders, protect jobs and support diversification and also help promotion in the new geographies.

Further, Honorable Prime Minister Modi's government is promoting domestic shrimp consumption to support farmers and create a stable market driven by rising export tariffs from countries like the U.S. Key initiatives include government committee and the National Fisheries Development Board, NFDB, to develop a robust local market, suggestion to integrate shrimp into government food supply chains like military and also proposal for promoting shrimp as a healthy lean protein through nationwide initiatives.

The reciprocal tariff situation is expected to stabilise with due course as the United States and India are making tangible progress in their long awaited trade negotiations, particularly around tariff

structures and oil imports. We have recently seen the U.S. proposing to reduce some of the food items, dairy products the tariff almost to zero. So, we expect that in the course of time, the aquaculture sector also will be taken care of with respect to tariff balancing.

And this positive momentum provides optimism that current tariff challenges will ease over time, supporting smaller trade flows and greater market stability. We expect demand for shrimp to continue growing and remain sustainable across both global and domestic markets. Consumption trends remain strong, supported by shrimp's position as a versatile, affordable and widely accepted protein. Additionally, rising health awareness, expansion of retail and food services channels and increasing preferences for value-added seafood products are further driving demand. These factors collectively reinforce a positive outlook for sustained market growth in the near - and long-term sustainability of the sector.

With this, my remarks, I would like now to take the question-and-answer session. And I request the investors to ask their questions.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on the telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again.

Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad.

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So, the first question comes from Mr. Akhilesh Rawat from Ridhanta Vision Private Limited. Please go ahead, sir.

Akhilesh Rawat

Hello. Am I audible?

C. Ramachandra Rao

Yes.

Akhilesh Rawat

Yeah. So first of all, I'd like to congratulate management for such a great result in this turbulent environment. And I have two sets of questions. So, my first question is, if the 50% reciprocal U.S. tariff continues through Q4, what is your quantified expected impact on FY26 processing volume and EBITDA versus as you mentioned that 17,000 MTs and guidance for shrimp processing. So, what impact will you see in terms of margin and volume?

C. Ramachandra Rao

I think, Nikhilesh, will you take up this question, please?

A. Nikhilesh

Yes sir. So, hi. Thank you for the question. You're asking for the full year, right? Full year 2026, what impact?

Akhilesh Rawat

Yes.

A. Nikhilesh

Okay. So as of now, we're in Q3. So, the first two quarters continued to be good. The performance has been good. And for the rest of the year, we're actively working on diversifying into other markets.

However, if things don't normalize on the duty front from January, then we might relook into the outlook for the year. Right now, we continue to have it stable, hoping that everything falls into place.

Akhilesh Rawat

Okay. So, can you give a number or, like, kind of volume reduction if things don't stay the same, like, the tariff charge?

A. Nikhilesh

It's difficult. It's very speculative, and, like, it's everyone's own opinion. Right? So, what we've given is 17,000 is the current forecast. So, that's what we'll stick with.

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Akhilesh Rawat

Okay. So my second question is, as you mentioned in Q2 FY26 presentation, that EBIT improvement was supported by higher other income. So, could you break down the key component of this other income? And importantly, like, how much of it is recurring or sustainable going forward?

C. Ramachandra Rao

Yes. The breakup between what is the operational income and what is the other income?

Santhi Latha

No. He's asking the breakup of other income. Is that what you're asking?

Akhilesh Rawat

Yeah. Like, where is that income coming from? Like, what are the sources?

C. Ramachandra Rao

So, the major income is on the two fronts. One is in respect of feeds. We have deposits, on that we are getting income from mutual funds, FDs and various portfolios that we are investing the reserves, which is giving the income that is treated as the other income.

And as far as Frozen is concerned, it is the foreign exchange gain that by booking the forward contracts, we have been able to make significant income out of the fluctuation in foreign exchange. That is the other income that is shown in the Frozen division.

Akhilesh Rawat

Okay. Thank you. That's it from my side. All the best for the upcoming quarters.

Moderator

Thank you, sir. The next question comes from Mr. Ronak Shah from Equirus Securities. Please go ahead, sir.

Ronak Shah

Yes, sir. Thanks for the opportunity. Sir, my first question is regarding just a clarification that in the earlier comment, when sir was highlighting that FY25 overall feed consumption can be in the range of 12 lakh to 13 lakh odd metric tons. And we are guiding FY26 full Avanti's feed sales into the range of 5.75 lakh metric tons. Are we expecting a decline in the CY26, considering over 51% market share?

C. Ramachandra Rao

No, it's not like that. See, what happens is that whatever the consumption has been there during Q1, Q2, Q3, Q4 gradually reduces because of the seasonality. So, what we estimate is that it will not be on

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Q2 FY26 Results Conference Call the same level as in Q1 and Q2. So, that is the reason why we are estimating it 5.75, which is significantly better than last year's consumption and also our sales.

As far as the market share is concerned, definitely we are above 50%, it is ranging from 51% to 53%, that is the range which we are now operating. And I think we will continue to hold that position at 52%, 53% in future also.

Ronak Shah

Yes, sir. So, my second question is regarding how the market is responding because the upcoming cultivation season, which will start from the January end or February. So, what are your senses based on the on-ground feedback? How are the farmers taking all this tariff situation?

C. Ramachandra Rao

Yeah. See, it's a good question because generally the feeling is that the farmers are very much worried about this tariff, but the situation is not that. The farmers are very confident because they have been able to get their farm-grade prices comfortably and they are making money and more so, the tariff has not really, over a period of time, slowly the situation is getting adjusted to the market corrections what we can say, see if not the U.S. market, why not other markets.

So, as we explained in our note earlier that we are diversifying into other markets as well as we are focusing more on value-added products and also we are going for the domestic markets. The government is giving support to that. So with all that, the demand for shrimps continues to be growing sustainably. It is not that suddenly they'll be dropped. So, that is the reason why we do not see.

We have not seen, rather I would say that in the last maybe six months or so, more than that, where since the tariff has come into force, there has not been a big difference in a attitude of the farmers, though there was a knee-jerk reaction on the farmers pre-tending for a deep fall in the prices and all. But that is no longer there. They are very confident of that and the prices are also good. And we don't see, there has not been any fall as far as the aquaculture is concerned, the farmers are pretty confident of continuing the situation for the next year also, FY26 also.

Ronak Shah

Got it, sir. Sir, my next question is regarding the diversification strategy. So, when we are seeing that we are trying to diversify, but when I see our presentation, our saliency for North America was around 64% in book FY25, which is largely similar or rather increased to 66.9% in book FY26. So, can you elaborate

on the strategy, how are you seeing that part?

A. Nikhilesh

I'll make that very easy. North America as a country, as we just diversify that way, but the US in general, our total share volume is coming down.

Ronak Shah

Okay. Got it. And sir, last question regarding the processing division. So, with the Q2 very solid numbers in terms of the 41% plus kind of the growth, but I assume there is some pre-shipment considering the

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A. Nikhilesh

So there was some front loading, but like, the tariff is already out, like, starting from April, there were multiple revisions. The last one coming probably September. So, it's been some time, but we continue to ship across our customers all across the world. And the 17,000, we just made, like, a scenario on where we felt we would end.

But frankly, speaking right now, the momentum continues to be strong as it was in the earlier two quarters.

Ronak Shah

Okay. And sir, last question regarding the recent policy which you are highlighting. So, can you quantify in terms of quantum how it can positively impact the Avanti or the shrimp industry? That's the last question from me. Thank you.

C. Ramachandra Rao

Yeah. This has been announced very recently that they are yet to formulate the mechanism for how they would like to give this support, the INR 25,000 crores set apart in the budget for this expenditure. And we are expecting some time in maybe the next couple of months, one or two months, we should be able to get, which will be, I think, coincide with the next season, next FY26 that will be helpful for us to avail the benefits whatever that is going to be announced by the government. Okay?

Moderator

Thank you, sir.

Ronak Shah

Yes. Thank you, sir.

Moderator

So, the next question comes from Mr. Kamal Sharma, an individual investor. Please go ahead, sir.

Kamal Sharma

Thank you very much, sir. And sir, congratulations on the amazing performance. I have a very quick question. We just heard from the Supreme Court of the U.S., I think they are also reviewing the petition and in case they find or declare that the tariffs were invalid or illegal, are you going to get any kind of refund in that case at all? I mean, if that is the final verdict from the US Supreme Court.

C. Ramachandra Rao

Nikhilesh, would you like to take this question?

A. Nikhilesh

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Yeah. This is quite speculative, to be very frank. So, nobody really knows where this is going. In terms of refund, see, as Avanti, we've been able to pass on the tariff. So, whether getting this refund, I'm not sure. I don't think we'll actually get the refund. We have to give it back to the customer, I guess.

C. Ramachandra Rao

Yeah. I can add just that unless these whatever that illegal or whatever is a retrospective effect, it is whatever is done already very difficult to articulate that. As Nikhilesh said, it's very difficult. It's a remote possibility.

A. Nikhilesh

I'll just rephrase my answer. See, it's quite speculative and we need to see what happens because right now, there's not enough information on how it's going to go forward. Once it does, then the government, the U.S. Government itself will give directions first that we need to go with. So, we need to wait and watch. So, it's too early to speculate right now.

Kamal Sharma

Sure. Thank you.

Moderator

Thank you, sir. We have a follow-up question from Mr. Ronak Shah. Please go ahead, sir.

Ronak Shah

So, my question is regarding the CVD or the anti-dumping duty. So first, I want to know the update on what is the current prevailing rate based on the

India and the relatively larger competitor?

And the second question is regarding how we are realigning our costs. So from the numbers, I can see that EBITDA per kg has improved significantly over the last four-odd quarters, which shows that we have passed on certain part of that to the end consumer. So, can you clarify on that part as well?

A. Nikhilesh

Okay. I'll take this question. So on the first point, I think this information is quite publicly available. What are the CVD rates of India versus the of other countries? So a simple Google search or ChatGPT can help out on how we figure and it'll give you the demarcation for ADD and CVD and the total, etc.

Ronak Shah

Sir, my question is regarding, is there any update? Because the government is likely to review the rate, so on that part.

A. Nikhilesh

Yeah. No update right now. There's only a preliminary assessment done, so the final review hasn't come out yet.

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Okay. And from our end, how we are adjusted or passed on to the end consumer, can you highlight that?

A. Nikhilesh

So, to the end consumer, the duty itself, 50% is too high, so it's not possible for the supply chain to absorb so much percentage. So, essentially, we've been able to pass on the cost to the consumer till now. We are just waiting and reviewing how it affects the consumption.

Ronak Shah

So sir, just to build up on that, can you highlight how the order process goes on? So, for example, for the third quarter on to fourth quarter, whether the US-based customer has placed order? Or if yes, then how the pricing has set up? So, the penal and the whole tariff part has been embedded into the order cost or how it works?

A. Nikhilesh

Yeah. That's essentially how we did it. So, whatever orders we had on our books, and, so we worked with our customers to add on the tariff rate. And whatever new orders that we've confirmed since the tariff was on the rates that the US government kind of levied. So, that's why we did not like, in general, everything that we priced was including the tariffs.

Ronak Shah

Okay. Understood.

Moderator

Ronak sir, sorry to interrupt you. Request you to join the queue again for more questions, sir.

Ronak Shah

Just the last question, if permit.

Moderator

Please go ahead, sir.

Ronak Shah

Yeah. Sir, last question is regarding our ventures into the fish and the pet feeder part. So, sir, in terms of quantitative terms, can you highlight? Because it's been a few quarters since we are evaluating the market. Have we got certain feedback on the market or the research reports which you are evaluating? What is the market? How large is the market? And how we can position ourselves?

C. Ramachandra Rao

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Q2 FY26 Results Conference Call Yeah. See, the first point is our fish feed because the fish feed is a bit challenging area because the fish

feed prices keep fluctuating and there are different species and the feed also differs for each species. So, we'll have to keep trying and see the areas which type of fish is being real cultured. We have to give the feed according to that. So, a lot of efforts are being made by importing the feed from Thai Union and making trials here to find out which suits the Indian market that is number one.

Coming to the pet food, see the pet food is very challenging market and we have started, I would say that with a very good beginning because first we launched our cat food with the pace which has been accepted by the market right from day one. So, we have got a very good response. And as you know that these are the products that take time and there are very strong players, long-term players in this like Mars, which is Pedigree and Doodles, these players are very strong. And it takes time for us to really build the market and because we are making all the

efforts that different types, so we could do about seven months to eight months of cat food. And then later on, we started with dog food and dog food has also very good response.

And there are several marketing channels that we are now trying to explore each and every one, not only the simple distributors, but e-commerce and the different types. All those things that we are working out on that. And so, we are very confident that though the initial expenditure is more and we will gradually increase the sales volume. And also by the time we start our manufacturing unit by end of FY27, so we should be able to fully have a substantial market to our company. And this is a time-taking process. I think initially, we'll have to do a lot of work for marketing, our products and withstanding the competition from the long-term players.

Ronak Shah

Thanks a lot for all the answers.

Moderator

Thank you, sir. Participants are kindly requested to restrict with two questions initially and get back to the queue for more questions.

We have another follow-up question from Mr. Akhilesh Rawat from Ridhanta Vision Private Limited. Please go ahead, sir.

Akhilesh Rawat

So, my question is like as we have seen that fish meal, SBM and wheat raw material prices are rising after quarter one. So, can you quantify the feed margin sensitivity, like for every 1 kg increase in key raw material prices? So, based on like current raw material level, should we expect like our FY26 feed EBIT margins to revert towards historical 10%, 12% or remain closer to H1 levels?

C. Ramachandra Rao

See, it's very difficult to tell for the next Q3 and Q4 because the prices of these raw materials are increasing very significantly for various reasons. See for example, fish meal is going up because Peru

has very less catches this year and even Chile. So, when these countries, Chile and Peru, are the major countries supplying the fish meal, when their production reduces, automatically the global fish meal rate increases and the demand for Indian fish meal for export increases. So, the Indian fish meal manufacturers prefer to export because they get a better price. For example, the fish meal, locally 60% 15

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Q2 FY26 Results Conference Call protein is being sold at INR 125, INR 130 whereas they are able to get INR 175, INR 160, INR 175 rates they are able to get.

Moreover, they get some incentives also for exports. They are tempted to export than to supply to the domestic market. Chile has not yet announced its total quota available for the export. Once it comes, I think we are expecting that prices get stabilized. It will not be less than about INR 125, INR 130. That is the fish meal situation.

Coming to the soya, soya has two-phased impact. One is that this year because of the excess rains, the production has come down by about 10%. So, that is the one reason there is likely to be a slight shortage of soya seed production. At the same time, the government of India has announced increase in the minimum support price by about INR 3 per kg. So, these two factors have really influenced to increase the prices to go up.

And particularly the state like Maharashtra, they have made it a mandatory thing for all the soya processes to buy from the farmer only at the MSP and they are not allowed to buy less than MSP. So, that is the impact. So, we see that soya now for example, the best quality which we use is about INR 46,500 per metric ton, which was around INR 42,000, INR 43,000, has gone up to INR 46,500. Similarly, normal soya as well as high protein, all the prices have gone up and we'll have to see how or now the government will start procurement from now on. So, when there is procurement, definitely the market availability, open market availability of soya will be less.

So, when the government procures for their food security, then naturally the prices will go up. So, we can expect the next couple of

months, the prices will keep on the high side and thereafter we'll have to see once the government exhausts this quota of purchase, the prices also may likely to stabilize and we'll have to wait for that from the maybe around February, March, that's what we are expecting. And similarly, the soya-dependent market products like soya lecithin will also go along with the price. And coming to the wheat flour, the wheat flour also is having the same situation because normally this crop comes in the month of February, March. So, we'll have to see.

But as of now, there is a lot of expectation of a high production of wheat this year. But very recently, in fact, a couple of days back, the government has in-principle permitted 1,000,000 tons of wheat products for export. So, till now it was banned. Wheat and wheat products are banned for export. But a couple of days back, the Government of India, the Agricultural Department, has permitted in principle 1,000,000 tonnes and the Director General of Foreign Trade to prescribe the procedure for export of these products.

So as we know, once we start the production exports, then the prices again will go up. So, we are now around INR 32,000 to INR 33,000 per metric ton. And we'll have to wait and see what is going to be the impact of these export permission given by the Government of India. So cumulatively, we see that these things will definitely increase the price of the raw material cost. But at the same time, the chances of increasing the feed price is not there, it's very remote. Generally, it's not possible to increase the price of the feed.

So, the margins are naturally likely to come down to maybe around it to be 9% and 10%. So, 10% is a good achievable profitability for this current year overall. Now, that till now we have been doing very well, but we'll have to see the next two quarters and see how the profitability will be depending upon the raw material prices.

Akhilesh Rawat

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Q2 FY26 Results Conference Call Thank you, sir. That was a very elaborate description. All the very best for the upcoming quarters.

Thank you, sir.

C. Ramachandra Rao

Thank you, sir.

Moderator

Thank you , sir. There are no further questions, sir.

Santhi Latha

Okay.

A. Nikhilesh

Thank you.

Moderator

Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call services. You may disconnect your lines now. Thank you, and have a pleasant day.

Note: 1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Mar 2026

March 07, 2026

To To

BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, Exchange Plaza,
Rotunda Building, P.J. Towers, Bandra (East),
Dalal Street, Mumbai – 400001 Mumbai – 400051
Maharashtra, India Maharashtra, India

BSE Code: 512573 NSE Symbol: AVANTIFEED

Dear Sir/Madam,

Sub: Transcript of post earnings Audio Conference Call for the quarter and nine months December 31, 2025.

Further to our letter dated February 25, 2026, March 02, 2026 and March 03, 2026, we enclose herewith the transcript of post earnings Audio Conference Call for Investors/Analysts held on March 03, 2026 in connection with Unaudited Financial Results (Standalone and Consolidated) of the Company for the quarter and nine months ended December 31, 2025 and the same will also be available on the website of the Company at <https://avantifeeds.com/corporate-announcement/#Investor-Analyst-Corner>

This is for your information and record.

Thanking you,

Yours faithfully,
For Avanti Feeds Limited

C. Ramachandra Rao
Joint Managing Director,
Company Secretary,
Compliance Officer & CFO
DIN: 00026010

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Avanti Feeds Limited

Q3 FY26 Earnings Conference Call 03.03.2026

Avanti Feeds Limited

Q3 FY26 Investors Conference Call

Event Date/Time : 03/03/2026, 16:00 hrs

Event Duration : 1 hr 1 min 30 secs

CORPORATE PARTICIPANTS:

Mr. C. Ramachandra Rao
Joint Managing Director, CFO and CS of Avanti Feeds Limited (AFL)

Mr. A. Venkata Sanjeev
Executive Director of AFL & Avanti Pet Care Private Limited

Mr. A Nikhilesh
Director - AFL & Executive Director of Avanti Frozen Foods Private Limited.

Mrs. B. Santhi Latha
GM (Finance & Accounts), AFL

Mr. DVS Satyanarayana
CFO, Avanti Frozen Foods Private Limited

Mr. K.S. Reddy
CFO, Avanti Pet Care Private Limited.

Q&A PARTICIPANTS:

- 1 Nitin Awasthi : InCred Capital
- 2 Arjun Khanna : Kotak Mutual Funds
- 3 Ronak Shah : Equirus Securities
- 4 Sourab Banik : Divaz Consultants
- 5 Akhilesh Rawat : Ridhanta Vision Pvt. Ltd.
- 6 Karan Sharma : Kredent Capital

.. ■ Avanti'
..-..... Feeds Limited
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Avanti Feeds Limited
Q3 FY26 Earnings Conference Call 03.03.2026 Moderator

Good evening, ladies and gentlemen. I am Karthikeyan, moderator for the conference call. Welcome to Avanti Feeds Limited Q3 FY26 Earnings Conference Call.

We have with us today Mr. C. Ramachandra Rao, Joint Managing Director, CFO, and Company Secretary of Avanti Feeds Limited, Mr. A. Venkata Sanjeev, Executive Director of Avanti Feeds Limited and Avanti Pet Care Private Limited, Mr. A. Nikhilesh, Director of Avanti Feeds Limited and Executive Director of Avanti Frozen Foods Private Limited. Mrs. B. Santhi Latha, GM (Finance & Accounts), Avanti Feeds Limited; Mr. DVS Satyanarayana, CFO, Avanti Frozen Foods Private Limited; and Mr. K. S. Reddy, CFO, Avanti Pet Care Private Limited.

As a reminder, all participants will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touch-tone telephone. Please note, this conference is being recorded.

I would now like to hand over the floor to Mr. C. Ramachandra Rao, Joint Managing Director, CFO, and Company Secretary. Thank you and over to you, sir.

C. Ramachandra Rao

Thank you, Mr. Karthik. Good evening,

ladies and gentlemen. I am pleased to extend a warm welcome to all of you for this Investors Conference Call to review the unaudited financial results for Q3 FY26 and for the period ended 31st December 2025. Mr. A. Venkata Sanjeev, Executive Director of Avanti Feeds Limited and Avanti Pet Care Private Limited and Mr. A. Nikhilesh, Director of Avanti Feeds Limited and Executive Director of Avanti Frozen Foods Private Limited, are joining from the Shrimp Feed and Processing Plants, respectively. Along with me here are Mrs. B. Santhi Latha, GM (Finance & Accounts) of AFL; DVS. Satyanarayana, CFO of Avanti Frozen Foods Private Limited; and K. S. Reddy, CFO of Avanti Pet Care Private Limited.

To begin with, Mr. B. Santhi Latha will present highlights of financial results for the quarter ended 31st December 25 of the shrimp feed division and also consolidated financials of the company for the same period. Thereafter, Mr. DVS. Satyanarayana will present the financial highlights of the Shrimp Processing and Export Division. Thereafter, Mr. K. Srinivas Reddy will present the status of the Pet Care Project. After

presentation by all of them, we'll take a question-and-answer session. Over to Mrs. Santhi Latha.

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Avanti Feeds Limited

Q3 FY26 Earnings Conference Call 03.03.2026 Santhi Latha

Thank you, sir. Good evening, everyone. Now, I'll take you through the consolidated and stand-alone financial performance highlights for the quarter and nine months ended 31st December 2025. So first, we'll go through the consolidated financial results for the quarter ended December 25 results. So, the comparative performance of Q3 FY26 with that of Q2 FY26 and Q3 FY25, have been given in the presentation already circulated.

Gross income in Q3 FY26 is INR 1,447 crores as compared to INR 1,659 crores in the previous quarter of Q2 FY26, a decrease of INR 212 crores by about 12.78%. Compared to Q3 FY25 gross income of INR 1,405 crores, there is an increase of INR 42 crores by about 2.99%. The PBT for the Q3 FY26 is INR 222 crores as compared to INR 227 crores in Q2 FY26, a decrease of INR 5 crores by 2.2%. And compared to Q3 FY25 PBT of INR 184 crores, there is an increase of INR 38 crores by about 20.65%.

The nine-month results - financial results for the nine months ended 31st December 2025, the comparative performance of nine months FY26 with that of nine months FY25 are also given in the presentation already circulated.

Gross income in nine months FY26 is INR 4,761 crores as compared to INR 4,341 crores in nine months of FY25, an increase of INR 420 crores by 9.67%. The PBT is INR 698 crores in nine months FY26 as compared to INR 526 crores in nine months FY25, an increase of INR 172 crores by about 32.7%. The consolidated results indicate net impact of several factors, such as increase or decrease in income, expenditure, and exceptional items relating to both Feed and Frozen Food divisions, which will be discussed in the divisional performance of these units individually.

Stand-alone financial results of Feed division, Q3 FY26 results. The gross income for the Q3 FY26 is INR 993 crores as compared to INR 1,200 crores in the previous quarter of Q2 FY26, a decrease of about INR 207 crores due to decrease in the quantity of feed sold. The gross income in Q3 FY26 decreased to INR 993 crores from INR 1,073 crores in the corresponding quarter of Q3 FY25, a decrease of INR 80 crores. This is offset by the decrease in the sale price and also increase in sales quantity by 13,922 MT.

The PBT for Q3 FY26 is INR 172 crores as compared to INR 180 crores in Q2 FY26, a decrease of INR 8 crores by 4.44%, since Q2 is the main season for the aquaculture industry. And compared to Q3 FY25 PBT of INR 167 crores, there is an increase of INR 5 crores by 2.99%, mainly due to decrease in raw material costs. The feed sales decreased to 1,18,127 MT's in Q3 as compared to 1,54,644 MT's in Q2 FY26

and

decreased from 1,32,049 MT's in Q3 FY25.

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Avanti Feeds Limited

Q3 FY26 Earnings Conference Call 03.03.2026 The nine-month FY26 results. Gross income in nine months FY26 is INR 3,471 crores

as compared to INR 3,484 crores in nine months FY25, a decrease of INR 13 crores by 0.37%. The PBT is INR 576 crores in nine months FY26 as compared to INR 465 crores in nine months FY25, an increase of INR 111 crores by 23.87%. The feed sales increased to 4,38,335 MT's in nine months FY26 as compared to 4,25,537 MT's in nine months FY25.

The major raw materials of feed are fish meal, soya bean meal, and wheat flour. The noticeable development in this quarter is the increasing trend of two major raw materials, that is fish meal and soya bean meal, resulting in a decrease in the profitability when compared with the previous quarter. The prices of these raw materials keep fluctuating since their production is based on agriculture and fish catches from the ocean.

The prices of fish meal increased in Q3 FY26 to 117 per kg from INR 98 in Q2 and increased from INR 93 per kg in Q3 FY25. In the case of soya bean meal, their prices

increased to INR 44 per kg in Q3 FY26 from INR 43 in Q2 FY26 and decreased from INR 46 in Q3 FY25. However, the wheat flour price decreased to INR 32 per kg in Q3 FY26 from INR 33 per kg in Q2 FY26 and INR 35 per kg in Q3 FY25.

The present purchase price of fish meal is INR 145 per kg, soya bean meal is INR 56 per kg, and wheat flour is INR 32 per kg. While on one hand, the raw materials are instrumental in determining the margins, on the other hand, the status of aquaculture activity conditions such as climate, diseases, etc., determine the consumption of feed in terms of volume, which will have an impact on the overall performance of the company.

The PBT stood at 16% on revenues during the nine month period ended 31st December 25 as compared to 13.3% during the corresponding period of the previous year, that is 31st December 24. The full impact of reduced and stabilized raw material prices during the nine months of FY26 enabled to achieve 16% PBT. Considering the continued steep increase in prices of major raw material like fish meal and soya bean meal during the past three months, which will have an impact on Q4 FY26, the PBT for the FY26 is expected to be around 14.5% to 15%.

To sum up, in general, FY2526 is expected to be a mix of favorable and challenging seasons for the aquaculture industry, both in respect of shrimp production, as well as exports from India and global demand for shrimp exports. However, considering the performance during the first nine months of FY26 as compared to performance during nine months of FY25, the results are likely to register marginal improvement.

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Avanti Feeds Limited

Q3 FY26 Earnings Conference Call 03.03.2026 Shrimp production and feed consumption FY25 and company plans for FY26. On the

basis of estimated shrimp production of about 8 lakh to 9 lakh MT's in calendar year 2025, the feed consumption is estimated to be about 11 lakh to 12 lakh metric ton. The company's feed sales during the nine months FY26 is 4,38,335 MT against 4,25,537 MT in nine months '25. It is estimated that the feed sales during FY26 would be around 5,55,000 MT.

Shrimp processing and export. The export of frozen shrimp during FY24-25 was to the tune of 7,41,529 MT worth USD 5,177.01 million. USA is the largest importer with 3,11,948 MT of frozen shrimp, followed by China, 1,36,164 MT; European Union, 99,310 MT; Southeast Asia, 58,003 MT; Japan, 38,917 MT; Middle East, 32,784 MT; and other countries, 64,403 MT.

Frozen shrimp contributed to the major item of export in terms of quantity and value, accounting for a share of 43.67% in quantity and 69.46% of the total U.S. dollar earnings. Frozen shrimp exports during 2024-25 increased by 8.3% in value terms and 6.06% in U.S. dollar terms and 3.56% by volume. The compa

ny's shrimp exports during

FY25 was 14,149 as compared to 13,444 in FY24, an increase of 682 MT. It is estimated that the exports during FY26 would be around 16,500 MT.

Now, I hand over to Mr. DVS Satyanarayana to present highlights of Shrimp Processing and Export Division.

DVS Satyanarayana

Thank you, madam. Good evening, everyone. Now, I would like to take you through the financial highlights of Shrimp Processing and Export Division.

Q3 FY26 results: The gross income for Q3 FY26 was INR 455 crores as compared to INR 462 crores in Q2 FY26, a decrease by INR 7 crores, representing 1.5%, mainly due to decrease in sales quantity by 1,095 metric tons, which represents 23%. However, the increase in other income during Q3 FY26 partially offset the impact of the lower sales volume.

The gross income in Q3 FY26 increased to INR 455 crores from INR 328 crores during Q3 FY25, an increase of INR 127 crores, representing 39% YoY growth. Higher sales in Q3 FY26 was driven by an increase in average selling price realization, favorable foreign exchange rates, and increase in other income.

The profit before tax, before exceptional items, for Q3 FY26 stood at INR 52 crores compared to INR 53 crores in Q2 FY26, reflecting a marginal decrease mainly due to

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Avanti Feeds Limited

Q3 FY26 Earnings Conference Call 03.03.2026 other income. The profit before tax in Q3 FY26 was INR 52 crores, an increase from INR

18 crores in the corresponding quarter, that is Q3 FY25, reflecting a significant increase primarily due to improved sales price realization, favorable foreign exchange rates, higher other income, and a reduction in ocean freight rates.

Comparison of performance for nine months ended 31st December 2025 with nine months ended 31st December 2024. The gross income for nine months during FY26 was INR 1,296 crores as compared to INR 855 crores in the corresponding nine months period of previous year, that is financial year 2025, an increase of INR 441 crores, representing 52% in the gross income during nine months of FY26. It is mainly due to increase in sales quantity by 2,804 metric tons, representing 28% growth, and also improved average sales price realization.

The profit before tax for the nine months ended FY 2026 stood at INR 130 crores compared to INR 68 crores for the corresponding period in FY 2025, reflecting an increase of INR 62 crores in the PBT. This growth is mainly attributable to higher sales volumes, improved sales price realization, favorable foreign exchange rates, increased other income, and also there is a marginal reduction in ocean freight rates. With this, frozen results are completed.

Now, I hand over to Mr. K. Srinivas Reddy to update the status of the Pet Food project. Thank you.

K. Srinivas Reddy

Thank you, Mr. DVS Satyanarayana. Good evening, all. Now, I would like to update our pet food project. As already informed, the company commenced its trading in cat food and dog food under the Avanti Pet Care brand, that is "Avant Furst". The company is planning to expand its portfolio with the additional flavors in due course. The response from the pet owners for both cat and dog food has been highly positive with a strong market acceptance and observed across all regions.

During Q3 FY2526, the company recorded sales of INR 136.2 lakhs compared to INR 95.08 lakhs in Q2 FY2526, reflecting continued growth momentum. The growth was driven by the increasing patronage of our cat food products as well as the steady traction in the dog food segment.

Under market expansion, the company is strengthening its presence in Tier-1 cities and has initiated expansion into Tier-2 and Tier-3 markets. E-commerce operations, our products are now live on the Supertails and Amazon platforms, strengthening our presence and improving accessibility for our customers nationwide.

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Avanti Feeds Limited

Q3 FY26 Earnings Conference Call 03.03.2026

The company continues to focus on building strong brand visibility for Avant Furst through the ongoing digital market companion in Instagram and Facebook, that is @avantfurst, enhancing customer awareness and brand engagement across our target audience.

On the project side, as informed earlier, the company has purchased the land near Hyderabad, converted from agriculture to non-agriculture rules. For setting up a state of art manufacturing facility, the land development works are in progress, and we are in the final stage of finalising the design and drawing. Upon completion of the detailed project report and receipt of necessary government approval, construction activity will commence.

Now, I'll hand over to our MD sir for our closing remark.

C. Ramachandra Rao

Thank you, Mr. K. S. Reddy. As anticipated, the first season of shrimp culture of this year commenced with highly positive expectation by farmers and all the stakeholders, the farmers preparing ponds and stocking from mid-February 2026, and the stockings are going on progressively impressively.

Along with the increase in shrimp culture this year, as expected, the volume of feed sales also will increase. However, the prices of major raw materials, particularly fish meal and soya bean meal are increasing steeply as explained by my colleague earlier, impacting margins. We do hope that prices of these raw materials will stabilize during the course of the year.

During the status of shrimp exports, we have been discussing the impact of the reciprocal tariff imposed by the U.S. on imports of shrimp from India. As you all know, there has been a high degree of uncertainty on levy of reciprocal tariff and extent of its impact on seafood industry. It is a positive development to see withdrawal of 25% duty imposed as a penalty for import of Russian oil. It has been a much-needed relief to the export of shrimps to USA.

Further, the other 25% duty has also been removed. However, the U.S. government chose to levy imports surcharge of 10% on imports. But uncertainty whether it is increasing to 15% still exists, awaiting clarity. Overall, export environment is also poised to be more encouraging with the tariffs coming down and the company working on exports to other global markets.

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Avanti Feeds Limited
Q3 FY26 Earnings Conference Call 03.03.2026 As you are aware, on 20th February 2026 the U.S. Supreme Court ruled in a 6-3

decision that International Emergency Economic Powers Act, IEEPA, does not authorize the U.S. President to impose tariffs or imports, because of the Act, it does not grant clear statutory authority to levy taxes or duties, a power reserved for Congress. As a result of the ruling, IEEPA based tariffs, including reciprocal duties previously imposed were invalidated and are no longer legally enforceable.

U.S. Customs and Border Protection stopped collecting these unlawful IEEPA tariffs effective from 24th February 2026, by deactivating the related tariff codes. However, the Supreme Court's opinion did not directly address the refund for the duties already collected. Importers may need to pursue refunds through customs process or litigation.

Within hours of the decision, the U.S. Administration introduced a new temporary global import surcharge under Section 122 of the Trade Act of 1974, initially set at 10% and subsequently announced to be raised at 15%, effective from 24th February for up to 150 days. The new surcharge effectively replaces the IEEPA tariffs, but under a different statutory authority. Having said so much about this tariff, Mr. Nikhilesh would be able to give more throw more light on this, subsequently later on in the course of question-and-answer discussions.

Now, I'll just give the highlights of the Union budget announced recently. The government has increased allocation to the fisheries sector under schemes such as Pradhan Mantri Matsya Sampada Yojana, with co

ntinued focus on aquaculture, value chain development and export promotion. The customs duty on imported shrimp feed has been reinstated at 15%, but withdrawing concession duty at 5% given in the budget of the previous year, that is 2025. The association has been pursuing with the government for reinstating 15% duty, because the imported feed was available, highly reduced prices, making a big competition for the domestic feed manufacturers. This step would help domestic feed suppliers to compete with the imported shrimp feed.

The budget emphasizes strengthening whole-chain processing infrastructure and export ecosystem, which is expected to support shrimp processors and exporters. Earlier custom duty rationalization on key feed and processing inputs continues to improve cost competitiveness for shrimp feed manufacturers and exporters. Overall, policy direction remains supportive of seafood exports with a focus on enhancing global competitiveness and boosting value addition.

I think with this, we will take up the questions from the investors. I think we can start this question-and-answer session.

Over to you Mr. Karthik.

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Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question, please press * and 1 on a telephone keypad and wait for your turn to ask the question. If you would like to withdraw your request, you may do so by pressing * and 1 again. Ladies and gentlemen, if you have a question, please press * and 1 on a telephone keypad. We will wait for a moment while the question queue assembles. Ladies and gentlemen, if you have a question, please press * and 1 on a telephone keypad.

The first question comes from the line of Mr. Nitin Awasthi from InCred Capital. Please go ahead.

Nitin Awasthi

Hello, sir. I have three questions on your core business and two questions on the new pet food business.

C. Ramachandra Rao

Awasthi, you are not audible. Can you just speak a bit louder?

Nitin Awasthi

Hello, sir. Am I clearly audible now?

C. Ramachandra Rao

Now it's okay.

Nitin Awasthi

Okay. So, three questions on your core business, two on the pet food business. I'll start with the core business. So, we are going to have UK's trade deal be implemented first. The talks are probably from April. We have the implementation of the UK trade deal and EU by the end of the year. Given that, when these trade deals are implemented, the duty reduction is substantial, do you see the end market size as a whole, increasing?

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Avanti Feeds Limited

Q3 FY26 Earnings Conference Call 03.03.2026 C. Ramachandra Rao

I think Nikhilesh would take this call on this question.

A. Nikhilesh

Could you repeat the question, please?

Nitin Awasthi

No, given that UK's trade deal and EU's trade deal, of course EU is expected by the end of this year or beginning of next year, and UK by April this year, is going to be at a substantially, what do you call, lower the tariff rate, because in EU we had tariffs up to 26%, in UK we had it up to 9%. So, given this scenario, do you see the market in EU expanding for shrimps itself? Because suddenly the price will drop and become more competitive against other proteins.

A. Nikhilesh

Yes. I would definitely say that the market access into EU and UK would be better. There'd be higher demand coming from these markets. Yes, 100%, because they are reducing duty.

Nitin Awasthi

Understood. And on UK, are we already collaborating for April sales without duty, or is it still undecided?

A. Nikhilesh

So, I think these policies have been announced. These agreements have been announced, but what the industry is watching is when and how quickly they are implemented. So, there's no official news on the implementation date. We're hoping that it comes into effect quickly.

C.

Ramachandra Rao

And I may add to that, I think it is around six to nine months' time. They want to complete all the formalities according to the bilateral trade agreement. It has to be implemented from both sides. Both governments have to approve that. I think it will take about six to nine months. That's what I read in a newspaper the other day.

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Avanti Feeds Limited

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Nitin Awasthi

Understood, sir. Sir, the next question is on the El Nino impact on the weather. One of our core raw materials, fish meal, will be very heavily impacted by this weather condition, that is for India. And for Ecuador, they have their own challenges with El Nino. So how are you reading it for both the countries?

C. Ramachandra Rao

Is this question for fish meal? Yeah. See, the fish meal as you know, the same. The catch is from this ocean. It depends upon the nature, definitely. Each year, it keeps varying. But the last year it was not so good and particularly Chile and Peru are the major suppliers of fish meal to the almost global consumers, and this year their catches have been fairly good. And in between, there was less demand for Indian fish meal, because of the availability of fish meal from Chile and Peru.

But again, the prices have gone up. Again, the demand has gone up from the particularly East, West Asia, because particularly from Taiwan and other countries, they would like to have a cheaper fish meal available from India. As far as the quality is concerned, it is the same. That is how the prices of Indian fish meal is going up.

Moreover, the dollar is becoming very strong and the rupee depreciation is giving an advantage to the exporters. So, they compare the price and the local price, domestic price as with the export price. And the government also gives some incentives for that, for exports. So overall, the fish meal producers get much higher margins on exports.

So, this is definitely going to be a big challenge for us. And we have made a representation to the government to bring some sort of regulatory mechanism by which the exports are limited and adequate fish meal is available for domestic consumption. But we'll have to wait and see, because the government is also interested in getting more and more Forex. So, they would not really agree to that, but we are making our efforts to somehow bring a balance between these two exported fishmeal and domestic availability. Let's wait and see for that.

Nitin Awasthi

Understood, sir. Last question on the core business. The shipping rates and the container movement on our export front, are they stable given the Middle East situation

at least as bad for shipping?

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Avanti Feeds Limited

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C. Ramachandra Rao

Nikhilesh, would you.

A. Nikhilesh

Currently, this war is quite new. So, right now, we don't have any changes. Our shipping currently is below, like the Cape of Good Hope, Africa. So, we don't expect so much, but of course, there should be some disruption. We need to see what happens.

For us, since most of our markets are in the U.S., Europe, and Japan, I don't think there's any immediate direct effect, but there'll be some kind of trickle-down effect depending on how containers are blocked or how inventory is managed by the shipping company. For that, we need to wait and watch.

Nitin Awasthi

Understood, sir. Moving to the pet food business.

Moderator

I'm very sorry to interrupt, Mr. Awasthi. Could you please join back the queue?

Nitin Awasthi

Of course, of course.

Moderator

Thank you.

C. Ramachandra Rao

Please come back and ask.

Moderator

Participants are requested to restrict yourself to two questions in the initial round and join back the queue for more questions. The next question comes from the line of Arjun Khanna from Kotak Mutual Funds. Please go ahead.

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Avan

ti Feeds Limited

Q3 FY26 Earnings Conference Call 03.03.2026 Arjun Khanna

Sir, thank you for taking my question. The first query is on the outlook for processing for FY27. So, we have given a target of INR 15,500 for the FY26 fourth quarter. How do we look at FY27 given these trade agreements?

C. Ramachandra Rao

Nikhilesh?

A. Nikhilesh

I'll take that question. So, frankly speaking, on a lighter note, you know, I must thank the Indian government for taking proactive approach to support the country and the exporters, not only for shrimp, but all the categories, by unlocking and giving good market access to countries like EU and UK and also negotiating a trade deal with the U.S. eventually, which now it doesn't matter. But because of all these reasons of improved bilateral trade, we do expect better market access; however, they are quite

robust for the year FY27. But our guidance, I need to relook at it, because they're finalizing some of those numbers with a change in tariff structures.

Arjun Khanna

Sure. So, just to understand, we have a capacity of around 28,000. Would that be the right understanding?

A. Nikhilesh

Yes. 28,000 would be the right understanding.

Arjun Khanna

Sure. The second is, given that there is positivity in terms of the shrimp side of it, do you see farmers feeding more going forward? Because obviously, that impacts both on the feed side and the processing side. So, what's the sentiment at the farmer's side?

A. Nikhilesh

It's quite positive. This is not only for the processor or feed mill or farmer. Generally, everyone in the supply chain is positive. Even the importers are positive, because they

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Q3 FY26 Earnings Conference Call 03.03.2026 don't -- you know, it's just a tax that goes into the government coffers. So, we can pass

it on to the consumer instead of paying taxes. So definitely, everyone is happy about it.

Arjun Khanna

No. So, just to understand this a little further, in terms of the [inaudible 0:35:02] for us on the processing side, do you see operating leverage kick in for us as volumes move up? Or potentially, given that you're trying to get entry into newer markets, we would try to price a little bit more competitively?

A. Nikhilesh

I wouldn't say that we would price very competitively because we have better market access, so that means we have better demand for our product. But what we need to really see is how do these things pan out, right. These are announcements, and so for them to be implemented, like Mr. Rao had said previously, it might take six to nine months or even longer. I don't even know. It's difficult to comment on that.

But once they start kicking in, I think it's more of a long-term perspective that I would take an approach, not only FY27, that there should be theoretically better margins. But the question that you're asking is quite new, right? It's very -- tariffs were removed a month ago. So, we need to see how this pans out. But theoretically, it should give a better margin recovery.

Arjun Khanna

So, for example, in the U.S., where we brought out that post end of February tariffs have been revised downward for us. Are we seeing importers pull in a lot more inventory from India, given that now we are a little bit more competitive with Ecuador and some other countries have been hit by higher tariffs in terms of anti-dumping, CVD, etc.?

A. Nikhilesh

So, it's a very broad question. I'll just try to make it simple. So, right now, we're in off season. So, there's not much material at the farm level, because it's winter. But on a general level of enquiry, there's a higher inquiry, there is more positivity, more interactions with the customers on their plans for the year. So, definitely, it's looking positive. But again, we're in the off season, so we're quite confident. I would say that we're quite confident that demand would come

back once the season opens.

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Avanti Feeds Limited

Q3 FY26 Earnings Conference Call 03.03.2026 Arjun Khanna

So, I'll get back to the questions, but wishing you all the best.

A. Nikhilesh

Thank you.

Moderator

Thank you. The next question comes from the line of Ronak Shah from Equirus Securities. Please go ahead.

Ronak Shah

Yeah. Thanks for the opportunity. So, my first question is on the feed business. So, first of all, when the management is guiding for around 5.5 odd lakhs metric tons sort of feeds, say in FY26, which sounds a bit optimistic or like a flattish kind of thing considering the evolving things, wherein majority of the things are favoring us in terms of the overall outlook. So, how is the company seeing the business in FY27 and FY28? And can we expect a mid-to-high single digit sort of growth rate in terms of the overall feed sales volume?

C. Ramachandra Rao

See, the growth of volume depends on the circumstances prevailing during the main culture seasons, that is first season and the second season. So, as you know that, year after year these climatic conditions keep changing. And last year we had a lot of problems in the climatic conditions. And this year, we are hoping that the climate would be more friendly and more suitable for the aquaculture, improved aquaculture. And with this hope and with this confidence, all the farmers have really worked out and are making efforts to increase the area of culture this year.

Also, those who have left the culture at the time of COVID also are now trying to see that whether they can restart this. So, with these positive developments, we are expecting that the growth would be better this year, but this is still a very primitive stage. We have just started the stockings. And as we see the next couple of months, we will know how the culture keeps progressing. Depending upon that, we would be in a position to estimate the growth that we can expect in the first season. Of course, you know, each season is peculiar and unique by itself. So, we know what would be the first-year season's real demand for the feed, and also thereafter, the second season will start.

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Q3 FY26 Earnings Conference Call 03.03.2026 So, it's very difficult to estimate exactly, but we, with all the present circumstances,

expect that there should be a minimum 10% growth in the feed volume consumption, if not more, because this area's culture is going up and farmers are also very positive about the culture season ahead. So, with this, we'll be able to see a growth of about 10%, if not more.

Ronak Shah

Understood, understood. Secondly, sir, when we see the gross margin for the feed division, so when we were into the Q2 FY26 conference call, wherein you were highlighting an increase in the fish meal and soya meal prices. But when we see the third quarter's numbers, we can see a QoQ improvement in your gross margin. So, have we taken some price hike into the feed division? And going forward, how are you seeing those numbers panning out?

C. Ramachandra Rao

So, what has happened here is that the averaging of the raw material cost has really given that additional advantage in the Q3. So, what is happening is that when the prices

keep going up, we follow the weighted average consumption. So, earlier low prices will have some impact on the Q3 raw material prices also. That's how we have got a better, you know, improvement than what I said in the last, the investors call. So, but again, I'm saying the same thing now, because Q4 is going to be the same story again.

So that is the reason why when we said that the average increase in the profitability is likely to be more, about 1% to 1.5% more than what it was there earlier. But if you look at nine months, it is very good, about 16% we have recorded. But that is not going to be there for the average for the whole year when we complete by 3

1st March 2026. So that would be around 15%, 14.5% to 15%, because of the price hike. So, these raw material prices, because of the averaging, that difference in profitability comes in quarterly results.

Ronak Shah

Understood. So, can we expect around two to three months more, we are having those low-cost inventory, which is likely to consume and then after we will see the actual position.

C. Ramachandra Rao

Yes, yes, yes, you are right.

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Ronak Shah

Understood. And sir, lastly, on the processing business, so we can see a significant improvement in the realization per kg. However, if we see from the EBITDA front, there was a steep increase in your opex in the third quarter. So, can you explain the reason for that, and how we are seeing the profitability in this division going forward, considering the updates across the macro?

C. Ramachandra Rao

Nikhilesh, would you like to take this?

A. Nikhilesh

Yes. I think my colleague had clearly explained the point that there was better volume, there was better realization, price realization, and better other income. So, all these are the main reasons for the better margin. And on top of that, we were able to pass on the tariffs, which have now been reversed, so that's the main point of it. We also diversified into other markets, which was good, considering the instability or volatility in the U.S. market, which was positive, and just running the operations continuously. So yeah, I hope that answers. But the note that my colleague said was actually like, on point.

Ronak Shah

And just on your opex front, as I was asking that, currently we have around INR 191 crores sort of opex vis-a-vis your INR 77 crores last year. So, what led to this steep jump in the current quarter? And what can be the sustainable run rate for that?

DVS Satyanarayana

So, the major reason for going up of the opex was because of the reciprocal tariff, which was highest at 50% during Q3 FY 2026. So that is the reason major jump you can see in opex.

Ronak Shah

Okay. So, we are accounting that into our opex part? Understood.

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Q3 FY26 Earnings Conference Call 03.03.2026 C. Ramachandra Rao

Yes, yes.

Ronak Shah

Okay. That's it from my side. Thank you.

C. Ramachandra Rao

Thank you.

Moderator

Thank you. The next question comes from the line of Sourab Banik from DIVAS Consultants. Please go ahead.

Sourab Banik

Good evening, sir. Am I audible?

C. Ramachandra Rao

Yes, yes. Please go ahead.

Sourab Banik

Congratulations on a mixed set of numbers. Sir, I just want to clarify from all of you that in FY27, what are the target markets for all the business segments that we're looking for? Is it just a plan that you made? If it is made, can you explain us?

C. Ramachandra Rao

See, for FY27, we are working on the projections, because till recently we had so many challenges like tariffs and also our own culture season, how it's going to be and what efforts should we make to encourage the farmers to undertake more culture, and all this planning was going on. So, we are in the process of preparing the budgets for '26, '27. I think we'll be able to share with you sometime. In the next call, we should be able to give you more details on that.

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Avanti Feeds Limited
Q3 FY26 Earnings Conference Call 03.03.2026 Sourab Banik

Okay. Thank you so much for the clarification. And sir, one more question regarding this. In Africa, West Asia and overall Asia, you are also taking a few market share and operating as well. So, how much expectations of that sales realization that we expect from, you know, this Asia and Africa as well? So, if you please share this at least?

C. Ramachandra Rao

Nikhilesh, is it got to?

A. Nikhilesh

Can you repeat that question?

Sourab Banik

Yes, sir.

What do you say, sir?

A. Nikhilesh

Can you repeat? Can you repeat?

Sourab Banik

Okay. So, in FY27, as I said, your plans and projections are on. I just want to know that in Africa and in Asia, there are any opportunities to grow your markets, for all the business segments that we are operating?

A. Nikhilesh

So, Africa, generally, in terms of income level, is quite low. So, the opportunity in Africa may not be immediate, but more long-term. So, I wouldn't say in the immediate next two to three years.

Asia, in particular, has been doing quite well. If you see, our share in Asian markets has been growing over the past few years. So, we're still very bullish on the Asian market. So, we do expect higher sales in this region.

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Q3 FY26 Earnings Conference Call 03.03.2026 C. Ramachandra Rao

As far as speed is concerned, we are making efforts to go to the Middle East, and we are trying to enter that market. We have some trials are going on and the culture there, we are supporting them with technical advice and also we have sent some trial products, the feeds, to them. And we are making efforts to supply to these, I mean, Middle East countries also for this shrimp feed. We'll have to wait and see.

Sourab Banik

Okay. So sir, can you please share your, I mean, percentage? How far you are? I mean, your trials and is it 50%, 60%, or 70% completion, If you can just share the number?

C. Ramachandra Rao

Please, can you come back on it.

A. Nikhilesh

We can't view this as a percentage, right, because this is like a trial. So, you cannot give a certain percent.

Sourab Banik

Okay, sir. Got your answers. Lastly, sir, one question on financial numbers. So, is there any expectations of your calculations for how many numbers on the top line and bottom line you will end this year? I mean, FY26?

C. Ramachandra Rao

No. Not now. We are still working on that.

A. Nikhilesh

After 30 days, we will close the quarter. So, I can give you those details then.

Sourab Banik

Okay, sir. Congratulations, sir.

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Thank you. The next question comes from the line of Akhilesh Rawat from Ridhanta Vision Private Limited. Please go ahead.

Akhilesh Rawat

Hi. So, my question is regarding the pet food business. I just want to understand like how we are going to penetrate the market and the market is surrounded by and dominated by some few key players. So, could you please shed some light on your plan? Like in the long term, how are we going to penetrate the market?

C. Ramachandra Rao

Mr. Venkata Sanjeev, can you please take this question?

Venkata Sanjeev

Hi. So, right now we are concentrating mostly on the product itself. The product has gotten great response from the market, and all the dog owners and the cat owners who have used it are becoming our lead customers. So, the product is going to be the key to it. And also, we're going to soon launch new products, which will compete with the bigger brands, with better quality. That's what has been our goal since the start.

Akhilesh Rawat

Okay. And sir, if you could please shed light on some revenue figures. Like, are major revenues coming from dog food or cat food?

Venkata Sanjeev

So, dog food is around 60% to 65% and the rest.

Akhilesh Rawat

And if you could like shed some light on some margin. Margin guidance, like what kind of margin are we looking from this business in long term?

C. Ramachandra Rao

Can I take this call.? I mean, Venkata Sanjeev, would you like to answer this question?
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Venkata Sanjeev

Better if you answer.

C. Ramachandra Rao

Yeah. See, the margins, I think it is too premature to talk about the margins at this stage, because we have just started. And you kn

ow, the initial years we'll have to incur

lot of expenditure on the promotion of the product and building the brand image. So, we'll have to do lot of work on that and more expenditure is incurred to create the brand image and to various, the market segments also we have to see, and also the regions.

See, this product is supposed to be marketed pan India. So, we are now concentrating on region wise; East, West, North, South, like that we have divided, and we are in the process of recruiting people to and also to e-commerce, we are penetrating into the market. And to make the product visible, availability is a very important aspect in this kind of business. And simultaneously, we have our own distributors, as well as e-commerce. So, it will take some time for us to develop this, give the numbers and margins, so because the initial expenditure is high.

And moreover, see, now we are doing it more of a trading. The real benefit of this comes

to the company when we start our own production. Because as long as you import the product, you know the price, how the foreign exchange, let's say, the rupee is getting depreciated against the dollar and all when we import and distribute and all the expenses are bound to be higher. And when we start our production, maybe in the next one year or 14 or 15 months, so we should be able to start our own production. Then, well, the real benefit of the project would be seen at that time.

So, the process is only to develop the brand and stabilize the market base. So, people should know that Avanti's product is available and what the flavours are, that whether it is a dog food or a cat food and we are focusing mostly on that. And also recruiting people to promote the product. Business promotion is another important thing. These are the two things that we are doing that incur expenditure. But at this stage, it is very difficult to make any margins at this point in time.

Akhilesh Rawat

And sir, last question regarding this only. So, sir, as you have said that, we are going to start our own production, so how much capex are we going to do, or do we have any

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Thank you.

C. Ramachandra Rao

We have purchased the land. Land development is going on. We are working with our collaborators for preparing the drawings and also the machinery estimates, civil works; all this work is actively being worked on. And we should be able to really give a clear estimate of the total project cost, maybe in the next couple of months, we should be able to do it. And we start working on the drawings, and you know in India, we need so many approvals of the government to start the construction itself.

So, we will start working on that. So, once we get the approvals, we'll start construction. And the total estimated cost of the project and profitability, etc., would be able to give you maybe in the next one or two quarters results.

Akhilesh Rawat

Thank you so much, sir. Thank you for taking my question. Thank you. All the very best for upcoming quarters.

C. Ramachandra Rao

Thank you. Thank you.

Moderator

Thank you. Ladies and gentlemen, if you have a question, please press * and 1 on your telephone keypad. Next, we have a follow-up question from Nitin Awasthi from InCred Capital. Please go ahead.

Nitin Awasthi

Thank you for the opportunity for the follow-up questions. Two questions on the pet food business. Number one, our products were on display and available for purchase on Supertails last quarter. We aim to expand it to Amazon. We mentioned expanding it to Amazon this quarter, but however, it's still not visible on the portal.

C. Ramachandra Rao

Venkat, can you take this?

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Venkata Sanjeev

Yes. We've been working with Amazon. Since there's another brand called Avant, which sells shoes, and they've been there for a longer time, they've been visible on the top, but we are working with Amazon to get our brand to the top of the page.

Nitin Awasthi

Understood. Understood. And on follow-up on that, Amazon Pet Foods, if you go on that page, they have started their own brand, which is a tough call, given that any other online supplier that you use could also start their own brand. You guys have given any thought to whether these will be successful or not, or as a threat? Do you see it as a threat? Because they are your distributor, having its own brand.

Venkata Sanjeev

Could you repeat that question again, please?

Nitin Awasthi

So, Amazon, on the Amazon Pet Food page where all the other brands are displayed and you are aiming for your own brand to be displayed, has started its own Pet Food brand. And it's also being upfront about it in the labelling, marketing and the packaging saying it's an Amazon brand. Given that a significant amount of pet food is being bought by online distributors, do you see this as a threat going forward? Even at Supertails, I think your brands are at display. And all throughout the last five months, they have been increasing. More and more products have been showing on Supertails. I'm also hearing good feedback from people. But do you see this as a threat, that the distributor website itself can start its own brand?

Venkata Sanjeev

Yes. We do see it as a threat that a distributor can start his own page, but he won't be able to give the same discounts as the company is able to give, and I think that's going to affect their business more than us.

Nitin Awasthi

Understood, sir. Thank you.

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Q3 FY26 Earnings Conference Call 03.03.2026 Moderator

Thank you. We have the next question from the line of Karan Sharma from Kredent Capital. Please go ahead.

Karan Sharma

Hello. Am I audible?

B. Santhi Latha

No. You are not

Moderator

Can you speak a bit louder, please?

Karan Sharma

Yeah. Am I audible now?

C. Ramachandra Rao

Better.

Karan Sharma

Hello. Is this better? Yeah.

Nikhilesh, my question is to you. So, in the shrimp processing division, we have seen in last nine months decent volume growth. So, what I was asking was that since this chaos of the last year where duties were changed, do you see any possibility of gaining reasonable market share, considering your market share volume-wise in the last four to five years has been quite stagnant in this division, around the 1%, 2% mark? So, considering this is a very fragmented market as you guys had mentioned earlier, with these recent changes in the last 12, 15 months, do you think there is a possibility of gaining decent market share around this segment?

A. Nikhilesh

Market share in the country?

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Karan Sharma

In terms of the global market. Yeah, in terms of the players in the country, yeah correct.

A. Nikhilesh

So historically, right, especially in India, it's been very fragmented. They are like 100 plus packers. So that way, it's just because of the size of the country, the people on the west coast, east coast, different areas. Different people specialize, some people try to move only commodities. We try to do more value added.

So that said, like if you just look at it in a broad perspective, then about when we formed the JV with Thai Union for the processing division, we were, I think, we were not even a top 10 importer. Now, we are high in the rank and are amongst the top importers for frozen shrimp today.

So that way, we have been increasing our volume, we are also looking to play where there's better margin, by doing more value-added products and trying to work with more premium clients and where the expect

tations are they are very demanding generally, so that's that.

But in the next few years, from FY27 onwards, our main target is to scale, continue to scale. If you see our CAGR percent on volume or revenue, every year they continue to grow the business step by step. And with food processing, that's the way to do it, because when a consumer gets the bag of shrimp, they find any problems, they complain. And the food safety issue itself is very sensitive. So, every year, we're going to increase step-by-step, step-by-step, and we're quite confident. And that's how we've shown the business that we've seen in the last ten years.

Karan Sharma

Okay, Nikhilesh. Thank you.

Moderator

Thank you, sir. There are no further questions. Now I hand over the floor to Mr. C. Ramachandra Rao for closing comments.

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Q3 FY26 Earnings Conference Call 03.03.2026 C. Ramachandra Rao

Thank you to all the investors for actively participating and sharing your views on the performance of the company for the quarter, as well as the nine months ended 31st December '25. And I conclude this conference call with a note that in the next call, we'll

be able to really see the year-end results as well as the future planning of the company. Thank you for your time. Thank you very much.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Door Sabha's conference call service. You may disconnect your lines now. Thank you, and have a pleasant day.

Note:

1. This document has been edited to improve readability
2. Blanks in this transcript represent inaudible or incomprehensible words.

Call: Jun 2026

June15,2026

To To

BSE Limited, National Stock Exchange of India Ltd.,

1stFloor, New Trading Ring, Exchange Plaza,

Rotunda Building, P.J. Towers, Bandra (East),

Dalal Street, Mumbai –400001 Mumbai –400051

Maharashtra, India Maharashtra, India

BSE Code: 512573 NSE Symbol: AVANTIFEED

Dear Sir/Madam,

Sub:Transcript of post earnings Audio Conference Call for the quarter andyear endedMarch31, 2026.

Further to our letter dated June09, 2026,June11, 2026andJune12, 2026,we enclose herewith the transcript of post earnings Audio Conference Call for Investors /Analysts held on June12, 2026 in connection with AuditedFinancial Results (Standalone and Consolidated) of the Company for the quarter andyear endedMarch31, 2026and the same will also be available on the website of the Company at [https://avantifeeds.com/corporate-announcement/#Investor - Analyst -Corner](https://avantifeeds.com/corporate-announcement/#Investor-Analyst-Corner)

This is for your information and record.

Thanking you,

Yours faithfully,

ForAvanti Feeds Limited

C. Ramachandra Rao

Joint Managing Director ,

Company Secretary and

Compliance Officer

DIN: 00026010■f Avanti •--" Feeds Limited

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Avanti Feeds Limited

Q4 FY26 Investor Conference Call 12.06.2026AvantiFeedsLimited

Q4 FY26Investor Conference Call

Event Date/Time :12/06/2026,16.00 Hrs

Event Duration :49mins 18secs

CORPORATE PARTICIPANTS:

Mr.C. Ramachandra Rao

Joint Managing Director , Avanti Feeds Ltd .

Mr. A Venkata Sanjeev

Executive Director, Avanti Feeds Ltd.

Mr.Alluri Nikhilesh

Executive Director, Avanti Frozen Foods Pvt .Ltd.

Mrs. Santhi Latha

Chief Financial Officer , Avanti Feeds Ltd .

Mr.D.V.S. Satyanarayana

Chief Financial Officer, Avanti Frozen Foods P vt.Ltd.

Mr. K.Srinivas Reddy

Chief Financial Officer , AvantiPet Care Pvt .Ltd.

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Avanti Feeds Limited

Q4 FY26 Investor Conference Call 12.06.2026Q&A PARTICIPANTS:

1Ronak Shah :Equirus Securities .

2Arjun Khanna :Kotak Mutual Fund .

3Vidhya :Individual Investor .

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Avanti Feeds Limited

Q4 FY26 Investor Conference Call 12.06.2026 Moderator

Good evening, ladies and gentlemen. I'm pleased to extend a warm welcome to all of you for this investor conference call to review the audit ed financial results for Q4 FY26 and for the period ended 31st March, 2026 .

Shri.A.VenkataSanjeev, ED ,Avanti Feeds Limited ;and ShriA.Nikhilesh, ED,Avanti Frozen Foods Limited , have joined from Feed and Frosting plants respectively. Along with me are Mrs.Santhi Latha, CFO of Avanti Feeds Limited ;Mr.D.V.S. Satyanarayana, CFO of Avanti Frozen Foods Private Limited ;andMr.K. Srinivasa Reddy, CFO of Avanti Pet Care Private Limited.

To begin with, Mrs. Santhi Latha will present highlights of financial results for the quarter ended 31st March, 2026 of Shrimp Feed Division and also consolidated financials of the company for the same period. Thereafter, Mr. D.V.S. Satyanarayana will present the financial highlights of Shrimp Processing and Export Division. Thereafter, Mr.K. Srinivasa Reddy will present the status of the p et care projects. After presentation by all of them, we will take up the question-and-answersession. I would now like to hand over the call to Mr.C. Ramachandra Rao , the JMD.

Thank you, and over to you, sir.

C. Ramachandra Rao

Thank you, Mr. Akash. Good evening, ladies and gentlemen. I am pleased to extend a warm welcome to all of you for this investors conference call to review the audited financial results forQ4 FY26and for the period ended 31stMarch, 2026 . Of course, we have already tol dt

hat,let me say, A. Venkata Sanjeev ,

Executive Director ;and Mr.Nikhilesh, Executive Director, have joined online.

Along with me here, Santhi Latha , CFO of Avanti Fee ds Limited;andD.V.S. Satyanarayana , CFO of Avanti Frozen Foods Private Limited and K. Srinivasa Reddy , CFO of Avanti Pet Care Limited. To begin with, Mrs. Santhi Latha will present highlights of financial results for the quarter and year ended31stMarch, 2026 ofShrimp Feed Division and also consolidated financials of the company for the same period.

Thereafter, Mr. D.V.S. Satyanarayana will present the financial highlights of Sh rimp Processing and Expo rt Division. Thereafter, Mr. K. Srinivasa Reddy will present the status of PetCareProject. Afterpresentation by all of them, I'll give a justbrief sum upof the events that have taken place and a bit of future forecast.

And then b efore we take up the questions from you ,now I hand it over to Santhi Latha, to give the financial highlights of Avanti Feeds andconsolidated statements.

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Avanti Feeds Limited

Q4 FY26 Investor Conference Call 12.06.2026 Santhi Latha

Thank you, sir. Good evening, everyone. I will take you through the consolidated and standalone financial performance highlights for the quarter and year ended 31stMarch, 2026. The comparative performance of Q4 FY26with that of Q3 FY 26,and Q4 F Y25,and ofFY26with that of FY25have been given in the presentation already circulated.

Moving on to consolidated financial results for Q4 FY 26.Q4 FY26financial highlights .The gross income in Q4 FY26is INR 1,515crores as compared to INR 1 ,447 crores in the previous quarter ,Q3 FY26, an increase of INR 69 crores by about 4.77%. And when compared with Q4 FY 25gross income of INR 1 ,432 crores, there is an increase of INR 84 crores by 5.86%. The PBT is INR 184 crores in Q4 FY 26as compared to INR 222 crores in Q3 FY 26, a decrease of INR 38 crores by 17.12%. And compared to Q4 FY 25PBTof INR211 crores, there is a decrease of INR 27 crores by about 12.8%.

Coming to the financial results for the financial year ended 31stMarch, 2026 , the gross income in FY 26is INR 6,279 crores as compared to INR 5,766 crores in FY 25, an increase of INR 513 crores by about 8.9%. The PBT is INR 882 crores in FY26 as compared to INR 737 crores in FY25, an increase of INR 145 crores by about 20%. The consolidated results indicate net impact of several factors ,such as increase or decrease in income, expenditure and exceptional items relating to both Feed and Frozen division, which will be discussed in the following divisional performance of these units individually.

Standalone financial results of Feed division. Q4 FY26financial results .The gross income of Feed division fortheQ4 FY26is INR1,068 crores as compared to INR 993 crores in the previous quarter of Q3 FY26, an increase of INR 75 crores due to increase in quantity of feed sold. The gross income in Q4 FY 26increased to INR1,068 crores from INR 1,067 crores, a marginal increase of INR 1 crore. The PBT for Q4 FY 26is INR 139 crores as compared to INR 172 crores in Q3 F Y26, a decrease of INR 33 crores by 19% due to increase in raw material costs.

And compared to Q4 PBT of INR 194 crores, there is a decrease of INR 55 crores about 28%, mainly due to decrease in quantity sold by 5 ,986MTand also increase in raw material costs. The feed sales increased to 1,23,725 M Tin Q4 FY26as compared to 1 ,18,127 in Q3 and decreased from 1 ,29,711 in Q4 FY 25.

Now coming to the financial year highlights of Feed division. The gross income in FY 26is INR 4,538 crores as compared to INR 4,549 crores in FY 25, a decrease of INR 11 crores mainly due to decrease in sale price during, April 25 of the previous year. The PBT is INR 715 crores in FY 26as compared to INR 658 crores in FY25, an increase of INR 57 crores by 8.66%. The feed sales during the year increased to 5,62,060 MT as compared to INR 5,55,248 MTs in previous year.

The major raw materials are fish meal, soya bean meal and wheat flour. The noti

ceable development in

this quarter is increasing trend of two major raw materials, that is fish meal and soya bean meal, resulting in decrease in the profitability when compared with the previous quarters. The prices of these raw materials keep fluctuating since their production is based on fish catches and agriculture.

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Avanti Feeds Limited

Q4 FY26 Investor Conference Call 12.06.2026 The average consumption prices of fish meal increased in Q4 FY 26 to INR 130 per kg from INR 117 in Q3

FY26 and from INR 91 in Q4 FY 25.

In case of soya bean meal, their prices increased to INR 55 per kg in Q4 FY 26 from INR 44 in Q3 FY 26 and increased from INR 41 in Q4 FY 25. However, the wheat flour price decreased to INR 31 in Q4 FY 26 from INR 32 per kg in Q3 FY 26, and decreased from INR 36 in Q4 FY 25. Present purchase price of fish meal is INR 230 per kg and soya bean meal is INR 72 per kg, and wheat flour is INR 30 per kg.

While on one hand, the raw materials are instrumental in determining the margin, on the other hand, the status of aquaculture activity conditions like climatic changes, diseases, etc., determine the consumption of feed in terms of volume, which will have an impact on the overall performance of the company. The PBT during the FY26 stood at 15.5% on revenue as compared to about 14.34% during FY25.

Data period ended 31st March, 2025. To sum up, in general, FY 26/27 is expected to be a challenging season for the aquaculture industry in respect of shrimp production due to steep increase in feed raw material prices, as well as exports from India and global demand for shrimp exports. The shrimp production and feed consumption FY 26 and company plants for FY 27.

On the basis of estimated shrimp production of about 8-9 lakh MTs in calendar year 2026, the feed consumption is estimated to be about 11-12 lakh MTs. The company feed sales during FY 26 is 5,62,060 MT against 5,55,247 MT in FY 25. It is estimated that the feed sales during FY 27 would be around 5,80,000 MTs.

Shrimp Processing and Export Division. The export of frozen shrimp during FY 25/26 was to the tune of 7,92,647 MT worth US\$ 5,624.48 million. USA was the largest importer, about 2,56,128 MT of frozen shrimp, followed by China, 1,69,505 MT; European Union, 1,35,599 MT; Southeast Asia, 83,810 MT; Japan, 40,776 MT; Middle East, 30,478 MT; and other countries, 76,351 MT.

On a year-on basis, export volumes to the U.S. declined by 17.9%, whereas export to China increased by 24%, to the European Union by 36%, and to Japan by 5% in MT terms. Frozen shrimp contributed to be the major item of export in terms of quantity and value, accounting for a share of 40% in quantity and 67% of the total U.S. dollar earnings.

During FY 26, frozen shrimp export registered a growth of 13.16% in rupee value, and 8.64% in dollar value, and 6.9% by volume. Your company's shrimp exports during the FY 26 was 16,976 MTs as compared to 14,149 in FY 25, an increase by 2,827 MTs. It is estimated that the exports during FY 25 would be around 19,000 MT.

Now, I would like to hand over to Mr. D. V.S. Satyanarayana to present highlights of Shrimp Processing and Export Division.

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Avanti Feeds Limited

Q4 FY26 Investor Conference Call 12.06.2026 D. V.S. Satyanarayana

Thank you, madam. Good evening, everyone. Now, I would like to take you through the financial highlights of Shrimp Processing and Export Division.

Q4 FY 26 results. The gross income for Q4 FY 26 was INR 446 crores as compared to INR 455 crores in Q3 FY 26, a decrease by INR 9 crores, representing 2%, mainly due to decrease in average sales price realization. The gross income in Q4 FY 26 increased to INR 446 crores from INR 364 crores during Q4 FY 25, an increase of INR 82 crores, representing 22% YoY growth. Higher sales in Q4 FY 26 were driven by an increase in average selling price realization and favourable foreign exchange rates.

The profit before tax for Q4 FY 26 was INR 48 crores as compared to INR 52 crores in Q3 FY 26, preceding immediate quarter, decreasing mainly due to decrease

in average price realization. And also, there was

an additional provision for gratuity and leave encashment in Q4 FY 26 as part of the new labour code.

The profit before tax in Q4 FY 26 was INR 48 crores, an increase from INR 18 crores in the corresponding quarter, that is Q4 FY 25, reflecting a significant increase primarily due to improved sales price realization, favourable foreign exchange rates, and higher other income. And also, there was a reduction in ocean freight rates during the current quarter.

Comparison of performance for 12-month ended 31st March, 2026, with 12-month ended 31st March, 2025. The gross income for the 12 months of FY 26 was INR 1,741 crore compared to INR 1,220 crore in the corresponding 12-month period of previous year, that is FY 25. This represents an increase of INR 521 crore, reflecting a growth of 43%.

The increase in gross income during FY 26 was primarily driven by a rise in the sales volume of 2,827 MT, representing 20% growth, improved average sales price realization, and also there was a higher other income.

The profit before tax for the 12 months ended FY 26 was INR 178 crore as compared to INR 86 crore in the corresponding period of FY 25, reflecting an increase of INR 92 crore. This growth was primarily attributable to higher sales volumes during the current year, improved sales price realization, favourable

FX rates and also increased other income. This completes the presentation of Processing and Export Division financial results. Thank you.

Now I hand over to Mr. K. Srinivasa Reddy to update the status of Pet Food Project.

K. Srinivasa Reddy

Thank you, Mr. D. V.S. Satyanarayana . Good evening, all .Now, I would like to update Pet Food Project.

As already informed, company continued to strengthen its presence in the Pet Food segment during Q4 FY2526 under its PetCare brand, Avant Furst.

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Avanti Feeds Limited

Q4 FY26 Investor Conference Call 12.06.2026 The response from the pet owners for both cat food and dog food products have been encouraging ,with

the growing acceptance across various markets, reflecting the strong potential of the business.

During Q4 FY 2526, the company recorded sales INR 151 lakhs compared to INR 136 lakhs in Q3 FY 2526, reflecting a sustained growth and increasing market acceptance of our products. The growth was supported by continuous demand for our cat food range, and steady expansion of dog food segment across existing and new markets. The company continued to expand its market reach by strengthening its presence in Tier -1 cities and gradually entering Tier -2 and Tier -3 markets .

Our products are also available on leading e-commerce platform, including Amazon and Super tails, improving accessibility and enhancing our reach to customer across the country. The company continued to focus on strengthening the Avant Furst brand through the targeted digital marketing initiatives on Instagram and Facebook. That is Avant Furst.

The effects are aimed to enhancing the brand awareness, increasing the customer engagement ,and expanding our reach among pet owners across the country. The company also actively working on expanding its product portfolio and plans to introduce additional flavours and variants to cater to evolve the customer preference ,and strengthen its market position.

On the project side, as informed earlier, the company has purchased the land near Hyderabad, converted from agriculture to non-agriculture use for setting up a state-of-the-art manufacturing facility. The land development works are in progress, and we are in the final stage of finalizing the designs and drawings. Upon completion of the detailed project report and receipts of necessary government approval, construction activities will commence.

Now I hand over to JMD sir for closing remarks.

C. Ramachandra Rao

Thank you. At the outset ,I'm delighted to share with you that India's seafood exports reached an all-time high of US \$8.546 billion in FY2526. The volume and value of exports touched historic peak despite g

lobal

challenges. U.S. and China remain main key markets ,and frozen shrimp continues to dominate exports with 66% in terms of value of the seafood exports from India.

As you know, the Q1 ,representing April, May, June months is the peak season for shrimp culture. Based on the successful performance in FY26, the farmers started stocking for the main season with high expectations for the FY27 also. The shrimp culture is progressing without much hurdles so far. The export market is promising and also farm gate prices of shrimp is stable to the expectations of the farmers. Unfortunately, when things were going smoothly, the prices of raw materials used for the manufacture of shrimp feed are going up steeply since past two months. A major reason attributed is Gulf War on one hand, and added to it is the threat of severe El Nino this year, seriously impacting the rainfall and agricultural crops.

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Avanti Feeds Limited

Q4 FY26 Investor Conference Call 12.06.2026 As you know, fish meal, fish oil, soya bean meal, soya lecithin, soya oil, wheat flour are the major raw

materials used in the manufacture of feed. My colleagues have already explained to you the increasing trend of these raw materials. The price of fish meal doubled from INR 100 to INR 240 in a span of two months, May and June. Even soya bean meal price has also gone up steeply by about 45%. The prices of soybean meal increasing steeply due to shortage in the previous year crop by 13 lakh tons and fear of failure of current year's crop due to El Nino conditions.

Moreover, the Government of India has increased minimum support price of soybean meal by about INR 380 per quintal, making the soybean price at INR 5,708 per quintal. In the light of increasing in this raw material, the company is preparing for increase in feed price at the earliest to compensate the price hike as much as possible, keeping in view the overall shrimp culture. So, we are confident that it's increasing in price feed ,the increasing cost will be absorbed to a great extent.

At this stage, I would like to share with you the major reason for steep increase in fish meal price is export of about 75% of the fish meal manufactured in India due to higher price realization and also incentives given by the Government of India for export of fish meal.

Moreover, 5% GST is applicable for local purchase of fish meal, whereas there is no GST on exports. The company, along with Feed Manufacturers Association and CLFMA, is making efforts to represent the Government regulate the fish meal by bringing in appropriate vessels ,by limiting export quantity and withdrawal of incentives so that fish meal is available to the local shrimp feed manufacturer, which is used

for production of shrimp for export purpose ,earning valuable foreign exchange. Even in the case of soybean meal, the government is being approached for permission to import soybean meal to regulate the increasing price.

With all these efforts, the company is confident that feed prices would be stabilized in course of time to continue the shrimp culture without interruption. Coming to the outlook for shrimp exports, the shrimp exports in the United States has improved following the recent developments in U.S. Trade Policy, while some uncertainty remains regarding the final tariff structure applicable to seafood imports, the overall environment has become more favorable for exports.

In parallel, the company continues to strengthen its presence in other international markets, thereby reducing its dependence on any single geography. The company is focusing on increasing the value-added products and also expanding the new markets. A significant development occurred on 20th February, 2026, when the U.S. Supreme Court ,by 6-3 majority ruled that the International Emergency Economic Powers Act (IEEPA), does not authorize the President to impose tariffs on imports ,as the authority to levy taxes and duties rest with the Congress.

Consequently, the reciprocal tariffs imposed

under IEEPA, including the reciprocal duties ,were invalidated and ceased to be legally enforceable. As a result, CBP U.S. Customs initiated process for refund of reciprocal tariffs collected by it .

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Avanti Feeds Limited

Q4 FY26 Investor Conference Call 12.06.2026 Further, U.S. Customs and Border Protection Forced discontinued the collection of IEEPA-based tariffs with

effect from 24th February, 2026. The U.S. Administration subsequently introduced a temporary global import surcharge under Section 122 of the Trade Act of 1974, effective from the same date for a period up to 150 days. Although the surcharge was initially fixed at 10%, there have been indications of a possible increase and further clarity is awaited.

Subsequently, U.S. Court decisions, including *Atmus Filtration, Inc orporation and United States and Euro-Notions Florida, Inc. v. United States*, directed CBP to refund duties collected under IEEPA, to facilitate large scale refund processing ,CBP launching consolidated administration and processing of entries .A new functionality with the automated commercial environment on 20th April, 2026.

According to the legal consultants of the Seafood Exporters Association, the initial phase of the refund process is likely to cover entries that remain unliquidated due to ongoing anti -dumping and countervailing duty administrative reviews.

In the case of frozen shrimp exports from India, entries on IEEPA tariffs were paid since 1st April, 2025 , remain suspended pending completion of these reviews, which are expected to conclude over the next 12-18 months . CBP, U.S. Customs is expected to process the related refunds once the suspension of liquidation on these entries is lifted.

With this, we will take up the questions from you, gentlemen. I think you can proceed with the question-and-answer session.

Moderator

Thank you, sir. Ladies and gentlemen, we will now begin the question-and-answer session. If you have a question please press * and 1 on your telephone keypad, and wait for your turn to ask your question. If you would like to withdraw your request you may do so by pressing * and 1 again.

The first question comes from the line of Mr. Ronak Shah from Equirus Securities . Please go ahead, sir. Ronak Shah

Hi, team, and thanks for the opportunity. I have multiple questions. So first is on the Feed division. In opening remarks, the management is highlighting around 11 -12 lakh odd MT of takeoff of the feed, which implies we can see a flattish kind of feed offtake, wherein sir is highlighting regarding incremental positive farm gate price related benefit and all. Is there something I am missing on? And how you are seeing the Feed division to perform in FY 27?

Secondly, from the margin perspective, which implies you have taken a meaningful price hike in fourth quarter FY27, what is the quantum of that and how you are seeing margins to pan out in FY 27, especially from the Feed division?

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Avanti Feeds Limited

Q4 FY26 Investor Conference Call 12.06.2026 C. Ramachandra Rao

See, the Feed division, we are preparing for taking a price increase because we're working on that .

Because the prices of raw materials are almost increasing every day. We work out the total impact on account of this price increase and we propose to increase depending upon the acceptability of the market also. We have to balance between these two. We hope that maybe as early as possible, we will take up the exact price increase, how much it needs sometime to get the complete picture about ,how much increase we can go for it, how much is acceptable to the market , all these things are being considered. I think in the next May, maybe in one week or 10 days, we should be able to come to a specific number as far as the price increase is concerned. And as far as the market is concerned, the shrimp culture is stable, the export market is stable ,and there is no significant changes in the market conditions.

As of now, the farmers are able to get reasonably good returns on their shrimp culture, a

nd we do not

foresee any big change in the expectations for the current year, unless some unforeseen events take place in the rest of the year. See, we are still in the first quarter. There is second quarter, the July, August, September is equally important for the first season to complete. And the total production figures ,that they come, the first season being the major season for Shrimpproduction. As of now, we are very confident, very positive about the market, positive about the performance of the company.

Ronak Shah

So, haven't we any taken price hike into the fourth quarter?

Santhi Latha

We have taken a price increase in February of the fourth quarter. So, the impact is not there much because only one month we had the improved price, and that is also not a full price impact .Because we are going to other price hike right now.

C. Ramachandra Rao

As I stated in my introductory remarks, that the prices of soya bean meal and fish meal have gone up very steeply in the last two months, unprecedented price increase. For the reasons I have mentioned as one fish meal prices have gone up ,and also this has been made price. This has impacted on the cost. We are working on that very seriously. And maybe in the next few days, we will be going for another price increase of the feed. I think that should take care of whatever the cost that is going to incur to a great extent.

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Avanti Feeds Limited

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Second question is on the export front. When the management is aspiring for around 19,000 odd MTs export in FY27, which implies like 10 -12% odd sort of growth. But when we compare it with the peers or even the benefit of FTAs, doesn't the management sound bit conservative on that front? Or am I missing something over here?

C. Ramachandra Rao

Nikhilesh, can you take this question?

Alluri Nikhilesh

Yeah, thank you. Thank you for that question. I think, generally, if you look at last 10 years, and there's YoY, YoY, YoY, increase last 10 years, if you even put it in the CAGR number. This business cannot increase exponentially at one point. It has to be built step by step. So that will continue to happen. I hope that answered your question.

This is the opening of FTA with Europe ,everything is better market access, but we will need to build the production step by step because it's quality related food consumption, safety, and everything. We need to take it step by step.

Ronak Shah

So, sir, are there any CapEx required both in terms of the feed or in terms of the processing front? Are we aspiring for any major CapEx over the next two to three odd years, right now?

C. Ramachandra Rao

We don't foresee any big CapEx in the next two years.

Ronak Shah

Understood. And sir, lastly, on the pet care front. What is the scale of the pet care business right now?

And considering the initial burn, what is the burn rate which we are seeing and how the distribution is expanding? Can you just highlight on qualitative front?

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Avanti Feeds Limited

Q4 FY26 Investor Conference Call 12.06.2026 C. Ramachandra Rao

Venkata Sanjeev Garu, can you take this question, please?

A. Venkata Sanjeev

Oh, yes, sir. We've been increasing from 53 tons to, right now, 100 tons with goal of 800 MTs by end of this year. Our distribution network, as of now ,we have 31 distributors in 13 cities, and we are constantly expanding. And we are also looking to expand into other products like treats, more economical food, and also wet food in the coming months.

C. Ramachandra Rao

I may add to what Mr. Venkata Sanjeev said. That you see, now presently, what we are doing is ,we are importing the products from Thailand ,where according to our formulations and our brand ,we are marketing now. So, till such a time we have our own production facility, we would like to focus more on brand image on the products.

Because the cost and effectiveness will really start getting realized only once we start our own production unit. Till such a time, we are trying to diversify

the markets and also improve the image and make our

products more popular. So that is a brand image exercise is going on now. Once we start our own production, we'll be able to see the real fruits of this project once we start manufacturing in our own production facility.

Ronak Shah

Understood, sir. That's it from my side. Thank you.

Moderator

Thank you so much, sir. The next question comes from the line of Mr. Arjun K hanna from Kotak Mutual Fund. Please go ahead, sir.

Arjun Khanna

Thank you for taking my question. My first question is related to the imports into the U.S. So, just to understand, is Avanti Feeds or its subsidiaries the importer on record for this? And what is the tune of these reciprocal tariffs that we have asked for reimbursement?

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Avanti Feeds Limited

Q4 FY26 Investor Conference Call 12.06.2026 C. Ramachandra Rao

Nikhilesh, would you like to take this question?

Alluri Nikhilesh

Let D.V. Stake it, sir.

C. Ramachandra Rao

Yes.

D. V.S. Satyanarayana

Yeah. Avanti Frozen Foods Private Limited is the importer of record in U.S. So, Avanti itself imports the goods and does the customs clearance and arranges for the deliveries to the respective buyers.

And with regard to tariffs, Avanti Frozen has an import record and will file the entries into ACE Portal to get the refunds.

Arjun Khanna

And what would be the quantum, sir?

D. V.S. Satyanarayana

The quantum, we are just calculating it. Still, it is in the process. We are validating it. Roughly, it will come around USD 15-20 million.

Arjun Khanna

Okay. Perfect. Sir, this –

C. Ramachandra Rao

Yes, I opened the account also in U.S. When the refund starts, it gets credited to that U.S. account, which is one of the conditions for refund that we have complied with.

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Avanti Feeds Limited

Q4 FY26 Investor Conference Call 12.06.2026 Arjun Khanna

Absolutely, sir. The second query is regarding the growth. We mentioned that we would grow step by step over a period of time. Just to understand in terms of our capacities, I understand would be north of 19,000 tons. Does that mean those additional capacities are unmanned at this time? Or is there difficulty in sourcing of the shrimp and hence step by step. Just if you could run us through what prevents us from scaling up capacity faster than the 10%, 15% that have been mentioned?

Alluri Nikhilesh

Yeah. So, there are a few things to answer that question. Overall, the capacity that we stated is about 26,000 or 28,000 MTs. But this business is very seasonal. There are months where we want raw material, but we don't have enough raw material because that's how the growth cycle, let's say, installed capacity. So, technically, if you don't understand the seasonality, then on paper, it looks large.

Arjun Khanna

Fair.

Alluri Nikhilesh

In the season, we try to process as much as we can. And after then, we try to procure whatever we can.

Arjun Khanna

Sure. That helps. What would be the effective capacity of these 26,000 or 28,000 tons, given that there are probably two seasons at max? So, in terms of what is the max rated capacity of this?

Alluri Nikhilesh

Maybe if you send an email, then.

Arjun Khanna

Perfect. Sure. The context is, sir, that we are indicating we aren't looking at expanding capacities over the next two years. Hence, was wondering that if –

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No, we are expanding in the sense that there are a lot of things that we are doing in the business to take it up step by step. We are going to increase capacity utilization. That is the thought process behind it. But there's a lot of work which it needs to prepare, so it takes one step by step with the products that we're doing there. Looking to continue to grow, if that's the question.

Arjun Khanna

Sure. The last question is that we are hearing that apart from the Indo-Europe FTA, there is talk of some bilateral trade agreement with the U.S. Now as part of it, we would probably be importing some of the Agri products from there, such

as, say, DDGS or maybe RedSorghum.

Now in terms of our input materials, this ideally should come at a lower price than the Agriinputs available in India. Is this the right understanding and are these possible substitutes for the higher priced Agriinputs available in the country?

C. Ramachandra Rao

No, we are not importing anything from Agri products.

Arjun Khanna

Absolutely, sir. This is more in terms of in the future, if the bilateral treaty allows it in terms of duty-free imports. Is that something that can be looked at?

C. Ramachandra Rao

We have to see. Today, we cannot see, because it is a policy of the government to permit or not to permit. See, in respect of soybean meal, we are already approaching the government for giving us a limited period permission for import of soybean meal. That would stabilize the prices which are going up now. They have done earlier once, and we are going to have to do it again.

Arjun Khanna

In 2003.

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Avanti Feeds Limited

Q4 FY26 Investor Conference Call 12.06.2026 C. Ramachandra Rao

Yes. So these particularly Agriproducts, India being Agrieconomy, it depends upon the consumption fee. See, India being the Agrieconomy, the lot depends upon the crop that comes with the year after year and the local consumption requirement, food requirements, essentials of the country. All these things determine the need for the products, whether it is to be imported or not to be imported, or even exported. We never expected that wheat would be allowed to be exported, wheat meal. Now they are allowing the wheat export because there is a huge production and stock available in India. Like that, it depends on the situation, okay.

Arjun Khanna

Perfect. Just the final bit, in terms of the shrimp processing side of things, we've been talking of moving into more value addition. In terms of value-added shrimp, say, for FY26, how has that changed versus FY25? And how do we envisage this changing in FY27? Thank you.

C. Ramachandra Rao

Nikhilesh?

Alluri Nikhilesh

D.V.S, could you pull out some of the statistics? But on the value-added side, I can tell you generally that we've done a lot of work over here where we're doing a lot more value-added products than what we were doing 10 years ago, in the sense that, I guess, in India, we're probably one of the larger producers of value-added products.

Initially, in 2015, we used to produce raw products only. But today, we do ready to eat, which is cooked products. It's for the kind of straight to consumption. We do breeding, we do some shrimp drinks. We do Japanese preparation. So, we do a wide range of products and we also have a partnership with the food ingredients company. We're accelerating R & D into value-added products in our facilities in India.

But this is generally the theme of the business, India produces a lot of raw materials. We also try to do as much as commodity as possible. We try to maintain the balance to get the right margin output, if that answers your question.

Arjun Khanna

Sure. Just wanted to understand in context of margin. Should we assume that going forward with better utilization, higher throughput, the EBITDA margin should move north for the processing piece?

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Q4 FY26 Investor Conference Call 12.06.2026 Alluri Nikhilesh

I would generally say, if you compare to our peers, if you look to do a general analysis, you will see that our margin structure is much better because we do all these products. We're already upward of a general market margin level because of these products. We want to keep that balance because I think just before this, you asked about capacity utilization.

Arjun Khanna

Right.

Alluri Nikhilesh

The more value-added products we do, the lesser output from the factory. Because of the additional process, yeah.

Arjun Khanna

Sure. Thank you, and wish you all the best.

Moderator

Thank you, sir. Ladies and gentlemen, if you have any questions, please press * and 1 on your telephone keypad. I repeat, if you have any questions, please

press * and 1 on your telephone keypad. We have a question from the line of Ms. Vidhya individual investor. Please go ahead.

Vidhya

Hello, sir. Thank you for opportunity. My question is, in next two, three years, our company is expecting how much percentage of revenue growth and profit growth?

C. Ramachandra Rao

See, to answer your question, as you know that we have been as a group, we have been expanding our activities, not only diversifying, we have this pet care business also coming, and we are expecting lot of growth in that.

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Q4 FY26 Investor Conference Call 12.06.2026 Apart from capacity utilization of frozen products, value-added products, which will increase the bottom

line as well as the top line. And also, the aquaculture we have enough capacity, we'll be able to increase the total bottom and top line of both the units. Overall, the target, if you put around 10-15% growth with the present global situation, it will be a big achievement. Because today, we are in a situation where many things are uncertain.

We don't know, today we are unable to even prepare the budget for FY26, FY27 even though three months have already lapsed. We are not sure how things are going to do, what is going to be the cost. I think you know better that all these developments will definitely influence the process of our budgeting and also targets and also the revenues, top line and all these things. I think it will take some time for us to really understand the situation to come to have a reasonably good budget estimates, madam.

Vidhya

Okay, sir. Thank you.

Moderator

Thank you, ma'am. We have a follow-up question from Mr. Ronak Shah from Equirus Securities. Please go ahead, sir.

Ronak Shah

Yeah, thanks for the follow-up. Sir, my question is regarding the competition. Right now, we see from the Ecuador perspective, we are getting that there are certain issues which are coming up over there. Earlier, when we are highlighting, we were detrimental compared to the Ecuador blended cost, how we are positioned right now. If something else is emerging in terms of the other geographies, can you highlight?

C. Ramachandra Rao

Yeah, Nikhilesh?

Alluri Nikhilesh

I would say it Ecuador continues to be largest exporter. India also continues to be one of the largest exporter, the number two. In the U.S. market, we still, with the tariffs gone and everything, it's looking bright there. Also in Europe, it's looking very bright. Hopefully, the higher demand encourages more farmers to do more feeding and everything.

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Q4 FY26 Investor Conference Call 12.06.2026 But on a general level, India continues to play a very important role in the shrimp supply chain globally.

We'll continue to do so. Government and the industry is doing everything they can. The last point I wanted to say is, as you know, Avanti also invested into Ecuador in partnership with the union. So, it's about working with the global supply chain and Ecuador in the promising market along with India.

Ronak Shah

Understood.

Moderator

Thank you, sir. There are no further questions. Now, I hand over the floor to the management for the closing comments.

Santhi Latha

Thank you, everyone. Thank you, all the investors, for joining this conference call of Avanti Feeds Limited.

Thank you.

Moderator

Thank you, sir. Ladies and gentlemen, this concludes your conference for today. Thank you for your participation and for using Do or Sabha's conference call service. You may disconnect your lines now. Thank you, and have a pleasant evening.

Note: 1. This document has been edited to improve readability

2. Blanks in this transcript represent inaudible or incomprehensible words.